OECD Economic Surveys

Czech Republic

ECONOMICS

OECD

July 2001

OECD ECONOMIC SURVEYS

2000-2001

Czech Republic

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BASIC STATISTICS OF THE CZECH REPUBLIC[1]

THE LAND

Area (sq. km)	78 864	Population of major cities (thousands) (1.1.2000)	
Arable land (sq. km)	42 798	Prague	1 186.9
		Brno	383.6
		Ostrava	321.2
		Plzen	167.5

THE PEOPLE

Population (thousands, 31 December 2000)	10 268	Civilian employment by sector	
Number of inhabitants per sq. km	130.2	(per cent of total, 2000)	
Annual population growth, 1995-2000	–0.02	Agriculture	5.1
(per cent)		Industry	39.5
Employment (thousands, 2000)	4 676	Services	55.4

THE PARLIAMENT

Parliament, as of December 2000 (number of seats)

Social Democratic Party	74	Communist Party	24
Civic Democratic Party	63	Christian Democratic Union – People's Party	20
Freedom Union	18	Independent	1
		Total	200

THE PUBLIC SECTOR[2]

As a percentage of GDP, 2000

Current recepits	40.3	Total expenditure excluding net lending	46.4
Direct taxes	8.7	Government consumption	19.8
Indirect taxes	11.1	Subsidies	4.8
Social security contributions	16.0	Social security benefits	13.7

PRODUCTION

GDP ($ million, 2000)	50 777	Structure of production (% of GDP, 2000)	
GDP per capita ($, 2000)	4 945	Agriculture	3.9
Gross fixed investment (% of GDP, 2000)	28.3	Industry	39.9
		Services	56.1

FOREIGN TRADE

Exports of goods and services (2000)		Imports of goods and services (2000)	
($ billion)	36.3	($ billion)	36.3
(per cent of GDP)	71.5	(per cent of GDP)	75.2
Main merchandise exports (% of total, 2000)		Main merchandise imports (% of total, 2000)	
Machinery and transport equipment	44.1	Machinery and transport equipment	39.9
Manufactures	25.4	Manufactures	20.4
Chemicals	7.3	Chemicals	11.6
Other	23.2	Petroleum products	9.4
		Other	18.7

THE CURRENCY

Monetary unit: Czech koruna	Currency units per $	
	Year 2000	38.6
	May 2001	39.3

1. An international comparison of certain basic statistics is given in an annex table.
2. Data are based on the OECD-adjusted general government accounts which differ from but are based upon the Czech Ministry of Finance data produced in accordance with the IMF's Government Financial Statistics.

This Survey is based on the Secretariat's study prepared for the annual review of the Czech Republic by the Economic and Development Review Committee on 5 June 2001.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 22 June 2001.

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The previous Survey of the Czech Republic was issued in February 2000.

Assessment and recommendations

Earlier microeconomic reform has improved future prospects for achieving sustainable growth…

The performance of the Czech economy in recent years has been influenced by the 1997 currency crisis and the subsequent restrictive macroeconomic stabilisation package. These macroeconomic developments resulted in negative growth in 1997-99 but, combined with an impressive array of structural reforms, served to promote a significant and healthy restructuring of the economy. As described in *Regulatory Reform: the Czech Republic Review* (OECD, 2001*b*) measures taken included a substantial strengthening of the country's regulatory framework, the acceleration of banking-sector privatisation, the initiation of an industrial revitalisation programme and a substantially more welcoming stance *vis-à-vis* foreign investment. These steps served to pick up the pace of economic transformation during this period and have allowed market forces and economic incentives to play a greater role in firms' and individuals' decision making. In particular, a hardening of budget constraints and more transparent capital markets have prompted many companies to embark on often long-delayed and productivity-boosting restructuring programmes.

… and has contributed to better productivity and output performance in 2000 and early 2001

Against this background, the nascent recovery already visible towards the middle of 1999 strengthened throughout 2000 when GDP grew by 2.9 per cent and continued expanding at a rapid 3.8 per cent pace in the first quarter of 2001. Consumer demand increased moderately, while investment, reflecting very high levels of foreign direct investment, expanded rapidly, approaching double-digit rates in the second half of the year. As a result, total domestic demand increased by 3.9 per cent in 2000. The rapid rise in demand was met by an acceleration in output particularly in industry – reflecting both new capacity and much stronger

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productivity growth, itself partially a product of the surge in foreign direct investment. For the economy as a whole productivity rose by about 4 per cent in 2000, well above the increase in real wages. Thus, the pickup in inflation, from 2 to 4 per cent, mainly reflected external factors (including higher oil prices) and the reversal of one-off factors that had repressed it in 1999. However, nominal wage growth accelerated to 9.3 per cent in the first quarter of 2001 and by May inflation had reached 5 per cent. Despite the strengthening of output, ongoing restructuring meant that employment fell in 2000 before picking up in the first quarter of 2001. Notwithstanding these developments, the seasonally-adjusted standardised unemployment rate decreased during the course of 2000 reaching 8.2 per cent in the first quarter of 2001, mainly because of state-subsidised early-retirement programmes that shrank the labour force. Increasingly, unemployment is taking on structural characteristics. It is concentrated geographically and among the less well educated, while the incidence of long-term joblessness now exceeds 50 per cent.

While the recovery was initially export led, higher oil prices and strengthening domestic demand caused the external deficit to double

The strengthening of domestic demand caused imports to accelerate during the course of 2000. As a result, although the recovery was initially export led, the net contribution of the external sector was substantially negative for the year as a whole. Partly as a consequence of this and partly because of higher oil prices, both the trade and current account deficits deteriorated sharply with the latter reaching 4.7 per cent of GDP. In the first quarter of 2001, export growth, while still almost 20 per cent, slowed significantly in contrast to import demand which continued expanding very rapidly. As a result, the current account deficit rose to 5.6 per cent of GDP. Its financing, however, poses no serious problem because of strong foreign direct investment inflows which amounted to € 4.9 billion or 9 per cent of GDP in 2000.

The outlook for the near term suggests moderate growth

Looking forward, domestic demand should continue expanding at a rapid rate, although the overall pace of output growth will be constrained by ongoing restructuring in the corporate sector. Thus, despite total domestic demand increasing by 4 per cent, GDP is projected to grow by between 3 and 3½ per cent during 2001-02. The recent acceleration of real

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wages, despite labour market weakness, may be reflected in a further pickup in net inflation, which corrects for regulated price and indirect tax fluctuations, and headline inflation, which is nevertheless expected to remain below 5 per cent. Meanwhile, continued additions to capacity and moderate rises in unit labour costs should allow Czech exports to keep growing at double-digit rates and gaining market share. Even so, the overall contribution of the external sector will remain negative because imports, in response to the high foreign content of exports and stronger domestic consumption, are also expected to grow quickly. Thus, even with a fall in oil prices, the current account deficit is projected to exceed 5½ per cent of GDP in each of 2001 and 2002.

The Central Bank's inflation targeting should continue to help shape expectations and keep inflation low…

Notwithstanding the rise of inflation in 2000, the Czech National Bank (CNB) actually undershot somewhat its end of year target for net inflation of 4.5±1 per cent. In large part this good performance was due to the Bank's successful communication strategy, which managed to convince the public that the acceleration in inflation represented the unwinding of the one-off factors that had repressed it the year before. As a result the pickup in inflation in 2000 did not result in an inflationary spiral. While the Bank intends to build on this success and continue targeting inflation, it will now focus on changes in headline prices instead of net inflation and this more familiar goal should ease the CNB's communication task. However, the Bank's credibility and its ability to shape expectations could be damaged if errors in predicting regulatory price increases cause it to miss its targets. Its task, in this regard, would be made easier if the regulatory authorities and the government were to publish a price liberalisation agenda and stick to it. In addition to the change in target, the parliament passed a number of amendments that reduce the CNB's independence. While these measures would not have interfered with day-to-day execution of monetary policy, they would have reduced the Bank's financial independence and given the government a much larger role in determining both short- and medium-term targets. Moreover, these measures are inconsistent with the European Central Bank system. As a result, the recent Constitutional Court's decision to strike them down is welcome, although the authorities may wish to introduce a con-

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stitutional amendment changing the long-term objective of the CNB from preserving the value of the currency to price stability.

… but twin deficits and the possibility of a future depreciation pose risks for inflation in the medium term…

Looking forward, the Central Bank may have difficulty achieving its short- and medium-term inflation targets, given the strengthening of the economy, the expansionary stance of fiscal policy (see below) and the recent pickup in wage and price inflation. Its options are complicated by strong inflows of foreign direct investment and privatisation revenues, which are causing the currency to appreciate even as domestic demand strengthens and the current account deficit widens. While the appreciation of the currency helps restrain inflationary pressures in the immediate term, a subsequent depreciation could release them and cause an overshooting of the Bank's medium-term inflation target. For the moment, the risk of such a reversal is reduced because the financing of both the budget and current account deficits is partially assured by privatisation-related inflows but this will change when they come to an end in 2003-04. While, in principle, a policy of sterilised intervention could serve to restrain domestic demand and simultaneously reduce the tendency for the exchange rate to appreciate, empirical evidence suggests that such a programme would have only limited success because the resulting higher interest rates would probably cause net portfolio inflows to rise. Indeed, a benign inflation outlook permitted the bank to cut already low policy rates in February 2001 in an effort to counter upward pressure on the currency.

… and could threaten stability in 2003 and 2004, suggesting the urgent need to permanently reduce public spending

The inability of monetary policy to effectively restrain domestic demand in the face of strong capital inflows makes the tightening of fiscal policy all the more urgent. Official measures of the general government deficit have risen from 2 per cent in 1997 to an estimated 9.4 per cent in 2001. Much of this increase represents expenditures on transformation institutions such as *Konsolidacni banka*. Even corrected for these, the deficit is estimated at 6.7 per cent and its structural component is almost 5 per cent of GDP. Indeed, public-sector expenditures have risen by 6.8 per cent of GDP since 1997, while revenues (net of expected UMTS license receipts) are up only 1½ percentage points. While

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expected privatisation receipts should finance much of this shortfall in 2001-02, if such revenues are lower than expected the twin deficits could threaten stability. Moreover, these kinds of imbalances are not compatible with sustained high growth and the authorities will have to deal with them when privatisation revenues dry up in 2003-04. In this regard, the proposed "Strategy for enhancing economic growth in the Czech Republic", the so-called "Big-Bang" programme, needs to be carefully constructed to ensure that it does not add to overall government spending. While the principal goal of this new programme (a reprioritisation of government spending to help revitalise domestic industry) is laudable, the risk of exacerbating an already sensitive macroeconomic situation is real. Instead, substantial and permanent cuts (as a per cent of GDP) to government spending are called for, with lower levels of public-sector employment, additional reductions in state-subsidised early-retirement programmes and cuts in subsidies to firms among the areas where savings might be usefully made. Finally, the large number of already-approved proposals to increase spending over the medium term need to be carefully evaluated. Where increases are deemed essential, every effort should be made to finance them from savings elsewhere in the budget.

A multi-year budgetary framework should be introduced to help the authorities better control expenditures and…

The overriding need to take measures to reduce government expenditures makes this year's special chapter on public expenditure management especially opportune. In particular, the authorities should build on recent steps that extend the planning horizon by introducing a real multi-year medium-term budgetary system. By explicitly projecting future costs and revenues of existing and proposed programmes such a system would make much clearer the medium-term budgetary consequences of policy decisions. Using these detailed projections as the starting point for the following year's budget would attenuate existing incentives to understate the first-year costs of programmes. Furthermore, competing ministerial bids for additional spending would be subject to more transparent oversight and comparison – with an overall improvement in allocative efficiency. This would not only help prevent the kind of upward creep in mandatory expenditures that has characterised the

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last couple of years but, by requiring periodic long-term projections, such a system would provide advanced warning of future budgetary tensions. Finally, in the context of a fiscal contraction, firmer and detailed estimates of future costs would facilitate the process of selecting programmes from which fiscal savings can be gleaned.

… consideration should be given to expanding the scope of the budget process to cover more of general government activity…

Increasingly the capacity of the government to manage public expenditures is being circumscribed by the shrinking proportion of total spending that is covered by the State Budget. Indeed, taken together, the recent public administration reform and plans to create a new extra-budgetary fund for social policy would reduce the share of the State Budget in government spending from 66 to 40 per cent. In this regard, there is scope for improving co-ordination mechanisms between regional, municipal and central levels of government. Indeed, given the rising importance of subnational governments in public expenditure, every effort should be made to integrate them into the budget process. This could be done by introducing mechanisms by which regional and municipal budgets are agreed in consultation with the central government. Such systems exist in a number of OECD countries – both unitary and federal. Implementation in the Czech Republic appears technically feasible and would facilitate macroeconomic management. However, it would require substantial political support and inter-ministerial co-operation. Finally, the authorities need to urgently define the spending and revenue powers of the new regions and introduce more flexible rules and incentives to promote greater voluntary amalgamation of small municipalities or co-operation in the delivery of services to their populations.

… including that of extra-budgetary funds

In addition and as suggested in previous *Surveys*, the authorities should reintegrate into the State Budget the various extra-budgetary funds. The new multi-year budget process would provide their programmes with the increased financial predictability that their extra-budgetary status is supposed to provide, while provisions could be made for rolling over unspent funds where desired. Similar treatment could be extended to the pension system, which currently accounts for 24 per cent of government expenditures. Instead, the

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authorities propose to create a Social Insurance Fund as a strategic first step in pension reform. They feel this would have the added advantage of clarifying the relationship between individuals' contributions and their pensions and make the system appear more insurance like. In contrast to such funds in other countries, the proposed one is not designed to accumulate temporary surpluses in order to pay off future deficits. Nor will it highlight the existing imbalances between the pension system's revenues and its present and future liabilities. Rather, the proposal would hide them, at least temporarily, by using privatisation revenues to finance its deficit. Instead of creating a new fund and further reducing the government's capacity to manage its budget, the authorities should seek to reform the pension system within the context of a new medium-term State Budget process. Such a solution would have the additional advantage of allowing efficiency gains to be made by combining the collection function of the social-security system with that of the treasury as was done recently in Hungary.

Meanwhile, recent progress in identifying sources of hidden debt and efforts to prevent their further build up should be reinforced…

Widening the scope of the State Budget to include more of general government activity would help improve the transparency of public accounts and, like recent measures to raise the profile of this notion, would make the stance of fiscal policy easier to discern. To aid in this process, efforts to speed up the timely reporting of the accounts on an ESA95 basis should be given priority. Fiscal discipline will also be enhanced by recent measures to require parliamentary approval for new guarantees and to include information about them and other contingent liabilities in budgetary documents. Moreover, the creation and enforcement of a set of general guidelines that specify the criteria and conditions for provision of government guarantees would reduce the ability of the government to bypass budgetary restrictions through the issue of loans that are never to be repaid. In this regard, the government should enhance its capacity to regularly monitor and perform detailed *ex-post* evaluations of guarantees to ensure that entities that benefit from them are not systematically defaulting. Similarly, reports on other contingent liabilities should include risk estimates and an inventory of outstanding open-ended guarantees.

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… and policies made more effective by emphasising regular review of their outputs

Over time, a multi-year budgetary system could evolve into a fully-fledged, output-oriented, medium-term expenditure framework. Recent innovations, such as the Programme Financing Initiative, are steps towards recognising the importance of measuring outputs but more needs to be done to subject programmes to regular review. Additional intermediate measures that could be undertaken quickly include making use of "sunset clauses" that cancel programmes which fail to achieve pre-specified results or whose tasks have a fixed term and systematically designing policies so that their impacts can be accurately measured. Indeed, such steps are under consideration at the Ministry of Labour and Social Affairs and the new Consolidation Agency will be governed by a sunset clause. As they become available, results of such evaluations should be included among budgetary indicators, allowing policy makers to choose between competing programmes on the basis of both their costs and their benefits (outputs). Moreover, the existence of such indicators – coupled with the delegation of accountability and decision making to senior managers of civil-service programmes – should increase incentives within the bureaucracy to improve programmes, as opposed to simply preserving them.

In this regard, social policy is relatively well focused but tax expenditures and public pensions are in need of reform

Globally, social transfers succeed in redistributing money towards the most needy households, although there appears to be an opportunity for savings by reducing parental and childcare benefits of more affluent families – either through stricter income testing or the personal income tax system. Tax expenditures, on the other hand, appear less well targeted on the poor. Preliminary estimates suggest that at 3.3 per cent of GDP, the revenues forgone in the personal income tax system approach the amount spent on direct transfers. Some savings could be generated with positive redistributional consequences if personal allowances (deductions) were replaced by tax credits. Over the medium term, additional expenditure reductions may be achieved by a reform of the compulsory pension system, which currently consumes 9 per cent of GDP and whose deficit is projected to grow close to 6 per cent of GDP by 2030. Proposals to transform it by making benefits depend upon lifetime contributions would increase incentives to keep working

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past the minimum retirement age. But these minima, which are low by OECD standards, should be raised nonetheless. Prior to taking such steps it will be necessary to raise the administrative capacity of the existing system so as to be able to track individual contributions. Resources for this could be freed up by transferring the responsibility for collecting social-security contributions (and perhaps health premia) to the tax administration. Finally, a less generous benefit indexation system and an expansion of private-pension systems could bring substantial savings.

Meanwhile, enhancing medium-term growth prospects requires strengthening the legal environment for doing business,...

The resurgence of FDI inflows reflects investors' recognition of the long-term improvements in productivity and the business climate to be expected from legal and regulatory reforms that have been undertaken and those currently underway. Thus, future flows will depend importantly on the maintenance of efforts to improve the legal environment for business. Indeed, if recent measures, such as the tightening of disclosure requirements and closer supervision of compliance are to lead to a revitalisation of Czech capital markets, market participants will need to be able to effectively use the court system to enforce their rights. Even though rules on capital markets are now much closer to western standards and most unscrupulous brokers and thinly traded firms have exited from the market, investors remain wary because of problems in enforcing the law. Here progress in judicial reform is essential and the capacity of the Securities Commission to intervene in instances of suspected wrongdoing needs to be enhanced so that preventive action can be taken more swiftly with fewer bureaucratic hurdles.

... both by speeding judicial processes and reforming bankruptcy law

The authorities have made substantial strides in redressing some of the most important deficiencies in the legal framework. Priority now needs to be given to improving the speed and reliability of both judgements and their execution under the civil procedure code. Although cases are resolved more quickly than in the past, they still take too long and judgements, when finally made, are often difficult to execute, which has slowed the pace of restructuring and stalled privatisation efforts. In particular, while it is necessary to protect minority shareholder rights, further steps need to be taken to prevent restructuring deals from being

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delayed by gratuitous legal challenges. As concerns plans to create a new bankruptcy law, if it is to serve as a mechanism through which idle resources are rapidly returned to productive activity, it must be created quickly and include as permitted solutions: liquidation of the firm, its restoration under new owners and its restructuring by current owners. Moreover, it should recognise the community of interests between creditors and society by allowing them to run the process, under court supervision and with a minimum of interference.

Although the banking sector is healthier,…

Credit conditions continue to be dominated by banks' efforts to clean up their balance sheets following or, in the case of *Komercni banka*, in preparation for privatisation. While, the share of bad loans (classified as sub-standard, doubtful or loss) in total lending remains a high 20 per cent, the quality of new credits is rising and the volume of outstanding loans is declining in real terms. These developments have tightened the budget constraint facing firms and played an important causal role in their restructuring. Moreover, they are strengthening the Czech financial sector and, not withstanding the factors that led to the forced administration and sale of *Investicni a postovni banka* (IPB) and associated businesses in June 2000, it is now much healthier than it has been for many years.

… the supervisory regime needs strengthening…

Despite these very positive developments, the difficulties experienced by the banking-sector supervisor, the Czech National Bank (CNB), in dealing with problems at IPB highlight the need to streamline the overall supervisory framework. Even though the CNB became aware of problems in June 1999, various legal and regulatory impediments prevented it from resolving them in a speedy and non-disruptive manner and, as a result, the whole affair may end up costing the state some 5 per cent of GDP. Although many factors were involved, it is clear that regulations that allow a bank to delay implementation of the supervisor's recommendations through time consuming legal challenges need to be amended. Moreover, efforts to find a non-disruptive solution to the affair were repeatedly stymied by the kind of legal tactics described above. As a result, judicial reform constitutes a key element in strengthening banking-sector

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regulation as well. While such improvements to the overall regulatory framework may not have prevented the eventual forced administration and sale of IPB, they would certainly have allowed the authorities to determine the full extent of problems and decide on a course of action more quickly – thereby reducing opportunities for asset stripping.

… and firm-level restructuring will be slow unless the massive stock of bad loans is dealt with

While banks have been relieved of most of the burden represented by their non-performing loans, debtor firms have not and, as a result, these companies remain a serious drag on the economy's performance. Over the past two years, *Konsolidacni banka* (KoB) working through its subsidiary *Revitalizacni Agentura* (RA), has taken some significant steps in this regard. In particular, notwithstanding legal challenges to restructuring deals and deficiencies in the bankruptcy law, it showed that a creditor-led restructuring of weak corporate giants could succeed in replacing ineffectual management and allowing non-viable business activities to be shut down. For the moment, the authorities have suspended plans to continue such operations using a larger pool of outside agencies as well as KoB itself while they deal with the new crop of bad loans to be transferred in the wake of the IPB sale. Similarly, while it recognises that the vast majority of heavily indebted firms are too small for a state-run RA-type solution, the KoB has put on hold plans to pool these loans and sell them to private-sector investors. It indicates that it wishes to first evaluate the economic and social consequences arising from the disposal of such assets by their private-sector purchasers following a recent experimental bulk sale of bad loans. Such delays risk stalling restructuring and the KoB should move quickly to restart the process by taking advantage of outside expertise when restructuring larger firms and proceeding with the rapid wholesaling of smaller debts. In contrast to the state, private-sector creditors can be expected to pursue claims actively, allowing viable firms to restructure and pay off their debt (at a discount), while liquidating non-viable ones and freeing their resources for use elsewhere in the economy. As concerns the KoB itself, the government intends transforming it from a bank into a state-owned company, the *Ceska Konsolidacni Agentura* (CKA), thereby bypassing restrictions that prevent banks from taking ownership positions in non-financial firms. This could be a positive

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development if the new agency is allowed to restructure and seek private owners for the firms under its charge.

To take full advantage of new regulatory frameworks, a privatisation model for network industries that maximises competition should be followed

The National Property Fund (FNM) has made rapid progress in reducing its residual holdings of non-strategic firms and preparations for additional privatisations are already advanced, especially in the area of so-called natural monopolies. In particular, legislation creating independent regulators and specifying a schedule for increasing competition in the telecommunication and energy sectors entered into force in 2000 and 2001. Unfortunately, the government is pursuing a privatisation strategy in both the electricity and natural-gas sectors that would create relatively integrated dominant firms, with substantial market power. The authorities indicate that this model was chosen in order to increase competitiveness, ensure stability, yield "optimal" prices for consumers and maximise privatisation revenues. While the strategy being pursued may maximise privatisation revenues, it is unlikely to meet its other objectives. The current approach appears short-sighted because it is likely to result in higher prices for Czech consumers and reduced competitiveness for Czech firms. Furthermore, creating a vertically-integrated domestic firm will necessarily increase the burden on the regulator. Indeed, the argument that a sale that vests substantial market power in a single owner will generate higher revenue for the government can only be compelling if the firm is able to earn above "normal" profits, implying that the regulator fails to impose prices and efficiency improvements that would emulate a competitive market. The decision is all the more unfortunate because it fails to take advantage of the substantial efforts already expended to create a legal framework capable of supporting a more competitive market structure.

Continued high unemployment and its concentration among vulnerable groups makes labour-market reform a priority

Although falling, at 8.2 per cent of the labour force, unemployment remains too high in the Czech Republic and improving job prospects should be a priority. Indeed, money currently spent to reduce labour supply through subsidised early-retirement schemes, easy access to invalidity pension programmes and a proposed extension of unemployment-insurance benefits for older workers would be more productively used to increase the employability of the

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jobless. Efforts should concentrate on enforcing and monitoring job search, which is critical to preventing the development of a dependency culture – especially in high-unemployment regions. In contrast, the expansion of public-employment schemes should be avoided as these are both costly and have no significant long-run impact. Here, previous recommendations to improve the relationship between public-employment-service (PES) staff levels and local unemployment remain valid. In addition, to combat the tendency for unemployment to be increasingly concentrated among the low-skilled – especially those with large families – the authorities should adjust social benefits so that they are more consistent with wage levels. Reductions in benefits could be compensated, if deemed necessary, by in-work benefits to help the working poor. Finally, while many of the objectives of the government's white paper on education are worthy, plans to raise spending in this sector by more than 1 per cent of GDP should not be implemented until concrete programmes for improving outcomes are worked out. Moreover, in the current context, where enrolment at primary schools is falling, the authorities should take care to exploit all opportunities for reallocating resources from where they are no longer needed. Indeed, these proposals could be usefully subjected to the kind of budgetary process recommended above.

To sum up

In sum, substantial progress in strengthening the regulatory environment has contributed to laying the foundations for future growth, although further progress is required. Indeed, the moderate pace of the projected recovery reflects both ongoing and healthy restructuring in the economy and the continued need for reform. While monetary policy has been successful in shaping expectations and keeping inflation at relatively low levels, fiscal policy is excessively relaxed and an emerging twin deficit problem could threaten economic stability in the medium term. A tighter fiscal stance, to be achieved through permanent expenditure cuts, is, therefore, imperative if the overall policy mix is to be both sustainable and balanced. In order to increase the effectiveness of public expenditure, the government should consider adopting a medium-term budgetary process that would require alternative expenditure programmes to compete more transparently

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for resources. Coupled with efforts to reintegrate extra-budgetary funds into the state budget, such a system would enhance the government's ability to manage the macro economy and help prevent the build-up of additional hidden debts. Furthermore, much more emphasis needs to be placed on measuring and evaluating the outputs associated with various programmes. In order to consolidate the considerable progress already made in regulatory reform (see OECD, 2001*b*), the government needs to give top priority to further speeding up judicial processes. Slow court decisions and their poor execution are enduring and complex problems that prevent reforms in capital markets, the banking sector and product markets from having their full impact on productivity. The establishment of independent regulators in the energy and telecom sectors is an important positive step but current privatisation plans threaten to create dominant firms in the energy sector, which will reduce potential benefits to Czech citizens. Finally, unemployment remains too high and the authorities should reallocate scarce resources from schemes that reduce labour supply to programmes that reduce work disincentives and increase the employability of the jobless. Progress on all these scores is essential to further improving overall productivity performance and helping ensure a rapid and sustainable growth in living standards.

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I. Recent economic events

The tentative economic recovery that began in 1999 became well established in 2000 and the first five months of 2001, driven initially by strong export growth and then, as the year progressed, by rising domestic demand. Measured productivity growth improved substantially, partly because of cyclical factors but also reflecting strong investment growth, high levels of foreign direct investment and a sharp fall in employment among older workers, reacting to substantial early-retirement incentives. The simultaneous withdrawal of these workers from the labour force meant that the unemployment rate fell over the period. Meanwhile, inflation picked up but mainly due to external factors in 2000 and more recently higher food and wage costs. Rising oil prices, plus the strengthening of domestic demand and imports as the year progressed, caused the current account deficit to more than double, reaching 5.6 per cent of GDP in the first quarter of 2001.

Moderate recovery after a prolonged recession

Following a protracted recession, output began to recover in the third quarter of 1999 (Table 1), growing 2.9 per cent in 2000 and 3.8 per cent in the first quarter of 2001. Nevertheless, it remains somewhat below its pre-recession 1996 level. Initially, the recovery was narrowly based in the external sector but progressively consumer expenditure, investment and imports began picking up so that by the end of 2000, total domestic demand had expanded 3.9 per cent (Figure 1), despite declining government consumption. An apparent increase in the statistical discrepancy in the third and fourth quarters of 2000 is reflected in a slowdown in recorded consumption and investment growth. Inventories in firms with more than 100 employees did increase by CZK 21.1 billion or 1.1 per cent of GDP, much less than the 2.1 per cent increase recorded in the national accounts. The pickup in investment reflects, among other things, extremely high levels of foreign direct investment of almost €5 billion in 2000 and the share of manufacturing in that total rose considerably. The bulk of the new investments were in the non-financial sector, particularly among large and medium-sized foreign-controlled firms in the goods-producing sector of the economy. According to Czech Invest about two-thirds

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Table 1. **Quarterly gross domestic product**

	1998					1999					2000					2001
	Q1	Q2	Q3	Q4	Year	Q1	Q2	Q3	Q4	Year	Q1	Q2	Q3	Q4	Year	Q1
	Year-over-year percentage change at 1995 prices															
GDP[1]	–0.1	–1.9	–0.6	–2.1	–1.2	–2.0	–1.1	0.4	1.1	–0.4	3.2	2.4	2.4	3.8	2.9	3.8
Household consumption expenditure	–1.0	–6.2	0.1	–0.7	–2.0	2.2	2.1	1.6	1.6	1.9	1.8	1.8	2.7	1.5	1.9	3.9
Government consumption	–11.3	–3.0	–0.2	3.6	–2.4	1.1	–0.6	0.4	–0.9	–0.1	–3.1	–0.4	–0.1	–1.8	–1.3	–0.7
Gross fixed capital formation	8.7	5.3	3.1	–11.1	0.1	–2.1	–1.1	–0.1	0.5	–0.6	2.7	4.1	5.3	4.4	4.2	7.3
Change in inventories[2]	–5.0	–1.2	–1.5	4.1	–0.8	–0.3	–1.9	–3.7	0.6	–1.4	0.2	1.1	2.9	3.6	2.0	2.6
Exports	23.1	10.3	5.7	0.1	9.1	–3.8	6.6	8.2	13.9	6.3	22.1	14.3	16.0	22.9	18.7	19.8
Goods	27.9	14.0	7.4	0.3	11.6	–4.0	9.4	10.1	18.1	8.4	26.2	16.0	15.9	22.3	19.9	24.1
Services	6.7	–1.3	0.5	–0.3	1.1	–2.9	–3.6	2.1	–1.2	–1.3	5.6	7.3	16.1	25.7	14.0	–1.0
Imports	11.9	6.9	5.2	2.8	6.5	–0.3	5.9	2.9	12.6	5.4	17.4	14.5	20.2	22.3	18.7	21.8
Goods	12.5	6.5	5.2	1.7	6.2	–2.2	5.0	3.0	13.8	5.1	19.9	17.3	22.6	22.9	20.7	25.9
Services	8.6	9.0	5.2	8.8	7.7	10.4	10.7	2.5	6.5	7.2	5.4	1.1	10.2	18.7	8.9	–1.1
Net exports[2]	5.1	1.6	–0.1	–1.9	1.1	–2.4	0.2	3.3	–0.5	0.2	1.8	–0.9	–3.6	–2.0	–1.3	–2.9

1. ESA 95.
2. Contribution to GDP growth calculated as the change in the variable as a percentage of the previous year's GDP.

Source: Czech Statistical Office.

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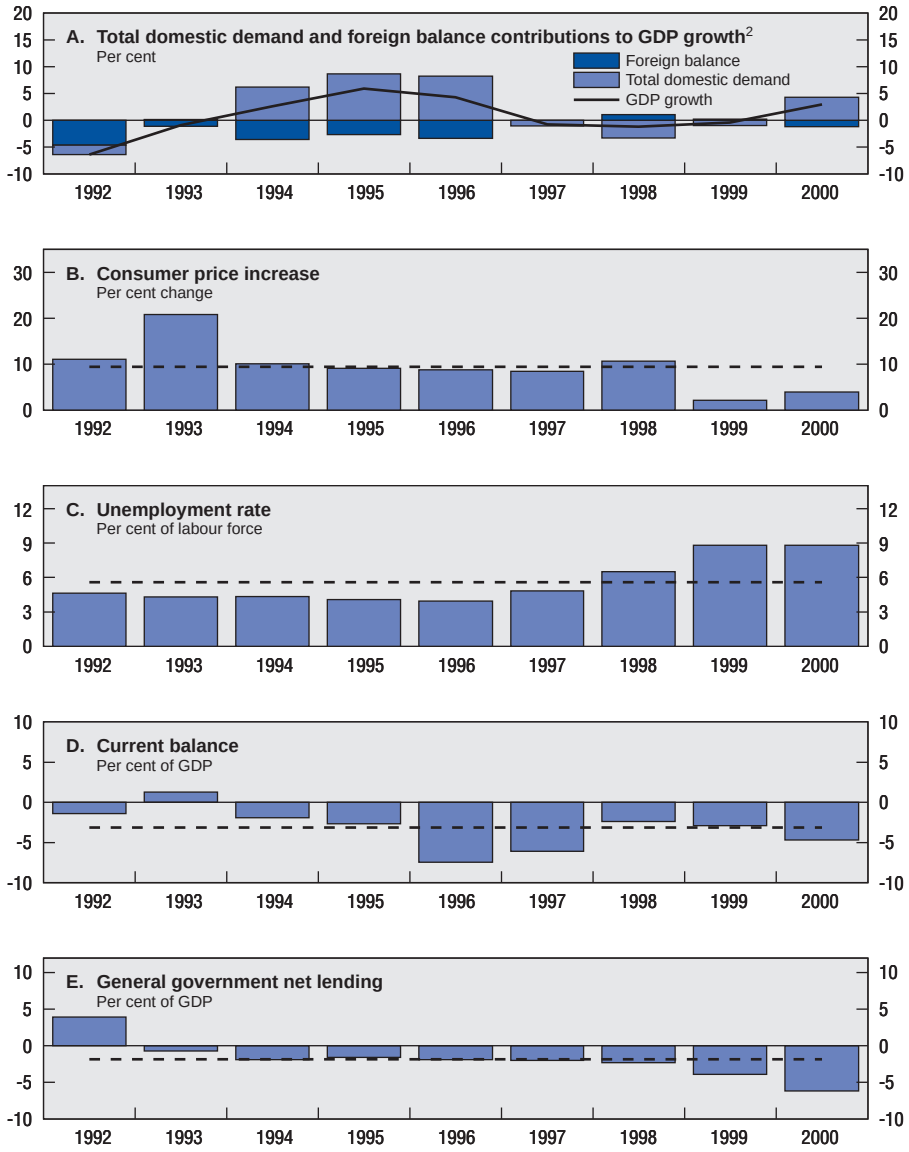
Figure 1. **Macroeconomic performance**[1]



1. The broken line is the average for 1992-2000.
2. Contribution to GDP growth calculated as the change in the variable as a percentage of the previous year's GDP.

Source: OECD.

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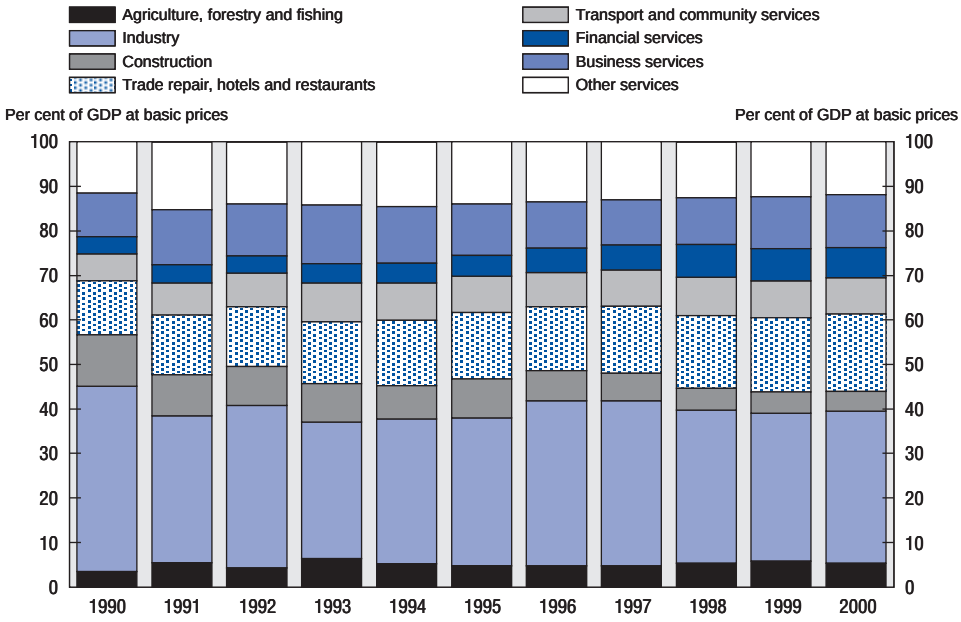
of industrial exports and 25 per cent of employment are now directly attributable to foreign-controlled firms.

Exports grew very rapidly in 2000 but slowed somewhat in the first quarter of 2001. The strong expansion was driven by increased capacity as the result of past investment and strong foreign demand, especially in Germany and Slovakia (the two most important destinations for Czech exports). However, accelerating imports induced by rising domestic demand gradually undermined the external sector's contribution to growth and net exports were negative in 2000, reducing GDP growth by 1.3 percentage points and by even more in the first quarter of 2001.

Economic performance varied widely across sectors as the economy continued to restructure. Output in agriculture, after expanding strongly in 1999 fell in 2000 and early 2001 mainly due to weather related events (Table 2). Value added in the construction sector fell by more than 5 per cent, continuing its trend decline (its output is almost 50 per cent lower than in 1995 and its share in valued added is down to 4.2 per cent from 11.5 per cent in 1990) (Figure 2). After contracting in 1998 and 1999 industry returned to

Figure 2. **Sectoral shares in value added**



Source: Czech Statistical Office.

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Table 2. **Value added by sector**

	1998					1999					2000					2001
	Q1	Q2	Q3	Q4	Year	Q1	Q2	Q3	Q4	Year	Q1	Q2	Q3	Q4	Year	Q1
	Year-over-year percentage change at 1995 prices															
Value added at basic prices[1]	−0.2	−2.0	−1.1	−2.3	−1.4	−2.8	−1.4	0.4	0.9	−0.7	3.2	2.4	2.4	3.7	2.9	4.0
Agriculture, fishing and forestry	19.8	18.8	10.7	3.2	12.2	−7.1	9.0	15.9	7.2	7.7	−0.3	−2.9	−10.0	−3.3	−5.3	−7.2
Industry	−5.0	−8.1	−10.8	−9.0	−8.3	−4.3	−1.8	−7.4	−1.6	−3.8	4.9	4.4	6.1	7.5	5.7	9.6
Construction	−5.6	−19.1	−18.0	−36.9	−21.9	−15.3	−7.5	−0.4	7.3	−3.5	−11.7	−11.9	−2.3	3.0	−5.1	−1.4
Services (including FISIM[2])	2.4	3.0	6.8	7.8	5.0	1.0	−0.1	3.7	1.7	1.6	3.3	2.5	2.1	1.7	2.4	0.6
Trade, repairs, hotels and restaurants	11.5	4.5	9.8	6.1	7.8	2.8	−2.3	5.7	−0.3	1.4	4.9	8.4	7.6	6.6	7.0	1.7
Transport and communications	3.1	2.4	2.7	11.1	4.7	−3.0	−1.8	−1.5	−7.2	−3.4	2.0	0.8	2.6	−0.6	1.2	−2.4
Financial services (including FISIM[2])	17.0	15.8	38.7	46.1	27.9	−4.5	−1.9	−2.3	4.2	−1.2	9.8	−7.8	−6.7	−14.1	−4.7	−9.0
Business services	−3.8	4.1	2.8	6.7	2.5	9.9	6.0	15.3	11.5	10.6	1.1	4.4	1.8	8.5	4.0	7.6
Other services	−9.9	−5.1	−3.6	−5.1	−5.9	−2.6	−0.4	−1.2	0.4	−0.9	0.1	−0.5	−0.7	−0.9	−0.5	1.0

1. ESA95.
2. Financial intermediation services indirectly measured.

Source: Czech Statistical Office.

strong growth in 2000 and the first quarter of 2001 and is once again increasing its share in output. Over the longer-term, the share of the service sector in value added has increased by 10 percentage points with growth in transportation, communications and financial services displacing "other services". In 2000, the tourism-sensitive sector of trade, hotels and restaurants grew most quickly followed by business services. The contraction in financial services reflected the difficulties and eventual forced administration and sale of the country's third largest commercial bank (*Investicni a postovni banka*) and ongoing restructuring efforts within the sector (see Chapter IV for details).

A shrinking labour force

The seasonally-adjusted standardised unemployment rate fell throughout 2000, reaching 8.6 per cent in the fourth quarter (Figure 3) but for the year as a whole was virtually unchanged from 1999. This reflected a 0.7 per cent reduction in employment and an equivalent decline in the labour force as 57 000 individuals (more than 1 per cent of the labour force) entered the government's various early-retirement schemes. In the first quarter of 2001 these trends reversed themselves somewhat as employment grew by 0.7 per cent and the labour force declined by 0.4 per cent (year-over-year) leaving the unemployment rate at 8.2 per cent, down 1 percentage point from the year before. Indeed net job losses among those aged 60-64 accounted for more than 50 per cent of the decline in total employment and, among workers aged 20-59, employment increased by an average of 0.6 per cent. Despite these recent improvements, unemployment looks increasingly structural in nature. More than half of the job searchers have been looking for work for more than a year, while those without a general certificate of education represent more than 70 per cent of all the unemployed.

Unemployment is also concentrated in geographic terms, with regional unemployment rates[1] varying from a low of 4.2 per cent in Prague to a high of 14 per cent in the region around Ostrava (Figure 4). While the unemployment rate fell in most areas during the course of 2000, it rose in the mining-dependent region of Ostrava and the declining-industry territories surrounding Olomouc and was stable in the northern-central regions of Prague and Hradec Kralove. These geographic patterns in part reflect changes in sectoral employment patterns (employment was down a full 4.5 per cent around Olomouc). Job opportunities fell most sharply in the mining, retail sales and agricultural sectors (down 9.9, 3.5 and 2.7 per cent respectively between the fourth quarter of 1999 and 2000), but were broadly stable in the goods-producing sectors and expanded moderately in most service sectors (Table 3).

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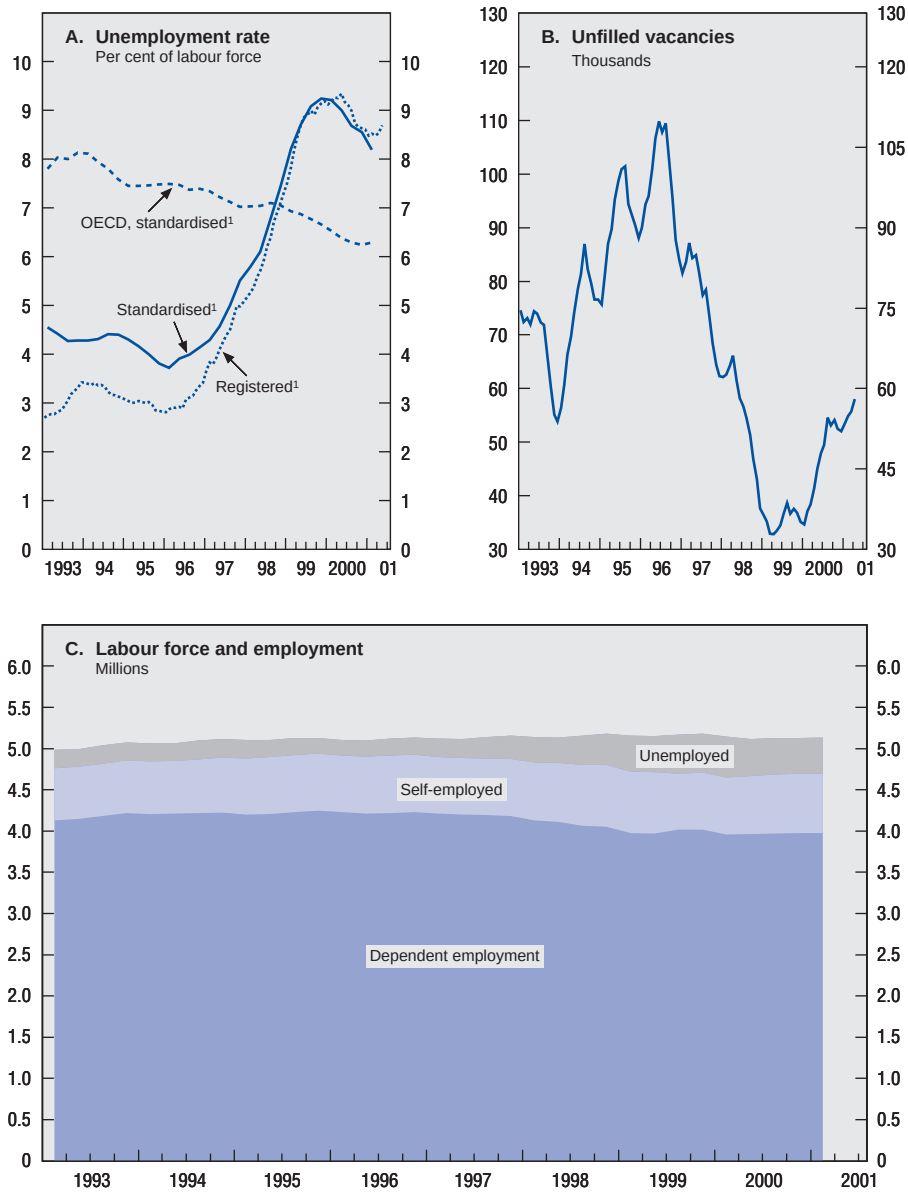
Figure 3. **Employment, unemployment and the labour force**



1. Seasonally adjusted by the OECD.
Source: OECD.

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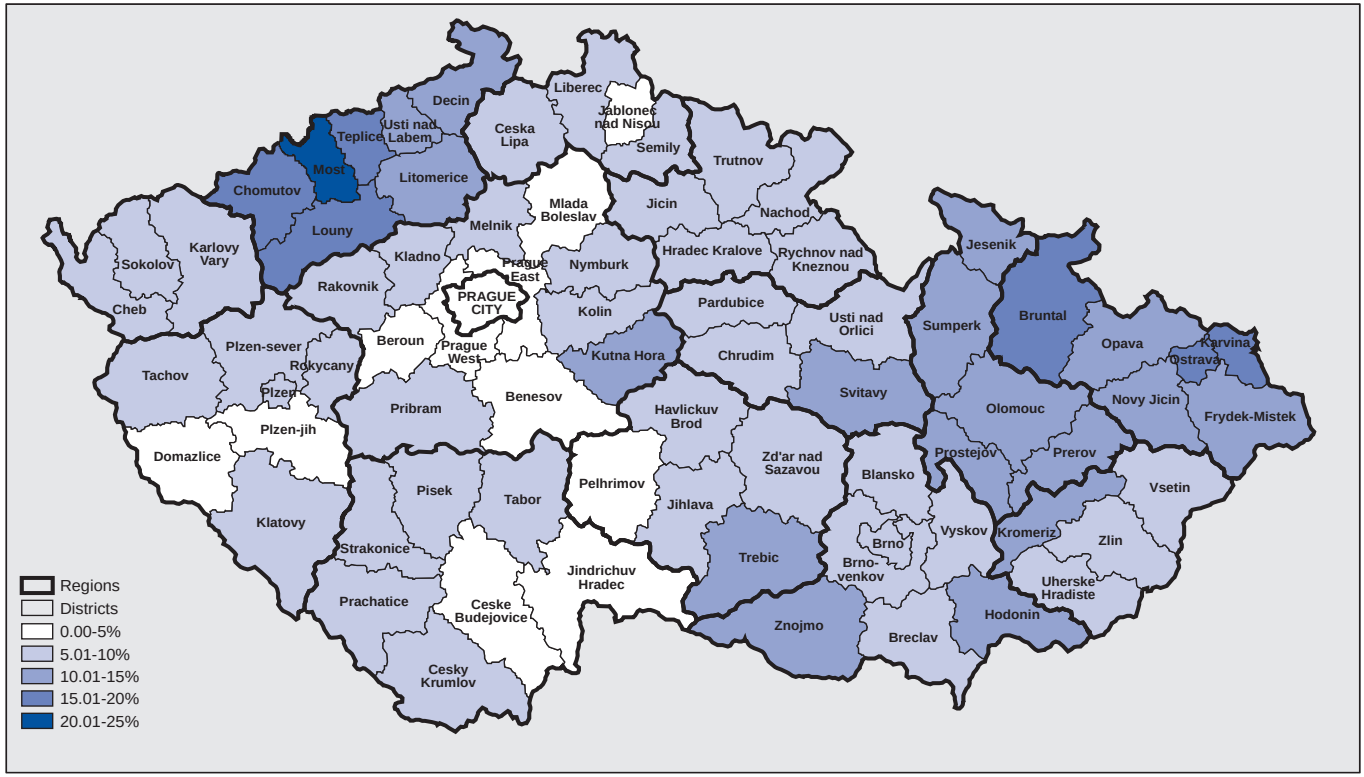
Figure 4. **Regional labour market performance**

Registered unemployment rate by district, 31 December 2000



Source: Czech Statistical Office.

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Table 3. **Employment by sector**

	1993	1994	1995	1996	1997	1998	1999	2000
	Year-over-year percentage change							
Total		1.1	0.7	0.2	–0.7	–1.4	–2.1	–0.7
Agriculture, forestry and fishing		–9.9	–3.6	–6.3	–6.9	–6.1	–7.4	–2.7
Mining and quarrying		–21.0	–2.0	–7.4	–1.4	–3.5	–0.9	–8.8
Manufacturing		–1.1	–0.5	–1.0	–2.7	–2.1	–2.5	–2.0
Electricity, gas and water supply		–0.7	3.9	–1.8	–8.2	1.5	–10.3	–7.4
Construction		6.6	0.8	2.6	2.9	–1.8	–6.1	–0.9
Services		4.3	2.0	1.6	0.7	–0.5	–0.1	0.7
	Per cent of total employment							
Total	100	100	100	100	100	100	100	100
Agriculture, forestry and fishing	7.7	6.9	6.6	6.1	5.8	5.5	5.2	5.1
Mining and quarrying	2.6	2.0	2.0	1.8	1.8	1.8	1.6	1.5
Manufacturing	29.6	29.0	28.6	28.3	27.7	27.6	27.5	27.1
Electricity, gas and water supply	2.0	2.0	2.1	2.0	1.9	1.9	1.8	1.6
Construction	8.7	9.2	9.2	9.4	9.7	9.7	9.3	9.3
Services	49.4	50.9	51.6	52.3	53.1	53.6	54.7	55.4

Source: Czech Statistical Office.

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Inflation continues to be influenced by one-off factors

With GDP accelerating, employment rising strongly among prime-age workers and unemployment holding steady, inflation increased by 1.8 percentage points in 2000. For the year as whole prices rose 3.9 per cent, with the monthly year-over-year measure rising steadily and peaking at 4.4 per cent in October before falling to 4 per cent in December. Since then it has begun picking up once again, reaching 5 per cent in May 2001 (Figure 5). As discussed in the previous *Economic Survey*, the rise in headline inflation during 2000 was not unexpected because falling food prices and low energy prices in 1999 had played an important role in the sharp decline in inflation observed that year (Figure 4, Panel B). Indeed, the reversal of these factors explains more than the rise in 2000 and both the rate of increase of goods prices net of food and those of services were relatively stable during both years. The 1.6 per cent effective appreciation of the koruna during 2000 contributed to the positive inflation results and this is reflected in the relatively benign impact of tradables on overall inflation – notwithstanding rising energy prices (Panel C, Figure 5). The pickup of inflation in 2001 is somewhat more worrisome, although it principally reflects increases in regulated prices (of which 36 per cent are energy related) and traded foodstuffs.

The rapid rise in real wages in 1999 was strongly influenced by the sharp (and unexpected) slowdown in inflation that year. This helped to temper wage demands in 2000 even though inflation was widely expected to pick up. As a result, average nominal wage increases slowed from 8.2 per cent in 1999 to 6.6 per cent in 2000, despite higher inflation and a stronger economy. In real terms, the

Table 4. **Wage and productivity developments**

	1994	1995	1996	1997	1998	1999	2000
	Year-over-year percentage change						
Overall nominal wage[1]	18.5	18.5	18.4	10.5	9.4	8.2	6.6
Business sector[1]	18.2	19.2	17.7	11.7	11.0	7.1	7.8
Non-business sector[1]	19.8	17.0	20.7	5.8	3.9	13.1	2.8
Overall real wage[1]	7.7	8.7	8.8	1.9	–1.2	6.0	2.6
Business sector[1]	7.4	9.2	8.2	2.9	0.3	4.9	3.8
Non-business sector[1]	8.9	7.3	10.9	–2.5	–6.1	10.8	–1.1
Overall labour productivity[2]	1.5	5.0	4.2	–0.2	0.2	1.9	3.7
Overall unit labour costs[3]	–	10.1	12.9	11.7	7.5	5.5	2.1

1. Data concern all registered employees and exclude payroll taxes.
2. Output per worker on an economy-wide, national accounts basis.
3. National accounts basis.

Source: Czech National Bank, Czech Statistical Office and OECD.

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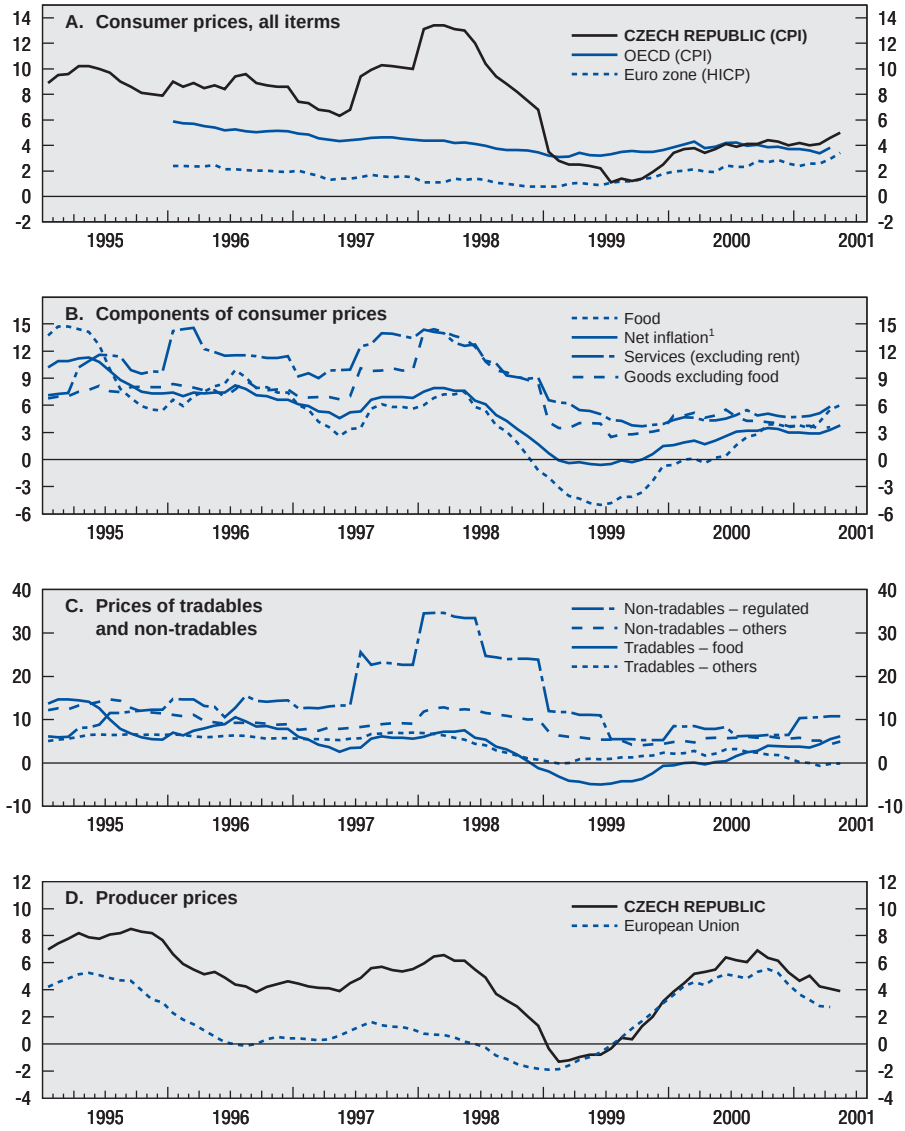
Figure 5. **Price developments**
Year-on-year percentage change



1. Net inflation refers to consumer prices adjusted for the direct impact of changes in indirect taxes and administered prices; it comprises food prices and adjusted inflation.

Source: Czech National Bank; Czech Statistical Office; OECD.

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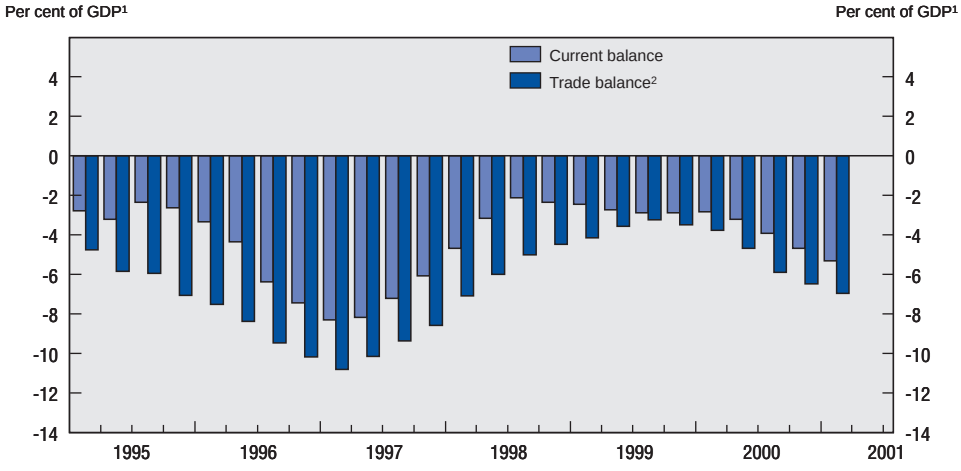
slowdown was even sharper dropping from an unsustainable 6 to 2.6 per cent. This combined with a strong increase in labour productivity (up from 1.9 to 3.7 per cent growth) saw a considerable slowdown in growth of unit labour costs in 2000. Wages in the business sector grew more quickly but, even here, productivity developments outpaced real wages resulting in improved competitiveness, particularly in the manufacturing sector. In the first quarter of 2001, real wage growth accelerated to 5 per cent, possibly signalling a reversal of the benign trend in the economy-wide unit labour costs.

Worsening external balance

Notwithstanding strong European demand for Czech goods and services and improving competitiveness, the combination of rising oil prices, a strengthening currency and growing domestic demand caused both the trade and current-account deficits to deteriorate sharply in 2000 (Figure 6). The merchandise trade deficit doubled from € 1.8 billion to € 3.6 billion (or 6.6 per cent of GDP), with about two-thirds of the deterioration due to a worsening in the balance of energy products. The current-account deficit deteriorated somewhat less, reaching € 2.6 billion dollars or 4.7 per cent of GDP. Data for the first quarter of 2001 indicate a further deterioration with the current account deficit in the first three

Figure 6. **Trade and current account balance**



1. Four quarter moving averages.
2. 1995-1998 according to methodology for customs statistics in effect from 1.1.1996.
   1999-2001 according to revised methodology for customs statistics in effect from 1.7.2000.

Source: Czech National Bank; Czech Statistical Office.

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months of 2001 reaching 5.6 per cent of GDP, more than twice as large as during the same period of 2000.

Foreign direct investment inflows continued to be substantial in 2000 and at €4.9 billion (down from €5.9 billion in 1999) were substantially more than necessary to finance the current account deficit (see Table 5). Of these inflows, some €1.7 billion were induced by generous incentives and a further €0.6 billion were privatisation related but the bulk came in the form of autonomous greenfield or brownfield investments. FDI inflows for the first quarter of 2001 remain robust and, at €1 billion, exceeded the current account deficit. These have been and will continue to be attracted to the Czech Republic by its well-educated population, relatively low labour costs and the prospect of accession to the European Union, which absorbs about 70 per cent of Czech exports (see Figure 7).

In contrast to the strong inflows of direct investment, portfolio flows have been strongly negative since 1999, with outflows of debt securities dominating those of equities in 2000. These outflows reflect several phenomena: low domestic interest rates, Czech citizens looking for safer returns outside of the country, restructuring Czech banks who are unwilling to lend domestically, placing their money abroad, and equity investors exiting the poorly performing Prague stock exchange (Figure 8). In the first quarter of 2001 lower US interest rates saw net portfolio inflows turn positive.

The short-term outlook

Looking forward, economic developments in 2001 will depend importantly on the causes behind the build-up of inventories reported in the quarterly national accounts at the end of 2000. These statistics, reviewed earlier, indicate that consumer, government and investment demand all slowed substantially in the fourth quarter of 2000, while inventories and imports rose rapidly. Taken at face value they suggest that domestic demand slowed substantially and that as a result – especially given the 2 per cent of GDP build-up in inventories – the rate of growth of GDP can be expected to decline substantially in 2001.

On the other hand, leading indicators of consumer and business sentiment do not appear to indicate a slowdown. Indeed, the overall strength of the economy and its surprising performance in 2000 have contributed to improving the sentiment of both producers and consumers. The current business situation is the most positive it has been since 1995 and, while the stock of finished goods rose towards the end of 2000, firms' order books appear to be healthy (Figure 9). Looking at business expectations, both sentiments towards demand and the overall business environment are steady and fewer firms report that they intend to reduce employment than at any time in the previous five years. Confidence in the external sector is also good, notwithstanding a deterioration in business expectations in Germany. Finally, consumer sentiment is rising, retail sales are firm (up

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Table 5. **Balance of payments**[1]

	1997	1998	1999	2000	2000 Q1	2000 Q2	2000 Q3	2000 Q4	2001 Q1
	Euros million								
A. Current account	**–2 876.3**	**–1 204.1**	**–1 477.0**	**–2 585.0**	**–339.7**	**–413.5**	**–589.0**	**–1 242.8**	**–776.3**
Trade balance[2]	–4 042.3	–2 288.4	–1 796.5	–3 576.7	–503.8	–699.4	–942.5	–1 431.0	–865.9
Exports	20 126.8	23 510.8	24 651.1	31 490.1	7 173.0	7 795.4	7 590.4	8 931.3	9 087.7
Imports	24 169.1	25 799.2	26 447.6	35 066.8	7 676.8	8 494.8	8 532.9	10 362.3	9 953.6
Services balance	1 545.2	1 599.7	1 038.6	1 519.4	224.5	316.5	339.0	639.4	229.0
Transport (net)	606.1	612.1	718.2	729.3	133.5	190.7	196.6	208.5	139.5
Travel (net)	1 118.9	1 653.3	1 465.8	1 748.6	335.4	394.1	586.6	432.5	347.7
Other services (net)	–179.8	–665.7	–1 145.4	–958.5	–244.4	–268.3	–444.2	–1.6	–258.2
Income balance	–700.7	–879.0	–1 197.6	–835.0	–140.4	–134.1	–75.6	–484.9	–201.3
Current transfers (net)	321.5	363.6	478.5	307.3	80.0	103.5	90.1	33.7	71.9
B. Capital account	**9.6**	**2.0**	**–1.9**	**–5.5**	**–1.5**	**–0.1**	**–2.0**	**–1.9**	**–1.2**
Credits	14.4	12.5	17.3	6.3	1.1	0.9	3.1	1.2	0.3
Debits	4.8	10.5	19.2	11.8	2.6	1.0	5.1	3.1	1.5
Total, Groups A plus B	–2 866.7	–1 202.1	–1 478.9	–2 590.5	–341.2	–413.6	–591.0	–1 244.7	–767.5
C. Financial account	**1 002.7**	**2 593.7**	**2 914.7**	**3 667.7**	**993.3**	**441.8**	**222.0**	**2 010.6**	**851.8**
Direct investment	1 118.2	3 192.5	5 878.9	4 857.1	1 038.7	1 230.1	1 112.7	1 475.6	990.0
Abroad[3]	–23.7	–112.7	–84.1	–128.2	–27.3	–35.4	–20.8	–44.7	6.3
In the Czech Republic	1 141.9	3 305.2	5 963.0	4 985.3	1 066.0	1 265.5	1 133.5	1 520.3	996.3
Portfolio investment	909.8	953.7	–1 335.6	–1 922.4	–352.3	–324.7	–560.1	–685.3	272.4
Equity securities (net)	355.1	1 068.7	–1 228.6	–559.5	–294.6	–491.5	173.0	53.6	32.3
Debt securities (net)	554.7	–115.0	–107.0	–1 362.9	–57.7	166.8	–733.1	–738.9	240.1
Other investment	–1 025.3	–1 552.5	–1 628.6	784.0	359.5	–447.5	–379.9	1 251.9	–420.6
Long-term (net)	411.0	–1 765.9	–692.6	–161.6	124.7	648.4	–446.7	–488.0	–117.5
Short-term (net)	–1 436.3	213.4	–936.0	945.6	234.8	–1 095.9	66.8	1 739.9	–303.1
Total, Groups A through C	–1 864.0	1 391.6	1 435.8	1 077.2	652.1	28.2	–369.0	765.9	84.3
D. Net errors and omissions, valuation changes	**327.2**	**318.0**	**129.9**	**–192.5**	**–149.9**	**230.7**	**217.6**	**–490.9**	**110.6**
Total, Groups A through D	–1 536.8	1 709.6	1 565.7	884.7	502.2	258.9	–151.4	275.0	194.9
E. Change in reserves (-increase)	**1 536.8**	**–1 709.6**	**–1 565.7**	**–884.7**	**–502.2**	**–258.9**	**151.4**	**–275.0**	**–194.9**

1. Based on the 5th edition of the *Balance of Payments Manual* (IMF 1993).
2. Based on data published by the Czech Statistical Office: 1996-1998 according to methodology for customs statistics in effect from 1.1.1996; 1999-2001 according to revised methodology for customs statistics in effect from 1.7.2000.
3. Adjusted outflow of direct investment capital (based on the results of a survey of the corporate sector).

Source: Czech National Bank.

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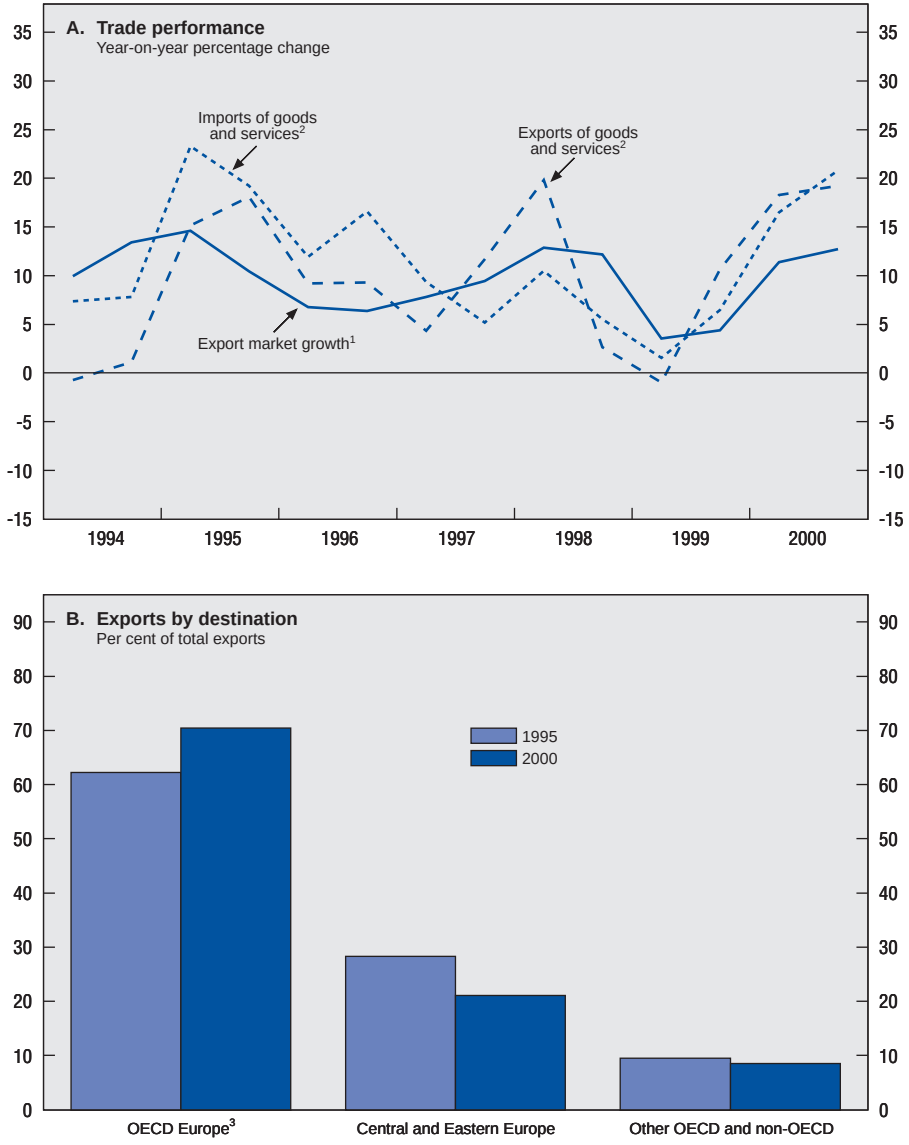
Figure 7. **International trade**



1. Weighted average of import volumes in the exporting markets of the Czech Republic.
2. 1995 prices.
3. Excludes Hungary, Poland and the Slovak Republic.

Source: OECD, Czech Statistical Office.

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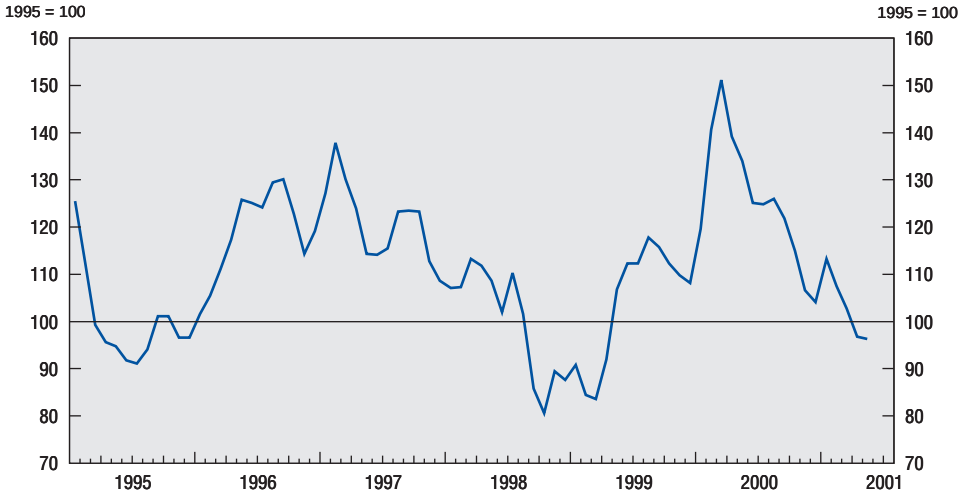
Figure 8. **Share prices**
PX – 50



Source: OECD.

8.4 per cent year-on-year in April 2001) and public opinion surveys indicate an unprecedented level of satisfaction with the results of the economic transition.

Given these indicators, GDP is projected to grow a moderate 3 per cent in 2001 and somewhat more quickly in 2002 (Table 6). Consumer sentiment, rising employment levels and strong real wage growth are likely to keep consumer expenditure growing at about 2½ per cent. Meanwhile investment expenditure should continue rising rapidly, both in order to regain pre-recession levels, but more importantly because of pre-accession opportunities and generous investment incentives. Given the expansionary stance of fiscal policy and the progressive introduction of a new regional level of government (see Chapter II and Box 5 in Chapter III), government consumption expenditure is also expected to pick up somewhat. The overall impact of these forces on aggregate demand should be offset by a moderate decline in inventories during the first half of 2001 and as a result total domestic demand is projected to grow by around 4 per cent. Weakening European and particularly German demand for imports should be reflected in a slowdown in export growth but the Czech Republic is projected to continue gaining market share as recent export-focused investments come on line. Import growth should also moderate given the increasing foreign content of exports and the need to consume stocks. For the year as a whole, however, import demand is

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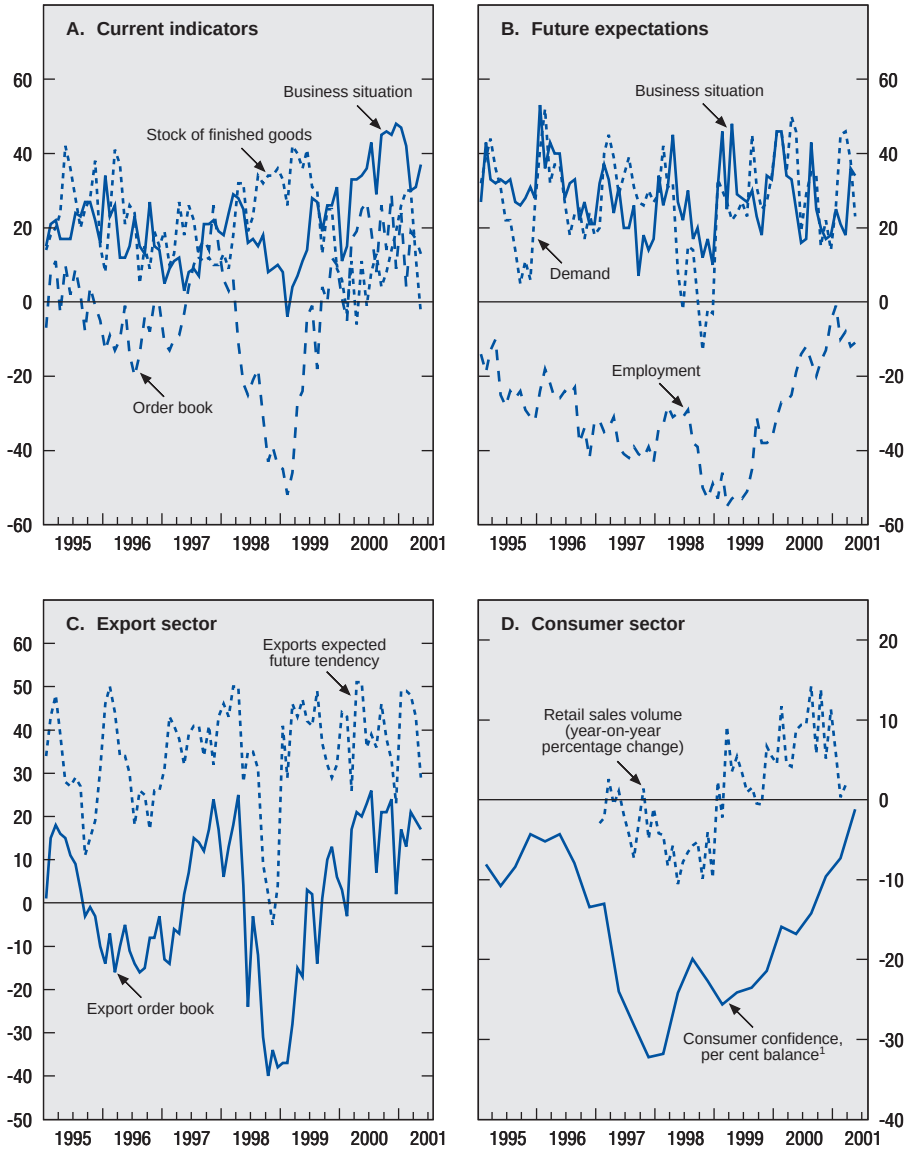
Figure 9. **Private sector sentiment**
Per cent balance[1]



1. Balance of positive-negative replies.
Source: OECD.

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expected to be stronger than that for exports as domestic demand feeds through and this should be reflected in a further deterioration in the current-account deficit in 2001 and in 2002.

In this overall environment, employment is projected to expand somewhat and, following legal changes making early retirement less attractive, the labour force should increase moderately. As a consequence, unemployment should fall only slowly. Strong nominal wage growth in early 2001 is expected to continue, causing real wages to grow somewhat more quickly than productivity. As a result, inflation is unlikely to slow much in 2001, while rising regulated prices in 2002 should prevent much improvement that year. On the basis of current policies, the general government deficit is projected to reach an alarming 7½ per cent

Table 6. **Short-term projections**

	1997 current prices CZK billion	1998	1999	2000	2001	2002
	Volume, 1995 prices, annual percentage change					
Private consumption expenditure[1]	899.9	–2.0	1.9	1.9	2.5	2.8
Government consumption	332.5	–4.4	–0.1	–1.3	1.6	1.0
Gross fixed investment	514.5	–2.9	–0.6	4.2	6.0	6.5
Final domestic demand	**1 747.0**	**–0.5**	**0.8**	**2.1**	**3.4**	**3.7**
Stockbuilding and statistical discrepancy[2]	32.9	–0.2	–1.4	2.0	0.6	0.7
Total domestic demand	**1 779.9**	**–3.7**	**–0.5**	**3.9**	**3.9**	**4.3**
Exports of goods and services	949.7	9.2	6.3	18.7	15.9	14.9
Imports of goods and services	1 049.7	8.1	5.4	18.7	15.8	14.8
Net exports[2]	**–100.0**	**–0.6**	**0.2**	**–1.3**	**–1.1**	**–1.2**
GDP at constant prices		**–1.2**	**–0.4**	**2.9**	**3.1**	**3.5**
GDP implicit deflator		10.7	3.1	0.9	4.7	4.3
GDP at current prices	1 679.9	9.4	2.7	3.8	8.0	7.9
Memorandum items:						
Private consumption deflator		9.1	3.8	2.8	4.8	4.5
Consumer price index		10.7	2.1	3.9	4.8	4.5
Unemployment rate (percentage of labour force)		6.5	8.8	8.8	8.2	7.8
General government financial balance[3, 4]		–2.4	–4.0	–6.3	–7.5	–7.5
Current account balance[3]		–2.4	–3.0	–4.7	–5.5	–6.1

1. Includes NPISH.
2. Contribution to changes in real GDP (percentage of GDP in previous year), actual amount in the first column.
3. As a per cent of GDP.
4. OECD estimate which adjusts official data so as to increase international and intertemporal comparability.

Source: OECD.

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of GDP in both 2001 and 2002. While some of this shortfall is related to the restructuring of the banking sector, the bulk of it represents a permanent imbalance between recurring revenues and expenditures (see Chapter II). Over the projection period, neither this deficit nor that of the current account is projected to threaten stability because large privatisation and foreign direct investment inflows should allow both to be financed without heavy reliance on financial markets.

This projection is subject to more uncertainties than normal. The sharp rise in inventories at the end of 2000 could signal a substantial reduction in domestic demand that is to be carried into 2001, or it may represent a statistical anomaly. Under the first scenario, slower investment and private consumption growth would be associated with a reduction in import demand, an even larger general government deficit but an improvement in the current-account balance. In the second instance, domestic demand could well be stronger than projected here but ongoing industrial restructuring is likely to prevent domestic supply from responding and, as a result, imports and the current account deficit will rise further without much improvement in GDP or the government balance. In addition, stronger domestic demand could be reflected in a further pickup of inflation. Other risks arise from the possibility that privatisation revenues come in more slowly than expected, which would be reflected in a faster increase in government debt and higher interest expenditures. Moreover, as discussed in the following chapter, when privatisation inflows cease there is a strong risk that financial markets will question the sustainability of the twin deficits, resulting in a sudden and, perhaps, disruptive depreciation of the currency.

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II. Macroeconomic policy

Overview

The recent recession, which was a necessary step in the stabilisation of the economy, saw both fiscal and monetary policy tighten initially and then loosen. Rising unemployment, economic weakness and some favourable external developments helped bring inflation down substantially in 1999, while the country's new inflation-targeting regime succeeded in keeping expectations and price growth at moderate levels even as these factors wore off and oil prices rose in 2000. While the recovery owes much to microeconomic restructuring, the substantial loosening of fiscal policy and low interest rates in 2000 doubtless also played a role. Looking forward, banking-sector disintermediation and strong capital inflows, which are expected to continue exerting upward pressure on the exchange rate, limit the Central Bank's capacity to stabilise domestic demand without exacerbating the high current-account deficit. As a consequence, fiscal policy needs to be tightened significantly if the emerging twin deficit problem is not to threaten economic stability over the medium term.

Monetary policy

The inflation-targeting framework

The basic framework of monetary policy has remained unchanged since 1997, when the Czech National Bank (CNB) abandoned its fixed-exchange-rate regime for a managed float and adopted an inflation-targeting system. Initially, the Bank chose to target end-of-year "net inflation", which excludes from the consumer price index regulated goods and services and the influence of changes in indirect taxes.[2] In doing so, it recognised that the large differences between headline and net inflation rates would limit its ability to influence price expectations but it hoped to increase the credibility of the regime by focusing on that portion of inflation that could be influenced by monetary instruments. Its initial target was for end of year net inflation of 6±0.5 per cent in 1998. Subsequent targets were set in the late fall of each preceding year at 4.5±0.5 per cent for 1999 and 4.5±1 per cent for 2000.

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In the event inflation dropped rapidly following introduction of the new regime and the Bank has undershot its target in every year, although by a shrinking margin (Panel B, Figure 10). Inflation decreased particularly rapidly in 1999, with falling food and commodity prices being the most important determinants of the undershooting that year. Because much of the disinflation in 1999 was clearly of a one-off nature, the Central Bank did not seek to resist the subsequent rise of inflation when these effects unwound and even though inflation rose by 1.8 percentage points, "adjusted inflation", a measure which corrects for food, commodity and regulated price movements was more or less unchanged over the two years (Panel C, Figure 10). Most recently, both headline and net inflation have increased due to rising food prices.

Since the last *Survey* in early 2000 a number of adjustments have been made to the policy framework. First, the medium-term net inflation target of reaching 2±1 per cent by 2005, which the CNB had proposed in 1999, was accepted by the government. Secondly, the Bank announced and the government voluntarily endorsed its 2001 inflation target of 3±1 per cent in April 2000, effectively extending the horizon of the targeting regime from 12 to 20 months. Third, the 2000 target included an assumption about the development of regulated prices (based on the government's medium-term fiscal projection) which allowed the Bank to indicate that the equivalent range for headline inflation would be between 4.3 and 5.8 per cent. Fourth, building on these changes, the CNB announced in April 2001 its 2002 target in terms of headline inflation. Moreover, rather than specifying a year-end target for a single year, it established a multi-year target path for headline inflation. The target range is initially to be 4±1 per cent in January 2002 and then gradually decline towards its medium-term target of 3±1 per cent by December 2005 (the medium-term target in terms of net inflation remains unchanged). Finally, the parliament passed an amendment to the Central Bank Act, which changed the ultimate goal of the Bank and reduced its independence (Box 1).

The most important amendments in the Central Bank Act were:

- The change in the Bank's primary goal from that of preserving the value of the currency to price stability.
- The requirement that it agree its inflation targets with the government.
- The transfer of responsibility for Board appointments from the President to the government and the reduction in the Bank's budgetary autonomy.

While the CNB retains more independence than many central banks in the OECD, these changes undeniably increase political influence over monetary policy. Moreover, it is not clear that they are compatible either with the Constitution or the requirements of the European Central Banking System.[3] Nevertheless, in the medium term it is possible that these changes will not significantly alter the setting of monetary policy. Sporadic calls for lower interest rates and higher inflation

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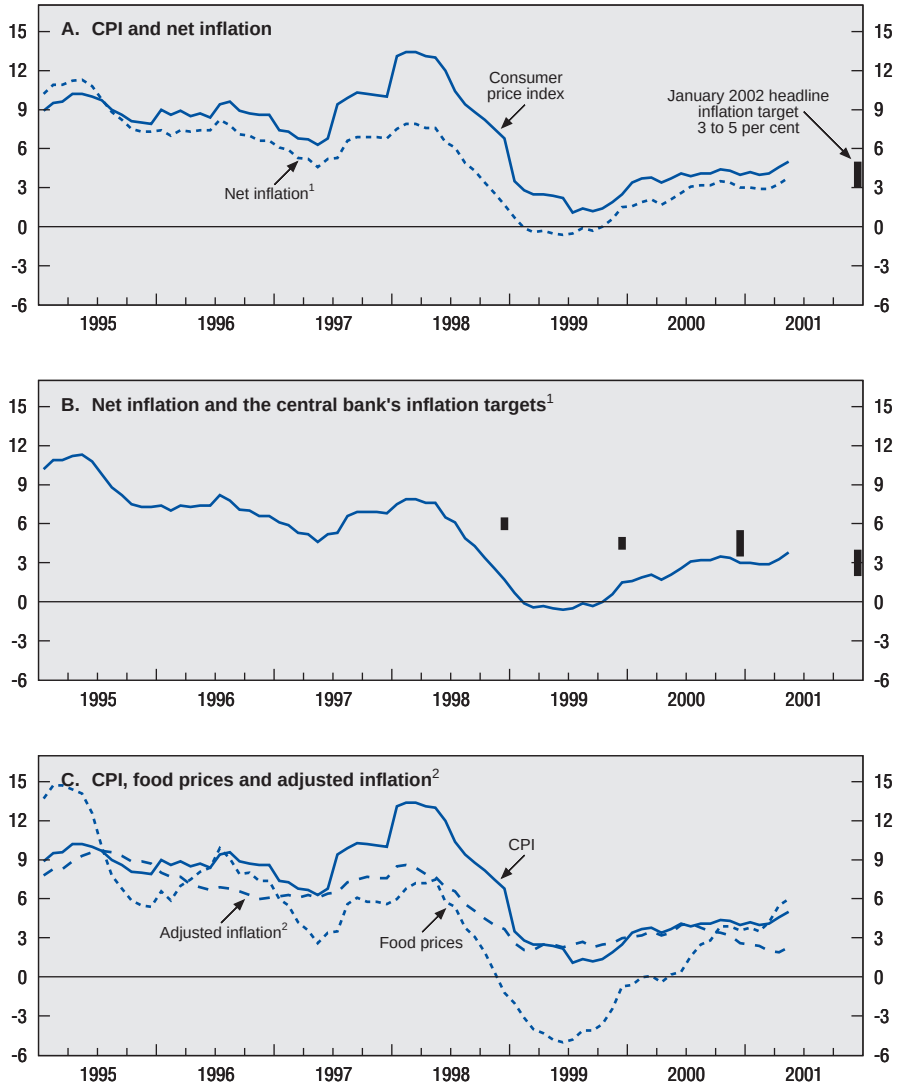
Figure 10. **Inflation performance**
Year-on-year percentage change



1. Net inflation refers to consumer prices adjusted for the direct impact of changes in indirect taxes and administered prices; it comprises food prices and adjusted inflation. Net inflation targets for 1998 to 2001 are respectively 5.5-6.5, 4.0-4.5, 3.5-5.5 and 2.0-4.0 per cent.
2. Adjusted inflation excludes the impact of changes in indirect taxes, administered and food prices.

Source: Czech National Bank; Czech Statistical Office.

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Box 1. The new Central Bank Act

A new Central Bank Act became effective on 1 January 2001. This box summarises some of the most important changes:

1. The primary objective of the Czech National Bank (CNB) was changed to maintaining price stability rather than currency stability as before.
2. The new Act requires the President of the Republic to appoint to the Board of the Bank those individuals proposed by the government.
3. The new Act obliges the CNB to consult and reach agreement with the government on its choice of inflation target and exchange-rate regime. The act does not state how agreement is to be achieved, nor specify a conflict-resolution mechanism.
4. The Act assures instrumental independence of the CNB by specifying that the Bank Board must carry out its tasks without seeking or receiving any instructions by political authorities including the government, the president and parliament.
5. It explicitly forbids the CNB from extending any type of direct credit facility to the general government (the previous act provided limited scope for such facilities).
6. The Act specifies that salaries of CNB staff must correspond to those of government employees performing comparable work. The Governor, Vice-Governor and other CNB Board Members are entitled to the same salaries and allowances as the Prime Minister, Deputy Prime Minister and Government Ministers respectively.
7. In addition to its regular six-month reports, the CNB must, if requested, provide parliament with extraordinary reports on monetary developments.
8. The Bank's operating and investment budget is to be determined by parliament.
9. Another Act (No. 442/2000) states that the CNB will fully comply with the standards of the European System of Central Banks (ECBS) on the date of accession of the Czech Republic to the European Union.

aside, the government is committed to supporting the Bank's medium-term target and there were no apparent problems in revising the regime or agreeing the new targets. The potential politicisation of the Bank board was avoided, at least for some years, when its governor and one board member resigned prior to the new Act entering into force, which allowed the President to appoint a new Governor, two vice-governors and one executive director. Most recently, the constitutional court struck down the amendments transforming the appointment power from the president to the government; changing its overall objective; requiring it to agree its

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inflation targets with the government and those restricting its budgetary independence. This ruling is welcome and once again restores the independence of the Central Bank in harmony with the requirements of the European Banking System. However, the Bank's overall objective – preserving the value of the currency – may still be in conflict with these rules. The authorities may, therefore, wish to propose a constitutional amendment switching its overall objective to price stability.

Judging by outcomes, the inflation-targeting regime has proved an effective mechanism for shaping expectations and promoting disinflation. Since its inception the authorities have gathered increasing domestic[4] and international credibility. The strong decline in inflation is widely perceived as permanent, despite substantial exogenous factors that influenced its trajectory, and notwithstanding the pickup in 2000 and the first half of 2001. Here the communication efforts of the CNB have played an important role. The combination of its quarterly *Inflation Report*, which assesses price developments and presents conditional forecasts of inflation, and public pronouncements have succeeded in embedding lower inflation into expectations. In particular, the CNB succeeded in convincing firms, workers and consumers that the reversal of one-off factors that contributed to the sharp drop of inflation in 1999 would cause it to rise in 2000. This helped prevent the observed rise last year from being a surprise and engendering an inflationary spiral. The decision to target headline inflation in a manner similar to that of the European Central Bank, like the earlier one to translate the net inflation target into headline inflation, should further improve the Bank's capacity to shape expectations. However, under the new regime, the Bank's success in meeting its targets will depend not only on its ability to forecast and influence non-regulated price developments but also on the quality of its assumptions about the future path of regulated prices and indirect taxes. As a result, even though the new targets are not very ambitious, the new strategy is inherently riskier than the old one. The CNB indicates that in the event that regulated prices deviate substantially from its projections it will invoke *ex ante* escape clauses, explaining to the public the nature of the error and its consequences for future targets and monetary policy. The likelihood of missing the targets would be reduced were the relevant authorities to announce a binding programme for future price liberalisation. However, for the moment this has not been done.

Interest and exchange rate developments

Following the introduction of the new monetary policy framework and the 1997 currency crisis, short-term market interest rates stabilised and began to decline, falling from more than 15 per cent in the first half of 1998 to about 5.6 per cent in December 1999 (Figure 11). Since then, they have continued to fall but more slowly, reaching 5 per cent in May 2001. Policy rates followed market rates

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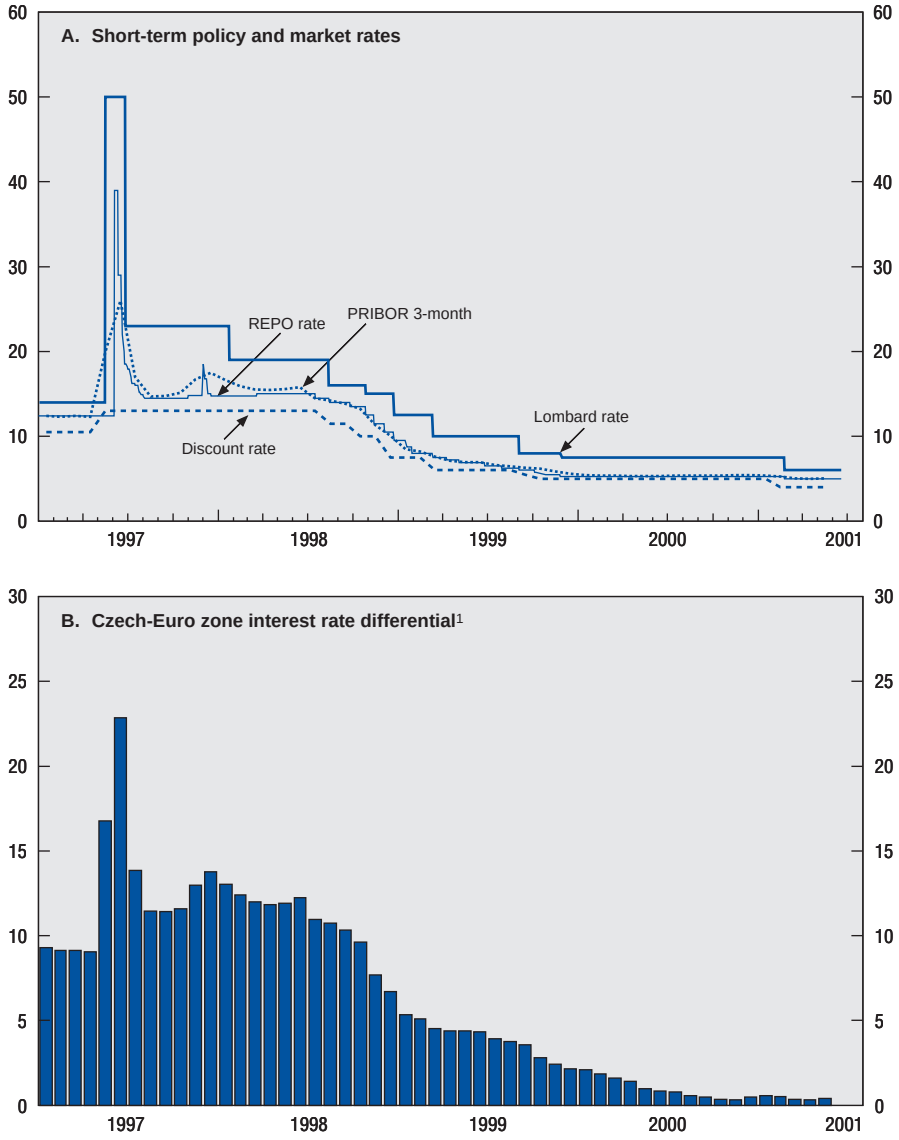
Figure 11. **Interest rate developments**
Per cent



1. Czech 3-month PRIBOR minus 3-month EURIBOR from 1999; Czech 3-month PRIBOR minus German 3-month FIBOR before 1999; from 2001, Euribor includes Greece.

Source: Czech National Bank; OECD.

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until the end of 1999 and were kept constant from the end of November until February 2001, with the Bank's repo rate remaining just below the three-month interbank rate. The strong fall in Czech interest rates was not mirrored in other countries and as a result the Czech/Euro-zone interest-rate differential dropped dramatically from 10.5 per cent in 1998 to 3.9 per cent in 1999 and to less than 1 per cent in 2000. Despite very low real interest rates (Figure 12), which in May 2001 were down to 1 per cent from an average of 4½ in 1999, monetary conditions eased only modestly in 1999 and the first half of 2000. Since then they have been tightening in response to an appreciation of the currency in both nominal and real effective terms.

These developments reflect strong capital inflows and restructuring in the banking sector, which together have limited the authorities' capacity to impact monetary conditions directly. Thus, although very low interest rates succeeded in provoking net portfolio outflows in 2000, strong inflows of foreign direct investment including substantial privatisation revenues have kept the currency strong. Moreover, efforts to limit upwards pressure on it, such as the special account at the CNB into which foreign-denominated privatisation proceeds can be deposited, have met with limited success.[5] As concerns the domestic economy, the fall in interest rates did not give rise to an increase in borrowing. The volume of real credits continued to fall in 2000 and money supply, as measured by M2 and "L" (M2+T-bills+CNB-bills held by domestic non-banks) grew less quickly in 2000 than in 1999 (Table 7). Indeed, the impact of low interest rates on money supply was limited to provoking a substitution from time towards demand deposits. Several factors contributed to a drop in the volume of corporate borrowing (Figure 13) (various forms of consumer credit actually increased). First, following a substantial strengthening of prudential standards (see OECD, 2000), banks tightened the terms under which they lend. Second, the privatisation process made both those banks awaiting sale and those under new management more careful. Third, the financial difficulties which culminated in the forced administration and sale of I*nvesticni a postovni banka* (IPB), the last significant source of "soft" lending, forced it to cut back on lending in an ultimately unsuccessful effort to clean up its balance sheet. Finally, the weak financial condition of borrowers, coupled with these supply-side factors resulted in a reduction in the acceptable demand for credits (see Chapter IV for more on the banking sector).

The restructuring in both the banking and the non-financial sectors weakened the domestic transmission mechanism and, as a result, the exchange-rate channel has been a more important determinant of monetary conditions than it would have been otherwise and the appreciation of the koruna doubtless contributed to the Bank's undershooting of its inflation targets. However, over the longer term there is a risk that if the appreciation is not sustainable, a subsequent reversal could release price pressures causing medium-term targets to be missed. Indeed, such concerns presumably played a role in the Bank Board's February 2001

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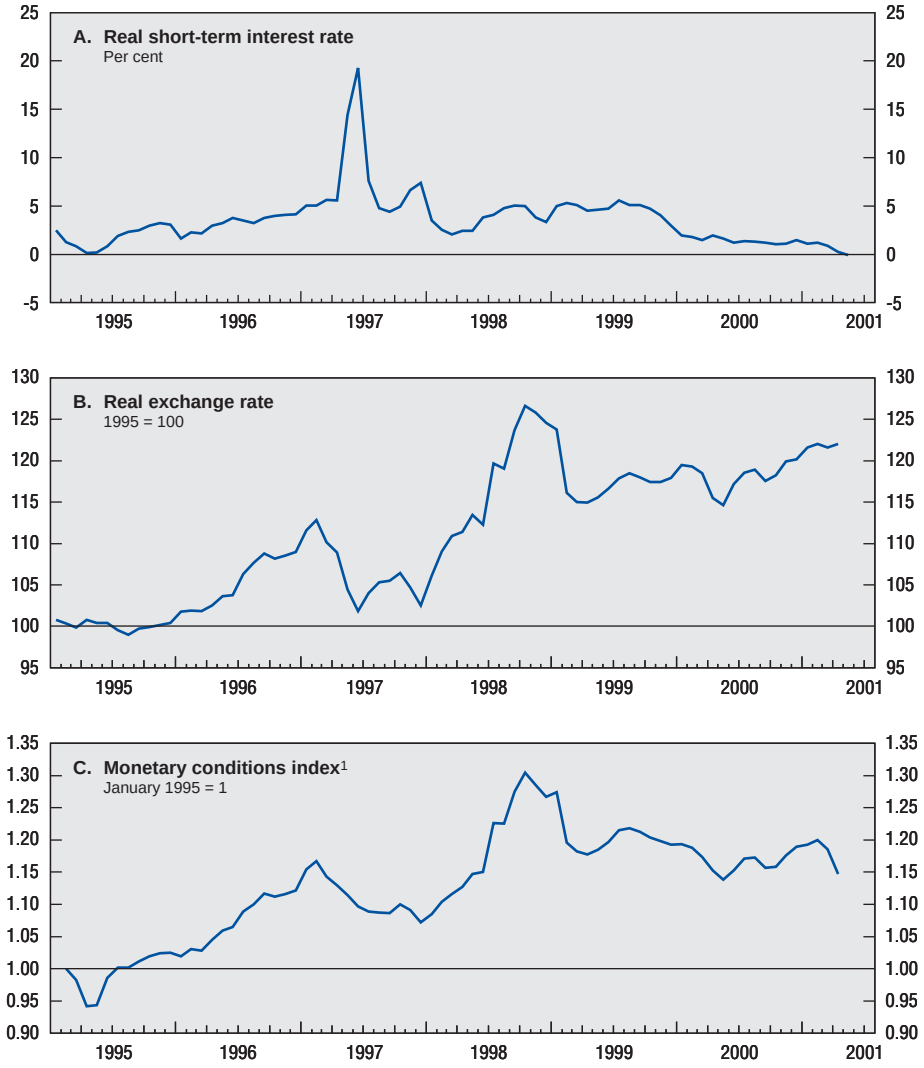
Figure 12. **Monetary conditions**



1. The monetary conditions index, combining interest and exchange rate effects, was computed as follows:
$I(t) = I(t-1) * [1 + a * \ln [r(t)/r(t-1)] + \ln [RER(t)/RER(t-1)]]$, where
r(t) = the real short-term interest rate (3-month PRIBOR, CPI deflated),
RER(t) = the real exchange rate (CPI-based, trade-weighted) with respect to 22 currencies of the main trading partners,
a = a parametric estimate of the effect of the real exchange and interest rates on aggregate demand,
t = time and ln is the natural logarithm.

Source: OECD, Czech National Bank and the Czech Statistical Office.

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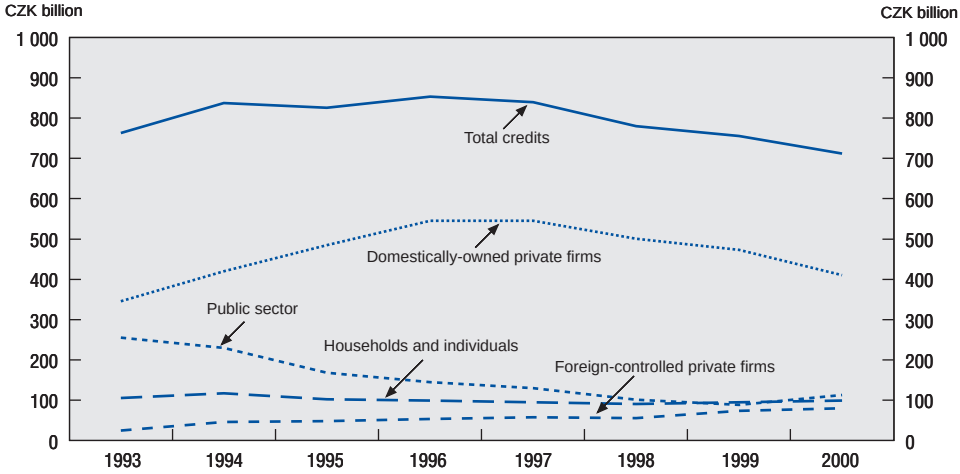
Table 7. **Money and credit**

	1994	1995	1996	1997	1998	1999	2000	2001
	End-of-period growth rates							
Monetary growth								
M1	17.4	7.6	5.2	–6.0	–2.2	11.2	13.5	14.9[1]
M2	20.9	19.6	8.0	8.9	5.3	8.2	6.9	7.8[1]
Credit expansion	16.8	13.2	10.6	9.4	–3.5	–3.9	–2.8	–1.7[1]
	Per cent							
Market interest rates[2]								
7-day PRIBOR	8.5	10.9	12.0	18.3	14.2	6.8	5.3	5.0[3]
3-month PRIBOR	9.1	11.0	12.0	16.0	14.3	6.8	5.4	5.0[3]
Memorandum items:								
Nominal GDP growth	15.9	16.8	13.5	7.2	9.4	2.7	3.8	8.2[4]
Income velocity (GDP/M1)[5]	3.2	3.4	3.6	3.9	4.4	4.4	4.0	3.6[4]
Income velocity (GDP/M2)[5]	1.5	1.4	1.5	1.4	1.5	1.4	1.4	1.3[4]

1. March 2001.
2. Annual averages.
3. April 2001 (monthly average).
4. First quarter of 2001.
5. Computed as follows:
   Velocity = GDPt / [(Mt-1 + Mt) /2]
   Where M_{t-1} = M1 (or M2) at the end of year "t-1"
   M_t = M1 (or M2) at the end of year "t"

Source: OECD; Czech National Bank.

Figure 13. **Credit developments by client**[1]
PPI deflated (1995 price level)



1. End-of-year data.
Source: Czech National Bank.

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decision to cut official interest rates even though the economy was recovering and fiscal policy was very relaxed.[6] As long as domestic credit remains subdued, such a use of low interest rates to minimise upward pressure on the currency appears to be an appropriate strategy. The alternative of using sterilised intervention to raise interest rates and restrain domestic demand seems more problematic given the likely sensitivity of portfolio inflows to interest-rate differentials and the current state of domestic disintermediation. Looking further forward, however, as the lending activity of commercial banks picks up, the CNB will have to pay closer attention to domestic factors when deciding its policy stance. This will be all the more true if domestic inflation continues rising.

Longer-term issues

Looking further forward, the continuing economic and political integration of the Czech Republic with western Europe will have consequences for monetary policy. Given the opportunities for technological catch up, productivity performance in the Czech Republic is very likely to outpace that of its major trading partners over the next several decades. As a result, following standard Balassa-Samuelson arguments, either its rate of inflation will exceed that of its trading partners or its exchange rate will have to appreciate in nominal terms.[7] Both possibilities imply a real appreciation of the currency roughly in line with the difference in the two regions' rates of productivity improvement and the relative size of the non-tradable sector. The Republic's current 3±1 per cent medium-term inflation target is 1 percentage point higher than that of the ECB. Thus, if Czech productivity growth exceeds European development by more than this margin, the Czech koruna can be expected to appreciate continually against the euro. This would pose no particular difficulty if the currency continues to float freely. However, after acceding the Czech Republic will be expected to work towards fulfilling the Maastricht convergence criteria and will be expected to join the ERM II, although not necessarily immediately (EC, 2001). ERM II specifically precludes crawling-peg currency regimes, pegs to currencies other than the euro as well as free floating or managed-floating regimes without a mutually agreed central rate (EC, 2001). As a result, either the Czech Republic would have to opt for a central rate with a very wide fluctuation band in which it could gradually appreciate or its inflation rate would inevitably exceed the Maastricht limit. This fundamental economic problem will become even more serious following an eventual adhesion to the euro zone unless productivity differentials are taken into account when determining the Czech Republic's acceptable inflation results.

A second challenge would derive from the impact of EU accession on the price of Czech tradables. Currently, despite substantial reductions in tariff levels and in non-tariff barriers to trade between the Czech Republic and the EU,[8] a wide range of goods and services remain protected.[9] Moreover, given the relative size of the two economies, it is Czech prices that will have to adjust to European levels

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when existing trade barriers are dropped. At least one study suggests that in the food sector, where about 50 per cent of trade does not benefit from mutual trade preferences and where EU external tariffs are higher than Czech ones, accession could have a substantial upward impact on Czech prices (Vintrová, 2001). Indeed, farm-gate prices in the Czech Republic are about 20 per cent lower than in western Europe and, while transportation costs will prevent them from equalising fully, they can be expected to rise (on products of similar quality) by as much as 15 per cent. However, the impact on consumer prices is likely to be much smaller because farm prices tend to be only a small proportion of retail food prices, which are themselves largely free of restrictions other than nominal tariffs. Higher wage, rental, distribution and processing costs in the EU are likely to ensure that retail prices in the Czech Republic remain substantially lower until improvements in tradables productivity raise wages and costs in the domestic non-tradables sector to western European levels.[10] In other areas, such as electricity, the progressive liberalisation of the market in line with EU directives should see a fall in wholesale prices (which are twice as high as in the EU). However, it will likely boost consumer prices because they are currently well below European levels mainly because of regulation-based cross-subsidisation (see Chapter IV).

Fiscal policy

Measurement of the general government balance

As discussed in the previous *Economic Survey*, the number of different concepts used to measure the budget balance complicates efforts at evaluating the stance of fiscal policy in the Czech Republic. Official measures include the State Budget, which is reported by the Ministry of Finance (MoF); general government accounts, also produced by the MoF using the cash-flow methodology of the International Monetary Fund's Government Financial Statistics (GFS); and accruals-based general government accounts calculated by the Czech Statistical Office (CSO) following the principles of the System of National Accounts (SNA).[11] Of these, the SNA accounts generally provide the most economically relevant measure of the stance of fiscal policy. Unfortunately, these data are only available with a considerable delay in the Czech Republic. The CSO has, however, been making large strides to improve the timeliness of these data and hopes to release the 1999 accounts in 2001, both the 2000 and 2001 accounts in 2002 and beginning in 2003 to produce quarterly estimates with a three-month lag. Moreover, following consultations with Eurostat, the CSO intends revising substantially its government accounts.[12] For the time being, however, data on this new basis are not available. As a result and as in past years, the OECD has attempted to adjust the GFS data of the MoF to increase its comparability with those of the SNA and these adjusted data are used in this *Survey*. Annex I and Box 2 in Chapter III report in more detail the adjustments made and the relationships between various budget concepts.

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Table 8. **Various measures of the government budget deficit**

	1993	1994	1995	1996	1997	1998	1999	2000	2001[1]
	Per cent of GDP								
State Budget	0.5	1.2	–0.2	–0.3	–1.0	–1.4	–1.8	–2.7	–4.6
General government									
GFS									
Including privatisation revenues	2.6	0.8	0.2	–0.4	–1.4	–1.5	–0.6	–3.2	–1.0
Excluding privatisation revenues	0.0	–1.9	–1.6	–1.9	–2.0	–2.4	–1.9	–4.3	–9.1
OECD									
Adjusted	0.0	–1.9	–1.6	–1.9	–2.0	–2.4	–3.9	–5.7	–7.6
SNA									
Including voucher transactions as a capital transfer	–23.3	–3.9	–12.3	–1.9	–2.4	–3.8			
Excluding voucher transactions	–4.3	–3.9	–2.0	–1.9	–2.4	–3.8			
Indicators of fiscal stance									
OECD									
Excluding expenditures on transformation institutions	0.0	–1.9	–1.4	–1.3	–1.4	–1.4	–2.7	–3.5	–5.4[2]
Including imputed transformation-related debt servicing charges	–0.8	–2.5	–2.2	–2.4	–2.2	–2.3	–3.5	–4.2	–6.5[2]

1. Budget programme.
2. Excludes from revenues CZK 20 billion in expected UMTS fees.

Source: OECD; Ministry of Finance; Czech Statistical Office.

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The deficits associated with these various measures vary widely (Table 8). In particular, the State Budget provides the misleading impression that the fiscal stance was tight or broadly in balance throughout much of the period 1993 through 1998. In contrast both the OECD and SNA measures suggest a significantly easier stance in the early years of transition. While virtually all measures indicate a substantial increase in the deficit in the period 1999-2001, the rise in those reporting on a general government basis is much larger mainly because of their exclusion of privatisation revenues and inclusion of the deficits of extra-budgetary funds. Of the two, the OECD measure follows a much smoother profile because unlike the official data it systematically books the losses of *Konsolidacni banka* the year after they are incurred.[13]

While the OECD adjusted deficit is a better representation of the cash-flow expenditures of the general government, the authorities argue with some justification that it treats transition-related expenditures and revenues asymmetrically. They hold that insofar as these expenditures are the *quid pro quo* of privatisation they should also be excluded from the overall balance of the government. Moreover, they note the losses incurred by *Konsolidacni banka* (KoB) in any given year were, in fact, created by state-controlled banks when they made bad loans several years earlier. As a consequence, they maintain that these expenditures have no fiscal impact and should be disregarded when evaluating the stance of fiscal policy. This line of reasoning is only correct up to a point. First, while part of the losses of KoB in a given year were in fact incurred several years before, another part represents interest payments on the government liabilities held by KoB. Second, these losses have not been fiscally neutral because in most cases KoB has purchased loans from troubled banks at above market rates – effectively transferring money from the state to the owners of the banks in question.[14] A better indicator of the true recurring expenditures associated with *Konsolidacni banka* would be provided by an estimate of the interest payments stream that would be necessary to finance its net asset position. The OECD indicator of fiscal stance makes such an estimate. According to this measure, which is used in this *Survey* for evaluating the stance of fiscal policy and estimating the structural deficit, the deterioration in the government accounts in recent years is less dramatic but nevertheless evident.

Budgetary outcomes

General government

The period 1993-96 was characterised by strong economic growth and a gradual reduction in the size of general government spending. Revenues fell from 44.3 per cent of GDP to 41.8 per cent and expenditures declined from a peak of 45.3 per cent in 1994 to 43.4 per cent in 1996. As a result, the OECD general

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government deficit excluding privatisation revenues was broadly stable at somewhat less than 2 per cent (Table 9). In the period following the 1997 currency crisis, budgetary policy followed a classic stop-go pattern. A significant fiscal contraction in 1997 and 1998 targeted the government-sector wage bill and capital spending but left entitlement programmes untouched. As a consequence, the discretionary cut in spending was offset by increases in mandatory expenditures (such as social security and early-retirement pensions) and total expenditures as a share of GDP were broadly constant in these two years. When the restraint measures were relaxed in 1999 expenditures surged, reaching almost 44 per cent of GDP and bringing the deficit to just below 4 per cent of GDP.

The 2000 budget assumed GDP growth of 1.5 per cent, inflation of 4.2 per cent and unemployment of 10.6 per cent. On this basis, revenues were projected to rise by 4.7 per cent and expenditures by 5.3 per cent. In the event, real GDP grew twice as fast and unemployment was much lower (inflation came in more or less as expected). Nevertheless, expenditures grew at twice their budgeted rate, reaching 46.4 per cent of GDP (up 4.5 percentage points since 1998) and revenues rose less quickly than planned – with the net result that the general government deficit came in at 5.7 per cent of GDP. The largest increase in expenditures was a 0.9 per cent of GDP hike in subsidies paid to *Konsolidacni banka* to help defray costs associated with cleaning banks' balance sheets prior to their privatisation. Other significant factors were a further 0.4 percentage point boost to capital spending and a doubling of sick-pay benefits, following a legislated increase in their generosity. This, together with increases to pension benefits in excess of legal indexing requirements,[15] contributed to a 0.6 per cent of GDP increase in social-security spending. On the revenue side, indirect taxes grew less quickly than expected mainly because an increase in the VAT rate charged on some goods occurred later than planned and because a price-induced drop in oil and gasoline consumption reduced excise tax rates. Corporate tax revenues were also lower than expected partly because of continued low profits of domestically-controlled firms and because of tax expenditures associated with investment incentives. Although data problems and the substantial turbulence through which the economy has passed make such estimates difficult, the two OECD estimates of the structural deficit (Table 10) concur in indicating that the largest part of the deficit and most of its rise in recent years has been structural rather than cyclical in nature.[16] Indeed, the estimates suggest that for much of the period in question fiscal policy has reacted pro-cyclically, preventing automatic stabilisers from working properly.[17]

Since 1995, the first year for which internationally comparable figures are available, public-sector employment (including employees of state-owned firms)[18] fell by a third, from 1.5 to 1 million persons – principally reflecting sales of state-owned enterprises. Progress in reducing the number of public servants *per se* was less spectacular, with employment declining 7.6 per cent from 782 000 to 723 000 people or 15.7 per cent of total employment.

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Table 9. **Consolidated general government revenues and expenditures (OECD basis)**

	1993	1994	1995	1996	1997	1998	1999	2000	2001[1]
	Per cent of GDP								
Revenue	44.3	44.1	43.2	41.8	40.7	39.6	40.3	40.8	42.2
Total current revenue	43.5	43.5	42.8	41.2	40.2	39.1	39.9	40.3	41.8
Tax revenue	39.1	39.2	38.3	37.6	37.5	36.6	37.4	37.7	38.0
Indirect taxes	11.3	11.2	11.0	10.9	10.8	10.2	11.2	11.1	12.0
VAT	7.4	7.3	6.9	7.0	7.0	6.5	7.3	7.5	8.2
Excises	3.9	3.9	4.1	3.9	3.8	3.7	3.9	3.6	3.7
Other taxes on goods and services	2.0	1.9	1.6	1.6	1.6	1.4	1.2	1.3	1.2
Direct taxes	9.7	10.0	9.8	9.1	8.5	8.8	8.8	8.7	8.4
Personal income tax	2.9	4.6	5.0	5.1	5.2	5.2	5.0	5.0	4.9
Enterprise tax	6.8	5.4	4.8	3.9	3.3	3.7	3.7	3.7	3.5
Social security contributions	14.0	15.2	15.2	15.5	16.0	15.6	15.6	16.0	15.8
Other taxes	2.2	0.9	0.7	0.5	0.5	0.6	0.6	0.6	0.6
Non-tax current revenue	4.4	4.4	4.5	3.7	2.7	2.5	2.5	2.6	3.8
Capital revenue	0.8	0.5	0.4	0.5	0.5	0.5	0.4	0.4	0.4
Expenditure excluding net lending	43.9	45.3	44.3	43.4	42.8	41.9	43.9	46.4	49.6
Expenditure including net lending	41.7	43.3	42.8	42.0	41.9	41.1	42.9	45.4	41.7
Current expenditures	37.8	38.2	37.2	37.0	37.3	36.8	38.5	40.6	43.5
Government consumption	21.0	21.4	20.3	20.4	19.3	18.8	19.6	19.8	20.9
Wages and salaries	6.5	7.2	7.2	7.6	7.3	6.8	7.3	7.2	7.7
Non-wage consumption	14.5	14.3	13.1	12.8	12.0	12.0	12.3	12.6	13.2
Social security benefits paid by government	11.6	11.7	11.5	11.6	12.5	12.4	13.1	13.7	13.7
of which: Pensions	7.4	7.5	8.0	8.1	8.9	9.0	9.4	9.6	9.5
Other current transfers paid by government	0.4	0.4	0.7	0.7	0.9	1.0	1.1	1.3	1.3
Subsidies	3.2	3.4	3.5	3.3	3.4	3.5	3.7	4.8	6.5
of which: KoB and CI related subsidies[2]	0.0	0.0	0.2	0.7	0.7	1.0	1.2	2.1	3.2
Interest payments	1.7	1.3	1.2	1.0	1.2	1.2	1.0	1.1	1.2
Capital expenditures	6.1	7.0	7.1	6.4	5.5	5.1	5.5	5.9	6.1
Fixed investment	3.8	4.6	4.6	4.4	3.6	3.3	3.5	3.9	3.7
Other investment	2.3	2.5	2.5	2.0	1.9	1.8	1.9	1.9	2.4
Lending minus repayments	−2.2	−2.0	−1.5	−1.4	−0.9	−0.8	−1.0	−1.1	−7.9
of which: Privatisation revenues	−2.5	−2.7	−2.0	−1.6	−0.8	−0.8	−1.4	−1.1	−8.2
General government balance (excluding privatisation)	0.0	−1.9	−1.6	−1.9	−2.0	−2.3	−3.9	−5.7	−7.6
Primary balance	1.7	−0.6	−0.4	−0.9	−0.8	−1.2	−2.9	−4.6	−6.4
Memorandum item:									
Health care	4.5	5.3	5.4	5.5	5.5	5.6	5.6	5.7	5.9
Public employment (1000 persons)	. .	. .	782	775	749	736	723	723	725

1. Budget programme.
2. KoB denotes *Konsolidační banka*, CI denotes *Česká inkasní*.

Source: OECD.

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Table 10. **Structural and cyclical balance estimates**

	OECD deficit (excluding KOB, including imputed interest and CI)	Hodrick-Prescott model of potential		Barro beta-convergence model of potential	
		Cyclical	Structural	Cyclical	Structural
		Per cent of GDP			
1994	–2.5	–1.2	–1.4	–0.2	–2.3
1995	–2.2	0.4	–2.5	0.7	–2.9
1996	–2.4	1.3	–3.6	1.3	–3.7
1997	–2.2	0.6	–2.7	0.3	–2.5
1998	–2.3	–0.3	–2.0	–0.8	–1.5
1999	–3.5	–0.8	–2.8	–1.6	–1.9
2000	–4.2	–0.5	–3.7	–1.7	–2.5
2001[1]	–6.5	–0.3	–6.2	–1.7	–4.8

1. Budgeted UMTS license revenues excluded in 2001.
Source: OECD.

Repeated deficits and the accumulation of off-budget debt are reflected in the rapid rise in the general government debt from 12.9 per cent of GDP in 1997 to an estimated 20 per cent of GDP at the end of 2001 (Table 11). While this is well below the OECD average of 69 per cent and the Maastricht criterion of 60 per cent, there is no room for complacency. If the debts of KoB and risk-adjusted loan

Table 11. **Consolidated outstanding gross public debt**[1]

	1993	1994	1995	1996	1997	1998	1999	2000	2001[2]
	CZK billion								
State budget	158.8	161.7	154.4	161.6	172.2	193.6	226.9	287.4	370.7
Health insurance	n.a.	0.8	0.4	1.2	2.4	1.7	1.2	0.8	0.5
Extra-budgetary funds (FNM)	30.0	32.8	40.2	22.5	17.2	15.0	16.0	20.0	6.3
Local government	3.1	13.8	19.9	28.1	34.4	39.2	40.3	41.4	47.3
Total	191.8	207.8	210.9	206.7	217.5	240.0	274.6	331.2	413.5
Domestic	117.1	126.3	133.9	149.6	141.7	175.8	214.5	–	–
Foreign	71.7	69.0	61.0	57.2	49.6	33.9	28.7	–	–
	Per cent of GDP								
Memorandum items									
Total debt	18.5	17.6	15.3	13.2	12.9	13.1	14.5	17.2	20.0
Domestic	11.3	10.7	9.7	9.5	8.4	9.6	11.4	–	–
Foreign	6.9	5.8	4.4	3.6	3.0	1.8	1.5	–	–

1. End of year.
2. Budget programme. Following the transfer of district offices to the state budget in 2001, the debt of these offices was shifted to the state budget row from the local government row.
Source: Ministry of Finance.

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Table 12. **Hidden public liabilities**

	1993	1994	1995	1996	1997	1998	1999	2000
	CZK billion							
Konsolidační banka (KOB)	79	81	79	70	86	85	133	163
Česká inkasní (CI)	20	30	25	32	32	27	20	13
State risk-adjusted guarantees	3	3	6	28	74	107	112	104
Gross hidden public liabilities	102	114	110	131	192	219	266	280
Gross hidden public liabilities (per cent of GDP)	**9.9**	**9.7**	**7.9**	**8.3**	**11.4**	**11.9**	**14.1**	**14.4**
Reported gross government debt	191.8	208.2	210.9	206.7	217.5	240.4	274.6	331.2
Reported gross government debt (per cent of GDP)	**18.5**	**17.6**	**15.3**	**13.2**	**12.9**	**13.1**	**14.5**	**17.2**
Memorandum items:								
Environmental guarantees[1]	8.0	14.4	17.0	29.1	26.9	26.8	26.4	25.1
FNM and other guarantees[2]	4.4	5.1	5.0	4.8	4.6	4.5	3.7	5.6
Implicit pension debt (per cent of GDP)[3]	. .	127.9	119.9	115.4	116.6	115.2	120.5	124.8

1. Guarantees provided by the state privatisation agency (FNM) on a risk-weighted basis, with the weight (25 per cent) derived from historical comparisons of the actual settlement as compared to the notional amount guaranteed.
2. Exclusive of guarantees issued for KoB.
3. Assets which would have to be built up to cover the pension system deficits over the next 50 years. Based on the data submitted by the Ministry of Finance to the OECD project "Fiscal Implications of Ageing".

Source: National authorities, OECD estimates.

guarantees were included in this amount, the total public debt in 2000 would be almost one-third of GDP (Table 12). Furthermore, the extent of these contingent liabilities is likely to increase significantly this year. First, KoB will probably be asked to assume the losses deriving from the forced administration of *Investicni a postovni banka* (currently estimated at about 5 per cent of GDP). Second, KoB's liabilities will also be affected when it absorbs the last package of non-performing loans from *Komercni banka* prior to its privatisation. Moreover, were the risk-weighted environmental and other guarantees of the National Property Fund included, estimates of the gross consolidated government debt would rise to more than 60 per cent of GDP. Finally, the OECD estimates the current value of the unfunded liability of the pension system to be 125 per cent of GDP. The growth in this liability in recent years mainly reflects the government's extensive reliance upon early retirement to shrink labour supply and control measured unemployment – a policy which does nothing to redress underlying problems (see Chapter IV).

Central government

Realised State Budget revenues in 2000, which include social-security contributions but in Table 13 exclude privatisation revenues, came in lower than budgeted despite stronger than expected growth. Moreover, expenditures (excluding the CZK 14.4 billion payment to KoB) were substantially higher and as a result the actual State-Budget deficit was CZK 46.1 billion or 2.4 per cent of GDP,

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Table 13. **The State Budget, proposals and outcomes**

	1999 Outcome	2000 Budget	2000 Estimate	2001 Budget	2000 Budget / 1999 Outcome	2000 Estimate / 1999 Outcome	2001 Budget[1] / 2000 Expected
	CZK billion				Per cent change		
Total revenue	562.3	585.4	581.8	627.0	4.1	3.5	7.8
Tax revenue	540.1	569.1	559.5	594.5	5.4	3.6	6.3
Direct taxes	86.4	88.7	87.0	129.3	2.6	0.7	48.6
Corporate income	51.3	52.1	52.3	52.8	1.5	1.9	1.0
Personal income	35.1	36.6	34.7	76.5	4.2	–1.1	120.3
Indirect taxes	216.7	233.0	222.4	203.2	7.5	2.6	–8.6
VAT	138.3	149.9	145.9	136.0	8.4	5.5	–6.8
Excise	73.1	77.6	70.9	67.2	6.1	–3.1	–5.2
Motor vehicle fees	5.2	5.5	5.6	0.0	5.2	6.9	–100.0
Taxes on property, gifts, inheritance	6.8	7.1	6.0	7.6	4.0	–12.5	27.2
Social security contributions	210.9	221.6	222.2	234.4	5.1	5.4	5.5
Taxes on international trade	12.0	11.2	13.6	12.2	–7.1	13.0	–10.4
Net carryover from previous year	0.0	0.0	0.0	0.0	. .	. .	. .
Other (including fees and highway tax)	7.3	7.5	8.4	7.8	2.9	14.6	–6.6
Non-tax revenue (excluding repayments)	22.2	16.3	22.4	32.5	–26.4	0.7	45.3
Entrepreneurial and property income	17.6	14.5	19.5	30.6	–17.6	10.6	57.2
From budgetary and subsidised units	16.2	13.4	18.0	28.9	–17.0	11.3	60.8
Interest	1.4	1.1	1.5	1.7	–24.5	3.0	13.7
Fines	1.1	1.1	1.2	2.2	–1.5	3.1	–2.5
Other	3.5	07	1.7	0.8	–78.9	–50.0	–57.0
Repayments (excluded from revenues)	4.9	6.7	4.4	9.2	36.2	–11.6	111.3
Total expenditures + net lending	592.0	620.6	627.9	675.9	4.8	6.1	7.6
Current expenditures	530.8	562.2	567.4	626.3	5.9	6.9	10.4
On goods and services	108.7	119.6	113.0	141.0	10.0	4.0	24.8
Wages and salaries	52.4	53.2	52.4	63.8	1.6	0.0	21.9
Other	56.3	66.3	60.7	77.2	17.9	7.8	27.2
Interest payments[2]	17.5	18.3	19.9	22.6	4.4	13.6	13.5
Transfers	404.6	424.4	434.5	462.7	4.9	7.4	6.5
To enterprises	29.2	34.4	32.8	44.9	17.6	12.3	36.8
To subsidised organisations	68.9	65.9	69.1	79.4	–4.3	0.3	14.9
To local authorities	27.6	26.9	30.3	17.9	–2.2	9.9	–40.9
To extra-budgetary funds	0.0	0.0	0.0	0.0	. .	. .	. .
To state fund for market regulation in agriculture	3.0	2.4	5.6	4.2	–18.2	87.5	–23.9
To health funds	27.4	28.2	27.5	28.0	2.8	0.3	2.0
To households	245.9	263.6	266.3	284.1	7.2	8.3	6.7
Social security benefit	238.0	253.7	256.1	271.7	6.6	7.6	6.1
Pension	177.9	183.1	186.9	197.8	2.9	5.1	5.9
Unemployment benefits	5.7	7.2	5.7	5.9	26.1	–0.5	3.9
Other benefits	23.1	29.8	31.7	34.8	29.1	37.0	9.7
State social support	31.3	33.6	31.9	33.2	7.3	1.8	4.2
Other	7.9	9.9	10.2	12.4	24.7	29.2	21.3
To abroad	2.4	2.9	2.7	4.0	17.8	13.1	47.2
Other	0.2	0.1	0.1	0.1	–69.8	–46.0	–20.0
Lending (excluded from expenditures)	7.1	3.5	4.0	6.1	. .	. .	. .
Capital expenditures	**8.4**	**61.0**	**60.3**	**52.6**	**4.4**	**3.2**	**–12.7**
By budgetary organisations	20.0	21.3	24.2	21.6	6.6	20.9	–10.7
Transfers	38.4	32.4	35.5	26.6	–15.6	–7.7	–25.0
To enterprises	8.7	7.3	7.4	2.9	–15.3	–14.6	–60.8
To subsidised organisations	17.4	15.0	14.3	15.7	–13.4	–17.8	9.7
To local authorities	12.4	10.1	13.8	8.0	–18.8	11.4	–41.9
To extra-budgetary funds	0.0	0.0	0.0	0.0	. .	. .	. .
Other	0.0	7.2	0.6	4.4	. .	. .	. .
Lending (excluded from expenditures)	0.6	0.6	0.6	0.2	. .	. .	. .
Lending minus repayments	**2.8**	**–2.6**	**0.2**	**–3.0**	**. .**	**. .**	**. .**
Balance	**–29.6**	**–35.2**	**46.1**	**–49.0**	**. .**	**. .**	**.**

1. State Budget data for year 2001 are not fully comparable with those for the previous year. A new methodology was introduced and came into effect on 1 January 2001 (Act 218/2000).
2. Interest payments in 1999 and 2000 include transfers to state financial assets.

Source: Ministry of Finance.

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rather than the budgeted CZK 35.2 billion. Expenditures plus net lending exceeded the State Budget proposal by 1.2 per cent, largely because of overruns in social spending – specifically pensions and sick pay, the growth of the latter exceeding substantially the already large increase that had been budgeted. These overruns were partially offset by smaller than projected increases in social assistance and unemployment benefits and reduced spending on discretionary items such as goods and services and capital support of so-called budgetary organisations.[19] On the revenue side, personal income tax revenues fell, rather than increasing as initially budgeted, and excise tax revenues were disappointing. These were partially compensated for by substantially higher income from taxes on foreign trade – reflecting both stronger than expected growth and higher oil prices.

Sub-national governments

Current expenditures of local governments expanded rapidly in the period 1993 through 1996, declined sharply in 1997 and 1998, and have picked up again since. Revenues (including privatisation receipts) have followed a broadly similar pattern. As a result, with the exception of 1996 and 1997, when local governments ran relatively large deficits, and 2000, when sales of options raised their capital revenues sharply, their accounts have been broadly in balance. Since 1996 current revenues have been stable, although rising revenues from enterprise taxes have, in recent years, contributed to increasing municipalities' overall cash flow. With the exception of 1996, current expenditures have also shown remarkable stability, only picking up as a share of GDP in 1999 and 2000 as a result of higher expenditures on wages, goods and services and to a lesser extent subsidies and transfers. Capital expenditures were also affected by the 1997 and 1998 stabilisation package and, as with the general government, they have picked up in recent years.

Looking forward, the public administration reform, which created 14 new regional levels of government and about 190 municipalities with delegated state administrative powers (*poverene obce*) or "county" seats,[20] will have important implications for sub-national finances. Already in 2001, a large number of responsibilities have been passed or are being passed from the central government to the regional ones, while the responsibilities of 77 district offices are to be transferred to county-level offices. In 2001, this transition is being financed by offsetting transfers from the central government to cover the cost of the new responsibilities, but in future years sub-national governments will be given a larger share of total tax revenues to cover these increased responsibilities. These changes have implications for local government budgets in 2001. The lower reported expenditure levels and revenues reflect the temporary removal of district offices from the sub-national government in the GFS data. They may also explain the expected rise in

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Table 14. **Local government revenues and expenditures**

	1993	1994	1995	1996	1997	1998	1999	2000	2001
	Per cent of GDP								
Revenue									
Revenue and grants	8.9	9.5	9.4	10.5	8.7	8.6	9.9	9.5	7.9
Revenue	6.2	6.9	6.9	6.5	6.5	6.5	7.7	7.2	6.4
Current revenue	5.4	6.3	6.5	6.0	6.0	6.0	6.1	6.5	5.8
Tax revenue	3.6	4.6	4.9	4.5	4.5	4.5	4.6	4.9	4.3
Direct taxes	2.7	4.1	4.6	4.1	4.0	4.1	4.2	4.5	2.2
Personal income tax	2.7	4.1	4.4	3.2	3.2	3.2	3.2	3.3	1.2
Enterprise tax	0.0	0.0	0.2	0.9	0.8	0.9	1.0	1.2	1.0
Domestic taxes on goods and services	0.1	0.1	0.1	0.1	0.3	0.2	0.2	0.2	1.9
Taxes on property	0.3	0.3	0.3	0.3	0.2	0.2	0.2	0.2	0.2
Other taxes	0.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-tax current revenue	1.8	1.7	1.6	1.6	1.5	1.5	1.5	1.6	1.5
Capital revenue	0.8	0.5	0.4	0.5	0.5	0.5	1.6	0.7	0.6
Grants	2.7	2.6	2.5	3.9	2.1	2.0	2.2	2.4	1.5
Expenditures									
Expenditures and net lending	8.6	9.5	9.6	10.9	8.9	8.5	9.0	9.7	8.3
Expenditure	8.6	9.4	9.5	10.8	9.0	8.6	9.2	9.8	8.3
Current expenditure	5.6	5.9	5.9	7.5	5.9	5.8	6.3	6.6	5.6
Expenditure on goods and services	3.8	3.8	3.6	3.7	3.6	3.6	3.9	4.1	3.8
Wages and salaries	0.9	0.8	0.8	0.9	1.0	1.0	1.1	1.1	0.9
Other purchases of goods and services	2.9	2.9	2.7	2.7	2.6	2.6	2.8	3.0	2.9
Interest payments	0.0	0.0	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Subsidies	1.5	1.8	1.8	1.7	1.7	1.5	1.7	1.7	1.1
Transfers to households and NPI	0.3	0.3	0.4	2.0	0.5	0.5	0.6	0.7	0.6
Capital expenditure	3.0	3.5	3.6	3.3	3.0	2.8	2.9	3.2	2.7
Fixed investment	2.5	2.8	3.0	2.8	2.6	2.3	2.4	2.6	2.4
Other investment	0.6	0.7	0.7	0.5	0.4	0.5	0.5	0.5	0.3
Lending minus repayments	0.0	0.1	0.0	0.1	0.0	–0.1	–0.2	–0.1	0.0
Local government balance	0.2	0.0	–0.1	–0.5	–0.3	0.1	1.0	–0.1	–0.4

Source: Ministry of Finance, Government Financial Statistics.

the deficits of the sub-national level of government in 2001 (Table 14), although this could be due to reduced privatisation receipts which are included in the local government accounts as revenue. In 2002, once the responsibilities of all district offices have been transferred to county-level offices, both expenditures and revenues should return to their previous level – if not higher. Indeed, OECD estimates suggest that beginning in 2002, the share of sub-national governments in total spending will increase to 21 per cent (up from 18 per cent in 2000); although tax sharing details have yet to be worked out, revenues can also be expected to rise. While the reform creates no new government responsibilities, indications are that total public-sector employment will rise as a result.[21] The implications of this reform for fiscal policy are discussed in more detail in the following chapter on public expenditure management, and Box 5 describes some of its institutional details.

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The 2001 *budget*

The 2001 budget, like its predecessors, covers only the expenditures of the State Budget, which is somewhat less than two-thirds of general government expenditure. It is predicated on the expectation that GDP will expand by 3 per cent, consumer prices will rise by 4.2 per cent and that the unemployment rate will fall to 8.4 per cent of the labour force. Current expenditures within the State Budget are set to increase by 7.6 per cent as compared with 2000 and revenues by 7.8 per cent with the deficit rising to CZK 49 billion or 2.4 per cent of GDP. Several factors complicate the comparison of the budget with previous years. First, its revenues include one-time income of an expected CZK 20 billion (1 per cent of GDP) from a planned UMTS license sale. Second, the new regional structure brings the district offices into the State Budget and new extra-budgetary funds reduce the share of both general government revenues and expenditures that are recorded in the State Budget. As emphasised in the following chapter and in previous S*urveys*, such changes make the notion of the State Budget balance increasingly irrelevant. As a consequence, even though the budget is a State Budget document, the remainder of the discussion (below) of planned fiscal measures for 2001 will be made in terms of the general government accounts. This is possible because, following efforts to raise the profile of the general government accounts, the Ministry of Finance has produced general government estimates for 2001 on the basis of the State Budget. Although these estimates are subject to the same criticisms as the historical GFS data, the decision to provide them is welcome. Following adjustments by the OECD (see Annex I) these are recorded in the final column of Table 9.

The 2001 budget represents a substantial loosening of fiscal policy. The OECD indicator of fiscal stance (Table 8) increases by 2.4 percentage points in 2001, reaching 6.7 per cent of GDP and more than all of that increase is structural in nature (Table 10). Indeed, general government expenditures are projected to increase by 3.3 per cent of GDP or 13.6 per cent, while revenues, net of a hoped for 1 per cent of GDP in UMTS license receipts, will rise only 0.5 per cent of GDP. Looking first at expenditures, the budget plans to raise subsidies paid to firms by over 60 per cent. Although much of that reflects subsidies to cover the losses of KoB, even net of these, subsidies are to increase by 17 per cent or 0.7 per cent of GDP. In addition, the public-sector wage bill is to be boosted 13.3 per cent, reflecting an almost 20 per cent increase in the labour costs of the central administration and salary rises for teachers. Debt servicing charges are expected to increase 17 per cent although they remain relatively small at 1.2 per cent of GDP. Other expenditures, including social transfers are budgeted to progress roughly in line with nominal GDP. Finally, while spending on fixed capital investment is expected to decline by 0.5 per cent, other investment is to rise by 31 per cent or 0.4 per cent of GDP – reflecting increased spending by the two newly created

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extra-budgetary funds for housing and infrastructure. On the revenue side, the budget appears to rely heavily on a 16.7 per cent increase in VAT revenues. Were these receipts to only increase in line with GDP, tax revenues would rise only 5 per cent and the deficit would be higher by 0.7 per cent of GDP.

Since the budget was passed, the Ministry of Industry and Trade has elaborated a medium-term strategy for enhancing economic growth in the Czech Republic, the so-called Big Bang programme (*velky tresk*). The programme, which has yet to be approved, seeks to significantly improve economic conditions in 13 high-unemployment regions; to support small and medium enterprises; to enhance the domestic manufacturing sector's performance; to increase exports and to promote the revitalisation and restructuring of insolvent industrial firms. According to initial reports the programme is expected to encompass CZK 265 billion in 2001 and 2002 in spending (or 14½ per cent of GDP) relying mainly on the reallocation of existing budgetary resources and, under one proposed variant, about CZK 20 billion per year (1 per cent of GDP) in additional spending. As described, the scheme seeks to re-evaluate and reprioritise a wide range of programmes including investment incentives and subsidies, housing construction assistance, aggressive export promotion, training subsidies, restructuring assistance and eventual sale to strategic investors of insolvent firms. The authorities have indicated that they expect the plan to boost economic growth over the government's baseline projection by 1 per cent of GDP in 2001 and 2 per cent of GDP in 2002. While details of the "Big Bang" have not been finalised, at least one of the variants proposed would imply a significant increase in government spending. Given the already relaxed stance of fiscal policy, an additional stimulus would appear ill advised. Indeed, OECD Interlink simulations suggest that while a 1 per cent of GDP hike to spending, concentrated in an increase in subsidies to restructuring industries would raise output in the short-term, its long-run impact would be slightly negative and by raising both the general government and current account deficits it can be expected to exacerbate risks of instability as well as the general government and foreign debts (see below).

The medium-term fiscal outlook

The structural nature of the current fiscal stance is reflected both in the government's and the OECD's medium-term fiscal projections. The two panels of Figure 14 show both organisations' estimate of the general government deficit over the next several years assuming no policy changes and indicate that unless explicit steps are taken to cut spending, the deficit is likely to remain in excess of 5 per cent of GDP.[22] The third line in the upper panel depicts the government's estimate made during the 2000 budget exercise. The difference between it and the 2001 estimate gives an indication of the extent to which additional unplanned spending and the new fiscal impulse included in the 2001 budget have added to

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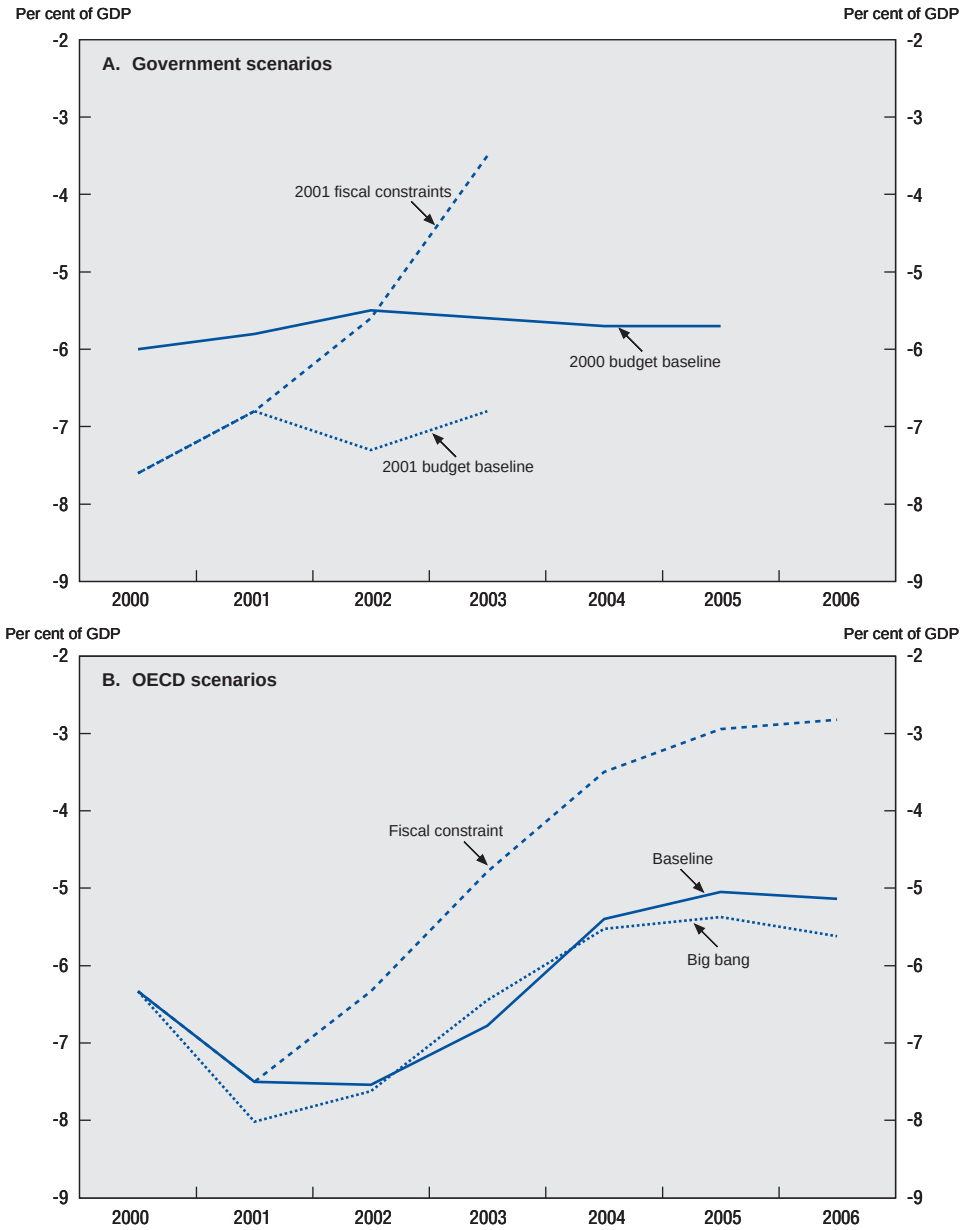
Figure 14. **Medium-term fiscal projections**



Source: Ministry of Finance; OECD.

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the structural deficit. The lower panel shows the results of the OECD fiscal consolidation scenario as well as the result of the OECD simulation of the Big Bang programme mentioned above.

Both the OECD and the government no-policy change scenarios reflect the structural nature of the current stance of fiscal policy. The general government deficit remains high, even though output continues to expand and unemployment comes down somewhat from current levels. In each scenario, a growing debt burden and rising interest rate premia caused by the large current-account deficit slow investment and are an increasing drag on the economy. These symptoms are even clearer in the Big Bang scenario where, although, aggregate demand grows somewhat more quickly in 2001, it slows afterwards as there is no additional fiscal impulse after 2002. Overall, the economy is left with a higher structural deficit, slower growth rates and a higher debt. The two structural reform scenarios on the other hand, illustrate the potential benefits from reducing expenditures and hastening the structural reform programme. The OECD scenario assumes across-the-board reductions in public-sector employment, reduced public consumption of goods and services, lower subsidies, abolition of subsidised early-retirement programmes and tightening of sick-pay rules. Although this policy mix provokes a slowdown in the short term, it pays several medium and long-term dividends (Table 15). In particular, by the end of the simulation period output is expanding more quickly in response to a larger workforce and increased private investment.

Table 15. **Medium-term outlook**

	2001	2002	2003	2004	2005	2006
OECD medium-term baseline						
Output	3.0	3.5	3.3	3.7	4.0	4.4
Inflation	4.2	4.8	4.0	3.5	3.0	3.0
Government deficit	–7.5	–7.5	–6.8	–5.4	–5.1	–5.1
Current account deficit	–5.2	–5.5	–5.8	–5.7	–5.2	–4.4
Unemployment rate	8.4	8.1	7.9	7.5	7.3	7.1
Increased net spending "Big bang" scenario						
Output	3.6	3.5	2.4	2.9	3.8	4.3
Inflation	4.3	4.9	4.3	3.8	3.2	3.0
Government deficit	–8.0	–7.6	–6.5	–5.5	–5.4	–5.6
Current account deficit	–5.4	–5.6	–5.8	–5.7	–5.4	–4.6
Unemployment rate	8.0	7.2	7.4	7.5	7.5	7.5
Fiscal constraint scenario						
Output	3.0	3.3	2.9	3.7	4.9	5.0
Inflation	4.2	5.1	3.6	2.9	2.4	2.4
Government deficit	–7.5	–6.3	–4.9	–3.5	–2.9	–2.8
Current account deficit	–5.2	–5.6	–5.7	–5.2	–4.6	–3.4
Unemployment rate	8.4	8.2	8.2	7.8	7.4	7.0

Source: OECD, simulations using the OECD's Interlink model.

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At the same time, productivity responds by growing more quickly as loss-making firms exit the economy and are replaced by more efficient ones. The temporary economic slowdown in 2002-03 causes inflation to be lower than in the baseline scenario and the budgetary deficit, public-sector debt and current account balance all show substantial improvements, creating conditions for a more favourable and sustainable development over the longer term and substantially reduces the risk of economic turmoil arising from the continuing build-up of internal and external imbalances.

Assessment

The relaxation of fiscal policy over the past two years doubtless contributed to the recovery in aggregate demand over this period. Public-sector expenditure rose by almost 5 per cent of GDP between 1998 and 2000. While the pick-up in spending in 1999 reflected in part the unsustainability of earlier austerity measures that had focused on cuts to payroll and investment outlays, the 2½ percentage point of GDP hike in 2000 was almost entirely discretionary in nature. Government spending is at highest level since the Republic's separation from Slovakia and the estimates presented earlier suggest that virtually all of the increase in the deficit is structural in nature. Moreover, notwithstanding the important role that higher oil prices played in its rise (these are unlikely to fall back to earlier levels), the high current-account deficit in 2000 is worrisome. Together these twin deficits and the recent tendency for inflation to pick up suggest that, even at relatively moderate growth rates, ongoing restructuring continues to restrain the aggregate-supply response and the economy is relying too heavily on foreign production to meet domestic demand. Indeed, both the OECD's and the government's own medium-term simulations suggest that the current stance of policy is incompatible with sustainable high levels of growth.[23]

In these circumstances, policy makers should be adopting measures to permanently lower public expenditure and to restore both internal and external balance. Unfortunately, however, the 2001 budget is even more expansionary than that of the year before. While there may have been some debate as to whether the 2000 spending was pro-cyclical, there can be little doubt as to the nature of the 2001 budget and if the proposed "Big Bang" is to include additional spending the fiscal stance will be even more expansionary. Unless steps are taken to reduce spending levels – substantially and permanently – the combination of extremely high current-account and government budgetary deficits put longer run economic stability at risk. Indeed, the substantial privatisation revenues that the government expects over the next few years may prove to be a mixed blessing. On the one hand, they should allow the authorities to finance the public-sector and current-account deficits without increasing either the general government debt or the country's net foreign debt position. On the other, unless steps are taken to eliminate

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these imbalances and reduce the economy's external and budgetary financing requirements, it will be in a precarious position when these inflows stop sometime in 2003 and 2004. Even if autonomous foreign direct investment inflows continue to be strong over the medium to long term, experience suggests that if perceived risks are high, these flows can stop quite quickly, an event that could provoke a rapid depreciation of the currency and another period of economic turmoil.

In addition, the stance of fiscal policy and recent price developments raises the spectre of a resurgence of inflation over the medium term. This could arise either through a depreciation, which would release some of the latent inflationary pressure masked by the high exchange rate, or through classical demand-pull channels. Notwithstanding the CNB's substantial achievement in reducing inflation from over 10 per cent to 4 per cent as a result of its inflation-targeting regime, the strength of privatisation and other capital inflows and the advanced state of disintermediation in the banking sector greatly reduce the effectiveness of monetary instruments to contain demand and counteract the large fiscal impulse. Given the state of disintermediation, the Bank's current low interest rate policy appears appropriate. The alternative strategy of sterilised intervention might have only limited direct impact on domestic demand, while higher interest rates could provoke increased net portfolio inflows and thereby exacerbate the tendency for the exchange rate to appreciate. While this would help reduce demand pressures and slow the economy by making domestic exports less competitive and increasing imports, it would also result in a still higher current-account deficit and increase the risk of exchange-rate turmoil.

In sum, there appears to be no credible alternative to a substantial fiscal consolidation. While high privatisation revenues and strong capital inflows should contain inflationary pressures in the short term, they do not redress the fundamental imbalances represented by the twin deficits, which must be addressed in the next year or two if a period of economic instability is to be avoided. In this regard, the monetary authorities are largely powerless and responsibility lies firmly with fiscal policy. While making cuts to expenditure is never easy, the following chapter suggests a number of changes that could be made to public-expenditure management that could minimise the social and political costs of such cuts, which would help restore internal and external balance and thereby prepare the groundwork for a period of sustained high growth.

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III. Improving the efficiency and sustainability of public expenditure

The first decade of the transition in the Czech Republic witnessed a dramatic rise in the share of output produced by privately-owned firms, which rose from only 13 per cent of GDP in 1990 to more than 77 per cent in 1999 (CSO, 2001). Nevertheless, public expenditure remained a more or less constant share of GDP during the period 1993-99. In 2000, it rose to 46.4 per cent of GDP, and is now above the OECD average and higher than in other transition economies such as Slovakia and Poland. Meanwhile, revenues have grown much less quickly and, as a consequence, the general government deficit has increased substantially. Moreover, as indicated in Chapter II, the current imbalance is largely structural in nature and could threaten economic stability over the medium term.

Looking forward, these developments and the sustained build-up of "hidden debts" since the beginning of the transition portend a rapid rise in debt and debt-servicing costs. Moreover, a number of medium-term factors are likely to place further pressures on the public purse. In particular, the ageing of the population will increase public health and pension payments, while revenues will be adversely affected by the shrinking of the working-age (and tax-paying) population relative to the number of dependent individuals. At the same time, the creation of new regional governments and accession to the EU are likely to raise expenditures, although EU assistance may help offset costs associated with higher environmental standards, required infrastructural investment and other institutional reforms. Finally, the transfer of spending power from the centre to the new regional authorities and increased reliance on extra-budgetary funds have reduced the share of public expenditure that comes directly under the budget, thereby limiting the authorities' capacity to execute macro policy.

In this overall context, a thorough review of public expenditure and the institutions that govern it appears in order. All the more so because Czechs already face a high tax burden and, not least given the country's level of development, increasing taxes to meet current and future shortfalls does not appear to be a viable option (see OECD, 2000). Rather, the authorities need to take a close look at how public money is spent with an eye to improving the efficiency with which

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services are delivered and using the ensuing savings to reduce the deficit. This will require a substantial transformation of the budgetary and policy formation process, but it is a feasible challenge and essential if medium and long-term budgetary stability is to be achieved.

The next section of this chapter presents Czech public-sector spending in an international perspective and it is followed by a description of existing expenditure planning and control procedures. The major policy challenges raised by these structures are then analysed and reforms proposed. Finally, the chapter concludes with a short summary.

Public expenditure in the Czech Republic

The general government sector in the Czech Republic consists of the central government (State Budget), nine central extra-budgetary funds (including two newly established ones), the healthcare system[24] and local governments. The State Budget is the focus of most political and press commentary and until recently it has been broadly in balance. However, it represents a shrinking proportion of the expenditures of the general government, the balance of which has deteriorated in almost every year since 1993.

In this chapter, public expenditure refers to that of the general government. Unemployment insurance, pensions and elements of the social-security system are included in the State Budget. The Czech Statistical Office (CSO) compiles fiscal data for government accounts according to the System of National Accounts. However, for the moment they are only available up to 1998. The CSO plans to produce annual SNA-compatible accounts in a timely manner beginning in 2002 and quarterly accounts beginning in 2003. As a result, the data used here are based on the Ministry of Finance sources, calculated on the basis of the IMF's A *Manual on Government Financial Statistics* (GFS). However, in an effort to improve their consistency with statistics produced by other OECD countries, most of which compile government accounts according to the Systems of National Accounts (SNA), the OECD has made several adjustments to the Czech GFS data. The most important of these include the exclusion of privatisation revenues and of certain local-government asset sales[25] and the booking of the losses of *Konsolidacni banka* (KoB) in the year after they occurred. In addition to these changes which impact overall revenue, expenditure and the government's balance; the composition of spending is also adjusted to improve comparability across countries. Box 2 describes in more detail the various adjustments made. While closer to SNA concepts, these data are not fully SNA compatible. In the first place, no serious attempt was made to make accrual adjustments and no imputation for the depreciation of government-fixed capital has been made. Nevertheless – especially as concerns current revenues and expenditures – the OECD estimates and official

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Box 2. OECD adjustments to the GFS accounts

The data on public expenditure used in this chapter are derived from the official GFS data but several adjustments have been made in an effort to increase the correspondence between GFS expenditure categories and those of the SNA. These include both changes that affect the overall balance of the accounts as well as those that merely reallocate items across categories.

Changes that alter aggregates

- Privatisation revenues are treated as a financing item rather than as repayment (*i.e.* negative net lending).
- Revenue from local governments' sale of options on the shares of electric and gas utilities has been treated as privatisation revenue (thus a financing item) rather than capital revenue as in official Czech accounts.
- Loans extended by the state and receipts of principal payments are treated as financing items rather than expenditure or revenue as in official Czech GFS accounts.
- Government transfers to cover the losses of K*onsolidacni banka*, which are treated in the GFS as subsidies are recorded below the line as net capital expenditures.
- These transfers are recorded in the year after the loss was recorded in KoB's books. Generally, this is the treatment in the GFS but in several instances recording was further delayed – resulting in a very uneven pattern (see Annex I).
- An estimate of the cost of social-security contributions for government workers is made and is added to both government revenues and expenditures in accordance with the SNA principles (these are consolidated out in GFS).

Compositional change

- Health payments for medical treatment paid for by the compulsory insurance regime, which are recorded as income transfers in the GFS, are re-classified as government non-wage consumption.
- Subsidies to "contributory organisations", *i.e.* organisations providing social services on behalf of the government and non-profit organisations more than half of whose revenues come from the state, are re-classified as government consumption.
- Total government consumption is decomposed into wages and non-wage consumption by subtracting from the adjusted GFS aggregate the product of average general-government wages and employment as reported by the CSO.

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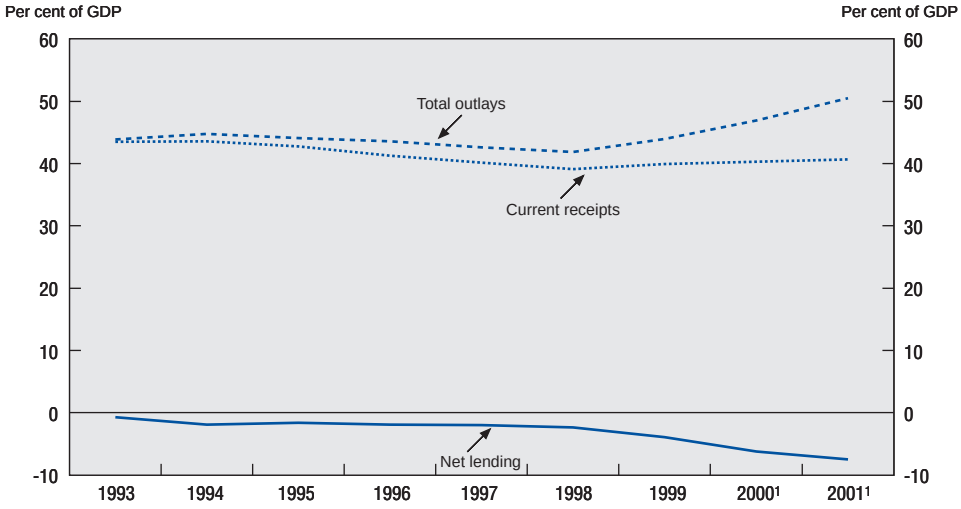
SNA data have similar magnitudes and trends for those years where both are available.

International comparison and aggregate developments

During the first several years following the Czech Republic's separation from Slovakia, general government expenditure fluctuated around 44 per cent of GDP. In 1998, after the introduction of a fiscal stabilisation package the year before, it dropped to 41.9 per cent of GDP but this budgetary contraction proved short-lived and, beginning in 1999, expenditure began rising rapidly (Figure 15). By 2000 it had reached 46.4 per cent of GDP, substantially above the OECD average of 37.9 per cent and higher than levels of other low and middle-income OECD countries such as Portugal, Spain, Slovakia and Poland and more than double those of Mexico and Korea (Figure 16). High levels of expenditure are a feature the Czech Republic shares with Hungary, Poland and Slovakia, partly as a legacy of their earlier regimes that left them with highly developed social welfare systems. However, the rising share of public expenditure in GDP in the Czech Republic contrasts sharply with falling shares in Hungary and Poland – where, at the beginning of the transition, public expenditure was as high as 55 per cent of GDP.

Figure 15. **General government expenditures and receipts**



1. Estimates.
Source: OECD Economic Outlook.

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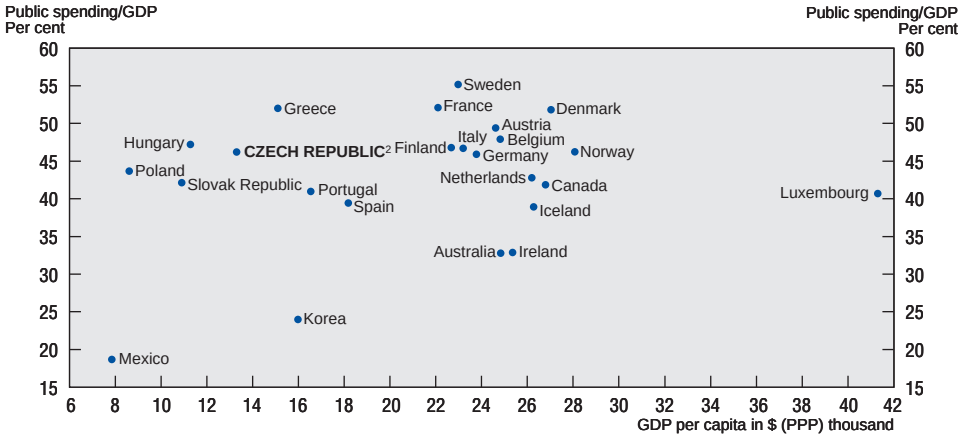
Figure 16. **General government spending and income levels**
1999[1]



1. Public spending is defined as the sum of current outlays and net capital outlays. Data are based on SNA93/ESA95 except for the Czech Republic and Hungary where figures from Government Financial Statistics (GFS) and are adjusted by the OECD to broadly match SNA93.
2. Data for the Czech Republic concern 2000.

Source: OECD; Instituto Nacional de Estadistica, Geografia e Informatica (INEGI) for Mexico.

The Czech Republic's small debt,[26] low unemployment rates (during much of the 1990s), its comprehensive social-welfare system and a tradition of state involvement in production are all reflected in the structure of public spending by economic category (Figure 17). Debt servicing charges as a share of GDP are, at 1.1 per cent, the lowest among OECD countries. As a result, in terms of primary expenditures,[27] the Czech Republic has one of the highest spending rates in the OECD just behind France, Austria and the Nordic countries and well ahead of other low- to medium-income countries (Figure 18). Moreover, virtually all sub-categories of spending are above the OECD average, and higher than those observed in other low- to middle-income OECD countries (Table 16). The mix of government expenditure has been characterised by rising "mandatory expenditures"[28] such as social transfers, which increased relatively slowly from 1993 to 1996 before rising more rapidly as the economy slowed down. Similarly, the government wage bill rose steadily between 1993 and 1996 before efforts to cut spending saw wage freezes introduced and the wage bill fell to 7.3 per cent of GDP. For most of the decade, these increases were offset by cuts elsewhere. Investment spending fell from 5.9 per cent of GDP to 5.2 in 1999, while non-wage expenditure on goods and services trended down from some 14.5 per cent of GDP in 1993 to about 12 per cent in 1999.[29]

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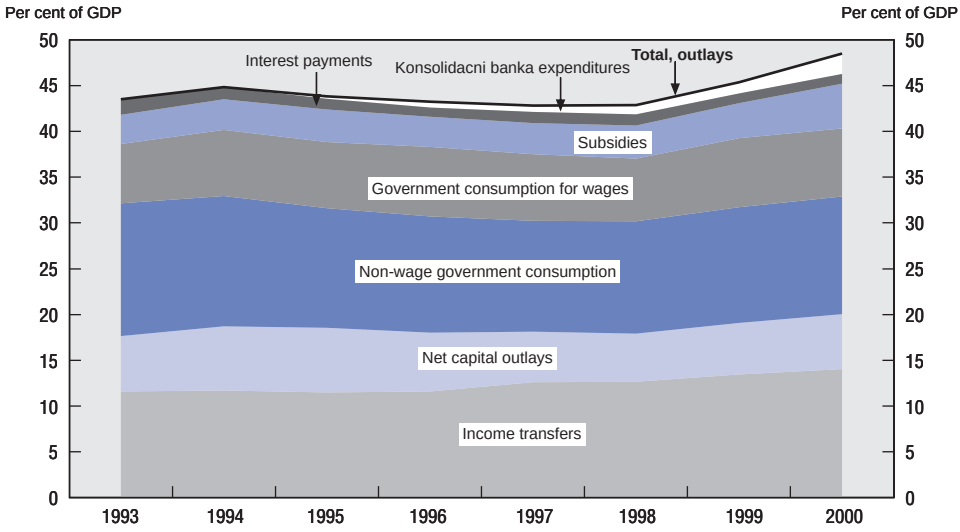
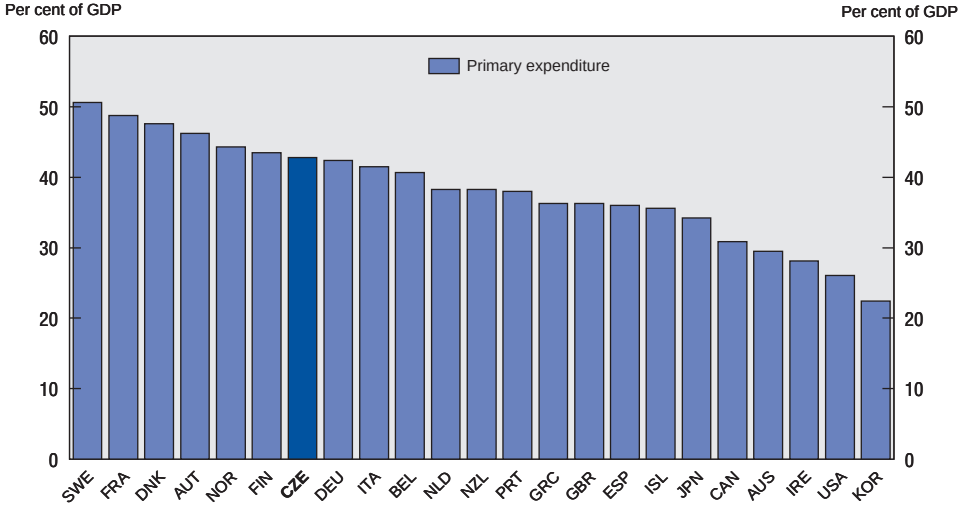
Figure 17. **General government outlays by economic category**



Source: OECD, revised GFS (Government Financial Statistics) accounts.

Figure 18. **General government primary expenditure**
1999



Source: OECD.

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Table 16. **General government outlays by economic category in OECD countries**
1999

	Income transfers	Subsidies	Interest payments	Consumption	Net capital outlays[1]	Total outlays
	Per cent of GDP					
Australia	8.3	1.2	2.3	18.4	1.6	31.8
Austria	18.7	2.7	3.6	19.7	5.1	49.8
Belgium	14.7	1.5	7.2	21.4	3.1	47.9
Canada	11.4	1.1	7.9	18.3	0.0	38.8
Czech Republic	**14.0**	**2.9**	**1.0**	**19.6**	**5.2**	**42.7**
Denmark	17.7	2.3	4.7	25.7	1.8	52.3
Finland	13.2	1.6	3.5	21.5	7.2	47.0
France	18.4	1.3	3.4	23.7	5.3	52.1
Germany	18.9	1.7	3.5	19.0	2.7	45.9
Greece	15.8	0.2	7.6	15.0	5.3	43.9
Ireland	10.5	0.7	2.8	12.7	4.1	30.9
Italy	17.4	1.3	6.8	18.1	4.6	48.3
Japan	15.1	0.6	3.9	10.3	8.1	38.1
Korea	3.2	0.3	1.1	10.1	8.8	23.5
Netherlands	12.5	1.6	4.4	22.8	1.4	42.7
Norway	15.5	2.8	1.9	21.2	4.8	46.2
Poland	17.2	2.1	4.0	15.1	4.1	42.5
Portugal	11.9	1.0	3.2	20.2	4.9	41.3
Spain	12.5	1.2	3.6	17.3	5.0	39.6
Sweden	19.1	2.0	5.5	27.0	2.5	56.0
United Kingdom	13.5	0.6	2.8	18.4	3.8	39.1
United States	10.7	0.3	3.8	14.3	0.9	30.0
Euro area	16.9	1.5	4.4	19.9	4.1	46.7
OECD	13.4	0.8	4.0	16.0	3.4	37.5

1. Net fixed investment plus net capital transfers.
Source: OECD Analytical Database figures underlying OECD *Economic Outlook* 68, December 2000.

About one-quarter of subsidies are directed towards agriculture (Table 17). Transportation subsidies, including for the railway, are also large. Subsidies to industry are principally focused on supporting the reduction of the mining sector, while a small amount of subsidies to regional development and support for SMEs are also available. Municipalities provided about 27 per cent (in 1999) of all subsidies but further detail is not available. Finally, employment in the general government sector has been stable at some 15 per cent of total employment in the second half of 1990s. However, public employment, including that of public enterprises, is much higher at 23 per cent of total employment, down from 30½ per cent in the first half of 1990s (Table 18).

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Table 17. **Subsidies as defined in the state budget**[1]

	1997	1998	1999
	CZK billion		
State budget subsidies (A)	**27.4**	**25.8**	**26.4**
Ministry of Agriculture	6.2	9.2	9.8
of which:			
Subsidies to the agricultural support and guarantee fund	3.4	3.6	2.4
Subsidies to raise revenues of agricultural producers	0.0	0.0	4.3
Other agricultural support programmes	0.0	0.0	2.0
Direct subsidies to forestry	0.3	0.3	0.3
R&D activities	0.1	0.1	0.1
Ministry of Transport			
of which:			
Passenger rail transport	5.9	6.6	7.5
of which:			
Sharing of costs of railroads	–	2.1	2.8
Contributions to cover the losses of passenger rail transport	–	3.7	3.3
Principal repayment of a loan for Czech Railways	0.0	0.0	1.0
Repair of flood damage	0.3	0.4	0.1
Ministry of Industry	5.0	5.1	5.7
of which:			
Mine closure programme	4.3	4.4	3.8
Land reclamation	0.0	0.2	0.2
Support of small and medium-sized enterprises	0.0	0.0	0.6
R&D activities	0.8	0.5	0.7
Regional development programme	0.0	0.0	0.3
Ministry of Education	2.0	1.5	1.7
Ministry of Labour and Social Affairs	0.2	0.4	0.8
Others	8.1	3.0	0.9
of which:			
Czech-Moravian Guarantee and Development Bank	2.0	2.6	0.8
Heating subsidies[2]	5.2	0.1	0.0
Export subsidies	0.9	0.3	0.1
Local budget subsidies (B)	**8.9**	**9.0**	**9.8**
of which:			
Regional public transportation	–	2.8	3.2
Total government subsidies (A + B)	**36.3**	**34.8**	**36.2**

1. Excludes *Konsolidační banka* losses, guarantee calls and costs related to the clean-up of the banking sector which are included in the primary data on state subsidies.
2. Since 1998 heating subsidies are classified as part of the state support programme.

Source: State budget closing accounts of the Czech Republic.

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Table 18. **General government employment in selected OECD countries**[1]

	1993	1995	1998
	Per cent of total employment		
Czech Republic	–	15.4	15.0
(including public enterprises)	–	30.5	22.8
France	21.5	21.6	–
Germany	15.4	14.8	–
Italy	18.0	17.5	17.0[2]
Hungary	–	24.6	22.5
Portugal	15.0	15.2	15.2
(including public enterprises)	15.7	–	–
Spain	12.2	12.3	12.4
(including public enterprises)	15.2	15.0	14.1
Greece[1]	12.3	12.4	12.3
(including public enterprises)	15.7	15.9	15.5
Korea	4.7	4.4	4.5
Mexico	12.0	–	11.5[2]
(including public enterprises)	13.6	–	12.9[2]

1. Public employment refers to the general government sector excluding social security administrations and public enterprises. Figures for Greece include social security administration.
2. 1997 figures.

Source: Czech Statistical Office; OECD Public Sector Pay and Employment Database; OECD *Economic Surveys – Mexico* (2000); EPA, Encuesta de Poblacion Activa, for Spain; Greek Ministry of National Economy.

Looking at the functional distribution, spending in the Czech Republic does not look much different from that in other countries. The expenditure share of "pure" public goods such as general public services and defence remained relatively stable at 6 per cent of GDP during the mid-1990s, though a drop was observed in 1997 (Table 19). Merit goods, such as education and health, accounted for some 11 per cent throughout the 1990s – roughly in line with most of OECD member countries, although relative to other middle-income countries, the Czech Republic spends relatively more on health (6 per cent of GDP) and less on education (4½ per cent in 1997). Spending on economic services (the provision or co-funding of private goods and service consumption by the state) is higher than in most advanced OECD countries (6 per cent of GDP), but is similar to other middle-income countries such as Portugal and Spain. Social transfer spending in 1997 was particularly high and was even higher in 2000 (12½ per cent of GDP in 2000).[30] Pension outlays in the total are much higher than average. Compared with Portugal and Spain, the Czech Republic spends much more on universal benefits such as family cash benefits and less on unemployment benefits.

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Table 19. **Structure of government outlays by function**

1995

	Total expenditure	Public goods				Merit goods			
		Total	Defence	General public services	Other functions	Total	Education	Health	Other social services
	Per cent of GDP[1]								
Australia	37.7	8.2	1.9	3.0	3.3	10.5	4.5	5.5	0.5
Austria	52.2	4.5	0.9	3.6	0.0	11.9	5.3	5.7	0.8
Canada	46.3	2.9	1.4	1.5	0.0	12.3	5.8	6.5	0.0
Czech Republic (1997)	**40.8**	**3.9**	**1.6**	**2.3**	**0.0**	**11.1**	**4.4**	**6.1**	**0.5**
Denmark	59.9	6.0	1.7	4.3	0.0	16.5	6.5	5.1	4.9
Finland	54.3	3.3	1.6	1.6	0.1	15.2	6.6	5.6	3.0
France (1993)	55.4	9.2	2.9	4.5	1.8	14.1	5.9	7.1	1.1
Germany	49.7	5.2	1.4	3.9	0.0	13.9	4.5	8.0	1.3
Italy	52.2	6.5	1.7	4.5	0.3	10.2	4.5	5.3	0.3
Japan	36.5	4.5	0.9	3.6	0.0	10.1	3.8	5.6	0.6
Korea	19.2	5.7	2.9	2.0	0.8	5.6	3.6	1.8	0.2
Netherlands	52.2	11.6	1.8	9.8	. .	12.0	4.6	6.5	1.0
New Zealand (1994)	38.9	5.3	1.1	4.2	0.0	10.6	5.2	5.3	0.1
Norway	52.0	6.3	2.6	3.1	0.6	18.4	6.8	6.6	5.1
Portugal	49.9	8.3	2.2	2.0	4.1	10.6	5.4	4.7	0.5
Spain	45.2	9.9	1.4	1.8	6.7	10.6	4.8	5.5	0.3
Sweden	64.5	5.4	2.3	3.0	0.1	17.2	6.6	5.7	4.9
United Kingdom	43.6	5.4	3.2	1.9	0.2	11.5	4.6	5.7	1.2
United States	34.3	9.2	5.2	2.9	1.0	11.9	5.0	6.5	0.4

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Table 19. **Structure of government outlays by function** (*cont.*)

1995

	Income transfers							Economic Services	Public debt interest
	Total	Pensions	Disability	Sickness	Family cash benefits	Unemployment	Housing and other benefits		
	Per cent of GDP[1]								
Australia	9.0	3.2	1.2	0.1	2.2	2.0	0.3	5.6	4.1
Austria	19.2	13.1	1.7	0.2	1.9	1.8	0.4	3.1	4.4
Canada	11.5	4.8	1.0	0.1	0.8	1.8	3.1	2.4	9.6
Czech Republic (1997)	**12.4**	**7.3**	**1.6**	**1.1**	**1.8**	**0.3**	**0.4**	**5.7**	**1.2**
Denmark	20.8	7.4	2.2	0.6	1.9	6.3	2.3	5.6	6.4
Finland	22.5	8.9	3.9	9.5	2.7	5.5	1.1	1.1	4.0
France (1993)	20.9	12.0	1.5	0.6	2.2	3.3	1.3	3.1	3.5
Germany	18.2	10.7	1.4	0.5	1.2	3.7	0.8	4.5	3.7
Italy	17.9	13.5	1.8	0.1	0.4	2.0	0.0	4.6	11.5
Japan	12.8	6.2	0.5	0.1	0.2	0.5	2.9	5.3	3.8
Korea	1.8	1.3	0.3	. .	0.0	0.1	0.1	3.7	0.5
Netherlands	19.2	7.5	3.9	1.9	1.0	4.0	1.0	6.4	5.9
New Zealand (1994)	13.5	6.0	1.7	1.1	2.0	2.0	0.7	0.0	4.8
Norway	15.9	6.2	2.7	1.2	2.3	2.4	1.1	7.2	2.8
Portugal	12.1	7.3	1.7	0.6	0.7	1.7	0.1	6.3	6.3
Spain	14.9	8.9	1.3	1.1	0.3	3.2	0.2	5.9	5.2
Sweden	21.2	8.6	2.7	1.1	2.0	4.5	2.1	3.4	6.8
United Kingdom	15.6	7.3	2.8	0.2	1.9	1.3	2.1	3.3	3.6
United States	9.4	6.5	1.0	0.3	0.3	0.6	0.6	2.8	4.8

1. Expenditures by function may not add up to total expenditure as these are derived from different sources. In particular, expenditures by function refer to fiscal years and total expenditure to calendar years; moreover, total expenditure is net of capital transfers received.

Source: OECD: *National Accounts*, Social Expenditure Database, *Education at a Glance* and *Survey of Current Business*; Ministry of Finance of the Czech Republic.

Table 20. **Tax expenditure**

	CZK billion	Per cent of GDP
1. Personal income tax	**64.2**	**3.3**
Tax allowances	64.2	3.3
Personal allowance	44.0	2.2
Child and spousal allowance	16.5	0.8
Disabled child and spousal allowance	0.1	0.0
Partial disability allowance	0.4	0.0
Student allowance	0.3	0.0
Deduction of gifts to municipalities, etc	0.6	0.0
Mortgage interest deduction	1.6	0.1
Investment deduction	0.7	0.0
2. Pensions[1]	**35.0**	**1.8**
Tax allowances	35.0	1.8
Contributions	(20.0)	(1.0)
Benefits	35.0	1.8
3. Corporate income tax	**22.0**	**1.1**
Tax allowances	6.9	0.4
Investment allowance	3.4	0.2
Donation relief	0.2	0.0
Relief for non-profit employers	3.3	0.2
Tax credits	1.7	0.1
Tax credits for disabled employees	1.0	0.1
Tax credits for partially-disabled employees	0.7	0.0
Tax exempt income[2]	13.4	0.7
4. VAT	**3.0**	**0.2**
5. Excise duties	**0.2**	**0.0**
Total tax expenditure	**124.9**	**6.4**

1. On the principle that income should be taxed only once, only one of these tax expenditures on pensions should be counted as such. Of the two, it is that which exempts benefits that best captures the tax expenditure incurred.
2. Includes income from regulated rents, collections in churches, etc.

Source: Ministry of Finance.

While not recorded as government spending, personal tax expenditures appear mainly focused on poverty alleviation and at 3½ per cent of GDP in 1999, exceed by a wide margin social assistance spending (Table 20). Pension-related exemptions – both contributions and benefits are tax exempt – are the second largest form of tax expenditure at 1 and 1.8 per cent of GDP respectively with the latter number a better estimate of the total tax expenditure.[31] Investment and regional development incentives form the next largest form of tax expenditure. Moreover, they are likely to grow because the number and size of these investment incentives have expanded importantly in recent years. Associated tax expenditures will only begin to be observed when these investments begin to generate profits.

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Expenditure management

The evolution of public expenditure and its structure at any given time is the result of a complex process in which society's needs, the political process and budgetary and policy-making institutions interact. As described briefly in Chapter II, the Ministry of Finance is increasingly attempting to raise the profile of the notion of the general government when discussing fiscal policy and government spending in general. Indeed, beginning in 1999 the financial balance of the general government sector as a whole has been reported in budget documents and during the course of 2000 the authorities made a point of reporting estimates of the general government deficit alongside those of the State Budget. Nevertheless, the budget process and parliament's attention remain concentrated on the State Budget, which in 2000 represented some 66 per cent of general government spending. The Czech government also operates a number of extra-budgetary funds,[32] which represented some 5 per cent of general government spending in 2000. That share is expected to rise to 11 per cent of the state budget in 2001 following the establishment of two new funds and increased spending by the National Property Fund to clean up the banking sector. Finally expenditures of the local level of government comprise some 19 per cent of overall spending.[33] In addition, as described in the previous chapter, the fiscal activity of the government has and continues to include the creation of various contingent liabilities.

Central government

The *State Budget* is produced annually in a process that begins with the preparation of the closing accounts of the previous year by the Ministry of Finance. Based on this exercise and its most recent macro projections, the Ministry of Finance, in combination with the cabinet, proposes spending ceilings for the forthcoming year (Box 3). Following an iterative process between Cabinet, line ministries and the Ministry of Finance a draft budget is presented to Parliament, usually in September. It then passes through three readings (and frequently substantial amendments) before being passed towards the end of the year. Despite new requirements that line ministries present multi-year estimates of programme spending (see below), the budget process retains a one-year focus and line ministries' estimates are not consistent with the multi-year fiscal outlook presented by the Ministry of Finance after the budget is finalised.[34]

The Treasury Division of the Ministry of Finance monitors compliance with the State Budget on an ongoing basis and provides the government with quarterly reports. All changes within the approved budget are also reported to the Parliament in a state-budget compliance report.[35] The state closing accounts include information on the development of sub-national budgets and extra-budgetary

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Box 3. The State Budget process

The *state budget* is the largest and most visible component of public expenditure. It covers the expenditures (and revenues) of individual ministries as well as transfers that offset the spending of some extra-budgetary funds and those of district and municipal authorities. Early in the new year the budget process begins with the Ministry of Finance preparing its closing statement comparing the previous year's budget with the original estimates. After updating its macroeconomic projection (including revenue estimates) in March and April, the Ministry of Finance circulates to spending ministries a guideline for budget proposals, including a statement of the government's policy priorities and indicative spending ceilings for each ministry on the basis of the previous year's budget. Based on these guidelines, ministries make detailed spending proposals within their assigned ceilings together with prioritised lists of existing and new measures that cannot be funded within the ceiling. The Ministry of Finance reviews these "bids" for additional funding – mostly at the working level. It then presents its revised budget proposal to the cabinet in parallel with the proposals of the spending ministries in cases where there was no agreement with the MoF. These competing proposals are then discussed and ministry spending ceilings are agreed to. These are proposed to Parliament as a draft budget, usually by the end of September.

The Chamber of Deputies of the Parliament (the lower house) discusses, amends and ultimately approves the state budget in three stages. During the first reading, it determines the total volume of the state budget revenues and expenditures, the budget balance and the volume of transfers allocated to sub-national governments and municipalities. Once set, these budget quantities can no longer be modified, although individual items within these aggregates can be reallocated over sub-categories. During its second reading, the budget passes to various committees, with the Budget committee assuming a lead role by taking recommendations from the others and integrating them into a new budget proposal. After the third reading, Parliament votes on the final version of the state budget that now includes alterations proposed during the second stage. Following approval, each ministry translates the budget allocations into finalised programs and adds sub-programme detail. Spending ministries are given a wide range of flexibility in distributing resources across programs as only the total volume of individual chapters of the state budget is fixed by the budget.

funds. According to the new Act on Budgetary Rules, municipalities are required to report on budgetary developments each semester – allowing this information to be included in half-yearly reports of the general government. In addition to this monitoring function, the Supreme Audit Office (SAO) examines the execution of the state budget on a regular basis to ensure appropriate use of public spending. Owing to their special status, some extra-budgetary funds are not subject to such scrutiny (see below).

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The *discretionary components of the State Budget* are subject to a hard budget constraint, largely because they have no legal basis other than the Budget Act. Daily updates to treasury accounts permit the Ministry of Finance and spending ministries to track spending carefully and to discern potential problems in a timely manner. During the course of the year, individual ministries are required to respect budget spending limits and the MoF can, and does, impose reductions to discretionary spending programmes in an effort to ensure that overall balance between revenues and expenditures is met.

So-called *mandatory spending* includes social transfers, health insurance and debt servicing payments. These accounted for 53 per cent of total state budget expenditure in 2000, up from 43 per cent in 1995 (Table 21), with 6 percentage points of this increase due to social transfers alone. When other quasi-mandatory items such as military spending and wage expenses of public administration are classified as mandatory, the share of mandatory expenditures in the State Budget rises to more than 80 per cent. Notwithstanding the treasury division's monitoring process, the Ministry of Finance's capacity to restrain mandatory expenditures within a given year is seriously limited because such spending is dictated by independent legislation and cannot be reduced except by amendment to such laws. However, spending between years is affected by political decisions and is susceptible to expenditure planning. Indeed, past decisions to raise mandatory spending during the period of perceived economic and fiscal strength contributed significantly to the 10 per cent of GDP increase in this kind of spending between 1995 and 2000. For example, had pension benefit levels increased only by the amount prescribed in the 1991 law governing their indexation,[36] OECD calculations suggest that spending in this area would have increased by only half as much as actually observed in the period 1993-2000 (Figure 19). Indeed, fully one-quarter of current pension spending, or about 2.9 per cent of GDP, can be traced back to explicit political decisions to increase the generosity of pensions.

Tax expenditures (tax allowances and credits) are not explicitly considered within the state budget nor addressed in a separate official document.[37] Although, like more traditional expenditures, they seek to promote various policy goals, they are not subject to the same intensity of governmental and parliamentary scrutiny. The revenue impact of new tax expenditures is analysed when they are proposed but there is no process by which they are reviewed once in place and their costs are not calculated on a regular basis.

Extra budgetary funds are only partly integrated into the state budget process. At present, there are seven "standard" extra-budgetary funds and two special ones, the National Property Fund (FNM) and the Czech Land Fund (Box 4). Most of the standard ones are small and existed prior to the transition. They depend on special acts authorising specific budgetary operations and laws earmarking revenues to these tasks. Until recently, the share of these funds in total

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Table 21. **Mandatory spending**

		1995	1996	1997	1998	1999	2000	2001
		CZK million						
A.	**Mandatory expenditure stipulated by law**	184 466	225 849	260 215	285 420	304 721	330 401	352 721
	1. Social transfers	160 434	184 291	210 642	228 500	247 276	267 923	282 660
	Pensions	109 807	127 579	150 231	166 119	177 854	185 900	197 786
	Sick leave benefits, etc.	18 098	20 445	19 864	18 577	19 337	27 779	28 701
	Social assistance benefits	1 195	26 692	29 237	29 637	31 328	32 500	33 240
	Earmarked transfers to local budgets	4 112	4 175	5 195	6 644	9 268	11 300	11 883
	2. State contribution to health insurance system	13 302	16 436	18 362	23 390	27 424	27 754	28 012
	3. Debt service	2 647	14 049	17 591	18 545	16 105	17 781	20 509
	4. State contribution to housing	1 112	3 211	3 826	5 097	6 393	7 190	8 900
	5. Transfers to state funds	850	1 050	1 115	1 360	2 888	2 430	4 240
	6. Other	6 120	7 712	8 679	8 528	4 635	7 323	8 400
B.	**Other mandatory expenditure**	9 216	4 933	6 378	14 168	5 992	5 380	5 477
	1. Mandatory expenditures stipulated by other legislative norms	162	104	123	411	221	475	672
	2. Expenditures ensuing from contracts	9 054	4 829	6 225	13 757	5 771	4 905	4 805
	State guarantees	782	90	1 599	6 683	979	3 000	879
	Government credits	7 577	4 064	3 591	5 146	3 221	171	2 110
C.	**Quasi-mandatory expenditure**	99 732	113 302	118 606	125 861	135 106	170 300	175 032
	1. Military expenditure (excluding social benefits)	25 855	27 749	28 381	3 435	38 155	40 127	40 886
	2. Wage costs of public administration and contribution units	72 243	84 607	88 902	89 767	94 136	94 770	114 764
	3. Capital expenditure predetermined by government decisions and contracts	0	0	0	0	0	30 500	13 140
	4. Other	1 634	946	1 323	1 759	2 815	4 903	6 242
	Total State Budget expenditure	432 738	484 279	524 668	566 741	596 909	624 484	651 918
		Per cent of state budget						
A.	Mandatory expenditure stipulated by law	42.6	46.6	49.6	50.4	51.0	52.9	54.1
	Social transfers	37.1	38.0	40.1	40.3	41.4	42.9	43.4
B.	Other mandatory expenditure	2.1	1.0	1.2	2.5	1.0	0.9	0.8
A + B.	Total mandatory expenditure	44.8	47.6	50.8	52.9	52.1	53.8	54.9
C.	Quasi-mandatory expenditure	23.0	23.4	22.6	22.2	22.6	27.3	26.8
A + B + C.	Mandatory and quasi-mandatory expenditure	67.8	71.0	73.4	75.1	74.7	81.0	81.8

Source: Ministry of Finance.

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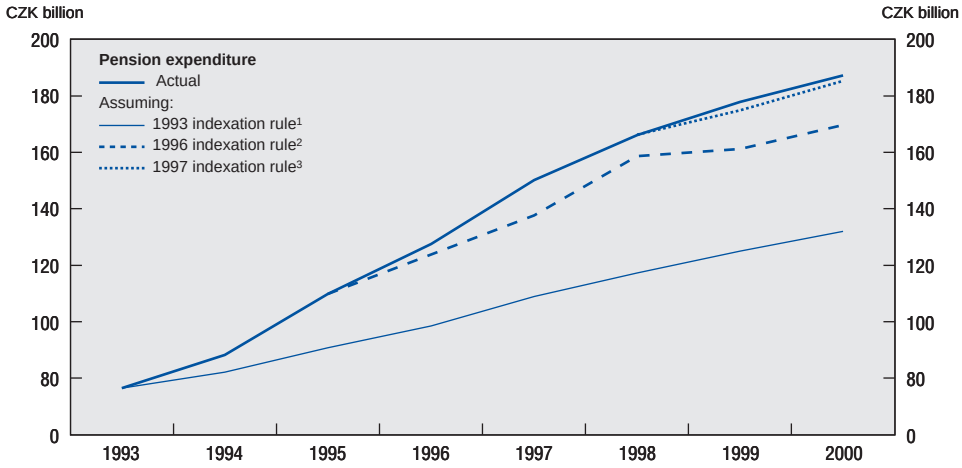
Figure 19. **Pension spending under various indexation rules**



1. Indexation rule stipulated in 1991 law.
2. Indexation rule stipulated in 1995 law.
3. Indexation rule stipulated in 1997 law.

Source: OECD calculations.

spending was declining, but this process came to an end in 1999 when the State Fund for Transport Infrastructure and the State Housing Development Fund were created. Most funds fall within the purview of a Ministry, which is usually in charge of determining its use of resources and its overall management. Funds and the programmes they finance are not subject to the same budgetary rules as the State Budget. In particular, the approval and monitoring processes are not as comprehensive and some are allowed to carry over their surpluses, can borrow from financial markets, issue guarantees and finance their deficits by selling their assets or reducing their deposits. Although the government and Parliament approve their budgets, the State Budget only specifies and monitors the direct funding provided to extra-budgetary funds. Given their capacity to take on debt, their actual spending can exceed that amount substantially. Thus, even though extra-budgetary funds accounted for only 4.8 per cent of consolidated general government spending in 2000, they accounted for 36.5 per cent of the overall deficit. Indeed, in recent years most of the increase in the general government deficit has occurred within the extra-budgetary sector with the majority of the shortfall having been generated by the National Property Fund.[38] While, much of this reflected explicit political decisions to minimise the recorded state budget deficit, it also likely reflects spending drift. The National Property Fund is particularly free from close

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Box 4. Extra-budgetary Funds

There are nine extra-budgetary funds in the Czech Republic of which eight are included in the general government account.*

Small funds

The ***State Fund for Support and Development of Czech Cinematography*** was founded 1992, and is responsible for financing cinematic projects. Its funding is determined by law and is relatively minor.

The ***State Fund for Culture*** was founded in 1992 and is responsible for creating new financial resources and institutional bases for cultural projects.

The ***State Fund for Soil Fertilisation*** was established in 1970 and is of minor importance. It is concerned with returning land to agriculture and water flow administration. Its main revenue sources include old claims (repayments), which are decreasing. Since 1990, it has not received direct state funding.

Medium-sized funds

The ***State Housing Development Fund*** is an instrument for securing extra-budgetary resources to support rental house construction, technical infrastructure and reconstruction. Its revenues derive mainly from the State Budget subsidies and grants from the National Property Fund. In addition, it has revenues from issued bonds and mortgage notes, instalments on credits, interest on deposits, penalties, insurance benefits and other payments from physical and juridical persons and contributions from the European Commission.

The ***State Fund for Transportation Infrastructure*** finances the development, construction, maintenance and modernisation of roads and highways, inland water roads and railways. It seeks to provide projects with budgetary stability by allowing unspent revenues to be rolled over into future years. Its revenues consist of: transfers from the National Property Fund and earmarked fees such as the road tax, highway-fees, yields of securities, credits, deposits and insurance benefits; juridical contributions from the European Commission, gifts and inheritance.

The ***State Environment Fund*** was created in 1991 and finances efforts at protecting and improving the living environment and in implementing state environmental policy. Its main revenues are fees related to water pollution, air pollution and waste deposal, and levies on the withdrawal of land from agriculture and forestry. The fund can receive transfers from the state budget and can provide subsidies, guarantee and extend loans.

Large and special funds

The ***Czech Land Fund*** was established in 1991 and is also funded from privatisation revenues, mostly profits from real-estate sales and the rental of state assets. These revenues can be supplemented by transfer from the state budget and the National Property Fund but only in case of emergency as provided for by the law. It has a legal status comparable to that of the FNM

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Box 4. **Extra-budgetary Funds** (*cont.*)

The ***National Property Fund*** (FNM) is the most important extra-budgetary fund in terms of resources and expenditure. It was founded 1991 and is charged with implementing the privatisation decisions of the government. In the case of direct sales it negotiates for the state and in the case of public tenders, it manages the process. When a privatisation project includes the creation of a joint-stock company and the subsequent sale of its shares, the FNM initially creates the joint-stock company and, until the sale is complete, is its main shareholder. The main revenue of the FNM consists of privatisation receipts. Basically, its resources may be used to reduce the debts of the state (*i.e.* paying non-recoverable claims of privatised firms and compensating owners of privatised firms for pre-existing ecological damages). Its special legal status makes it partially exempt from the usual scrutiny of the Supreme Audit Office.

* The Agricultural Intervention Fund (formerly the State Fund for Market Regulation) provides mainly services on a market basis and is classified as "trade organisation". It is not included in the general government sector in accordance with GFS and ESA principles.

supervision. Although the Supreme Audit Office does conduct audits of specific FNM activities, it cannot audit its overall performance. Moreover, while subject to government oversight via its supervisory board, the decisions on how the FNM disposes of its revenues or issues guarantees are not subject to parliamentary approval.

Sub-national government

The fiscal relationship between the central and sub-national levels of government is complicated. Until 2001 there was no regional level of government *per se* although 77 district offices supervised the distribution of central government services among 6 251 independent municipalities.[39] Local government spending accounted for 21 per cent of general government primary expenditures, but their revenues (both own and shared central tax revenues) were equal to only 51 per cent of that amount – transfers from the central government (about 24 per cent of total local expenditures) and privatisation revenues made up the rest. Local governments are responsible for delivery of most social services in the Czech Republic and this is reflected in the high share of merit goods, such as housing, recreation and transportation that they deliver (Table 22). Although internationally consistent data are not available, it would appear that, compared with other OECD countries, sub-national governments in the Czech Republic spend less on the

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Table 22. **Expenditure by level of government**

	1993		1996		1999	
	Central government	Local government	Central government	Local government	Central government	Local government
	Per cent of total					
General public services	67	33	61	39	44	56
Public order and safety	95	5	87	13	82	18
Education	79	21	80	20	82	18
Health	77	23	94	6	94	6
Social security and welfare	94	6	78	22	92	8
Housing and community amenities	20	80	9	91	21	79
Recreation, cultural and religious affairs and services	42	58	36	64	38	62
Transportation and communications	62	38	55	45	53	47

Notes: Central government includes the social-security system while local government includes district offices. Expenditure shares need not necessarily reflect decision-making power at that level.
Source: Ministry of Finance, Government Financial Statistics.

provision of merit goods such as health and education, although at the general government level spending ratios are about average.

Following elections in November 2000, 14 new regional governments with democratically-elected assemblies came into being. While the full extent of their powers and responsibilities have yet to be decided (Box 5 provides an overview of what is currently known), the introduction of a new layer of sub-national government does not appear to have changed the budgetary role of municipalities. Their activities continue to lie outside of the state budget and the budgetary planning process; a considerable amount of their funding still comes from shared tax revenues and they still administer a number of important social programmes that are designed and paid for by the central government. The budgetary process for municipalities is similar to that of the central government. Each municipal administration prepares its own budget after taking into account available funding from the central government and the municipal assembly approves some version of this. Municipalities are required by law to publish a budget outlining revenues and expenditures by mid-year. Beyond assuring itself that these and other legal requirements are met, the central administration does not approve local government budgets, which are the sole competency of each municipal assembly. However, because municipalities are dependent on central government transfers for some

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Box 5. Powers and responsibilities of the new regional governments

Introduction

Under the previous political system, territorial administration within the Czech part of the Czechoslovak Federation was performed by seven centrally-controlled regions (*kraje*), subdivided into 77 subordinated districts (*okresy*). Municipalities were, in turn, subordinated to the district authorities. Beginning in 1990, this centralised model was replaced. Regions were completely abolished, the districts became detached parts of the central administration and more than 6 000 municipalities were granted control over primary education and complete autonomy in a number of areas, including the delivery of social services and public housing.

Following the dissolution of the Federation with Slovakia in 1993, the Constitution of the new Czech Republic mandated the establishment of regional self-governing administrations. However, these were not created until 1999, when Parliament legislated the creation of fourteen regions (including the capital region of Prague). The first elections to regional assemblies were held in November 2000 and the new regions began to exercise their administrative functions in January 2001. The current legislation establishes a transitional period lasting to the end of December 2002 during which the central government will gradually delegate more competencies to the regions while the existing districts will be replaced by about 190 new micro-districts whose administration will be entrusted to the yet to be selected municipalities or county seats (*poverene obce*).

Functions and expenditure assignments

Regions

The 14 regions have been delegated responsibility for managing secondary education (high schools as well as vocational schools) and selected health care (most hospitals) and social care (large residential facilities) functions. In addition, they are responsible for the maintenance of secondary highways and roads, waste management and water protection.

Municipalities and counties

Under the old system, the district offices performed four basic functions: serving as detached units of the central government's ministries, deciding on appeals of decisions of municipal authorities, supervising the use of financial transfers to municipalities and establishing local organisations for the delivery of public services in the areas of culture, education, health, social services and safety. As of 2001, some functions, assets and employees of the district offices have been transferred to the new regional administrations. The remaining functions and resources will be transferred to the new county offices by the end of 2002.[1] The 190 county offices will be responsible for monitoring decisions and ordinances issued by municipal authorities to ensure that they do not violate the law but municipalities are not subordinate either to the regional or county levels of government. They remain responsible for the management of child nurseries and senior citizens' homes, environmental protection, local transport, maintenance of local roads, primary schools, public housing, public safety and zoning by-laws.

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Box 5. Powers and responsibilities of the new regional governments (*cont.*)

New revenue assignments

Regions

During the 2001-02 transitional period, regional administrations will be financed directly by grants from the central budget. Tax sharing arrangements for the post-2002 period are under discussion but regions are expected to be assigned a share in all the tax bases available to municipalities (see below) although shares will differ. It has yet to be decided whether regions will be allowed to impose specific tax surcharges. The central government will continue to provide the grants financing the operation of regional assemblies, administrative agencies and secondary schools. Excepting teachers' salaries and school textbooks, grants will not be earmarked and regions will be allowed to use these revenues as they see fit. Regional governments will be allowed to take bank loans; however, their use of collateral will be restricted to assets specified in binding agreements with central authorities.

Municipalities and counties

From 2001 municipalities as a whole will receive 20.59 per cent of VAT, corporate income tax and wage, interest and dividend-related personal income tax revenues. As a group, municipalities will receive 14.413 per cent of other personal income tax revenues – mainly those from unincorporated businesses. The actual revenue intake of each municipality will be based on its population, adjusted for size by a coefficient increasing from 0.42 for the smallest settlements of less than 100 inhabitants to 2.76 in the case of Prague with more than a million residents. In addition, each municipality will receive 30 per cent of the personal income tax paid on unincorporated business revenues by its residents. County seats will take over some responsibilities from the current district offices and "inherit" corresponding transfers from the state budget.

In addition to revenue sharing, another major source of municipal revenues will be provided by the following *current* grants from the central authorities. First, unconditional grants will be provided to municipalities from the relevant state budget chapters, on a per capita basis, to finance social security, pre-school and primary education, children hospitals and administrative functions. Second, districts and eventually counties will receive a special transfer from the state budget. Third, programme financing will be provided and monitored by the relevant line ministry of the central government. Fourth, conditional cost-sharing grants will be provided to the municipalities participating in crime prevention, addiction treatment, active-labour-market and heritage-restoration activities. *Capital* grants, which account for approximately one-tenth of all grants will be provided on a cost-sharing basis for construction and maintenance of public housing, primary schools, natural gas networks, management of water supplies and environmental activities.

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Box 5. **Powers and responsibilities of the new regional governments** (*cont.*)

The Finance Ministry will monitor the fiscal position of local governments. Districts and later counties must present to the Ministry their audited accounts on a monthly basis whereas municipalities' audited accounts are due quarterly. It is expected that from 2003 the county administrations will monitor the flows of transfers from the central government to municipalities. In order to ensure an adequate level of municipal governance, all municipal clerks will be required to pass competence tests administered by the Ministry of Interior. Municipalities remain exempt from the provisions of the Bankruptcy Act, which is likely to make them less appealing to creditors.

New public employment patterns

In 2001, 685 new deputies of regional assemblies started to perform their duties. The new regional governments are expected to hire 1 385 new employees and an additional 1 300 civil servants are to be transferred from the central and district levels – representing an immediate net increase of 2 070 in public sector employment. As the details of this new and complicated governance structure are worked out and with the establishment of 190 county administrations to replace 77 district offices, there is a significant risk that public-sector employment will expand even further.[2]

1. All told some 900 municipalities will receive some delegated powers, the most basic of which being those of collecting vital statistics. Of these some 700 will also be charged with issuing building permits, 389 with maintaining land and business registers while about 190 will have the full range of district office functions delegated to them.
2. Indeed, the Czech Statistical Office indicates that the 0.3 per cent increase in public-sector employment in the first quarter of 2001 was mainly due to the regional reform.

24 per cent of their total revenue, the central government is able to exercise some budgetary influence at the local level. Municipalities are free to take on debt and may approve a deficit budget provided municipal guarantees or collateral cover the planned shortfall. The central government regularly monitors sub-national public borrowing and has at its disposal various sanctions and penalties for municipalities that fail to provide required levels of collateral. In case of financial difficulties, municipalities can ask the Ministry of Finance for temporary financial assistance – but it is not obligated to provide it and for the moment the issue has not arisen.

To date the substantial independence of local governments has not resulted in accumulations of large debts, partly because municipalities supplemented their current revenues with significant privatisation proceeds. As these resources inevitably run out, deficits may become more common. Alternatively, the already noticeable tendency for the quality of delegated services provided by

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municipalities to vary with their capacity to generate own revenues may become more severe. Here the ability of the central government to monitor service provision, a task currently executed by district offices, appears weak. So far, too little time has passed to comment on the spending behaviour of regional governments. However, despite incomplete specification of their relations with the central government, it would appear that they too will be subject to only limited control.

The planning horizon

The budget and policy planning processes have a relatively short-term horizon, although recent steps have extended it somewhat. As a result, policy makers are ill-equipped to judge the longer-term implications of their decisions, although the inclusion of a medium-term (five-year) fiscal projection in the 1999 budget was an important first step towards redressing this deficiency. The exercise was curtailed somewhat in the 2000 budget when the outlook was limited to three years and this shorter horizon has been incorporated into the new Budget Rules. These forecasts include only aggregate figures for overall revenue, expenditure, deficit and public debts in the general government sector. They are not integral to the budget process, and they are only presented after the budget is decided. As such, they act as an *ex post* illustration of medium-term fiscal pressures given the decisions already taken, rather than as an *ex ante* statement that might shape decision-making. Thus the projections included in the 2000 budget contrasted two scenarios, while the three-year fiscal outlook associated with the 2001 budget consisted of four (some of which were presented and discussed in Chapter II). Despite their shortened horizon, these scenarios also helped highlight the urgent need for strong fiscal consolidation measures to avoid a vicious cycle of higher deficit, rising debts and lower growth.

More recently, the authorities have attempted to deal with the medium-term impacts of policy changes on a more systematic basis. The new Act on Budgetary Rules (Box 6) requires that line ministries include in their estimates explicit three-year projections of individual budget lines and also requires most extra-budgetary funds to report medium-term budgets. In addition, each new draft law must now be accompanied with a medium-term estimate of its budgetary impact. While the Ministry of Finance comments on these, there is no requirement that they be approved by it and for the moment they are not aggregated to provide a consistent overall multi-year budget projection. Indeed, efforts to perform such an aggregation for the 2001 budget were unsuccessful – suggesting that the detailed projections conflicted with the medium-term fiscal outlook. Moreover, some ministries or inter-ministerial advisory commissions have established various multi-year plans. However, these tend to be *ad hoc* and are developed outside of the cabinet process, reflecting individual ministerial rather than government-level objectives. As a result, they too are often inconsistent with one another. While

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Box 6. New Act on Budgetary Rules

A New Act on Budgetary Rules was approved by Parliament in 2000 and entered into effect in 2001. It contains seven major changes.

First, the scope for variation from the original budget documents has been reduced. Unexpected revenues can no longer be spent without parliamentary assent, transforming approved expenditure estimates into an overall cap. Mandatory expenditures and EU related spending are still exceptions to this rule. Individual budget chapters may exceed estimates by a maximum of 5 per cent but only if this increase is offset by reduced spending elsewhere and is approved by the Ministry of Finance or the Cabinet. Within budgetary chapters, individual spending lines may not exceed original estimates by more than 10 per cent without parliamentary approval, even if the overall chapter ceiling is observed.

Second, rules on government guarantees were tightened substantially. Each individual guarantee must now be approved in a separate law, either at the time of the budget submission or separately. Moreover, the total volume of state guarantees has been capped at 40 per cent of revenues.

Third, new rules concerning capital investment and maintenance introduce multi-year controls on such projects. Investment programmes costing more than CZK 5 billion must have explicit government approval based on programme document assessment. After programmes are approved, the detailed specification of programmes and progress in those programmes should be registered in the electronic "Asset Replacement Financing Information System" managed centrally by the Ministry of Finance to facilitate monitoring and evaluation (see Box 7).

Fourth, a minimum budgetary reserve of at least 0.3 per cent of the expenditures of the state budget was created to cover necessary but unforeseeable expenditures.

Fifth, spending can only be undertaken by legally approved institutions. As a result, the previous practice of establishing special spending institutions by ministerial decree will be discontinued.

Sixth, the budgetary presentation and monitoring were made more transparent and accountable. The state budget must now include a broad medium-term outlook covering two years beyond the budget under consideration. Moreover, the quarterly reports to Parliament are to become more timely and user-friendly. Half-yearly reports are to cover the operations of the extra-budgetary funds, include a semi-annual focus on budget deviations and propose remedies to overruns.

Seventh, the government can no longer operate on the basis of an unapproved budget. Under the old rules, the provisional budget for next year is regarded as the same one that the government proposes, even if was rejected by Parliament. Under the new rules, the government must limit its total monthly expenditure to one-twelfth of the previous year's total until a new budget is approved (common practice in many OECD countries).

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they are not binding upon the government, they tend to serve as blueprints for the future within ministries, frequently imposing spending increases on the ministerial agenda that then have to be negotiated in the annual budget process.

Moreover, special budgetary procedures have been introduced for investment projects. The "Program Financing Initiative" was designed to allow the government to commit funding to selected investment projects beyond the annual budget cycle and into the medium-term horizon (Box 7). For a programme to be included under the initiative, a proposal must be made that includes a description of the work to be done, its rationale, a statement of the financial resources that it will require over its life and a cost-benefit analysis of the project. Once a project is accepted into the programme, the Ministry of Finance uses a newly devised database system to monitor spending and progress of multi-year projects.

Box 7. Programme Financing Initiatives

Programme Financing Initiatives (PFI) are pre-approved investment projects and their associated maintenance and repair costs. Project financing is determined after an evaluation of programme proposals, their motivation, expected costs (over several years), detailed description of programmes and sub-programmes, necessity and required resources, objectives and economic rationale. Approval for state budget financing or state loan guarantees is granted by the government if the amount exceeds CZK 5 billion and by the Ministry of Finance if less than that amount.

Once programmes are approved they are registered in the "Asset Replacement Financing Information System", which tracks and monitors progress on a regular basis. The progress reports serve as basic information in drafting the state budget, the closing state accounts and medium-term outlook. Separate binding indicators common across individual chapters were created to ensure sufficient financing of approved investment programmes over the medium term. These cannot be modified without the consent of the Ministry of Finance.

Currently approved programmes include industrial zone construction and development of backward regions. It is premature to evaluate how these initiatives will help improve the effectiveness of investment spending as this year will be the first year to fully implement the programme financing initiatives. However, it is obvious that chosen investment projects will be financed smoothly through the construction cycle and any deviation from original spending estimates can be minimised. Nonetheless, it does not appear to help selection of competing investment projects. Furthermore, the coverage of PFI procedures is limited to the state budget and thus does not apply to the substantial investment progress undertaken by extra-budgetary funds.

All investment programmes are expected to be reassessed during the second and third quarter of this year according to a new act on budgetary rules and a ministerial decree. From 2002, financial support will be approved only for the programmes that fulfil the conditions specified by the new budgetary rules.

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Guarantees and other contingent liabilities

State guarantees and other contingent liabilities are a legitimate component of a government's public expenditure tool kit. As indicated in Chapter II, contingent liabilities grew very rapidly during the past decade and now represent close to 15 per cent of GDP – almost as much as the official debt – and, as such, they represent a significant fiscal risk (Table 23). The bulk of these liabilities were accumulated in an unplanned manner, having arisen because of the poor management of the banking sector, in addition to state ownership and bailouts of large, heavily indebted firms. The largest component is represented by the liabilities of *Konsolidacni banka* (KoB), which enjoys a 100 per cent state guarantee, and to which some 30 per cent of GDP in bad loans were transferred (see Chapter IV).[40] Most recently, the cost of restructuring large state-controlled firms has further increased its liabilities. Moreover, these estimates understate the liabilities generated by state-owned firms (see Chapter IV), some of which have been offset by transfers from the National Property Fund, while others have yet to be realised and exist in the form of substantial unpaid inter-company loans.[41]

A further significant off-budget liability has been created by the issuance of loan guarantees, whose volume has increased dramatically, rising from CZK 28 billion in risk-adjusted terms to CZK 104 billion (5.3 per cent of GDP) between 1996 and 2000. Guarantees have been used as a non-transparent substitute for subsidies and for government consumption and investment expenditure that would normally have been recorded in the budget – often with no expectation that loans would be repaid. Indeed, of the 39 guarantees outstanding at the

Table 23. **Outstanding loan guarantees by risk category**

State guarantees according to risk weights	Risk weights (per cent)	1999		2000	
		Guarantees outstanding	Risk adjusted	Guarantees outstanding	Risk adjusted
		CZK million			
Category I – low risk	5	19 818	991	15 697	785
Category II – medium risk	30	13 739	4 122	14 301	4 290
Category III – high risk	90	76 854	69 199	63 124	56 812
Category IV – special guarantees (high risk)	100	37 886	37 886	42 232	42 232
Total		**148 297**	**112 167**	**135 354**	**104 119**

Source: OECD; Ministry of Finance.

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end of 2000, the state expects to be called upon to cover either interest or principal payments on all but four during the course of 2001. "High-risk" and "special" guarantees (defined as those with a 90 per cent or higher probability of default) accounted for 78 per cent of the total and were used to cover infrastructure programmes such as modernisation and construction of railways, roads and highways.[42] This suggests that the authorities have used guarantees to by-pass spending ceilings agreed in the budget process. Other guarantees, such as those accorded to Czech railways (CD), representing 14 per cent of all risk-weighted guarantees, are made in lieu of subsidies to cover losses stemming from the performance of public services. The above total for guarantees excludes open-ended ones and most importantly the one granted to *Ceskoslovenska obchodni banka* (CSOB) when it agreed to take over *Investnicni a postovni banka* (IPB) (see Chapter IV). Current estimates suggest that the state's exposure from this guarantee could be in the order of CZK 50 to 180 billion (2.5 to 9 per cent of GDP) – potentially doubling the volume of outstanding guarantees. Finally, the total is further underestimated because it excludes guarantees made by Czech export-import credit organisations and household loan guarantees and does not include guarantees made by extra-budgetary funds such as the environmental guarantees of the National Property Fund (FNM).[43] By the end of 2000, such guarantees totalling CZK 146 billion have been issued and CZK 11.25 billion paid. The FNM expects the government to approve some new environmental guarantees and that an additional CZK 77 billion are likely to be called.

A growing recognition of the fiscal risk represented by these contingent liabilities, prompted the government in 1999 to require the Ministry of Finance to systematically monitor and report on their developments in the state budget and its closing state accounts, indicating the volume of state guarantees and estimates of their potential budgetary impacts. Similar information is given as regards the financial performance of the National Property Fund and that of transformation institutions, along with related future commitments. At the same time, a cap of 8 per cent of state budget revenues was placed on the total volume of additional guarantees that could be extended in a year. These measures were partially reinforced by the new budgetary rules. Beginning in 2001, the government is prohibited from issuing new guarantees without the permission of Parliament and the total of outstanding guarantees is limited to 40 per cent of revenues, although the 8 per cent limit on new ones has been lifted. Despite these improvements, no reserves or explicit planning for their realisation are incorporated into the budgetary process, nor is the aggregate liability that they represent calculated or reported. Moreover, the new budgetary restrictions on the issue of guarantees do not apply to the two extra-budgetary funds with a special, quasi-private legal status (FNM and the Czech Land Fund). As a result, the government retains the ability to create further contingent liabilities without parliamentary authorisation.

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Ex post *and* ex ante *policy evaluation*

While some evaluations of the effectiveness of policies are undertaken, they are not conducted systematically, nor are policies designed with an eye towards their evaluation. Moreover, there is no institutional requirement or incentive for line ministries to systematically review the extent to and the efficiency with which their programmes meet original policy objectives or whether those have changed. Thus sunset clauses that require a programme to be abandoned after a certain time period unless it can justify its continuance are rarely employed. Performance is determined by the extent to which a ministry respects revenue and expenditure estimates. Neither budget chapters nor enabling laws for mandatory programmes include much in the way of specific indicators as to the use to be made of public money, the goals to be achieved or metrics by which programme success can be evaluated. E*x post* evaluation mainly takes the form of audits of the degree to which ministries fulfilled their legal obligations – budgetary and otherwise. While the Supreme Audit Office recognises the value of output-focused audits and its mandate does not preclude them, it persists in performing more classical input-oriented examinations.

Maintaining fiscal discipline throughout the cycle

Since the beginning of the transition the Czech economy has yet to complete a full business cycle, the post-transition contraction not being a normal cyclical downturn, and the current recovery has yet to reach its peak. Moreover, as discussed in Chapter II, the extensive build-up of contingent liabilities and quasi-fiscal spending by state-controlled banks during the 1990s complicates the evaluation of the stance of fiscal policy and its sensitivity to the cycle. Nevertheless, the OECD indicators of fiscal stance (Table 8) and estimates of the structural deficit (Table 10) suggest that fiscal policy has responded pro-cyclically throughout the 1990s. The gradual expansion of the structural deficit in the period 1994 through 1996, though masked by the strength of the economy, was mainly due to the permanent increases in entitlement payments discussed earlier and these undoubtedly contributed to the overheating of the economy and the 1997 currency crisis. The fiscal tightening incorporated into the subsequent stabilisation package concentrated upon cuts in such discretionary expenditures as investment and non-wage public-sector consumption. This contributed to a sharp fall in the structural deficit in 1998 but these cuts proved unsustainable and their relaxation in 1999 is reflected in the increase in the structural deficit. Thus, most of the 2.1 percentage points increase in the deficit between 1996 and 1999 represented the operation of automatic stabilisers. Indeed, higher social security expenditures and declines in tax revenues account for more than all of the increase. However, the rapid deterioration in 2000 and 2001 (as budgeted) is mainly due to substantial hikes in discretionary spending – with the main categories being increases in

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government consumption and net capital outlays of 0.9 and 0.8 per cent of GDP respectively.[44]

Policy challenges

The past several OECD *Economic Surveys of the Czech Republic* have emphasised the need to improve budgetary transparency and much has been done in this regard. In particular, the government in its public pronouncements increasingly refers to the balance of the *general government* as the most important indicator of its fiscal stance. Moreover, considerable effort has been made to enumerate the extent of the contingent liabilities that have built up during the first decade of transition. However, despite this progress, public expenditure planning remains principally a state budget process. As such, the expenditures and activities of municipalities and the newly created regions are not dealt with in an integrated manner, while those of the wide and growing range of extra-budgetary funds are dealt with incompletely. Indeed, the share of the state budget in total expenditure will probably shrink from 64 to 39 per cent if plans to create a new extra-budgetary fund for pensions and sickness benefits go ahead as planned (Figure 20). The implications of these changes given the current public expenditure framework are described below, where it is argued that resort to extra-budgetary funds should be limited. Moreover, in order to ensure better overall control of macroeconomic policy, mechanisms need to be built into the regional and municipal budgetary process that place reasonable limits on their spending autonomy but which, nevertheless, preserve their ability to allocate funds as they deem most appropriate.

Improving sub-national co-ordination mechanisms

The new regional reform appears to pose serious potential problems for public expenditure management – not least because the various responsibilities and powers of the central government, the 14 regional governments, the 190 county "seats" (delegated municipalities) and some 6 250 ordinary municipalities are not yet fully defined. The new government structure will probably raise overall costs. In the area of social-transfer administration, government officials expect staffing levels to double and costs could rise even higher as regions gain control over their spending. Simultaneously, the reform, by devolving spending to autonomous regions, significantly reduces parliamentary control over public expenditure. While sub-national borrowing is not guaranteed by the state, it is uncertain how the central government would deal with sub-national government default. A proposed amendment to the regional government act, currently before Parliament, would require municipalities and regions to gain parliamentary or Ministry of Finance approval before issuing bonds. In addition, it would allow the central authorities to place sub-national governments that were unable to pay

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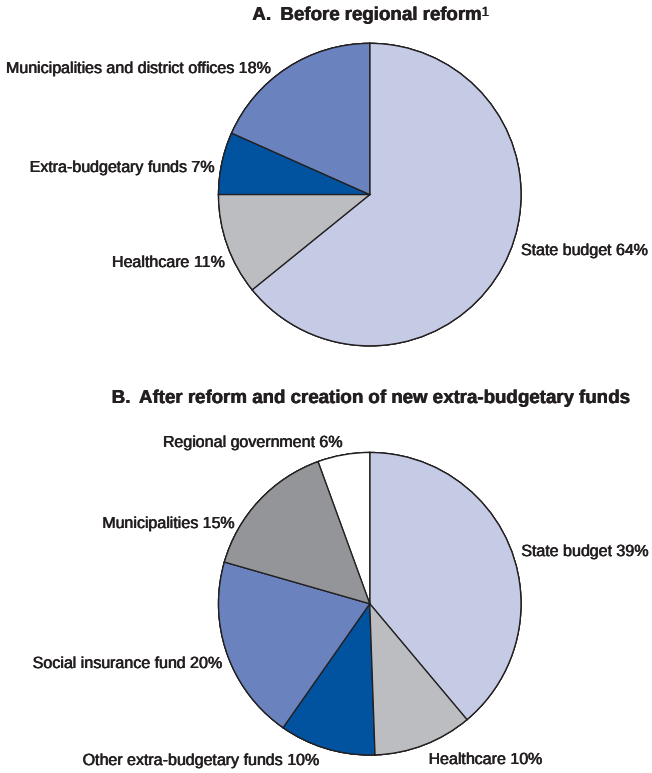
Figure 20. **Expenditure shares in general government**



1. Data are based on the 2001 budget. The pre-reform panel allocates spending of the State Fund for Infrastructure and the State Housing Development Fund to the state budget. The post-reform panel includes these expenditures in the category of extra-budgetary funds.

Source: OECD.

their obligations into forced administration. Both of these measures, if passed, would reduce moral hazard, help prevent the build-up of sub-national debt and provide the central government with some additional influence over the stance of fiscal policy at the sub-national level.

In order to reinforce these steps, the government should give serious consideration to creating a binding mechanism for co-ordinating spending across the various levels of the general government. At a minimum this should involve a regular series of meetings between Ministry of Finance officials and their regional equivalents to discuss budgetary developments and ways that sub-national levels of government can contribute to overall fiscal management. A more ambitious

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programme would integrate regional and local levels of government into the budgetary process and would require them to negotiate their spending and deficit targets with the central authority.[45] While the content of the spending would remain a regional prerogative (thus preserving the benefits of subsidiarity), such a mechanism would greatly reduce the likelihood of uncoordinated fiscal impulses. As municipalities are explicitly not subordinate to regional governments, they could be asked to co-ordinate in a similar manner through their county administrations.

Reducing fiscal risks associated with contingent liabilities

The build-up of contingent liabilities, mainly through the accumulation of bad loans in the banking sector and the losses of poorly and partially privatised firms, has represented a substantial and, until recently, largely uncontrolled and unmeasured component of public expenditure. As a result, the annual increments to the public debt have far outpaced recorded deficits. Indeed, as indicated in Chapter II, the so-called hidden debt is almost as large as the official debt and would exceed it by a substantial margin if the present value of future pension liabilities were included.

The government's decision to enumerate these liabilities in its budgetary documents is an important step to internalising the risks that they pose to public finances. However, they remain only partially integrated into the budgetary process and, given their size, steps need to be taken to deal with them in an open manner. Thus, in addition to existing reserves to deal with expected calls on government guarantees, additional ones should be built into the budget to cover the realisation of other less tangible liabilities – such as the environmental guarantees of the National Property Fund,[46] future pension liabilities and costs associated with the clean-up of the banking sector. Moreover, to aid in this kind of planning the current enumeration of the size of contingent liabilities should be supplemented by an evaluation of the probability of their realisation.

By the same token, new legislation requiring parliamentary approval for loan guarantees should reduce the likelihood that they be used as a substitute for more transparent support for firms. So far, no such requirements have been imposed on sub-national governments and this should be rectified to ensure that a similar build-up of "hidden debt" does not occur there. In addition, more needs to be done to ensure that guarantees are not merely substituting for current expenditures. To this end, the government should create general guidelines that specify the criteria and conditions for provision of government guarantees with an eye to restricting their use to situations where a guarantee is necessary to overcome a readily identifiable market failure (as in the case of export-import credits).[47] Guarantees and the institutions benefiting from them should be subject to regular monitoring and *ex-post* evaluation. Specifically, legislation governing the National

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Property Fund should be amended so that it can no longer create contingent liabilities without prior parliamentary approval.

Finally, in order to permit the government to identify and measure the overall impact of various policy programmes, tax expenditures should be integrated into the budgetary process. A list of expenditures together with their revenue costs should be provided for government and parliamentary review. Where possible, the incidence of these tax expenditures should be made clear. Such a list, which should classify tax expenditure by function, would help legislators evaluate programmes and enhance public awareness of the cost of tax expenditures. Concretely, considerable savings could be generated by subjecting either pension contributions or benefits to taxation. The current double exemption costs almost 2 per cent of GDP and is most unusual.

Introducing a multi-year, medium-term budgetary process

The Czech government's reliance upon a single year budgetary framework undermines fiscal discipline in two ways. First, the medium-term consequences of decisions that influence mandatory spending programmes are not adequately considered. Second, the single-year framework contains a natural incentive to delay payments associated with programmes (either real or their recording) into the future. The increases of the generosity of pension benefits in the early 1990s represents a clear example of the first problem, while repeated delays in the recording of the losses associated with *Konsolidacni banka* illustrate the second. Recent steps to present a medium-term fiscal outlook with budget documents is a step in the right direction, as is the new requirement that ministries provide multi-year projections of the costs of spending programmes and of new policy initiatives. However, neither of these initiatives addresses the fundamental flaws of the current system. On the one hand, the medium-term fiscal outlook only reports aggregate figures on revenue and expenditure and does not contain any information on spending at the ministerial or budgetary chapter level. Moreover, the projections are produced after the budget proposals, they perform only an *ex post* informational role and do not help guide the formation of the budget. On the other hand, the medium-term budgetary estimates that line ministries must now produce for both existing and new programmes are not subject to any external (*i.e.* Ministry of Finance) controls to ensure that they are consistent with macroeconomic assumptions. Nor are they aggregated to produce an overall budgetary projection.

These problems could be addressed by expanding the scope of the medium-term projections and integrating them into an explicit multi-year budgetary process. Indeed, the recently introduced "Programme Finance Initiative" is a good starting point for investment projects. Experience in a number of OECD countries[48] suggests that, assuming the necessary political will, a fully-fledged

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medium-term expenditure framework (MTEF) could be introduced in the Czech Republic relatively quickly (Box 8). Such frameworks, which are being implemented in more and more OECD countries, have several advantages. *First*, they make explicit the future costs of existing and proposed programmes – forcing politicians to come to terms with the medium-term consequences of their decisions. *Second*, they provide a clear mechanism through which alternative spending proposals

Box 8. Introducing a Medium-Term Expenditure Framework

Moving towards a Medium-Term Expenditure Framework (MTEF) would initially require an iterative process, beginning with centrally determined budget estimates for the next several years, based on the macroeconomic outlook, current policy commitments and government policy priorities. These would be used to determine total spending allocations for major budgetary sectors and the prospective budget balance.* On this basis, spending ministries would be asked to prepare detailed "notional" budgets for the next several years. While ministerial allocations and legal requirements of spending programmes would have to be respected, ministries would be allowed to reallocate funding from less to more efficient programs within their portfolios. These detailed proposals would then be submitted to the Ministry of Finance to ensure their consistency with the previously determined aggregate spending limits. The first year of these estimates would form the budget for that year, while subsequent estimates would form the starting point for the budget process in future years. Policy and tax changes proposed during the course of the year would be required to include detailed estimates of budgetary costs and, if passed, these changes would be incorporated into the baseline.

In the second and subsequent years, these baseline estimates would represent authoritative limits on government spending, revenues and the deficit – assuming unchanged policies. During preparations of later budgets, the baseline would be rolled forward and revised in line with changes in macroeconomic conditions. Ministries would be then asked to extend their projections a year and indicate what additional funding they might require for planned policy reforms and what savings could be achieved. The cabinet would then evaluate these program initiatives, set inter-sectoral priorities and decide which proposed changes to accept. If the government decides not to adjust the baseline for a ministry or a specific programme, the agency promoting the change would either have to abandon its plans or finance them from savings made elsewhere in its budget portfolio.

* It is recommended that major spending across sectors be determined at this stage to improve enforceability of the MTEF. Australia's forward estimates are structured into 17 portfolios, each of which is the responsibility of a minister. In Sweden, spending is divided into 27 sectors when aggregates are decided.

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can be evaluated by the cabinet. *Third*, they provide spending ministries with more budgetary certainty by implicitly extending the government's spending commitments over several years. *Fourth*, by explicitly detailing future costs, MTEFs make transparent the long-term implications of decisions to increase spending by more than the minimum prescribed by law. Perhaps most importantly, they simultaneously place the annual budget process into both a historic and a forward-looking perspective that impedes the kind of incremental expenditure creep that characterises annual systems. At the same time, they promote greater budgetary stability by making explicit the impact of the economic cycle. In this way, they reduce the likelihood that a government would have to resort to precipitous cuts in its discretionary spending in order to rebalance macro policy – or that in an effort to redress a short-term slowdown it increased its long-term commitments and structural budget deficit.

While the current public administration has the technical capacity to implement an MTEF, for it to be successful would require a broad political consensus. Its implementation would need to be closely followed by the government and be given high priority. Budgetary rules and practices would have to be redefined and it might be necessary to create an Expenditure Review Panel to oversee their implementation.

Integrating extra-budgetary funds into the MTEF

Establishing an MTEF would facilitate the integration of extra-budgetary funds into the state budget. thereby increasing fiscal transparency and parliamentary control over spending. Currently, although the revenues and expenditures of extra-budgetary funds are discussed in the budget process and must be approved by Parliament, fund-related spending is not examined as closely as regular budget programmes. Moreover, funds can exceed spending limits without authorisation up to a specific ceiling established by the enabling legislation, while two funds (the FNM and Czech Land Fund) are allowed to borrow without legal limit and carry with them open-ended government guarantees.[49] Finally, because spending undertaken by these funds lies outside of the state budget, the scope for reallocation of resources in line with governmental priorities is limited.

The planning horizon implicit in an MTEF would provide the medium-term budgetary stability that extra-budgetary funds are supposed to provide, while still subjecting programmes to a political process where their expenditures have to be justified and compete with alternative priorities. Just as provisions for rollovers in some funds have been created, similar provisions could be made for programmes within a multi-year budgetary process. Failure to re-integrate these programmes and continuing to insulate them from budgetary rules, risks jeopardising allocative efficiency and perpetuating spending on programmes that are no longer needed. For these reasons and especially because of a tendency for the general government budget deficit to be concentrated in the activities of these

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funds, the OECD has consistently argued that they be abolished and that their activities be integrated into the state budget.

The proposed Social Insurance Fund is something of a special case. The government argues that creating such a fund will help heighten individuals' recognition of the interaction between their contributions, their pensions and the Fund's performance. By making more transparent the linkages between pension rules and the financial health of the fund, they hope that its creation will reduce the population's resistance towards necessary pension reform. They see it, therefore, as an initial step in a process of pension reform. While a legitimate line of reasoning, such an extra-budgetary fund poses the same kinds of problems for expenditure management as described above – although given the size of the proposed fund their magnitude would be even larger. Indeed, earmarking some 24 per cent of general government revenues to this programme would clearly reduce the authorities' capacity to manage macro policy and reflect evolving priorities in government spending. Moreover, creating another extra-budgetary fund does nothing to address the current deficit of the pension system or its projected increase over the medium and longer term. Indeed, unlike such funds in other OECD countries the Czech fund would not be a device through which temporary surpluses are accumulated (in isolation from political spending pressures) so as to defray future liabilities. Rather, the proposal actually envisions endowing the Fund with proceeds from privatisation and using these to pay down its current deficits, which are projected to grow substantially over time. While some of the associated elements of the plan would make small steps to improve its long-run sustainability (see Chapter IV), these could as easily be introduced if the pension system remained within the budgetary sector. Indeed, rather than creating a new fund, the authorities should integrate the tax collection function of the social security administration with that of the Ministry of Finance, as was recently done in Hungary. Not only would this generate savings by reducing duplication of services – it could well improve the government's ability to fight tax evasion.

Improving the effectiveness of public expenditure

In order to shift the focus of the policy formation and budgetary review processes from costs alone to costs and benefits, the government should take steps to systematically integrate output indicators into the budgetary and policy-making processes. Existing ones are too concerned with measuring inputs and too little oriented towards monitoring and evaluating the impact of these inputs. Only when elected officials and ministerial policymakers are armed with concrete information on the effectiveness of alternative programmes will they be able to make rational choices about how to use public money in the most cost-effective way. Although conceptually simple, measuring the output of government programmes is difficult in practice and demanding of a country's public service. While it is

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probably not feasible to introduce a fully-fledged output-oriented budgeting system in the Czech Republic immediately, over the near term a number of relatively simple changes could be introduced that would make such a transition substantially easier in the future.

As a first step, specific spending programmes should be introduced with sunset clauses that require them to be abandoned after a set period of time (typically several years), unless Parliament renews their mandate. Such a simple measure, which can be introduced retroactively, helps prevent programme and spending inertia from developing. It increases the ability of politicians to re-orient spending as policy priorities change and protects against the development of a culture of acquired rights, which can substantially constrain a government's room for manoeuvre. To be most effective, programmes subject to sunset clauses should be designed in such a way that their outputs can be measured. In particular, the performance of specific purpose programmes such as household transfers, tax expenditures, subsidies and labour-market programmes should be evaluated regularly and required to justify their continuation. Moreover, legislation governing larger programmes such as pensions and health care should be modified to require periodic reviews and regular presentation to parliament of long-term projections of both demands and expected costs.

Evidence suggests that some specific programmes may not be achieving their policy goals as efficiently as possible. Thus, while many of the components of the Czech social-transfer system are well focused and substantially increase the incomes of individuals in the lowest decile, others are much less so. Using data from the Czech Household Consumption Survey, which includes detailed data on household market and non-market incomes as well as taxes paid, Schneider (2001) shows that, taken as a whole, the Czech social security raised the incomes of the poorest 10 per cent of households by some 34 per cent in 1999 but it also raised the incomes of the richest three deciles by between 1 and 3 per cent (Figure 21). There is some room for improving the system's targeting. In particular, the targeting of child and parental benefits could be improved substantially and the savings could be used either to reduce overall spending or to improve benefits to the poorest. If such benefits were clawed back from individuals in the fifth through tenth deciles the pecuniary penalty for households would be small but the budgetary savings could be as high as CZK 1.3 billion or 0.07 per cent of GDP.[50] A similar examination of tax expenditures, shows relatively good targeting at the low end of the income distribution but a perverse increase of benefits to the richest half of the population. This effect is principally a result of providing income-tax deductions, which entail a greater benefit to individuals who pay higher marginal tax rates. It could be eliminated, with an estimated saving of CZK 19 billion or 1 per cent of GDP, by replacing these deductions with tax credits equal in value to the deductions received by poorer tax payers.[51]

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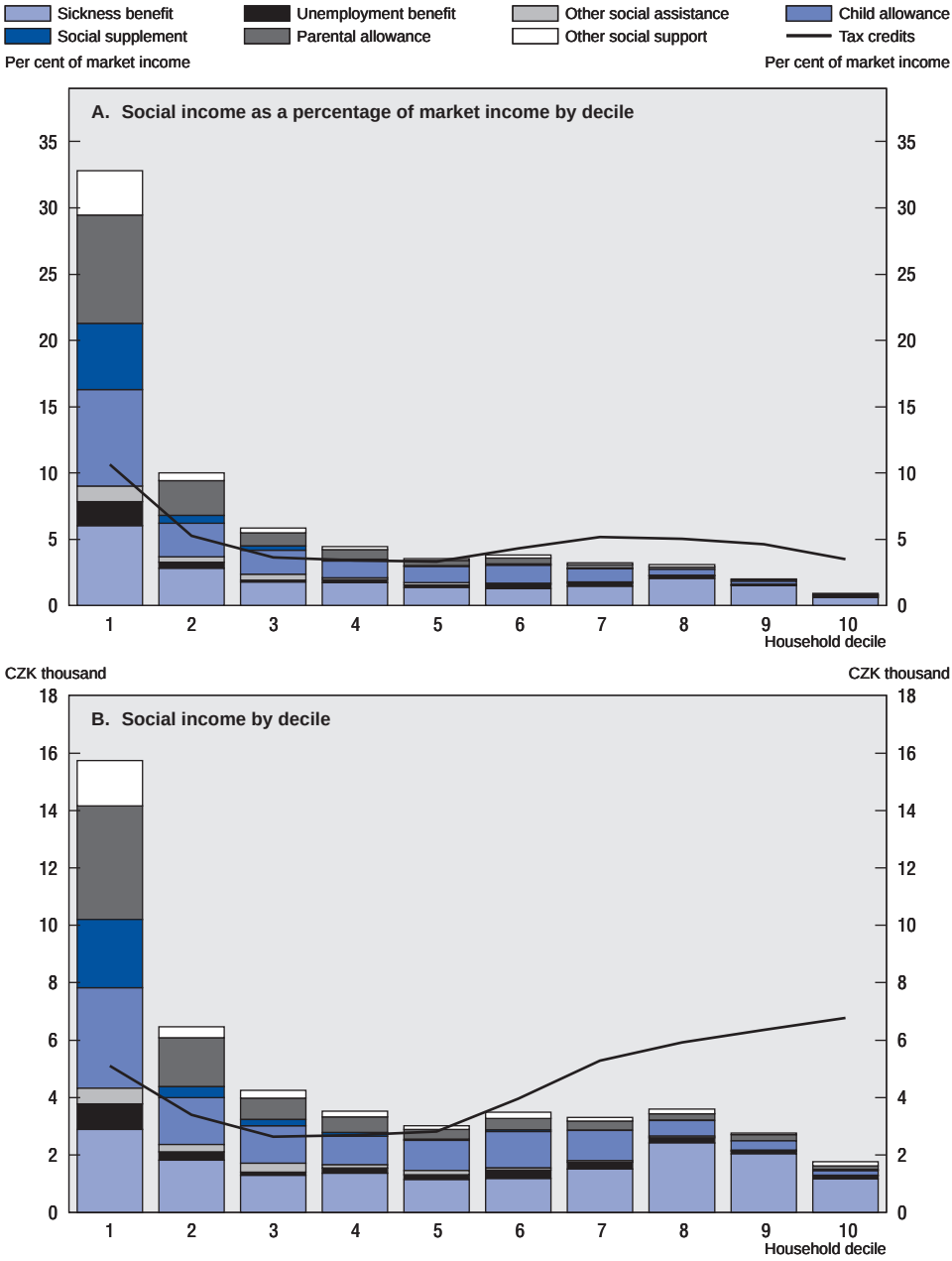
Figure 21. **Social transfers and the distribution of income**



Source: Schneider (2001).

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By the same token, successive *Surveys* have argued that labour market training and public-employment programmes in the Czech Republic should be subjected to systematic evaluation. Evidence from other OECD countries suggest that such programmes tend to have low impacts on worker employability or earnings potential and the few studies[52] that have been done in the Czech Republic concur with this result. Indeed, as reported in OECD (1998) as many as 60 per cent of social benefit recipients are not seriously looking for work, despite this being an eligibility criterion for many benefits, suggesting that there is considerable scope for improving the effectiveness of active labour-market programmes and perhaps reducing costs.

The effectiveness of subsidies – especially housing subsidies – is also not very clear. Support for domestic housing construction and renovation, including both subsidies and tax expenditures, represents some 2.8 per cent of GDP, but their impact on house construction and renovation activity is small.[53] In 1999, the central government housing subsidy was CZK 29 billion or almost 50 per cent of total output in the housing construction and renovation sector (World Bank, 2001). Moreover, the subsidy appears poorly targeted, mainly benefiting the middle class because they enjoy a higher share of untargeted subsidies such as grants for new construction and mortgage-cost tax deductions.[54] As discussed in Chapter IV, a lack of housing is a real issue in the Czech Republic and impedes labour mobility. However, as long as rents are kept well below market rates by rent controls it is unlikely that any amount of housing subsidy will create the much needed market in rental accommodation (see OECD, 2000, for a more thorough analysis). Thus deregulation of the rent-setting process would be a much more efficient solution to the problem. A more aggressive than planned liberalisation of rent controls would allow private capital to step in, obviating the need for government support and at the same time offering a significant saving to the public purse and avoiding the bureaucratic distortions associated with entrenched systems of rent control.

The delivery of social services by municipal governments, many of whom have difficulty meeting central standards, is also a source of concern. Even prior to the introduction of the new regional level of government, public spending was subject to considerable subsidiarity[55] with 19 per cent of general government spending undertaken by municipal governments. Because of their small size (80 per cent have a population of less than 1 000), many municipalities are unable to manage the kinds of programmes for which they are given responsibility in an effective manner. In addition, the central government exercises limited control over the quality or extent to which these services are performed. While monitoring the fulfilment of these criteria has been the responsibility of district offices, their activities have been restricted to ensuring that allocated funds are spent and eligibility decisions met. Thus, the central government has little idea of how money is spent and although it has an approximate idea of how many beneficiaries are being served on average during the course of a year, it has no precise numbers.[56]

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As a result, the quality of services delivered tends to vary with the relative wealth of the community. Under the reform this monitoring function is to be transferred to county seats (delegated municipalities) but it is not clear how or why they will assure better monitoring or information systems. Moreover, until now municipalities have supplemented their current revenues and central government transfers with privatisation revenues, suggesting that their revenue base is inadequate to deal with their spending responsibilities and that horizontal inequity will grow as these resources become scarce. The Ministry of Labour and Social Affairs hopes to address many of these issues by raising its capacity to monitor the quality of service delivery – especially those delivered by non-governmental organisations.

Assuring adequate delivery of social services by municipalities is a challenging problem – both practically and, perhaps, constitutionally. Nevertheless, it is clear that the central government must improve its knowledge both of how its money is being spent and to what effect. The first could be achieved relatively easily by requiring municipalities to report more relevant information, while the second would require programmes and transfer systems to be redesigned. In particular, greater reliance on block grants, coupled with specific output-oriented performance criteria, would give the national authorities more say in programme delivery and monitoring functions. More prosaically, greater attention needs to be paid to enforcing existing rules, ensuring that job-search criteria are being fulfilled and that sub-national governments are providing the kind of services that central government funds are paying for.

Systematic evaluation of programmes and output-oriented indicators

While measures such as sunset clauses and the more systematic evaluation of programme efficiency will help improve public expenditure, for the process to be truly effective the results of these evaluations need to be included in budgetary materials so that politicians can better weigh spending options. Indicators should be reported *ex ante* in the form of goals and *ex post* as a means of verifying performance. While many ministries make such evaluations for internal purposes, integrating them into the budgetary process would increase transparency and serve to make budgetary institutions more accountable for their use of public funds and the services they provide. Such integration would imply major changes to the budgetary and policy formation processes and would take some time to implement. Nevertheless, movement in this direction is clearly desirable and feasible. Initially, the number and nature of indicators in state budget chapters would need to be expanded.

Efforts to build an output orientation into public expenditure management will necessarily require substantial changes in the management culture and human resource policies of the government (Box 9). To be most effective, managers and employers need to be rewarded for improving outputs rather than managing inputs. This would require giving discretion to managers on spending within the

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predetermined totals, setting expected outputs in advance, maintaining comprehensive performance reporting and auditing systems and linking managers' pay to performance. While elements of this kind of flexible management system already

Box 9. Enhancing flexibility in public management

A number OECD countries have made efforts to reform the way they organise and manage the public sector.* Generally, reform has been centred around constructing accountability frameworks that allow the government to delegate decision making on resource allocation to spending agencies in exchange for holding them responsible for results. Mechanisms for monitoring performance include: financial inducements and sanctions; strategic and operational plans; performance measures and targets; contracts for personal and organisational performance and more active use of *ex post* evaluation and auditing.

Different national traditions with respect to public service and existing degrees of centralisation have been reflected in the specific steps taken. Reform has proceeded farthest in those countries with a history of providing operational discretion to local managers and where the reform effort enjoyed political support at the top of the government. In all cases, a central challenge involved defining new relationships between the centre, which is politically accountable for governmental performance, and operating units, where services are provided and most resources are spent. This task was made more difficult in many cases because strategic controls had to be created to replace *ex ante* controls. At the same time, significant efforts had to be made to change corporate culture within governmental agencies and to motivate managers to take initiative and responsibility, while minimising the disruption of service provision.

Virtually every government has chosen different instruments to enhance the extent to which performance information influences organisational behaviour. Australia relies on programme evaluation both before policies have been initiated and after they have been funded. France emphasises responsibility centres as a means of imbuing civil servants with awareness that their actions can make a difference. Sweden uses annual reports and *ex post* audits of financial reliability and programme performance. The United Kingdom employs framework documents and performance targets to concentrate managerial attention on key objectives and results. New Zealand invests considerable resources in negotiating performance agreements for chief executives and purchase agreements for agencies.

Despite their efforts, each country has inevitably faced failures. None of these techniques has been perfect and inevitably not all decentralised decisions taken are good and some resources have been allocated without regard of objectives and results. Nevertheless, these reforms are globally considered to have contributed positively to making government service more cost effective.

* OECD (1997*b*) deals with reform efforts in various countries in much more detail.

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exist in the Czech Republic,[57] they need to be expanded and incentives and control mechanisms need to be carefully designed. More immediately, improved remuneration of managers and highly-educated personnel so as to improve the government's capacity to attract and retain high-quality officials should be a priority. Moreover, plans to limit political appointments to the highest level of the civil service should improve continuity in the provision of services and could be consistent with a more flexible management style.

Using market mechanisms to reduce costs and improve services

The government should consider expanding its reliance on private financing of public investment and consumption both to enhance the efficiency of their delivery and to reduce demands on the public purse. At the level of municipalities, a number of them have already privatised water distribution services, but waste collection, child-care services, public building maintenance and cleaning are areas where increased competition could result in greater efficiency and lower costs. The employment of user charges to reduce excess demand and improve public services through the introduction of market signals could also result in improved services, while relieving the general taxpayer of some of the costs.

Compared with some systems, the Czech educational system already employs a number of market-oriented mechanisms to boost the efficiency of service provision. At the primary and secondary levels, private schools compete with public ones and both are supported by the state, although private ones less generously. Moreover, students are free to attend any school and funds are partially distributed on a per student basis, a factor which introduces some competition. At the tertiary level, although universities do not have tuition fees, private post-secondary schools exist and a new amendment forces universities to recognise some of the credits granted by these institutions – thereby introducing some competitive pressure at that level. However, demand for university places far exceeds supply (see Chapter IV) and more could be done to expand access. For instance, the introduction of tuition fees, complemented with a student loan or bursary programme for those in need would simultaneously provide schools with additional revenue to expand capacity and help to rationalise demand pressures.

As concerns healthcare, despite the extensive privatisation of medical practices and some hospitals and the trappings of competition (there are several private health-insurance companies), it remains fundamentally a public-sector system. More than 80 per cent of hospitals remain state-owned, participation in the health insurance scheme is obligatory, contribution rates are set by the state while, in general, fees paid to health-care professionals and institutions are negotiated by insurance companies and providers.[58] As a result, private firms compete by attempting to attract the least risky clients – leaving the most unhealthy segments of the population to be insured by the state-owned insurance company,

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which unsurprisingly runs a large deficit.[59] The vast majority of health procedures are covered 100 per cent by the state and only dental care and some prescription drugs are co-financed by consumers. As recommended in the previous S*urvey*, expanding co-payments would help reduce over-consumption of medical services. Moreover, incentives in the system remain complicated and a fundamental review and reform is overdue if budgetary costs are to be controlled and the efficiency of service delivery improved.

Summing up

The rapid rise in the deficit of the general government in recent years and the expectation that it will remain elevated unless concrete steps are taken to reduce spending or raise revenues (see Chapter II) means that a comprehensive reassessment of public expenditure programmes is necessary. Moreover, rising health and pension costs as the population ages are likely to increase pressures on the public purse over the medium and long-term. Given the high tax burden already facing Czech citizens and the implications that this may have on potential growth rates (see OECD, 2000), reducing public expenditure should be a priority. However, as the preceding discussion suggests, if expenditure reduction is to be achieved efficiently and if overall spending is to be effectively controlled in the future, then the authorities will need to improve the way public expenditure is managed. Box 10 summarises the recommendations of this chapter.

During the course of the transition and especially in recent years much progress has been made in improving the transparency and management of government finances. Nevertheless, the budget and policy planning process retains a single-year and input focus that reduces the capacity of policy makers to effectively allocate public resources. Moreover, with the recent introduction of a regional level of government and the expansion and proposed introduction of new extra-budgetary funds, the government's capacity to manage the macroeconomy has been weakened. In this regard, establishing a multi-year budgetary process should be made a government-wide priority. Such a system would allow extra-budgetary funds to be re-integrated into the State Budget and subject these programmes to a political process where their expenditures have to be justified and compete with alternative priorities. Moreover, it would reduce the potential for expenditure creep and facilitate macroeconomic policy making, as would the establishment of mechanisms for co-ordinating sub-national spending programmes.

Such a medium-term budgetary framework should evolve, over time, into a fully-fledged output-oriented medium-term expenditure framework. To improve programme effectiveness and the government's capacity to monitor programme outputs, specific policies should be subject to regular evaluations and the use of sunset clauses. The results of these evaluations should be progressively included

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Box 10. Summary of recommendations

Budgetary reform

- A medium-term expenditure framework should be introduced quickly in an effort to reduce expenditure creep and improve politicians' capacity to evaluate the longer-term consequences of decisions and the relative merits of alternative spending options.
- In order to increase fiscal and parliamentary control over government spending, extra-budgetary funds should be integrated into the state budget and plans to create a social insurance fund abandoned. Virtually all of the benefits that the funds generate for their associated programmes could be provided in the context of a multi-year budgeting process that allowed for rolling over of unused funds in some budget chapters. At a minimum the budgets of the funds should be integrated into the state process.
- Results of programme evaluations should be integrated into budgetary chapters as indicators of programme outputs with an eye to developing an output-oriented budgetary system.
- To preserve the country's capacity to manage the macroeconomy, the government should seriously consider creating a binding mechanism for co-ordinating spending across the various levels of the general government.

Introduce systematic programme evaluation

- The government must develop mechanisms to improve its understanding of how (and how effectively) services provided by municipalities are delivered. Greater reliance on cost-shared programmes could help in this regard.
- Specific spending programmes and tax expenditure should be subject to systematic evaluation and sunset clauses should be introduced retroactively to ensure that programmes are regularly reviewed.
- A number of steps could be taken in the near term to improve the efficiency of government expenditure. These include: a review of tax expenditures; increased clawback rates for child-care and parental benefits for households in higher income deciles; subjecting of either pension contributions or benefits to the income tax; a review of the impacts of subsidies; rent-control reform in place of housing subsidies and a revision of the minimum living standard.

Further steps to improve transparency

- Substantial progress in dealing with and reporting contingent liabilities should be extended by including estimates of the risk of their realisation and adding sub-national liabilities to the inventory.
- Steps to reduce the probability of guarantees being used as a substitute for budgetary expenditure should be reinforced by creating binding guidelines that preclude their being granted except to overcome market externalities.
- Moreover, the budget should recognise the likelihood that these liabilities (especially guarantees) will have to be paid by including an explicit reserve.
- When the Czech authorities begin producing accruals-based government accounts on a timely basis, these should be adopted by the authorities for fiscal policy purposes.

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among budgetary indicators. As more of these are developed the budget and public policy management will take a more output-oriented perspective. Not only would the additional performance information help policymakers choose between competing programmes, the existence of such indicators – coupled with the delegation of accountability and decision making to lower ranks in the civil service – should also increase incentives within the bureaucracy to improving programmes rather than merely preserving them. There is also room for increasing the role of market forces in the delivery of merit goods such as education and health, while tax expenditures should be integrated into the budgetary review process.

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IV. Progress in structural reforms

As described in previous OECD *Surveys* and *Regulatory Reform in the Czech Republic* (OECD, 2001*b*), the Czech Republic has made substantial progress towards establishing an institutional structure compatible with a well-functioning market economy. Major changes to laws governing capital markets and to commercial and bankruptcy codes have gone a long way to correcting the most important shortcomings that led to the 1997 currency crisis and which helped explain poor productivity performance in the past. Meanwhile, these changes, bank privatisation and tougher prudential rules have led to a tightening of credit conditions, which has sparked an intense process of restructuring both in product and financial markets. Taken together, these improvements to the regulatory environment have contributed to a rapid acceleration of foreign direct investment in recent years and are already showing up as improved productivity growth. Continued progress in all of these areas will bring further benefits and should help the economy to perform at optimum levels and speed the rate at which the Czech Republic closes the gap with western European countries. Nevertheless, more changes along these lines need to be done. Moreover, it is becoming increasingly urgent to deal with distortions in labour markets. Failure to do so runs a growing risk that current high unemployment levels will persist and become structural in nature. Finally, looking further into the future, a number of longer-term issues – particularly in the health and pension areas – will need to be addressed, both to ensure the viability of public expenditures but also in order to improve the quality of services delivered.

This chapter reports on recent progress in all of these areas and makes concrete proposals for further reform. It begins by examining policies affecting product markets, in particular the important role played by the legal environment for business and the debt burden borne by many firms. The next section describes the changed behaviour of the banking sector and developments in the area of financial and capital markets and their supervision. It is followed by sections on labour markets and public sector issues, including pensions and taxation. Table 24 summarises past OECD recommendations in each of these areas, recent steps that have been taken and the Organisation's current evaluation of the situation.

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Table 24. **Structural surveillance**

Panel A: Product markets

Issues/2000 recommendations	Action taken	Assessment	Follow-up recommendation
Ensure that minority shareholders are protected during large-scale share purchases by lowering, in steps from 50 to 25 per cent or less, the threshold above which a purchase offer must be made to all shareholders.	A commercial code amendment, adopted by parliament in 2000 and effective as of 1 January 2001, provides for stronger protection of minority shareholders and the threshold was lowered to 40 per cent.	The amendment states that new owners of controlling stakes must offer to buy out all minority shareholders at a predetermined price. However, the government has exempted privatisation transactions.	Consider carefully the balance of costs and benefits associated with the exemption for privatisation deals. Also consider further lowering the threshold for mandatory purchase offers.
Ensure that privatisation of large banks is completed as quickly as possible. This may involve further bad loan transfers to *Konsolidační banka* (KoB) to help speed up the process.	*Česká spořitelna* (CS) was privatised and the process of selling the state's dominant stake in *Komerční banka* (KB) is well under way. Both banks were recapitalised prior to sale.	The government kept off-loading bad loans of CS and KB to KoB at preferential terms. The cleanup was reflected in the increased value of the controlling stakes sold by the state.	None.
The commercial banking portion of what is now KoB should be privatised as soon as possible, while the second institution must take a much more active role in collecting or liquidating outstanding bad loans.	One part of KoB was integrated into the state majority owned Guarantee and Development Bank in January 2001 and the rest is to be transformed into a state-owned Consolidation Agency in September 2001.	The transformation of KoB as well as sale of a part of its portfolio of non-performing loans to a private-sector entity is a positive development. However, decisions to delay further asset sales are worrisome.	Keep selling the bad loans owned by KoB to private-sector specialised institutions and the wholesaling of smaller loans to private investors.
Clarify the National Property Fund (FNM) accounts and create a concrete plan of action to privatise the remaining government holdings.	The government has announced sweeping privatisation of strategic energy and telecom firms in the period 2001-02. It intends to sell them as market dominating vertically integrated firms. The government has plans to abolish golden shares in 53 of the 83 companies where it holds such shares currently.	Although privatisation of the energy and telecom sector companies is a significant improvement, the FNM's true balance sheet position remains opaque. Privatisation of integrated monopolies is likely to reduce potential benefits to end users. The decision to reduce the number of golden shares improves firms' capacity to maximise shareholders' value and is welcome.	Subject the FNM to the same audit standards as those pertaining to all other extra-budgetary funds. "Unbundle" natural monopolies before privatisation. Move rapidly to abolish remaining golden shares.

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Table 24. **Structural surveillance** (*cont.*)

Panel A: Product markets

Issues/2000 recommendations	Action taken	Assessment	Follow-up recommendation
Ensure that the Revitalisation Agency (RA) is given the means to quickly restructure large firms. The government must resist the temptation to use its ownership of the Agency to influence its decision making.	The government approved a capital increase of CZK 170 million for RA and abolished it in January 2001 when its activities were absorbed by the KoB.	The take-over of the RA by the KoB may result in undue political interference in the revitalisation of large companies. The set of companies chosen for revitalisation is to be expanded by a number of firms financed formerly by the *Investiční a poštovní banka* (IPB).	KoB's involvement in the revitalisation of large enterprises ought to be limited to a small number (up to 20) of them. Most firms should be subjected promptly to undiluted bankruptcy and liquidation procedures. The consolidation agency should accelerate its programme of wholesaling smaller bad debts.
Create independent regulators of natural monopolies as soon as possible. This should include a transparent, verifiable and predictable method for setting regulated prices.	The government pre-announced price hikes for electricity and gas that would bring them up to market levels by 2002. Independent regulators for natural monopolies, the Czech Telecommunications Office (CTU) and Czech Energy Office (ERU), started to operate in July 2000 and January 2001 respectively.	Regulated price setting in the gas and power sectors could be made more transparent, although the actual decisions imply CTU's and ERU's independence. The new energy act phases in the introduction of full competition over a period of 8 years.	Continue to increase the independence of regulators and reduce the time horizon for the opening of the power and gas sectors to full competition. If a vertically-integrated privatisation model is pursued, the power of the regulatory will need to be increased.
Try and bring regulated rents up to market levels within 5 years.	Government legislation that provided for limited adjustment of rents in 2002 and subsequent years was defeated.	Neither the proposed legislation nor the current stop-gap measures will permit most residential rents to reach market levels, discouraging repairs and new investment by private owners. This will continue to hamper construction activity and labour mobility.	Implement the previous recommendation.
In the absence of any compelling reason to maintain bank control of fund management companies, this link should be completely severed.	The central bank tightened the supervision rules in 2000, imposing capital adequacy requirements on consolidated financial groups including commercial banks.	Supervision of consolidated groups is a step in the right direction, although its gradual implementation in the period 2001-02 may pose problems.	Complete the phase-in of the regulation of capital adequacy on a consolidated basis while reforming civil code procedures.

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Table 24. **Structural surveillance** (*cont.*)

Issues/2000 recommendations	Action taken	Assessment	Follow-up recommendation
Panel A: Product markets			
Quickly pass new legislation to strengthen creditor rights. Include provisions for workout bankruptcies and consider setting up specialised courts to deal with bankruptcies.	Modifications to current bankruptcy and public auction laws were approved by parliament and implemented in the second half of 2000 and the first half of 2001.	New legislation improves the position of creditors and allows for speedier liquidations as well as out-of-court settlements. Both settlement and liquidation are still subject to lengthy procedures.	Eliminate the right of judges to modify obligations during bankruptcy proceedings between debtors and creditors without the agreement of the latter. Speed up judicial processes.
Panel B: Financial markets			
Give the Securities Commission (KCP) the ability to create regulations while clarifying its legal role in enforcing them.	A draft law giving KCP limited rule-making powers and some financial independence as well as responsibility for insurance supervision is to be put to parliament.	If passed, these changes would go a long way to improving KCP effectiveness.	Improve the KCP's capacity to intervene in cases of suspected wrongdoing.
Implement regulation forcing public firms to list with the Securities Commission (KCP).	All firms with insufficient equity were instructed to delist from the over-the-counter off-exchange trading system by 30 June 2001. New voluntary corporate governance code proposed.	Recommendation implemented. Many of the features of the proposed corporate governance code are sensible and should be made obligatory.	Improve transparency of the Prague Stock Exchange by imposing new corporate governance standards on listed firms.
The ability of the banking supervision department of the Central Bank to react promptly to problems detected by its auditors remains limited.	Banking supervision put the foreign-controlled *Investiční a poštovni banka* (IPB) under forced administration in June 2000. IPB was then promptly sold to another foreign-controlled bank, *Ceskoslovenská obchodní banka*.	The IPB case revealed the existence of serious shortcomings in banking supervision due to the outdated legal framework (Act on State Control).	Eliminate provisions that permit an examined bank to delay the implementation of supervisory recommendations through gratuitous legal actions. Proceed with improvements to the operation of the court system.
Bring regulation of credit unions up to international standards and enhance prudential supervision.	New law on credit unions promulgated in 2000, increasing the minimum level of capital and reporting requirements.	The proposed new law does not go far enough in strengthening supervision and the minimum equity is still extremely low.	Raise the minimum capital requirement substantially and transfer the oversight to the banking supervision authority.

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Table 24. **Structural surveillance** (*cont.*)

Panel C: Labour markets

Issues/2000 recommendations	Action taken	Assessment	Follow-up recommendation
Overhaul social security to realign incentives throughout the system, including adjusting non-employment benefits to be more consistent with wages and productivity.	Welfare benefits remain essentially unchanged.	The relatively generous benefits for some groups of households create structural unemployment traps.	Implement previous recommendation.
Consider more frequent assessments of those receiving partial disability benefits to determine their ability to work additional hours.	No action taken.	The number of recipients of partial disability benefits keeps rising off-setting the decline in the number of full disability beneficiaries.	Previous recommendation remains pertinent, while stricter legal requirements for access to partial disability benefits may also be warranted.
Ensure that the guarantee fund is used only to pay the wages of workers in firms that are no longer in operation.	The government has created in 2000 a guarantee fund to pay wages of employees in firms that are insolvent.	The policy seems to have created a moral hazard problem (firms stop paying wages knowing that the fund will cover them); wage arrears have increased.	Consider abolishing the government's guarantee for wages owed to workers.
Implement standardised exams. Expand the number of general schools and at the same time improve the training of teachers to enhance the quality of education.	Government's new education strategy would implement recommendations by 2005.	While moving forward, progress has been slow. New regional governments will be given responsibility for high schools and vocational schools although their precise competencies remain unclear.	Carefully weigh proposed programme changes before increasing funding. Continue ongoing efforts to improve education of the Roma minority.
When adjusting active labour-market policies (ALMPs), the government should not expand public-sector job creation programmes and should ensure that when training is offered, it is designed to meet local labour-market needs. Create a framework to systematically evaluate these programmes.	None.	The government still lacks the ability to systematically evaluate ALMPs but is considering such a move.	Previous recommendation remains pertinent.

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Table 24. **Structural surveillance** (*cont.*)

Issues/2000 recommendations	Action taken	Assessment	Follow-up recommendation
Panel C: Labourt markets			
Increase PES resources and ensure that its regional distribution of staff reflects the spatial dispersion in unemployment.	Resources allocated to the Public Employment Service increased.	The pattern of regional staff levels still remains incongruent with corresponding unemployment levels.	Implement previous recommendation.
Panel D: Public sector			
Public administration reform			
Civil Service Act	The government submitted to parliament a draft of a comprehensive Civil Service Act.	While a step in the right direction, the notion of tenure for civil servants is misguided. Including employees of independent regulatory agencies within its purview risks reducing the agencies' ability to attract high-quality employees.	Revise the draft of the Civil Service Act, removing the notion of tenure and exempting employees of regulatory agencies.
Territorial administration reform	A new level of regional government became operational in 2001.	While the introduction of regional governments may well improve the delivery of public services, there is a risk of excessive creation of public administration jobs.	Match creation of new administrative positions at the regional level by corresponding cuts at the centre.
Pensions			
I. Pay as you go (PAYG)			
The government could consider raising retirement ages for women to those of men, indexing benefits to prices (resulting in a lower replacement rate) or injecting more funds into the system. The government should reconsider the decision to create a new extra-budgetary fund.	Parliament rejected all legislative amendments proposing to increase the mandatory retirement age. The government has continued to index pensions to both prices (2/3) and wages (1/3) and submitted to Parliament legislation proposing the establishment of a new extra-budgetary fund, the Social Insurance Agency (SP).	Even increased retirement ages would not be sufficient to control costs of PAYG fund given its generosity. Proposed extra-budgetary PAYG fund will result in higher administrative costs than the current system. The PAYG system remains unsustainable.	The previous recommendations remain pertinent. Implement a shift from the defined-benefit (DB) PAYG to a notionally-defined contribution (NDC) system, in line with recommendations by government experts. Savings could be achieved by integrating benefit collection with the tax system.

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Table 24. **Structural surveillance** (*cont.*)

Panel D: Public sector

Issues/2000 recommendations	Action taken	Assessment	Follow-up recommendation
II. Private funds			
Access to early retirement should be harmonised with PAYG fund, or payments actuarially reduced.	None.	Current rules encourage early termination of private pension plans.	Restrict access to lump-sum payments until after retirement.
Re-assess the costs and benefits of the tax expenditures supporting private funds after a set time period, for example 2 years.	The government increased financial incentives to join funds, beginning in January 2000.	The incentives encouraged younger workers to increase their participation in the private funds.	Previous recommendation remains pertinent.
Consider whether the Securities Commission should monitor pension funds. Strengthen timing and content of fund disclosures.	No action taken.	Supervision needs to be tightened as the types of investments that funds can make expand.	Previous recommendation remains pertinent.
Reduce the number of goods and services subject to the reduced VAT rate.	A small number of goods and services were moved from the low to standard rate in accordance with minimum EU requirements.	The share of total consumer expenditure that is low rated remains exceptionally high and the difference between low and high rates large – resulting in significant distortions.	The previous recommendation remains relevant.
Reduce the burden of taxation on labour.	The highest personal income tax rate was reduced from 40 to 32 per cent.	High social-security taxes mean that the overall tax burden continues to fall disproportionately on labour – especially when tax and social benefits are considered simultaneously.	Reduce social-security charges.
Increase the share of self-employed earnings subject to social security contributions.	No action taken.	The total tax burden faced by the self-employed remains substantially lower than for those in a standard employee/employer relationship.	Previous recommendation remains relevant.

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Table 24. **Structural surveillance** (*cont.*)

Panel D: Public sector

Issues/2000 recommendations	Action taken	Assessment	Follow-up recommendation
Decrease non-neutralities in the taxation of capital income.	The corporate income tax was reduced from 35 to 31 per cent and the withholding tax on dividends and capital gains was reduced from 25 to 15 per cent.	Interest payments made by firms continue to be deductible from corporate income tax, favouring this form of financing over others.	Eliminating tax deductibility of or raising the withholding tax on interest outlays would help reduce non-neutralities.

Source: OECD.

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Product markets

Over the past several years, the government has taken a large number of steps to improve the regulatory environment in product markets (see OECD, 2001*b* for an historical overview). In addition, the clean-up of banks' balance sheets and the subsequent privatisation of most state-controlled banks have brought an end to the period of easy credit. This, plus new regulations limiting their participation in non-financial firms and the strengthening and closer supervision of capital market regulations has improved corporate governance substantially. Moreover, these steps plus improvements to bankruptcy law and the commercial code have reduced opportunities for asset stripping and tunnelling. As a result of these reforms, firms face much tighter budget constraints and the restructuring process has deepened – all of which is reflected in improved productivity performance and the pickup in foreign direct investment. The following paragraphs discuss recent developments and suggest additional measures that might contribute to further improvements in productivity and economic growth.

Restructuring heavily indebted firms

While the transfer of bad loans from commercial banks to the state-owned *Konsolidacni banka* (KoB) significantly improved their balance sheets, it did nothing to relieve debtor firms from the burden that these unpaid (and in some cases unpayable) loans represent. Since the previous *Survey*, which recommended actively collecting and resolving these outstanding loans, significant progress has been made. In particular, the KoB's special purpose *Revitalizacni* Agentura (RA) was able to partially restructure the debt of a number of specially selected large firms. Even more progress in this regard was precluded by deficiencies in the legal framework. Of the ten firms that were accepted by the RA for revitalisation, one was sold (*Aliachem*) and one was taken over by a private investor,[60] while the core business of another firm (ZPS *Zlin*, a bankrupt engineering company) was privatised.[61] Although progress was made in restructuring the remaining six[62] and some of them are generating operating profits, none has been sold to strategic investors yet because of legal problems arising from inadequacies in the bankruptcy law and the commercial code (see below). For example, *Zetor*, a large tractor manufacturer was restructured and a composition deal prepared, but in order to be accepted KoB (the state) was forced to guarantee the repayment of (discounted) debts to other creditors.[63] Meanwhile, a few small creditors delayed substantially a detailed composition plan for *Vitkovice*, a steel mill. Although they withdrew their initial objection to the agreed 30 per cent recovery rate in October 2000, the court order approving composition was not issued until April 2001. The final list of claims was to be submitted to the relevant regional court in late June 2001 and approval of the composition is expected to materialise shortly thereafter.

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While the RA and similar state-assisted restructuring schemes represent a mechanism by which the burden of bad debt can be lifted from larger firms, bad loans of smaller firms cannot be effectively dealt with on a one-to-one basis. Nevertheless, their loans remain a significant burden and both the scale of the problem and its importance for the economy remain immense. At the end of 2000, more than 3 700 firms, employing an estimated 400 000 people owed debt worth some 15 per cent of GDP to KoB. For the most part, repayment of these loans has not been actively pursued. As a consequence, unviable firms were not forced into bankruptcy, preventing the reallocation of resources (both financial and material) to more productive uses. At the same time, debts of viable firms were not being restructured, leaving them on an untenable financial footing and preventing them from undertaking the kinds of investment and development projects that would otherwise have seen them strengthened and more productive. Although progress has been limited, some initial steps have been made to deal with these smaller debtors. In 2000 the KoB experimented with wholesaling such loans. It put together a package of bad loans and offered them for sale to private investment bankers. Interest was limited and offers discounted the nominal value of the loans heavily, with the winning bid paying only 7 per cent of the nominal value of the loans it acquired (11 per cent of book value).[64] While this is a disappointing number (similar sales in Korea have netted as much as 50 per cent), discount rates may fall if experience shows that more money can be recovered from the loans. Moreover, even at a steep discount, the economic benefits of such sales far outweigh the alternative of letting the firms continue to fester under the burden of debt. The sales can be expected to either bring in foreign expertise to troubled firms via debt for equity swaps or open the way for insolvent businesses to free themselves of their overall obligation by making a reduced payment. Of course, in some instances firms will be driven into bankruptcy, which will be individually painful but economically positive in the long run – freeing resources to move to more productive alternatives.

Despite these limited successes the government decided to abolish the RA in January 2001, preferring to pursue such state-sponsored restructuring efforts and sales of loans directly through the KoB or in co-operation with private investment banking firms. The number of firms participating in the revitalisation programme is likely to grow this year as the government intends to restructure large domestic firms that lost access to credit from *Investicni a potovni banka* (see below). Moreover, the KoB itself will undergo a restructuring. As of September 2001, assuming required legislation passes, its banking license will expire and it will transfer its loan portfolio to a new entity, the state-owned *Ceska Konsolidacni Agentura* (CKA). In an effort to minimise its politicisation, all political parties will be represented on CKA's supervisory board. In preparation for this transformation, some of KoB's activities (management of projects financed by the European Investment Bank) were transferred to the state-owned Czech-Moravian Guarantee and Development Bank in January 2001.

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The legal environment for business

Since 1997, a large number of reforms have sought to improve the ability of creditors to enforce their legitimate property rights. In the case of bankruptcy, legislation has been passed breaking the link between court-appointed trustees' remuneration and the number of transactions and various administrative changes have been implemented to speed up the bankruptcy procedures.[65] Insolvent companies and individuals are now required to file for bankruptcy without delay and firms must be liquidated within 18 months or face heavy fines. Judges have been empowered to render decisions immediately in cases governed by the civil procedures code. A related change facilitates the auction of a debtor's assets – although as currently drafted the debtor must effectively agree to the sale.[66] Moreover, courts can now appoint preliminary trustees before the declaration of bankruptcy whose approval is required prior to a debtor disposing of property – thereby reducing the scope for asset stripping. The revised civil procedures code also permits the bankruptcy trustee to sell the enterprise as a going concern, including both assets and liabilities. Finally, in an effort to further strengthen and speed up the bankruptcy process a new law was promulgated re-authorising private-sector bailiffs,[67] acting and paid for by creditors, to execute the decisions of the courts. Previously these problems led creditors to treat debts passively – in the hopes of earning some future return rather than attempting to collect them in the present and run the risk of losing them forever. For debtors, these weaknesses in the legal system, and creditors' reaction to them were reflected in a deterioration in payment discipline and the build-up in inter-company debt, tax arrears and bad loans.

These above-mentioned steps have gone a long way to strengthening creditors' property rights and should help promote firm-level restructuring and prevent the re-accumulation of bad loans. Although delays in both reaching judgements in commercial and bankruptcy cases and their execution have been reduced – depriving unscrupulous debtors of time to strip and tunnel assets – bankruptcy procedures still take an average of two years to conclude and the quantity and proportion of unsolved cases remain high (Table 25). Moreover, in cases where the new rules require a court judgement and its execution, it is not clear that the reforms address the underlying problem of slow judicial processes.[68]

The difficulties encountered by the *Revitalizacni Agentura* in executing compositions (agreements between the principal owners and creditors on debt restructuring) – even under extremely favourable conditions[69] – highlighted some of the deficiencies in both the commercial code and bankruptcy law and prompted several reforms. Thus, composition rules have been revised to permit debt-equity swaps, although such efforts, which require an increase in a firm's capital and can still be challenged at two court levels by minority shareholders [subject to a three-month limit after the general shareholders meeting (GSM)]. Similar problems haunted efforts to secure agreement among large and small creditors on

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Table 25. **Bankruptcies**

	1992	1993	1994	1995	1996	1997	1998	1999	2000
New petitions[1]	353	1 105	1 826	2 400	2 996	3 311	4 306	4 339	4 650
Declared[1]	1	66	294	727	808	1 251	2 022	2 000	2 491
Declared as per cent of petitions (including those outstanding)[2]	0.3	4.5	9.1	13.7	10.6	12.4	15.4	12.9	13.7
Motions of settlement[1]	123	418	921	1 117	1 716	2 047	2 418	2 964	4 087

1. Petitions for bankruptcy may be lodged by the creditor or the debtor. Only the courts may declare a debtor to be bankrupt. Motions of settlement are separate procedures also made before the courts. They are offers made by debtors to settle with creditors. Few are agreed to by the courts or creditors.

2. Calculated as 100 * $Declared_t / \left(\sum_{i=1992}^{t} Petitions_i - \sum_{i=1992}^{t-1} Declared_i \right)$.

Source: Ministry of Justice.

the terms of composition. Moreover, until amended the law permitted a creditor who refused to participate in a composition to press his claim after the restructuring from the then healthy company – a feature that gave clear incentives to small claim holders to take restructuring deals hostage in the hope of forcing better terms for themselves. In an effort to counteract this tendency, a limit of 70 per cent of the total assets of a bankrupt company was imposed on the claims of secured creditors. While this last change may reduce incentives to block a composition, it is likely to increase the cost of credit to firms, as secured lenders will quite naturally demand more collateral to compensate for its reduced value. Finally, compositions remain difficult because only the bankrupt firm can initiate them, out-of-court settlements remain illegal and judges are reluctant to make preliminary rulings on challenged changes to the capital of a firm, because these could incur a liability for the state.[70]

In addition, steps have been taken to improve creditors' ability to collect a claim. Private bailiffs may now be hired to carry out court judgements and in cases where a debtor refuses to pay a claim, a creditor can now get a court order requiring him to declare all of his assets – previously the creditor had to identify them himself. Moreover, the authorities are considering plans to create an instance of appeal for administrative law cases. Currently, no such cases are decided once and for all and as a result there is no jurisprudence associated with them and treatment can vary widely across jurisdictions. As discussed in the previous *Survey*, this means that there is no uniform interpretation of tax rules for example.

In an effort to address remaining difficulties, the government has asked the Ministry of Justice to draft a new bankruptcy law whose procedures would supersede those of the civil procedures code. The hope is that a new law would be less susceptible to the myriad of problems that have continually plagued

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efforts to reform existing provisions.[71] To be an effective tool for improving economic efficiency, the new law needs to recognise that firms do fail and that the purpose of bankruptcy legislation is to preserve as much value from the defunct firm as possible. In this regard, the new law should recognise the commonality between this goal and the interests of creditors. It should, therefore, give their committees a central role in the process, including selecting the administrator and directing the restructuring of the debtor firm, with the courts supervising the process to ensure it proceeds in a fair manner. Moreover, in cases where the firm is viable in an operational sense, the range of options available to it in disposing of its assets should include restructuring deals that would permit the firm to re-emerge under new management and new owners. However, when creditors determine that such options are not worthwhile they should be free to proceed with liquidation. Finally, in order to reduce the risk that large creditors are held hostage by smaller ones, it is essential that voting in creditor committees be weighted in proportion to the value of claims.

While a separate bankruptcy law would be helpful, the commercial code is also in need of fundamental reform and it is difficult to see how the first reform would be effective without improvements in the second. Indeed, the legal difficulties surrounding bankruptcy are, in some sense, a special case of the general problems of the Czech commercial court system. Some argue that lengthy procedures and execution problems reflect the inexperience of judges with the commercial code. However, after 10 years of transition this explanation is increasingly less convincing. Rather there appear to be some substantive problems with the legal framework. Recent reforms and proposals for reform go some of the way to resolving these issues. Thus, in addition to the changes already mentioned within the context of bankruptcy, it is now no longer possible to introduce new evidence during an appeal – a delaying tactic that lay behind the difficulties that the RA had in securing the composition of *Vitkovice*. The introduction of an amendment allowing judges to record changes in the corporate equity approved by general shareholder meetings in the commercial register, with the risk of legal challenges borne by majority shareholders ought to encourage an acceleration of compositions. Moreover, the Ministry of Justice intends to require judges to follow special training programmes and to submit to regular evaluations of their technical competences. The authorities also intend to overhaul five major legal codes (civil, civil procedures, commercial, criminal, criminal procedures) next year. If this programme is implemented, the environment for doing business in the Czech Republic would be significantly improved.

Progress in privatisation

The National Property Fund (FNM) has made rapid progress in reducing its residual holdings among non-strategic firms. The number of companies in

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which it has such holdings fell from 600 in 1997 to 229 at the end of 2000. Further advances are likely to occur slowly because many of the remaining firms are involved in bankruptcy proceedings, their ownership is being litigated or the market for their shares is too thin. Progress selling off so-called strategic holdings has been much less impressive.[72] Indeed, since 1998 only two banks (see below), a producer of chemicals and a coal-mining company have been sold (Table 26). However, the authorities expect to substantially accelerate the pace of privatisation of these firms in 2001 and 2002 and they have already concluded one major sale (that of the Prague water utility). Moreover, efforts to sell the remaining state-owned commercial bank *Komercni banka* are well advanced and should be completed by the middle of 2001. The state also retains golden shares in 83 firms,[73] which give it special voting rights, usually a veto over future sales or the disposition of key assets or the firms' trademark. Of these 83 companies, 64 firms are privately owned and operated (the remaining 19 are deemed strategic and are controlled and managed by the FNM). The authorities indicate that these golden shares are not to be held permanently. In order to remove this fetter on private firms' actions, the government adopted in February 2001 a resolution instructing respective ministers to ensure that golden shares in 53 fully private firms be abolished either by the end of 2002 (27 firms in manufacturing, culture and tourism sectors) or by the end of 2005 (one horse-breeding farm) or by the end of 2010 (25 water utility companies).

Privatisation of network industries

Looking forward, the authorities are planning a major privatisation drive. Now that a transparent and independent regulatory framework is in place (see below) the government hopes to proceed rapidly with the privatisation of network industries (telecom, electrical and gas industries, which remain largely state controlled). In the telecom sector, the authorities hope to sell their 51 per cent stakes in *Cesky Telecom* (the dominant fixed-line operator and owner of the leading mobile phone company) and *Ceske3 radiokomunikace* (the number two mobile operator) to strategic investors. In the electricity sector, the government appears to favour recreating a vertically integrated dominant company by selling both its controlling stake in the dominant generator, CEZ a.s., and its holdings in six regional distributors to a single strategic investor (or consortium).[74] It has decided however that the eventual purchaser of CEZ must sell the power grid (CEPS) to a separate entity within one year of its purchase of CEZ. A similar privatisation strategy is being pursued in the gas sector. Here, the government plans to sell between 49 and 97 per cent of its 100 per cent stake in the pipeline and storage facility monopolist, *Transgas*, together with its majority or controlling stakes in eight regional distribution companies to a single entity. In addition the government intends to sell the vertically integrated petrochemical holding company (*Unipetrol*).

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Table 26. **Participation of the National Property Fund in strategic companies**[1]

Company	State's share in per cent		Employment in persons	
	December 1998	December 2000	December 1998	December 2000
Financial sector				
Privatised				
Česká sporitelna (CS)[2]	45.00	0	16 580	13 877
Československá obchodní banka (CSOB)	19.59	0	4 987	n.a.
To be privatised				
Komerční banka (KB)	48.74	60	13 861	10 599
Česká pojišťovna	30.25	30.25	8 423	6 398
Energy sector				
Privatised				
Most Coal Company[2]	46.29	0	9 260	n.a.
To be privatised				
Czech Power Company (CEZ)	67.57	67.60	10 600	8 795
Central Bohemia Power	58.31	58.29	1 877	1 765
Eastern Bohemia Power	48.11	49.62	2 114	1 550
Northern Bohemia Power	48.06	48.05	1 884	1 715
Northern Moravia Power	47.25	48.43	2 112	2 030
Southern Bohemia Power	48.10	48.06	1 302	1 188
Southern Moravia Power	46.66	46.66	2 346	2 319
Transgas (gas transport and storage)	100.00	100.00	n.a.	n.a.
Central Bohemia Gas	48.52	48.52	535	556
Eastern Bohemia Gas	47.12	47.10	658	665
Northern Bohemia Gas	49.20	49.19	713	720
Northern Moravia Gas	47.17	47.17	1 092	1 085
Prague Gas	49.18	49.18	865	871
Southern Bohemia Gas	46.69	46.68	273	269
Southern Moravia Gas	47.65	47.65	1 350	1 365
Western Bohemia Gas	45.92	45.81	770	684
Paramo (refinery)[3]	70.87	70.87	824	796
Unipetrol (oil holding company)	62.99	62.99	8 574	6 810
Prague Power	48.19	48.19	1 517	1 395
Southern Bohemia Power	48.10	48.06	1 302	1 180
No privatisation plan				
Cepro (sales and storage of refined oil)	100.00	100.00	1 175	840
Mero CR (oil transport and storage)	100.00	100.00	167	161
Northern Bohemia Coalmines	54.00	54.06	6 242	5 662
OKD (coalmines)	45.88	45.88	25 913	19 997
Sokolov Coal Company	48.69	48.69	6 863	6 206
Manufacturing				
Privatised				
Chemical Works Sokolov[2]	73.74	0	851	n.a.
To be privatised				
Jan Becher-KV Becherovka (liquor factory	59	59	344	334
Nová Hut (steel works)	49	49	14 681	12 649
Vitkovice (steel works)	67.31	67.31	16 109	9 600
SEVAC (R&D manufacturing of pharmaceuticals)	78.85	78.85	70	65

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Table 26. **Participation of the National Property Fund in strategic companies**[1] (*cont.*)

Company	State's share in per cent		Employment in persons	
	December 1998	December 2000	December 1998	December 2000
Manufacturing				
No privatisation plan				
Plzeň Prazdroj (brewery)	0	0	2 558	2 751
Škoda Praha (engineering works)	54.77	54.77	1 958	1 243
Aero Holding[4]	61.83	61.83	21	19
Transport				
To be privatised				
Czech Airlines (CSA)	56.92	56.92	4 010	4 118
No privatisation plan				
České dráhy (CD)	100	100	91 870	89 522
Telecommunications				
To be privatised				
České radiokomunikace	51	51.19	1 550	1 488
Český Telecom	57.1	51.1	22 277	17 439
Water				
Privatised				
Prague Water and Sewage[5]	100	100	n.a.	2 046

1. The state is not represented by the National Property Fund in Transgas and CD.
2. The National Property Fund ceased to be a shareholder.
3. Became part of UNIPETROL holding on 19 December 2000.
4. Liquidation of Aero Holding started in January 2001.
5. Privatised in January 2001.

Source: National Property Fund, OECD.

The authorities indicate that their choice of privatisation strategy was motivated by four goals: ensuring the competitiveness and stability of the industry; liberalisation of the market in line with EU rules; optimal pricing for final consumers and maximising sales revenue. The strategy being pursued in the energy sector might have the benefit of maximising short-term privatisation revenues but it appears short-sighted and is unlikely to provide consumers and firms with the lowest possible energy prices. The choice to create a dominant player in the electricity sector is especially unfortunate because it fails to take advantage of the substantial efforts that have been made to create a legal framework capable of supporting a more competition-friendly sector. By recreating dominant and vertically-integrated electricity and gas providers it is likely to reduce substantially the benefits that would have accrued to consumers by the creation of a competitive sector. While privatisation *per se* will have the benefit of tightening firms' budget constraints, the degree of market power resulting from the effective ownership

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reintegration of electricity and gas firms will require a much more restrictive and expensive regulatory regime than would have otherwise been needed. Indeed, the argument that a sale that vests monopoly control in a single owner will generate higher revenue for the government can only be compelling if it is assumed that the regulator fails to impose prices and efficiency improvements that would emulate a competitive market – thereby forcing monopoly profits down to "normal" levels. Nor is it clear that this reintegration was necessary to ensure stability and security of the electricity and gas supply, given the example of more competitive market structures operating effectively in other countries. For these reasons, the authorities should reconsider the privatisation model and instead adopt one that ensures separate ownership for generators, the grid and local distribution networks.

Regulation issues

Since the previous *Survey*, the Czech government has taken several important steps to introduce competition and effective regulation into the telecommunication, electrical, gas and rail markets. These include the passage of a new Energy Act in November 2000 that paves the way for the gradual introduction of international and domestic competition into the electricity and natural gas sectors and the establishment of two new independent regulators in the telecom and energy sectors.

- The energy sector

The new Energy Act foresees the share of the electricity market subject to competition increasing from zero currently to 30 per cent in 2002, 50 per cent in 2005 and 100 per cent in 2006. The gas market is to be liberalised more slowly, starting with a minimum of 28 per cent of the total in 2005 and progressing to the minimum of 33 per cent in 2008. In addition, the Energy Regulatory Office (ERU) began operations on 1 January 2001 as the independent regulator[75] of both the gas and the electricity sectors. As well as taking over regulatory functions from the Ministry of Industry and Trade,[76] the ERU also assumed responsibility for determining connection charges in addition to end-user and other prices, functions previously performed by the Ministry of Finance. Moreover, the ERU is responsible for granting licensing to all operators and has the authority to reject applications for competitors to join the Czech power grid. However, the Ministry of Industry and Trade has retained the sole power to specify the rules by which licenses can be accorded, to authorise the creation of cross-border electrical power links, to grant construction permits for generation units above 30 MW capacity and to restrict electricity imports in specific cases.

The creation of the ERU was an important step forward and it has already taken a number of important decisions, including approving a steep 40 per cent increase in residential natural gas prices as of July 2001. While a politically unpopular

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move,[77] it would appear to have been justified by increases in world prices and the government's commitment to eliminate cross-subsidisation by the end of 2002. However, the basis upon which the ERU arrives at decisions remains somewhat opaque. In the first few weeks of its existence, it allowed the dominant, state-controlled producer (CEZ) through its subsidiary (CEPS) to increase the prices it would charge to independent distributors by a large margin. Although it indicated that this increase was granted on a cost-plus basis, the formula used was not disclosed. Finally if current privatisation plans are executed, the dominant positions of CEZ and Transgas in the electricity and gas markets will make the ERU's task much more difficult. In order to face this challenge, the government should strengthen its independence and grant it authority to impose special pricing regimes on the dominant vertically integrated producer if deemed necessary. Moreover, it should be permitted to supplement the financing of its operations by charges levied on regulated firms or end users. This would allow it to increase its resources and compete with the private sector for the well-qualified personnel. From this point of view, the current plan for integrating the ERU and other regulatory agencies into the civil service system with its relatively low pay scales would be unhelpful.

- Telecommunications

The telecom sector is already subject to considerable competition, with several mobile operators and a legislative basis for introducing fixed-line competition having been established in 2000.[78] As of 1 January 2001 the monopoly of the state controlled *Cesky Telecom* (CT) was abolished and alternative carriers have since entered the fixed-line voice telephony market. The sector is regulated by the Czech Telecommunication Office (CTU) which began independent operations in July 2000; previously it was subordinated to the Minister of Transport and Telecommunications. It has sole authority to take decisions on pricing, licensing and regulatory standards and its decisions are final and cannot be appealed except through the courts. The CTU has already displayed its independence, ruling against CT's efforts to charge its competitors network access prices based on its historical marginal costs. Instead the office decided on a compromise midway between those levels and those corresponding to European best practice – as requested by CT's competitors.

- Railways

Progress towards liberalisation in the rail sector has been considerable. Although *Ceske Drahy* (CD), the 100 per cent state-owned railway, remains the dominant rail operator, administering most of the track in the Czech Republic, competition has been introduced in its freight transport activities.[79] Moreover,

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substantial restructuring has occurred and employment is down 25 per cent from pre-transition levels. There are 35 private independent short-haul high-weight railways (of which five also provide public transport) operating on dedicated routes. Furthermore, rules governing track access are more liberal than those in the EU (OECD, 2001 *b*). Management of the track is the responsibility of the company's Railway Routes division (created in 1996), which is separate from its Business operations division and must, by law, make track available to other licensed operators.[80] The government has approved in principle a plan that would transform CD into a joint-stock company responsible for operations, while keeping the basic railroad infrastructure in hands of the state. So far, however, it has not been implemented, partly due to the massive debt of CD (CZK 30 billion at the beginning of 2001), which would have to be eliminated first, and partly due to lack of parliamentary support. The MoF sets maximum track-access charges but CD pays less than this amount. Nevertheless, it is a perpetual money loser, principally because of public service obligations to provide passenger transport at below cost. CD's accumulated losses since 1993 reached 1½ per cent of GDP in 2000 and are financed by state-guaranteed loans and inter-company loans in the form of large debts owed to state-controlled power distributors.

Insofar as CD's public-service obligations are the source of its revenue shortfalls – and imply substantial cross-subsidisation of its activities – the authorities should consider moving to a more transparent mechanism for providing these services. The Railway Act allows CD to charge market-clearing prices for its services in general and like many European railroads it offers discounts. In addition, however, the Act imposes public service obligations which, while complying with the relevant EU directive, make passenger transport unprofitable. An explicit subsidy or coupons would be a superior mechanism to assure these services. Such payment for these services would relieve CD of its obligation to cross-subsidise these activities and allow it to compete more effectively (by lowering its prices) with other operators – who are presently entering into markets where CD is or could be earning excess profits. Of course, such a reform might see line closures if bus services prove to be more economic on some routes.

Management of State *assets*

Given its large remaining shareholdings the government still plays an active role in the management of many firms. The FNM, government ministries and *Konsolidacni banka* have *de facto* or *de jure* rights to name representatives to the supervisory and management boards of many companies. This raises many potential conflicts of interest between the appointees' roles as government representatives and their obligation to firms' shareholders. In an effort to reduce the scope for such conflicts, the government proposed an amendment to eliminate compensation for elected MPs, senators and employees of the privatisation agency who

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sit on corporate boards. Moreover, as a *quid pro quo*, it proposed significantly limiting their fiduciary responsibility[81] (under Czech legislation, supervisory and managing boards are supposed to exercise corporate governance and their fiduciary responsibility is virtually unlimited). Unfortunately by eliminating these individuals' financial accountability, such a reform would introduce significant moral hazard problems. A more appropriate response would put in place stricter conflict-of-interest legislation preventing politicians and government employees from serving on company boards while delegating administration of their business interests to blind trusts. Government agencies should be able to assure appropriate representation of the state's interests on company boards by appointing external experts and establishing policies transparently. The procedures governing the contracts of experts representing the interests of the European Bank for Reconstruction and Development might serve as a model.

Finally, the authorities are encouraged to enhance the transparency of the activities of the National Property Fund (FNM) in line with the recommendations of the previous OECD *Survey*. While some of the Fund's activities are subject to direct parliamentary control, others are subject only to indirect control through the Fund's supervisory board whose members are selected by the Cabinet. Moreover, the Supreme Audit Office (SAO) is not authorised to audit the agency as a whole but can examine the implementation of specific privatisation decisions of the state.[82] However, the SAO is barred from examining the behaviour of the FNM as shareholder, even though the agency is supposed to represent interests of the state on corporate boards.

Foreign direct investment

Foreign direct investment (FDI) inflows have increased dramatically in recent years, responding to substantial improvements that have been made to the regulatory climate, the Republic's expected accession to the EU, its high-quality labour force and a new investment incentive scheme (see below). These increased inflows have contributed importantly to the growth of exports, the volume of which now exceeds 70 per cent of GDP (Table 27) and have been associated with rapid increases in productivity, both directly because embodied technology, management and marketing techniques are more efficient than those of existing firms but also because of indirect effects. In particular, these skills are transmitted both to the new firms' employees and less directly to their domestic suppliers and customers. While these secondary impacts are hard to evaluate, firm-level data clearly supports the notion that firms with foreign participation outperform their domestic counterparts (Table 28). Indeed, prospects for improvements in technical efficiency abound, both within industry and in the service sector. For instance, the Czech Republic uses twice as much energy per unit of output as other European countries.[83]

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Table 27. **Foreign direct investment net inflows**[1]

	1993	1994	1995	1996	1997	1998	1999	2000	1993-2000	1993-2000
	$ million									$ per capita
Czech Republic	654	869	2 562	1 428	1 300[2]	3 718	6 324	4 595	21 450	2 088
Hungary	2 443	1 143	4 810[2]	2 289	2 185	2 036	1 997	1 974	18 877	1 884
Poland	1 715	1 875	3 659	4 498	4 908	6 365	7 270[2]	8 168[2]	38 458	995
Slovak Republic	1 791	273	258	357	204	505	365	1 987	4 129	765

1. Refer to International Monetary Fund *Balance of Payments Statistics Yearbook* and *Special Data Dissemination Site* for details of methodological variations across countries and time.
2. Indicates a series break.

Source: Balance of payments of respective national banks.

Although it is difficult to isolate its impact, the government's investment incentives scheme, launched in April 1998 and described in the previous *Economic Survey*, has certainly played a role in the pickup of FDI. Initially, the incentives were only offered to firms operating in the manufacturing sector, but these have now been extended to companies in such IT areas as software development and client support centres. Since its inception, the scheme has supported 41 new investment projects with a total value of over $2.3 billion.[84] So far, the government has not performed an evaluation of the costs and benefits of the programme, although in 1999 associated tax expenditures amounted to 0.2 per cent of GDP. This amount has doubtless grown and will continue to do so as investments become profitable and generate a tax liability against which relief can be claimed.

Regulated prices

The creation of independent regulators for telecoms and the energy sector and the government's commitment to eliminate the cross-subsidisation of energy prices by the end of 2002 are important steps towards price liberalisation. Nevertheless, prices in significant sub-sectors of the economy remain below their free market values – generating distortions in the allocation of resources. Indeed, the central bank estimates that full liberalisation of prices would result in a 10 per cent hike in the average price level. Rent controls are perhaps the most visible remaining instance of price regulation. As indicated in successive *Surveys* and as in virtually every other country in the OECD that has employed them, rent controls are generating significant economic distortions[85] in the construction and renovation industries whose share in value added has fallen by 50 per cent since the transition began (see Chapter I). Indeed, approximately 30 per cent of the housing stock consists of apartments with centrally regulated rents. Rent controls, as well as excessive tenant rights, explain why private landlords in Prague and other large cities prefer to rent to relatively wealthy foreigners at free-market rates and are

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Table 28. **Financial conditions in industry**[1]

	Domestically-controlled firms		Foreign-controlled firms	Unincorporated firms	Total
	Public sector	Private sector			
	Per cent of total				
Number of firms					
1997	9	80	10	1	100
1998	7	79	13	1	100
1999*a*	6	78	15	1	100
1999*b*	4	71	24	1	100
2000	4	68	27	1	100
Employees					
1997	15	76	9	0	100
1998	13	74	12	1	100
1999*a*	12	73	15	0	100
1999*b*	9	66	25	0	100
2000	9	63	28	0	100
Output					
1997	20	65	15	0	100
1998	18	63	19	0	100
1999*a*	17	60	23	0	100
1999*b*	14	49	37	0	100
2000	12	47	41	0	100
Pre-tax profit					
1997	32	52	16	0	100
1998	36	36	27	1	100
1999*a*	–15	65	49	1	100
1999*b*	–5	4	101	0	100
2000	7	27	65	1	100
Book value added					
1997	20	67	13	0	100
1998	20	64	16	0	100
1999*a*	16	64	20	0	100
1999*b*	14	49	37	0	100
2000	14	48	38	0	100
Overdue payables					
1997	20	69	11	0	100
1998	16	73	11	0	100
1999*a*	16	68	16	0	100
1999*b*	10	63	27	0	100
2000	7	66	27	0	100
Primary insolvency					
1997	14	71	15	0	100
1998	10	81	9	0	100
1999*a*	9	75	16	0	100
1999*b*	6	62	32	0	100
2000	3	73	24	0	100

1. Firms with 100 or more employees.

Note: Two sets of data are presented for 1999. The first, 1999*a*, is consistent with the methodology used in the period 1997-98. The second, 1999*b*, is consistent with the new methodology used in 2000.

Source: Ministry of Industry and Trade.

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willing to leave their apartments empty for years.[86] More importantly, rent controls are preventing the emergence of an active rental market, thereby generating a significant impediment to labour mobility, which helps explain the persistence of high levels of regional unemployment. For these reasons, the previous S*urvey* recommended that the government allow regulated rents to increase to market levels by 2005 in order to promote the creation of a housing and rental market.

In the event, the government raised maximum rents by only 4.9 and 4 per cent in 2000 and 2001 respectively. Following parliament's rejection of a new act that would allow landlords and tenants to negotiate rents freely or impose a locally determined "normal" rent in case of disagreement, the government plans to regulate rent increases in 2002 by imposing limits based on the current act on price regulation. While clearly a stop-gap solution which will not allow controlled and market rents to equalise, even the defeated proposal would have been unlikely to attain this goal in areas where the normal rent is well below the market rent – notwithstanding that this goal is supposed to be achieved by the end of 2003. Finally, excessively strong tenants' rights appear to have induced renters of municipally-owned apartments to not pay rents and for some municipalities to tolerate this behaviour.

Failure to adopt a more aggressive programme of liberalisation appears to be motivated by social concerns. However, rent controls are an inappropriate and weakly focused means for providing affordable housing to the poor because they benefit the rich and poor indiscriminately, while preventing the market from responding with additional supply that would serve to lower prices in general. Although the authorities spend some 2.8 per cent of GDP on housing subsidies, the effect on residential construction appears to be weak (see Chapter III). The legitimate desire to ensure that deserving families with limited resources have access to adequate housing would be better met by allowing rents to adjust and the market to increase supply. Money currently spent on construction subsidies could be used to augment explicitly means-tested housing subsidies or social housing. In the meantime, in order to avoid the accumulation of further distortions, rent controls should be abolished in those centres where maximum rents are already higher than market rents, while a much more ambitious programme of liberalisation is required.

Financial markets

Efficient financial markets are essential to the smooth operation of a market economy. A strong banking sector and a healthy capital market are the principal mechanisms by which an economy's savings are directed to their most productive uses, ensuring that aggregate productivity growth is as rapid as possible. As described in past OECD S*urveys*, a number of serious regulatory failures prevented Czech financial markets from operating efficiently. As a result, savings were misdirected and mis-appropriated through shady stock-market deals, while

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the banking sector directed money towards propping up uneconomic and unproductive companies to the detriment of more worthy ventures. Ultimately, these problems resulted in long-term damage to the reputation of Czech financial markets and an increasing reluctance of portfolio investors to risk money within the country. Since 1997, a large number of steps have been taken to redress past failings and this section describes the most important and recent of these.

Banking sector

Bank restructuring

Following the 1997 currency crisis, the authorities recognised the urgent need to privatise the large state-owned banks in order to promote a restructuring in the sector and among client firms. While the process got off to a slow start, the sector is currently almost entirely in private hands and the sale of the last (and most heavily indebted) state-controlled bank, *Komercni banka* (KB), is underway and a binding bid from a well-established western bank has been accepted and the bank is expected to be sold by the middle of 2001. Already concluded major sales include that of the state's 66 per cent stake in *Ceskoslovenska obchodni banka* (CSOB) to KBC Bank of Belgium in 1999 and of *Ceska sporitelna* (CS) to *Erste Bank* of Austria in 2000.[87] In addition, the city of Prague[88] has reached an agreement to sell its majority stake in *Prvni mestska banka* to *Ceska pojistovna*, a 30 per cent state-owned "strategic" insurance company (see Table 26).

While not a panacea, these privatisations have had important impacts on banks' behaviour. Indeed, the new owners of CSOB and CS (KBC and *Erste Bank*), although relatively small banks, have both taken steps to raise the quality of staff and banking procedures in their Czech acquisitions. Of the two, *Erste* has moved more forcefully, having appointed an experienced American banker as the new CEO and employing more than 100 foreign experts in diverse departments of the former state-savings bank. Initially KBC took a relatively hands-off approach,[89] but in recent months has been taking a more active role in CSOB's transformation. Moreover, positive changes in *Komercni banka* have preceded its privatisation and the new owner is expected to consolidate the gains and put the bank on sound footing. Banking-sector consolidation continued in 2000 with the absorption of IPB by CSOB and the merger of local subsidiaries of Bank Austria and Hypo-Vereinsbank, which is expected to create the fourth largest bank in the Czech Republic with a 5 per cent market share in the second half of 2001. Restructuring has entailed a sharp decline in banking-sector employment, which fell 13½ per cent from its peak of 52 000 persons in 1998 to some 45 000 in 2000. Nevertheless, the Czech market remains "overbanked" and competition fierce, with foreign-owned banks outperforming their domestic counterparts (Table 29). Interest rate spreads continued to narrow in 2000, following a downward trend that started in 1998.

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Table 29. **Banking indicators by bank type**[1]

	1998				1999				2000			
	Big	Medium	Small	Foreign Branches	Big	Medium	Small	Foreign Branches	Big	Medium	Small	Foreign Branches
	CZK billion											
Total bank assets	1 603.9	375.6	40.2	230.7	1 660.8	410.0	42.0	288.5	1 678.3	534.6	54.6	302.4
Total bank credits (gross)	845.6	139.4	19.6	93.0	784.8	152.9	23.9	97.4	706.0	199.4	27.9	108.8
Total reserves and provisions	128.6	9.6	2.6	2.7	150.4	12.2	3.1	5.1	130.3	12.2	2.8	4.9
Bank profits[2]	–12.7	2.9	–0.6	0.1	–7.9	2.0	–0.5	–0.9	9.2	3.5	–0.2	1.5
	Per cent of total											
Composition of banks' assets												
Total credits	52.7	37.1	48.8	40.3	47.3	37.3	56.9	33.8	42.1	37.3	51.1	36.0
Short-term securities	10.4	7.2	8.6	4.1	11.9	12.0	6.8	10.1	13.4	13.8	11.6	8.9
Securities in stock	4.5	3.6	4.5	1.0	3.5	2.4	1.6	0.9	4.0	4.2	0.7	0.7
Property participations	4.4	2.9	1.6	0.0	5.7	2.1	1.7	0.0	8.5	3.4	4.6	0.0
Other assets	28.0	49.2	36.6	54.6	31.7	46.2	32.9	55.2	32.1	41.3	32.1	54.5
Distribution of credits by quality[2, 3]												
Standard	69.2	80.8	71.0	96.6	60.1	80.5	75.2	94.1	58.8	84.2	84.0	96.4
Classified	30.8	19.2	29.0	3.4	39.9	19.5	24.8	5.9	41.2	15.8	16.0	3.6
Watch	6.0	8.8	7.8	0.9	12.3	8.2	6.2	1.1	13.7	5.1	5.1	1.0
Sub-standard	3.5	4.5	2.8	1.8	5.2	3.3	1.1	1.6	9.4	2.8	1.2	0.4
Doubtful	4.5	1.8	2.5	0.2	5.1	2.8	1.9	2.0	4.5	0.9	0.7	0.5
Loss	16.8	4.1	15.9	0.5	17.3	5.3	15.6	1.2	13.6	7.0	9.1	1.8
	Per cent											
Memorandum items:												
Total reserves and provisions/total assets	8.0	2.6	6.5	1.2	9.2	3.0	7.1	1.8	7.8	2.3	5.1	1.6
Total reserves and provisions/classified loans[2, 3]	35.6	36.1	45.8	86.2	33.7	37.3	51.7	87.7	17.4	38.6	62.0	123.7
Loss loans/classified loans[2, 3]	54.6	21.3	55.0	15.5	44.0	25.9	63.1	20.3	33.1	44.1	56.8	49.3

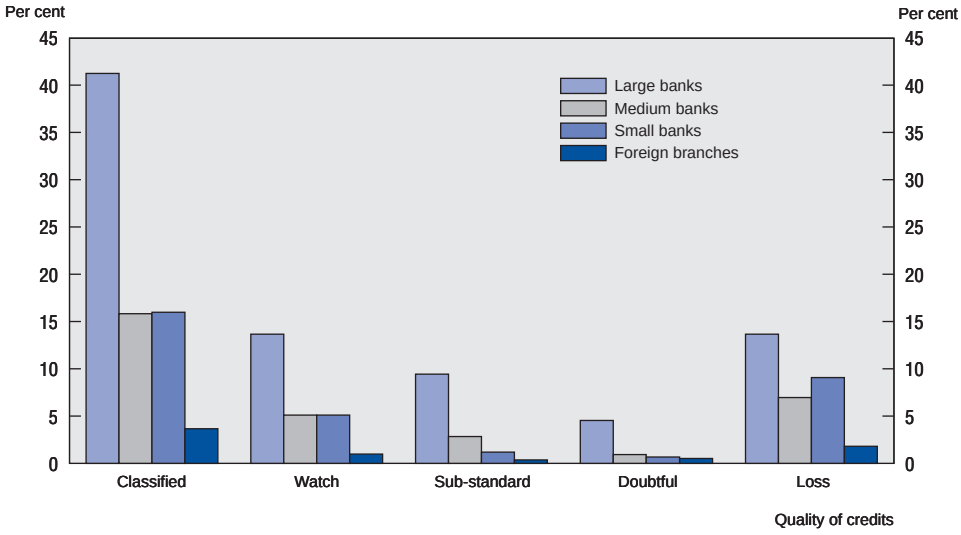
1. Data are for the end of the year and concern banks with a valid licence as at 31 December 2000.
2. Without *Konsolidační banka*.
3. Without credit to Slovak collection unit.

Source: Czech National Bank.

Following the sales mentioned above, the sector is for the first time since the transition clearly in private hands and lending practices are far more prudent. Tighter prudential regulations, the endogenous need to clean up balance sheets prior to privatisation, the general economic slowdown and firm-level restructuring all caused credit emission to slow in 1997-99 (OECD, 2000). This process continued in 2000 and was likely augmented in aggregate statistics by the difficulties of IPB (see below), which – even in the period before its forced administration – was under close scrutiny by regulators and taking steps to improve its balance sheet. While lending to private sector businesses fell by more than 6 per cent, lending to the public sector increased at a rapid pace and credit to households grew, albeit more moderately. The trend towards disintermediation of domestic banks was met partly by increases in foreign direct investment and increased lending by foreign-owned banks, easing to some extent the shortage of liquidity.[90] The credit crunch hit domestically-owned industrial corporations hardest, many of whom used to rely on IPB for financing.

Strengthened prudential controls as well as the continued transfers of bad loans to *Konsolidacni banka* meant that the share of classified loans in the overall loan portfolio of commercial banks decreased significantly from 32 per cent in 1999 to 29 per cent in 2000 (Figure 22). Although bad loans remained concentrated

Figure 22. **Classified credits by quality**
Share of total credits, 31 December 2000



Source: Czech National Bank.

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Table 30. **Banks: main indicators**[1]

	1994	1995	1996	1997	1998	1999	2000
	CZK billion						
Total bank assets	1 326.9	1 670.1	1 855.5	2 172.8	2 349.3	2 513.2	2 716.3
Total bank credits (gross)	716.9	821.3	935.6	1 086.5	1 116.0	1 085.7	1 073.3
Total reserves and provisions		96.0	98.8	123.9	143.9	171.3	151.0
Bank profits[2]	5.6	10.1	12.3	–1.4	–7.2	–5.6	15.0
	Per cent of total						
Composition of banks' assets							
Total credits	54.0	49.2	50.4	50.0	47.5	43.2	39.5
Short-term securities	5.2	8.8	5.9	5.9	9.0	11.2	12.2
Securities in stock	6.1	8.6	8.9	4.4	4.1	3.0	3.4
Property participations	1.2	1.2	1.0	4.2	3.9	4.9	7.3
Other assets	33.5	32.2	33.7	35.5	35.5	37.7	37.6
Distribution of credits by quality[2, 3]							
Standard		67.0	71.9	73.7	74.0	68.5	71.2
Classified		33.0	28.1	26.3	26.0	31.5	28.8
Watch		7.3	6.7	6.1	5.9	10.0	9.5
Sub-standard		4.9	3.0	2.6	3.4	4.3	6.2
Doubtful		3.9	2.8	2.9	3.6	4.2	3.0
Loss		16.9	15.6	14.7	13.2	13.1	10.1
Distribution of credits by maturity							
Short-term					40.6	38.5	36.5
Medium-term					22.5	22.0	19.6
Long-term					36.9	39.5	44.0
	Per cent						
Memorandum items:							
Total reserves and provisions/total assets		5.7	5.3	5.7	6.1	6.8	5.6
Total reserves and provisions/classified loans[2, 3]		34.8	34.4	39.4	41.9	35.7	30.3
Loss loans/classified loans[2, 3]		51.2	55.5	55.8	50.5	41.6	35.0

1. Data are for the end of the year and concern banks with a valid licence as at 31 December 2000.
2. Without *Konsolidační banka*.
3. Without credit to Slovak collection unit.

Source: Czech National Bank.

among domestic banks, reduced provisioning requirements and the preferential terms at which KoB took up bad loans meant that for the first time in three years, the sector registered a net profit in 2000 (Table 30). Increased lending to foreign-owned companies (generally seen as a safer credit risk) and, to a small extent, the growth of housing mortgages, are responsible for the growing weight of long-term loans in banks' portfolios: these now account for almost 45 per cent of all loans. Meanwhile, the weight of medium-term loans (generally to riskier domestically-owned firms in the industrial sector) has been falling (Figure 23).

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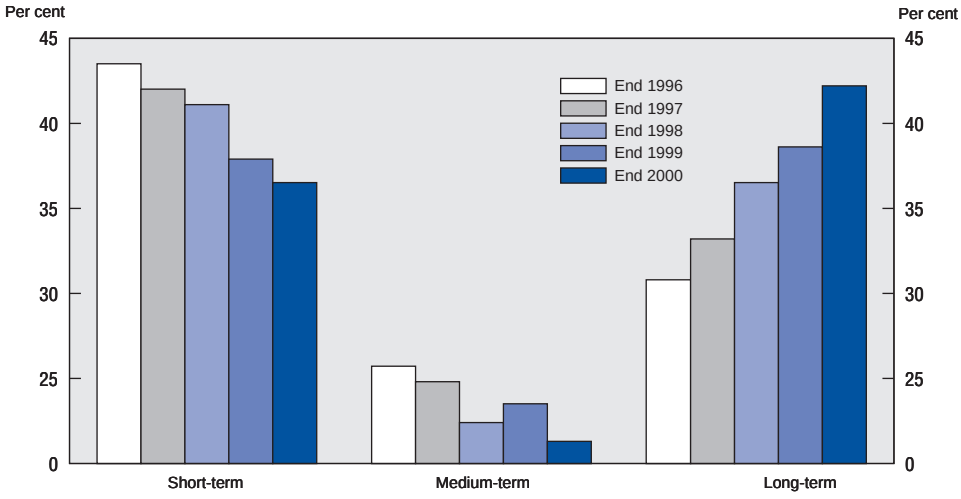
Figure 23. **Credits by maturity**
Share of total credits



Source: Czech National Bank.

The delays in the privatisation of the banks were not without cost. Their declining economic health reduced their market value and the government – through its *Konsolidacni banka* (the government-owned special-purpose bad-loan depository) – has been obliged to make numerous interventions to recapitalise them and assume their bad debt. The central bank estimates that directs costs in cleaning up the sector (bailouts/recapitalisations and other expenditures) have totalled 14 per cent of GDP (Tùma, 2000). Moreover, the financial group of *Konsolidacni banka* is estimated to have accumulated some CZK 228 billion or 8 per cent of GDP in bad loans. While it is difficult to estimate the percentage of these that will be repaid, most experts expect that very little value will be realised from this portfolio and a recent sale of some of them yielded only 11 per cent of their book value.

Regulatory issues

The privatisation of the banking sector formed an integral part of efforts to strengthen its governance structures. In addition, a number of significant changes have been implemented, strengthening prudential regulation. Most important among these were an increase in provisioning requirements for loans backed by

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real estate[91] and the requirement that assets be risk-weighted. Further, as of April 2000, capital adequacy measures must reflect not only banking risks but also incorporate market (interest rate, exchange rate, equity and commodity) risks. These changes led to a significant tightening of the budget constraint facing domestic firms, and helped impose on banks the kind of prudential discipline necessary to prevent another build-up of bad debt. As concerns the capacity of the supervisor to intervene in cases of emerging difficulties and ultimately prevent bank failure, the most important steps were those that enhanced the CNB's powers to undertake on-site inspections and strengthened minimum disclosure requirements.

In addition, recent reforms have been introduced to improve the quality of service in the banking sector. A new act on payments prepared jointly by the CNB and the government, if passed, would specify maximum limits for execution of domestic (two days) and international (five days) bank transfers. If these limits are exceeded, the client will be compensated automatically, receiving penalty interest from the bank that initiated the transaction. Although bank customers can theoretically sue for such penalties under current legislation, their chances of success in overloaded commercial courts are close to nil. Further, the new act will introduce the institution of banking ombudsman to help the public to settle their disputes with commercial banks. Finally, the CNB will also lose its monopoly on inter-bank settlement of koruna-denominated transactions – although the high costs of setting a competing system are likely to deter potential entrants. Furthermore, consumer choice will be enhanced by a relaxation in capital controls, allowing Czech residents to open foreign bank accounts without central bank approval, although they will still have to report to the CNB their account details and amounts transferred. This freedom should place additional pressure on Czech banks, both domestically and foreign-owned, to improve their customer service and compete harder for business. Finally, in order to decrease lending uncertainty and therefore improve overall intermediation, privacy laws should be amended to enable banks to set up a credit registry, *i.e.* a list of clients' past credit records.

In order to strengthen the supervisor's (CNB) capacity to oversee banks, the problems revealed by the IPB experience need to be addressed as rapidly as possible (see Box 11). An effective regulatory framework would give the supervisor tools to detect problems before they become serious and both the *de jure* and *de facto* powers to react quickly and decisively when difficulty appears imminent. One measure recently undertaken provides a legal basis for consolidated supervision of all financial groups, including commercial banks. Under these rules, regulation of capital adequacy on consolidated basis is to be phased in gradually over the period 2001-02. The changeover to consolidated supervision should make it easier to detect sooner serious problems in banks with links to investment funds and other financial companies. Unfortunately, even with this change, procedures are likely to be complicated – requiring joint action by the bank supervisor and

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Box 11. The IPB collapse

When the Czech National Bank became aware of serious problems in the spring of 1999 at *Investicni a postovni banka* (IPB), it was the third largest Czech bank with almost 3 million clients. The CNB immediately began preliminary investigations and started to conduct comprehensive on-site inspections in the second half of the year. Following these investigations a re-capitalisation of the bank was requested by the CNB in October, and subsequently approved by a general shareholders meeting (GSM) in November. However, because of repeated court challenges by a minority shareholder, judges refused to record the decision in the commercial registry. In March 2000 the CNB and the government began looking at alternative solutions, the range of which was limited by the bank's deteriorating liquidity position. On 15 June 2000, the IPB informed the CNB of its inability to meet its liabilities unless the central bank became the lender of last resort. After some deliberations IPB was placed into forced administration on 16 June 2000 and sold at a deferred price to the Belgian-owned *Ceskoslovenska obchodni banka* (CSOB) three days later, with the state guaranteeing to cover losses related to the loan portfolio as well as off-balance items. Estimates suggest that these guarantees could eventually cost the state treasury between 5 and 9 per cent of GDP.

Several factors appear to have played a role in preventing the CNB from intervening successfully before the bank's financial position had deteriorated to the point that forced administration and a rapid sale were required. Among the most important of these were:

- Concerns have been raised about the quality and reliability of audits. Indeed, in 1997 IPB fired its auditor Coopers and Lybrand when it refused to approve its statement for 1996. The bank replaced them with another respectable firm which approved statements for 1996 through 1998 and detected serious problems only in 2000, while preparing the statement for the previous year. Here, at least a part of the problem stemmed from the complicated ownership relationships between IPB and many of its affiliated companies.
- The CNB was hampered in its ability to monitor bank activity by on-site inspections and in particular by legal provisions that allow the bank examined to delay implementation of required remedies by undertaking numerous legal challenges. In the IPB case, legal proceedings substantially prevented the bank from taking the steps that might have resolved its liquidity problems at an earlier stage.
- The court system's failure to execute the shareholders' decision to expand the bank's capital.

police investigators. This measure should be complemented by reforms that would prevent banks' from delaying implementation of the supervisor's directives following on-site inspections by resorting to extensive appeals in the court system. Rather, legislation should recognise that such examinations are a normal part of bank supervision and that as a condition of their licenses banks must accept

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them. The need for reform goes beyond the powers and regulations governing the banking sector supervisor (CNB) and includes a number of issues previously discussed in the context of the legal environment for business. In particular, revisions to the commercial code that would prevent the obstruction of restructuring efforts, such as those discussed in the product-market section of this chapter, appear equally important to ensure the smooth operation of the financial sector.

The authorities can minimise the residual banking-sector risks best by creating preconditions for a more effective functioning of the regulator. While they managed to calm down millions of clients by selling the collapsed bank to a foreign-controlled competitor, the operation was expensive and appeared non-transparent. Although the whole issue remains extremely sensitive and litigious, eventually the authorities will need to explain more clearly what happened. In particular, past experience with prolonged forced administrations serves as a reminder that rapid action is necessary if the value of a troubled bank is not to be lost irretrievably. More globally, the authorities had to deal with the moral hazard problems stemming from the IPB failure. In this respect, their solution, which effectively ensured that those responsible for IPB's problems – its owners – shared in the cost of the debacle should reduce the likelihood that other bank owners act in a risky manner assuming that they are too big to fail.

Credit unions

While economically less important, an inadequate regulatory framework for *Kampelickas* (credit unions) led unscrupulous operators to run many of them as Ponzi games leading to the failure of many of these in 1999 and 2000.[92] Faced with the magnitude of the collapse and the inadequacy of the system's deposit insurance scheme (members losses amounted to billions of koruny while the insurance fund assets were a paltry CZK 20 million), parliament decided to bail out this group of mainly older savers.[93] Charges were laid in 79 cases of obvious fraud, but no convictions have been reported to date.

The previous *Survey* recommended that supervision of credit unions be taken over by the banking-sector regulator and that prudential and reporting requirements be substantially upgraded. In the event, *Kampelickas* continue to be supervised by the Institute for Supervision Over Co-operative Depositories, which has now more employees and stronger regulatory and monitoring powers.[94] Licensing standards have been strengthened and capital requirements for operating credit unions have been upgraded but remain low CZK 0.5 million (about $12 500). Here previous OECD recommendations remain relevant. Policy makers should consider further tightening standards and raising the minimum capital significantly to at least the level required for joint-stock companies established by public offering ($0.5 million). Credit unions unable to meet such requirements should lose their operating license while, given the similarity of financial services

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performed by banks and credit unions, the responsibility for supervising the remainder of the sector ought to be delegated to the banking regulator. In time, the authorities are encouraged to consider shifting the responsibility for banks and credit unions to a consolidated supervisory authority for financial markets (see below).

The capital market

Czech capital markets have yet to recover from the 1997 currency crisis and the flight of foreign capital. While a great deal has been done to harmonise disclosure requirements with world best practice, improve the protection of consumer rights and de-list the large number of illiquid stocks that used to trade on the country's three markets, the equity market remains weak and relatively illiquid. Indeed, notwithstanding substantial inflows of foreign direct investment, which have mainly taken the form of strategic investment, the confidence of portfolio investors has yet to recover. Partly as a consequence, the main market – the Prague Stock Exchange (PSE) – has had no initial public offerings since 1997 and a continuous decline of activity in shares. Here, problems enforcing the new exchange rules in Czech courts may explain the continued weakness of the sector. However, the remarkable growth of the traded volume in the bonds market in the first four months of 2001 may well indicate a renewed interest of foreign investors in the least risky Czech securities.

The regulatory environment

While understandable given the market's history, the reticence of investors is in many respects out of steps with the substantial progress that has been made to strengthen the regulatory environment. The Czech Securities Commission (KCP), which was created in January 1998, has very actively pursued its objective of establishing a clear, well-enforced regulatory climate where both large and small stakeholders can invest with confidence. Over the past two years, the KCP, together with the government, has concentrated on re-evaluating the licenses of brokerages and other financial-market firms; reviewing the compliance of listed companies with disclosure rules and upgrading the legislative framework's protection of small shareholders. Significant progress has been made in all of these areas.

A systematic review of all financial market licenses uncovered a number of irregularities in the operation of investment funds and brokerage houses. As a consequence, the KCP fined or placed under forced administration several investment funds and revoked the licenses of a large majority of brokers. Indeed, this process and much more difficult market conditions means that there are now fewer than 50 in operation as compared with 400 a few years ago. Moreover, the Commission's SPAD system[95] was expanded and improved so that 90 per cent of trades and an even higher share of volumes are subject to automatic monitoring.

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The system signals possible insider trading and other questionable trades almost instantaneously, resulting in further investigation by experts from the Financial Analytical Unit of the Finance Ministry after receiving the relevant information from KCP.

A review of compliance with disclosure requirements and the liquidity of the 1 700 publicly-listed firms created during voucher privatisation and an increase in the required capitalisation of listed firms[96] resulted in the de-listing of more than 1 500 of them. Reasons for de-listing included failure to meet disclosure requirements, bankruptcy, insufficient share trading and liquidation. As a result of its efforts in this regard, and despite tighter disclosure requirements, over 94 per cent of traded firms now meet KCP requirements, up from only 60 per cent in 1998. The de-listing of thinly traded firms greatly diminished the importance of the over-the-counter and off-exchange system (RM-S) trading systems, where the majority of non-transparent trades had occurred in the past (see OECD, 1998, 2000). They now account for only 3-4 per cent of all transactions.

In addition to these measures, the KCP has, in conjunction with the EBRD, the CNB and the Ministry of Finance, sought to revise the securities law and the commercial code in order to bring Czech legislation more closely into line with that of the EU. These efforts have improved minority shareholder rights and clarified the KCP's role in their enforcement. Specific steps taken include:

- Introduction of a requirement that any time an individual's or firm's holdings (whether directly or indirectly held) in a listed company rise above or below 5 per cent (or any integral multiple thereof as well as one-third or two-thirds), they must now declare their consolidated ownership position to the KCP.
- Creation of a corporate governance code based on the OECD principles, that the KCP proposes that all companies listed on the Prague Stock Exchange adopt voluntarily by 2003.[97]
- Granting to the KCP the authority to monitor compliance with the Commercial Code's mandatory buyout provisions.
- Introduction of stricter disclosure standards for new security issues.
- New regulation establishing mandatory disclosure of off-market transactions (effective as of 1 May 2001).

In addition, the KCP plans to produce a series of ten new regulations, supporting the government's programme to combat economic crime. The first of these regulations, stipulating remuneration of the KCP-appointed administrators or liquidators of unsuccessful investment funds, was submitted to the Finance Ministry in January 2001. The Commission intends to complete drafting of the remaining regulations later this year.

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Overall these steps have greatly increased the transparency of Czech capital markets and made them much safer places to invest money than in the past. Stricter disclosure requirements and improved compliance means that investors are much better placed to judge the value of firms and their performance. For the moment, however, investor confidence remains weak, mainly because of the various problems associated with gaining speedy judgement and execution of decisions under the commercial code (see above). These problems are reflected in the relatively low turnover rates on the PSE (less than one-fifth the rates on the Budapest and Warsaw exchanges) and the 37 per cent drop in market capitalisation between 1996 and 2000.

While the thinning out of undercapitalised and illiquid firms from the PSE will help that market, the process does appear to have disadvantaged the holders of these assets by omitting to provide a mechanism by which they could extract value from the de-listed firms. Some 1 million Czech investors and 300 000 Slovak investors have been affected. Although these investors are in a position to sell their shares prior to their de-listing, even as late as the end of 2000 the RM-S management did not know which companies were to be de-listed. While the RM-S has repeatedly warned small investors not to sell to speculators, no alternative has yet emerged.

Similarly, the process by which "closed" IPFs are required to open by the end of 2002 has gone a long way to forcing funds to inform investors about the nature of the their holdings and making IPFs a safer place for their savings. While the process has not always been perfectly smooth (there were some delays between the setting up of the open mutual funds and the issuance of titles, leaving owners temporarily in financial limbo), the majority of funds are now open. This, coupled with earlier efforts to better align IPFs' and owners' interests should make these better vehicles for consolidating dispersed shareholding and efficiently transmitting savings to alternative investment projects. Despite this progress, IPF corporate governance could be further improved by breaking the link between banks and fund management firms (see OECD, 2000). Under current regulations banks can and do own IPF management firms and can nominate board members, though bank employees are prohibited from sitting on the boards.

Indeed, this kind of conflict of interest exists elsewhere in the economy and was among the motivations for the Corporate Governance Code of the Czech Securities Commission (Box 12), which explicitly rules out such relationships. Currently, the Czech commercial code permits a variety of corporate control arrangements but in most cases shareholders of widely held domestic companies are represented by two boards responsible for management and supervision respectively. Although the fiduciary responsibility of board members is unlimited, they are typically passive, meeting only once or twice a year. Real management decisions are delegated to the chief executive and managing directors, whose own accountability

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Box 12. Principal features of the KCP Corporate Governance Code

The Czech commercial code permits a variety of corporate control arrangements but in most cases shareholders of widely held domestic companies are represented by two boards responsible for management and supervision respectively. In principle, fiduciary responsibility of board members is unlimited. However, both board levels are typically passive, meeting only once or twice a year. Real management decisions are delegated to chief executive who is an employee of the company and appoints the committee of managing directors. Fiduciary responsibility of the chief executive and managing directors is limited by the labour code to four months salary. This separation of ownership and control is conducive to sub-optimal performance of hands-on-management at the expense of shareholders.

The Czech Securities Commission (*Komise pro cenne papiry* or KCP) drafted a corporate governance code based on the OECD principles in September 2000 and recommended its voluntary adoption by companies listed on the Prague Stock Exchange (PSE) by 2003. Both the PSE and the off-exchange system (RM-S) favour the idea, suggesting that the companies complying voluntarily with the principles would be rewarded by increased investor confidence. The Commission proposes that chief executives of listed companies ought to be appointed to boards as soon as possible, awaiting the full alignment of corporate statutes – which should take a couple of years. Such a step would increase the likelihood of managerial behaviour based on maximisation of the shareholders' value. If the voluntary approach fails, then KCP may well decide to impose the good governance code on all firms listed on the main stock exchange. The main provisions of the KCP governance code include:

- Listed joint-stock companies ought to have effective managing and supervising boards that are responsible to shareholders and meet frequently – the managing board at least once a month and the supervising board at least ten times a year.
- Listed companies ought to protect shareholder rights, providing all relevant information that could impact significantly share prices and protecting effectively rights of minority shareholders.
- Listed companies ought to disclose all capital structures and other arrangements that enable some shareholders to exercise control in excess of their actual ownership of shares.
- Shareholders of the same class ought to be treated equitably, regardless of their nationality and ownership stakes.
- Listed companies should follow the best-practice standards issued by the KCP that specify the format of annual and semi-annual reports and the criteria for continuous disclosure of relevant information.
- The managing board ought to perform all key management functions under regular scrutiny by the supervising board.
- Institutional investors ought to behave responsibly while exercising their voting rights and accept the disclosure provisions of the KCP code.

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was until the end of 2000 limited by the labour code to four months' salary. Since then and following an amendment to the commercial code, their fiduciary responsibility is unlimited. The KCP's corporate governance code goes further, proposing that chief executives of listed companies be appointed to boards as soon as possible (thus assuming full liability) and that corporate statutes be revised in line with the proposed code. Both market organisers (PSE and RM-S) support the proposed code and argue that companies complying voluntarily with its principles would be rewarded by clear identification available to shareholders and potential investors. Even if publicly-traded firms do adopt the code, the authorities ought to consider incorporating a number of its provisions into law. Of particular interest would be those that increase the accountability and independence of board members.

These and other measures have improved the protection of minority shareholders. The various steps to tighten disclosure requirements, to improve the governance of the IPFs and to improve compliance raise the confidence that small investors can place in the information provided by firms and in the informational content of market prices. In this regard, the measures requiring larger holders to disclose changes in their holdings when they cross 5 per cent thresholds, reduces the opportunity for larger players to exclude smaller ones from deals – even when the 40 per cent buyout threshold is not breached. Notwithstanding this improvement, the recommendation from the previous OECD *Survey* to lower the threshold for share purchase offers to 25 per cent remains relevant.

Here, parliament's decision to override the buyout limit in the case of privatisations is regrettable. The exemption appears to have been motivated by concerns that requiring a purchaser to make the same offer to smaller stakeholders would reduce the state's overall take.[98] While certainly true, it is difficult to see why such a provision is necessary to protect minority shareholders in the case of a private sale but not a public one. Indeed, the KCP was unwilling to exempt privatisations from this rule, which prompted the parliament to pass special legislation.

Future challenges

The previous *Survey* recommended that KCP be made more independent in order to eliminate possible conflicts and government interference. However, it remains unclear whether the government intends submitting legislation that would move in this direction, by enhancing the KCP's independence and giving it limited regulatory authority. At the same time it would make economic sense to make the KCP responsible for regulating pension funds and the insurance sector as a first step towards creating an integrated financial market regulator. Moreover, the KCP ought to be granted more budgetary independence, perhaps by allowing it to charge its members fees. If passed, this would be a welcome development. Unfortunately, proposals to include the employees of the KCP under the auspices of the new Civil Service Act could work in the opposite direction. While the rela-

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tive job security that the act would confer on KCP employees could be beneficial, making them directly subordinate to the Head of the Civil Service would reduce their independence. Moreover, subjecting the organisation to government pay scales would probably reduce its effectiveness by impeding its ability to attract and retain high-quality employees. A better solution would allow the KCP to establish its own pay scales for professional staff.

The scope of the Commission's independence (as a regulator) is reduced somewhat by limitations placed upon its ability to enforce and investigate illegal activity such as insider trading. On a positive note a strong signal was sent to would-be stock manipulators in January 2001, when – for the first time – stiff jail sentences were imposed for such practices. However, to date few such convictions have been achieved. Part of the problem stems from the fact that the KCP is not authorised to freeze the assets of suspected wrongdoers but must leave this task to the police and the Public Prosecutor's Office. While co-operation has in some instances been swift, in others it has been slow, with the result that the targets of investigation have been alerted and able to transfer their assets to safe-haven jurisdictions. Indeed, in some cases the KCP is reported to have been unable to stop fraudulent behaviour, even when suspicious transactions were promptly reported to it.[99] Recently, steps have been made to improve co-ordination between KCP and other law-enforcement bodies but the process remains bureaucratically cumbersome. The authorities are, therefore, encouraged to continue to seek mechanisms for streamlining the process so as to raise the probability that economic crime will be effectively punished.

Finally, global market conditions are changing the nature and relevance of national stock markets. In this context, the authorities may wish to examine the overall regulatory framework with an eye to the possibility of a merging of regional exchanges. Indeed, even within Czech markets the progressive consolidation of stake holdings as firms are purchased by strategic investors is transforming companies into closely held entities, reducing the liquidity and attractiveness of the Prague Stock Exchange – and raising questions as to its long-term viability as a separate market. Hence, a full consolidation of the operations of the PSE and RM-S, which could be accomplished under existing legislation, ought to be implemented.

Labour markets

Despite the pick-up in output in 2000, employment fell 0.7 per cent, a development which was masked in aggregate unemployment data because of a 33 000 person decline in the labour force, mainly due to early retirement programmes (Figure 24). While falling during the course of the year, as compared with 1999 the OECD standardised unemployment rate rose slightly in 2000 to 8.9 per cent of the labour force. The rate of joblessness rose faster for women than men during the recession, although the gap between the two has stabilised over the past two years (Figure 25). Similarly, youth unemployment has stabilised and

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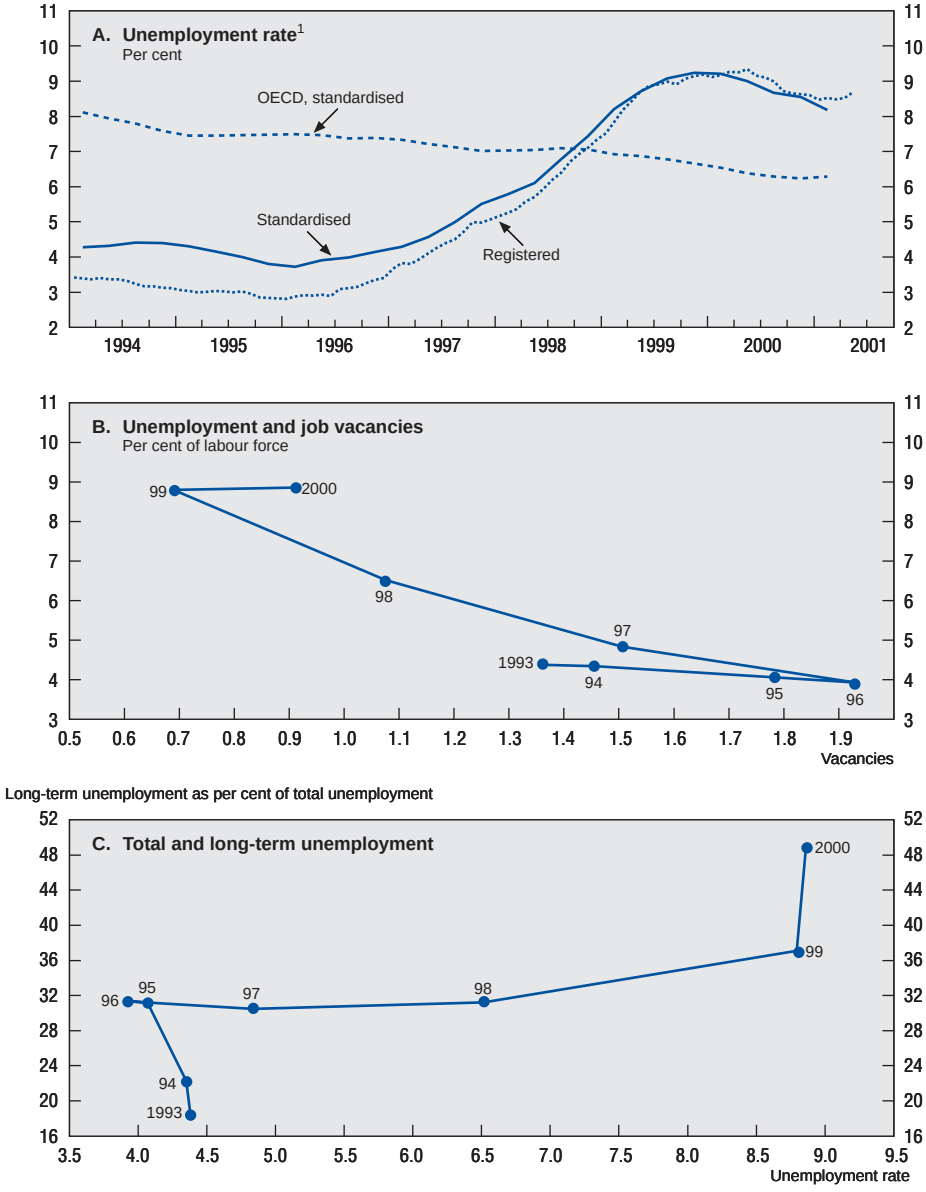
Figure 24. **Unemployment rate, vacancies and long-term unemployment**



1. Seasonally adjusted by the OECD.
Source: Czech Statistical Office; OECD.

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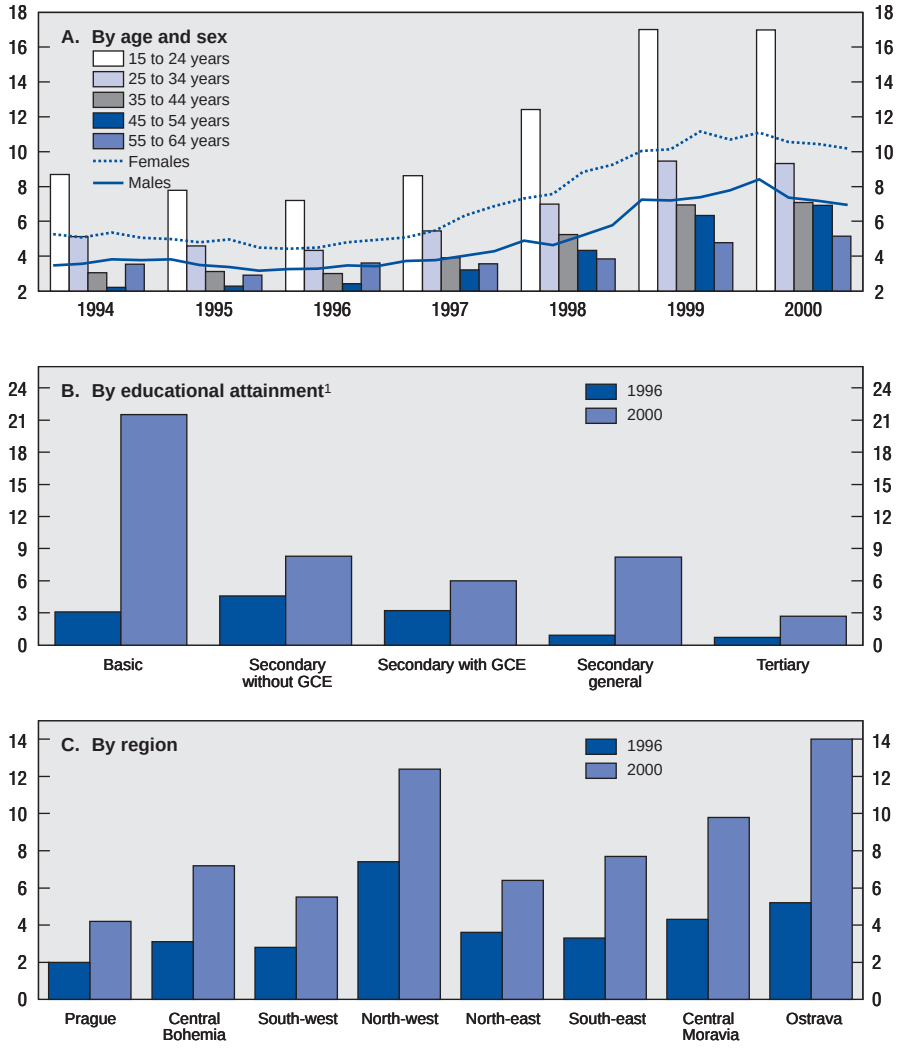
Figure 25. **Unemployment rate by age, sex, education and region**
Per cent



1. According to ISCED 97. "Basic" corresponds to primary and lower secondary education (completed usually by 9th form). "Secondary without GCE" corresponds to lower secondary vocational education taking at most 3 years and providing leavers with no certificate for the labour market as well as postsecondary study not included in tertiary education.
"Secondary with GCE" corresponds to general or technical secondary education with a leaving certificate based on final examination.
"Tertiary" refers to education in colleges and universities leading to bachelor, master and scientific degrees.

Source: Czech Statistical Office; OECD.

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although rates are higher than for other age groups the ratio of youth to prime-age-worker unemployment rates is smaller than in many OECD countries. Unemployment continues to be concentrated in some regions – particularly the north-west and the area surrounding Ostrava in the east. Labour market conditions in Prague and nearby districts remain relatively tight. Across education levels, all groups have seen joblessness rise but unemployment and especially long-term unemployment is particularly concentrated among those with few educational qualifications. Indeed, those with no more than a basic education represent 30 per cent of all those unemployed for a year or more.

Constraints on hiring, firing and working time

The 1998 *Survey* described how long mandatory notice periods and generous compulsory severance terms raised the fixed costs of hiring, which during periods of uncertain demand tend to slow hiring and contribute to higher structural unemployment. Progress to implement OECD recommendations to relax regulations in this domain, so that they protect against abusive dismissal but do not interfere with market operations, has been limited. Indeed, since the previous *Survey*, legislation has tended to add to existing regulations rather than reduce them. In particular the new Labour Code, which came into effect in January 2001, imposed the following additional obligations on firms and workers:

- Employers of non-unionised firms must now organise works councils if employees indicate a desire for them and employees elected to them receive pay even if they are unavailable for their normal duties. In line with pre-existing regulations, employers must engage in extensive and time-consuming consultations with these councils (or union representatives) when contemplating business decisions that might affect workers, including lay-offs, technical change, health and safety. If employees fail to elect a works council, the employer must engage in such consultations with each of them individually.
- Working-time flexibility was reduced by rules limiting involuntary overtime work to 150 hours per year and voluntary overtime to 416 hours per year (the statutory work week is only 40 hours, 37.5 hours in mining and around-the-clock operations) in line with the EU Health and Safety Directive.[100]

These measures can be expected to further reduce the flexibility of the labour market and are likely to increase rather than lower structural unemployment. Although they do not conflict with EU directives, they impose constraints on both firms and workers that are likely to impede the efficient allocation of resources, impede industrial restructuring and slow productivity growth. As a result, the government ought to review the extent to which these and other employment regulations actually serve to correct a market distortion or prevent

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the exploitation of workers and to what extent they interfere with firms and workers arriving at mutually acceptable solutions. Following such a regulatory impact analysis, the authorities should move to relax those rules that are found to be unnecessary or whose negative economic impact outweighs their benefits.

One regulation, which might not withstand such a test, is the wage guarantee fund that was put in place in 2000 and which obligates the government to pay the unpaid wages of former employees of bankrupt firms. As currently constituted (and even once its funding is assured by the unemployment insurance system) the scheme shifts responsibility for paying off employees from the bankrupt firm (or its administrator) to the state. Moreover, by guaranteeing that wages will be paid, it provides firms in difficulty and their workers with a natural incentive to leave wages unpaid – either to extend the life and jobs of an unviable firm or in a last ditch effort to keep it alive. Unsurprisingly, since its introduction the number of firms with important wage arrears rose and, although less money was spent than anticipated, this was likely due to the stronger-than-expected performance of the economy and payout limits.[101] Given these moral hazard problems, the authorities are encouraged to phase out these wage guarantees. To the extent that the legislation was motivated by slowness of bankruptcy procedures, it represents yet another reason for speeding them up.[102]

Wage formation

Wage formation in the Czech Republic remains a mixed system comprised of centralised (industry-wide) and, increasingly, decentralised (firm-level) negotiations. The government retains sweeping powers to administratively extend wages, imposing on firms and workers the increases agreed to by other companies in their sector. In the past, these powers have not been exercised widely, although in 2000 the Minister of Labour and Social Affairs ordered 1 900 non-unionised firms in the construction sector to implement the agreement arrived at by unionised firms. Such actions are difficult to justify economically. They tend to reduce the scope for competition between firms and limit relative wage flexibility that is necessary to ensure a better allocation of labour resources, resulting in higher unemployment.

Beginning in 1999, the government began a campaign to increase minimum wages above the minimum living standard (the basis upon which virtually all social benefits are determined), in order to improve work incentives. Thus, the monthly minimum wage rose by 38 per cent in 1999 and by a further 11 per cent in 2001 (almost 7 per cent in real terms) and it now stands at CZK 5 000 or 34 per cent of the average wage in 2001 and CZK 1230 higher than the MLS for a single adult (Figure 26).While previously the minimum wage was so low as not to represent a significant distortion (indeed less than 2 per cent of workers were earning it), at these new higher levels experience in other OECD countries suggest that it

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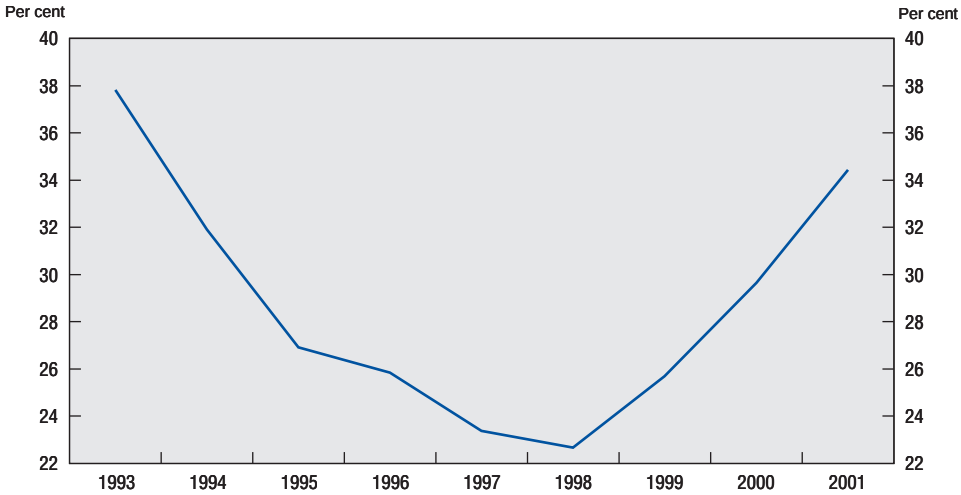
Figure 26. **Minimum wage**[1]
As a percentage of average wage



1. Average wages in 2001 are an OECD estimate.
Source: Czech Statistical Office.

may contribute to increased structural unemployment – especially among the less skilled. Moreover, the most recent hikes will likely exert pressure on the overall wage scale – contributing to inflationary pressures. The government's national employment plan (NEP) appears to be aware of this risk and proposes reducing by 50 per cent the payroll contribution to state employment policies (a 1.8 percentage point cut). While the cabinet has adopted the NEP, no legislation has been proposed as yet.

Active labour market policies

Given the rapid rise in joblessness, the increase in spending on active labour-market programmes (ALMPs) is unsurprising. The Czech Republic spent about 0.17 per cent of GDP in 2000, up from the period before 1997, but still well below the OECD average. According to official estimates, one-fifth of job seekers entered ALMPs in 2000 and 96 per cent of them found employment.[103] However, these figures do not distinguish between economically independent, subsidised and public-works employment. Moreover, the few statistically reliable studies that have been conducted indicate that programmes have little or no impact on long-term employability of participants.[104] As recommended in Chapter III and in previous *Surveys*, in order to improve the impact of these programmes on participant

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employability, they should be subject to regular and statistically valid evaluation, with poorly performing programmes being dropped or modified with a view to improving their results.

The uneven regional distribution of unemployment and the tendency for relatively large and persistent high-unemployment enclaves to emerge is worrisome. All the more so, given the likelihood that further restructuring in the coal-mining sector is likely to increase unemployment inflows in the worst hit areas. Regionally-differentiated investment incentives should help to overcome some of these difficulties but if laid-off workers are to find work in these new industries then they will be in special need of effective job search, retraining and relocation programmes. The government has responded by increasing the financing of and increasing employment in the Public Employment Service (PES). However, the regional distribution of the PES staff remains closely correlated with the number of benefit recipients as opposed to unemployed (Table 31), suggesting that benefit administration remains the principal activity of PES officials. Ministry of Labour and Social Affairs officials have indicated that efforts to raise staff levels in high unemployment areas (and lower them in low unemployment ones) have been frustrated by the lack of rental housing (see above). To the extent that this is truly the binding constraint it represents a further argument in favour of liberalising rents as rapidly as possible. Nevertheless, notwithstanding existing market distortions, *a priori*, it should be easy to find housing for people in depressed areas which, as staff relocate, would free up housing in areas with low unemployment rates.

Table 31. **PES staffload indicators by region**
December 2000

Region	Number of staff	Registered jobseekers	Number of benefit recipients	Registered jobseekers per staff	Benefit recipients per staff
Capital Prague	220	21 832	10 054	99	46
Central Bohemia	511	38 160	15 331	75	30
Budějovice	288	18 499	8 859	64	31
Plzeň	266	18 535	7 521	70	28
Karlovy Vary	133	13 174	4 162	99	31
Ústí nad Labem	590	66 572	18 340	113	31
Liberec	206	14 016	5 824	68	28
Hradec Králové	234	16 644	7 008	71	30
Pardubice	242	19 896	8 137	82	34
Jihlava	272	19 402	8 263	71	30
Brno	513	54 003	20 494	105	40
Olomouc	384	38 092	13 503	99	35
Zlín	265	23 935	9 499	90	36
Ostrava	776	94 609	27 244	122	35
Czech Republic	4 900	457 369	164 139	93	33

Source: Ministry of Labour and Social Affairs.

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Unemployment and related benefits

As would be expected, given the economic slowdown following the currency crisis, the number of recipients of non-work benefits has been rising (Table 32). Perhaps less expected, the number of such persons as a per cent of the working-age population also increased in 2000, even as the economy grew by 3.1 per cent – reaching 13.6 per cent.[105] Most of the 0.8 percentage point rise was due to a 57 000 persons increase in individuals receiving early-retirement benefits. The previous *Survey* stressed the counterproductive nature of early-retirement incentives that are not based on actuarially sound principles and urged the government to curtail the use of these programmes, which now artificially reduce the labour force by 215 000 persons, thereby adding to wage pressures and reducing potential output. In a positive development, the government passed new legislation that makes work pay for those who choose to continue beyond retirement age by adjusting their pension benefits upwards in an actuarially fair manner. In addition, perhaps prompted by the rapid rise in uptake of early-retirement benefits, effective in July 2001, the government reduced early-retirement benefits in an actuarially fair manner for those who retire three years before retirement age. However, for those who retire two years early the programme continues to subsidise early labour-market withdrawal because benefits are reduced only temporarily. These measures are steps in the right direction, and should reduce the inflow of workers into early retirement. However, more needs to done to ensure benefits are determined in an actuarially neutral manner especially for those who retire two years early and face only temporary reduction of benefits. Given the

Table 32. **Benefit recipients by income support scheme**[1]

	1996	1997	1998	1999	2000
	Per cent of working age population				
Unemployment insurance	1.1	1.6	2.1	2.7	2.5
Disability	7.4	7.5	7.4	7.4	7.4
Full	5.7	5.6	5.5	5.3	5.3
Partial	1.7	1.9	2.0	2.0	2.1
Early retirement	0.2	0.5	1.2	1.8	2.5
Permanently reduced benefit	0.1	0.3	0.9	1.6	2.2
Temporarily reduced benefit	0.1	0.1	0.2	0.2	0.3
Active labour market programmes[2]	0.5	0.4	0.7	0.9	1.3
Total	9.1	9.9	11.4	12.8	13.6

1. Individuals in receipt of social assistance benefits are not included.
2. Participant inflows in public employment services, training, measures for youth and the disabled and subsidised employment.

Source: Ministry of Labour and Social Affairs; Czech Statistical Office; OECD.

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inexorable pressure that the shrinking of the working-age population will have on government finances, it is essential that steps be taken to reduce the extent to which early-retirement options (including some disability pensions, see below) are subsided by the state.

While stable, the 7.4 per cent of the working-age population receiving disability pensions is much higher than in countries with relatively stringent systems.[106] The authorities are encouraged to follow the previous *Survey's* recommendation to subject individuals on these pensions to regular testing and both tighten eligibility criteria and, perhaps more importantly, the thoroughness with which existing criteria are applied. The relatively small per cent of the potential work-force receiving unemployment insurance principally reflects that system's short six-month benefit period, which also explains the reduction in recipients in 2000 – even though the jobless rate remained unchanged.

Despite low benefit levels and short benefit periods in the unemployment insurance scheme, unlimited and, relative to wages, generous social assistance benefits mean that net replacement rates for social assistance and unemployment insurance combined are high in international comparison (Table 33). For the moment the total amount spent on passive income support is not excessive and is broadly effective in redistributing income towards the 10 per cent of the population with the lowest earnings (Schneider, 2001). Nevertheless, the structure of the system and in particular the level of benefits as compared with wages continue to generate serious work disincentives. In particular, as indicated in the lower panel of Table 34, for a couple with two children benefits exceed two-thirds the average wage and for families with four children actually approach the average wage. The problem is likely to be particularly acute for families with many children, including Roma (Gypsies).[107] While these disincentive effects were largely dormant prior to 1997 when unemployment was low and few people were exposed to them, since then they have touched an increasingly large portion of society and this is reflected in the rising incidence of long-term unemployment. The true extent of the problem is difficult to gauge, however, because (as discussed in Chapter III) the authorities are unable to determine how many individuals are receiving support from the wide range of programmes that are available.

As has been indicated in successive *Surveys* these disincentives can only be eliminated by reducing the level of social assistance relative to earned income. Indeed, there is an increasing consensus within the administration that the social services system must be reformed. In an effort to reduce the effective rate of taxation on earned income, the Ministry of Labour and Social Affairs (MLSA) is considering reducing the clawback rate for individuals whose earnings are less than the MLS from 100 to 70 per cent. This would represent a step in the right direction, although given opportunities for non-market work (either undeclared or household work) it is not clear that a 70 per cent clawback rate will offer adequate work

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Table 33. **Net replacement rates of the unemployed**

	First month of benefit receipt[1]				60th month of benefit receipt[1]			
	Single		Couple 2 children		Single		Couple 2 children	
	APW[2]	2/3 APW[2]	APW[2]	2/3 APW[2]	APW[2]	2/3 APW[2]	APW[2]	2/3 APW[2]
Australia	37	52	74	86	37	52	74	86
Austria	57	57	73	79	54	54	70	76
Belgium	64	84	60	75	46	61	63	79
Canada	63	62	69	69	25	35	59	77
Czech Republic	**51**	**74**	**83**	**84**	**34**	**49**	**81**	**100**
Denmark	62	89	77	95	48	67	97	92
Finland	60	72	84	94	58	79	97	100
France	71	83	74	86	38	55	50	60
Germany	60	69	74	74	54	75	52	61
Greece	47	55	46	48	0	0	4	5
Hungary	61	83	69	87	44	60	56	71
Iceland	57	77	64	87	55	74	86	100
Ireland	33	45	62	73	33	45	62	73
Italy	36	36	54	52	28	39	62	75
Japan	59	68	56	64	32	47	65	95
Korea	53	52	52	52	12	17	46	69
Luxembourg	82	82	87	87	49	67	74	91
Netherlands	75	92	85	90	60	84	79	94
Norway	66	65	73	74	36	52	54	73
Poland	38	56	43	61	36	53	39	55
Portugal	79	87	77	86	42	61	61	86
Spain	76	70	74	78	25	35	43	61
Sweden	72	77	84	90	58	84	100	100
Switzerland	73	73	84	84	61	88	90	93
United Kingdom	50	73	64	83	50	73	73	95
United States	60	59	61	51	7	10	48	61
Average	59	69	69	77	39	54	65	78

1. After tax and including unemployment benefits, family and housing benefits.
2. Replacement rates are calculated with respect to the average wage of a production worker (APW) and two-thirds this wage.

Source: OECD *Benefit Systems and Work Incentives* (1999 *edition*).

incentives. Most recently the Ministry has proposed increasing the unemployment benefit (UB) from 50 to 60 per cent of net wages during the first three months of unemployment and from 40 to 50 per cent in the subsequent three months. This particular change is unlikely to generate substantial labour market distortions. However, plans to raise from six months to as much as two years the maximum period for receiving UB for workers over 50 years old with more than 20 years employment history should be abandoned. Such a programme would effectively create a new form of early retirement for older laid-off workers and should be avoided for the same reason that the other subsidises in early-retirement programmes are being phased out.

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Table 34. **The minimum living standard and the minimum wage**

	Minimum living standard, April 2000 (monthly basis, CZK)				
		Age of child			
	Adult	0-6	6 to 10	10 to 15	15 to 26
Personal needs	2 190	1 600	1 780	2 110	2 310
		Size of household			
		1	2	3 to 4	5 plus
Household needs		1 580	2 060	2 560	2 870

	Minimum living standard relative to earnings		
	Minimum wage	2/3 Average Production Worker	Average Production Worker
	Per cent		
Single adult	84	39	26
Couple, 1 child (aged 0 to 6)	190	88	59
Couple, 2 children (aged 0 to 6)	225	105	70
Couple, 3 children (aged 0 to 6)	268	124	83
Couple, 4 children (aged 0 to 6)	303	141	94
Memorandum items:			
Minimum wage July 2000	CZK 4 500 (monthly)		
Average production worker earnings, 2000	CZK 14 545 (monthly)		

Source: OECD and Ministry of Labour and Social Affairs.

In addition to considering changes at this level, the MLSA is also co-operating with the British Know-How Fund in its efforts to modernise the delivery of social services – an area currently involving four line ministries (Labour and Social Affairs, Health, Interior, Regional Development), fourteen regional administrations and over 5 600 municipalities. As reform options are considered, priority should be given to improving information systems with an eye to monitoring the outcomes of programmes (see Chapter III). Particular attention should be paid to programmes' impacts on work incentives, improving employability and promoting and supporting various paths towards financial independence and away from dependence on passive income support. Moreover, the authorities are encouraged to address the acute problems of the Roma by introducing a set of coherent affirmative action programmes aimed at improving employability and reducing dependence on welfare.

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Finally, the government's intention to provide special payouts to redundant metallurgy workers with 10 or fewer years before retirement and special cash assistance for coal miners should be given careful consideration so that the support does not encourage passivity but helps these workers reintegrate themselves into active life. In addition, on the grounds of equity, it is not obvious why steelworkers or miners ought to be treated differently from any other category of unemployed whose labour skills have become obsolete. Current efforts to stimulate stronger private investment and improvement of public infrastructure in high unemployment areas seems a more appropriate response as would additional efforts to help such workers find jobs elsewhere and upgrade their skills. At the same time, removing rent controls would help to increase alternatives by promoting labour mobility.

Education and training

The Czech Republic has comparatively good educational outcomes, its students score highly on international tests of maths and physics, while the population as a whole has good literacy skills. Nevertheless, a number of issues have been highlighted in successive *Surveys*. In particular, the primary system is too decentralised, with the result that students are unevenly prepared for secondary school and the most recent data suggests that achievement levels in international tests are declining. According to official estimates, less than one-fifth of Romani pupils complete the ninth grade while less than 5 per cent of them complete secondary schooling. Moreover, Romani children are likely to receive inferior education (Ringold, 2000). Generally, too few students get the kind of general education that would prepare them for university or life-long learning.[108] Despite a substantial increase in tertiary participation in the 1990s, access to university remains far too restrictive; in 1998 only one-half of those who applied and only 22 per cent of university-age students were admitted – the third lowest share in the OECD (OECD, 2000). While overall spending on education is low by international standards, teacher-student ratios are close to the OECD average and this seeming paradox is explained by their low salaries, which are, in turn, compensated by relatively low workloads.

Partially in response to work done by the OECD (1996), the authorities have prepared and the government approved a new medium-term education strategy (the so-called White Book). Its seeks to:

- Increase spending on education to 6 per cent of GDP by 2005.
- Raise teacher salaries to 130 per cent of the average wage by 2005 from the current 95 per cent.
- Improve the accessibility of tertiary education by raising the proportion of students entering colleges and universities to 50 per cent of each age cohort.

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- Raise the proportion of secondary-school students graduating with a comprehensive examination (*maturita*) to 75 per cent.
- Begin phasing out remedial schools and integrating their pupils into regular programmes.
- Increase the emphasis on life-long learning within the educational system.

These objectives are consistent with resolving many of the issues discussed by the OECD, but how they will be achieved will depend importantly on what steps are taken to implement them. Indeed, some of these objectives are less policy goals than input targets (see Chapter III). In particular, while the goal of raising teachers' salaries so as to attract and retain top candidates is commendable, in the context of a declining student population and already high teacher-student ratios some thought should be given to using these resources more effectively. By the same token the desire to increase spending on education needs to be more carefully motivated. In this regard, there is a clear need to increase capacity at the tertiary level and this will doubtless require both investment and higher ongoing expenditures. Given the tight financial constraints the government is projected to face over the next five years and the need to reduce overall public expenditure levels (see Chapter II), the authorities should investigate mechanisms to increase the private-sector and student co-financing of tertiary education. This seems all the more sensible given that private benefits from a university and college education are substantial. Here tuition fees, coupled with student loan and bursary programmes could go a long way to mobilise private resources while ensuring continued access to post-secondary level education. Moreover, more needs to be done to stimulate universities and technical colleges to increase enrolment rates. Here the authorities should not be shy of making state funding conditional on schools achieving enrolment targets. Universities and colleges would remain free to pursue their own objectives, but those that did so would have to rely more heavily on non-public funds than those that raised enrolments.

Finally, the White Paper does not address problems of decentralisation at the primary level. Here the recent creation of a regional level of government may offer some hope for a greater harmonisation of standards. However, as is the case with universities, the government should consider making at least part of its funding conditional on schools' application of the national curriculum and students' achievements in the soon to be introduced standardised secondary-school admission tests. While it is commendable that the government's medium-term strategy intends to integrate pupils of remedial schools, a group including the majority of Romani children, into regular programmes, the White Paper lacks specific steps for implementing this ambitious initiative. Although the authorities started to address the challenge of providing young Roma with decent education, a full integration of this ethnic minority into the public education system may well be difficult to achieve within the proposed period 2001-05.[109]

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Public sector

The previous chapter of this *Survey* dealt in some detail with a wide range of public-expenditure issues, focusing mainly on the process by which these are managed. The present subsection looks at more detailed developments in three areas of public-sector activity: the reform of public administration; the pension system and the tax system.

Public sector reform

The government embarked on a major reform of public administration in 2000, consisting of the introduction of a regional level of government and the tabling of a draft bill to create a professional civil service. The new civil service reform, which is currently before the parliament, is one in a series of draft bills that have attempted to create a special civil service status for professional public servants. It seeks to enhance the government's ability to attract and retain good candidates, by raising the wages of more qualified and senior public servants and giving them better job security. The act, if passed, would come into effect in January 2002 and would cover about 75 000 officials, approximately one-tenth of public sector employees. In addition to providing better pay, job security, extra vacation and additional pension benefits for civil servants, it would prohibit political appointments below the deputy ministerial level and grant civil servants tenure after five years of satisfactory performance. The additional costs to the state budget are expected to be in the neighbourhood of CZK 7 billion per annum (a 50 per cent increase), excluding additional costs to be incurred because of more generous pension benefits. While apparently modelled on similar legislation in Austria and Germany, the current proposals are less comprehensive, excluding from the civil service university professors, school teachers and regional government employees.

The need to raise pay and work conditions for highly-qualified public servants and to improve the quality of public administration is real[110] and the increasing politicisation of the public service is problematic. Therefore, those aspects of the reform that seek to raise the pay and increase the professionalism of the civil service are welcome. Similarly, measures to reduce the scope for political hiring and firing should improve job security and increase the desirability of following a professional career in the civil service. However, current proposals place too much emphasis on job security. The notion of tenure for civil servants is misplaced and the authorities should consider removing it from the draft. Moreover, as mentioned in earlier sections, the staff of regulatory bodies such as the Energy Office and the Securities Commission should not fall within the scope of civil service legislation.

The most important component of the reform of public administration was the introduction of regional levels of government, which began in January 2001 and

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which should be completed by 2003. Until 2001 and since the outset of its existence in 1993, the Czech Republic was a classical unitary state with a strong central government providing regional services through centrally controlled district offices, complemented by a very independent and fragmented layer of municipal governments. Under the new regime, a number of central government responsibilities have been transferred to 14 newly created regional governments – municipalities remain largely independent of both the central and regional levels of government. In addition, the 77 district offices of the central government are to be abolished and many of their administrative duties transferred to 191 yet to be named counties ("delegated" municipalities).

As discussed in Chapter III, the final allocation of tax and other revenue powers and of administrative functions between the various levels of governments has not been completed (see Box 5). However, it is clear that the administrative reorganisation will involve significant one-off expenditures related to the establishment of regional authorities and risks generating permanent spending increases if transfers in administrative functions are not fully compensated by equivalent cuts in central government spending. Moreover, while transferring responsibility for programmes to the local level may increase the relevance and efficiency with which these are delivered, introducing a new level of government risks increasing inefficiencies as tasks are duplicated at different levels and new bureaucracies created without old ones having been abolished. For the moment, the authorities are unable to estimate the additional financial burden associated with the reform and line ministries appear determined to protect their competencies and staffing levels as far as possible. Moreover, the likelihood that different regions will deliver programmes of different quality raises horizontal equity issues and will likely require a monitoring function for the central government. Indeed, although the reform is in its early stages, evidence from the Ministry of Interior suggests that staffing requirements may increase by as much as 1 400 civil servants over the period 2001-02. Indeed, they might rise by as much again in the second phase when the new county governments begin operation in 2003.

The pension system

The public pension system

The previous *Economic Survey* discussed the Czech pension system and outlined some of the implications of its ageing population. The *Survey* recommended that the government consider revising its defined benefit (DB) pay-as-you-go (PAYG) scheme so as to reduce the risk of generating substantial deficits in the future. It also discussed the voluntary private pension sector, stressing the importance of increasing prudential, supervisory and regulatory controls. This section

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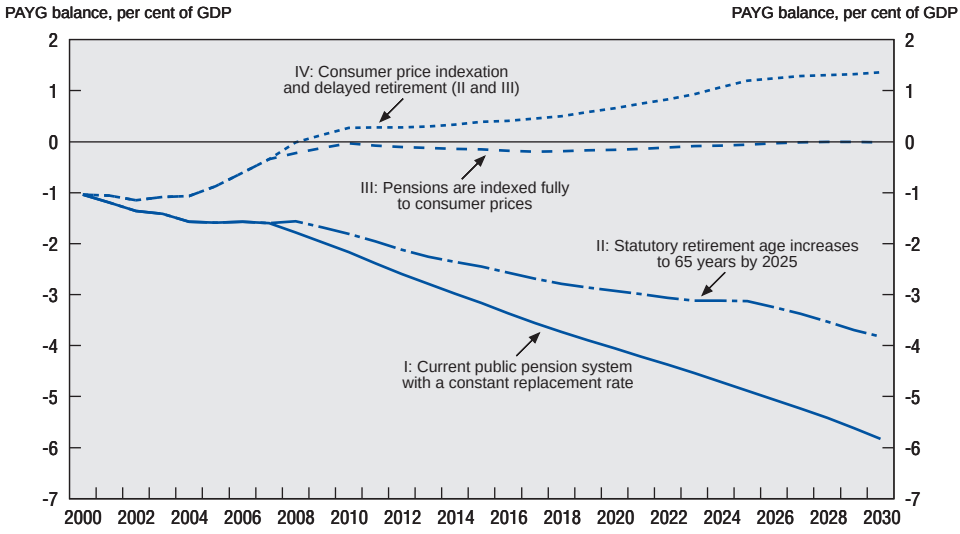
follows up on this work by detailing and evaluating recent developments and making further recommendations.

The Ministry of Labour and Social Affairs (MLSA) projections indicate that, unless modified, the current PAYG pension system will come under substantial fiscal strain beginning as early as 2010. Barring reform, pension spending can be expected to rise from 9.4 to 13.8 per cent of GDP between now and 2030, when the deficit of the system could reach 6 per cent of GDP (Figure 27). Within the context of the current system, either replacement rates would have to fall to 29 per cent (down from 45 per cent) or compulsory contributions rise from 26 per cent to 45 per cent of wages if overall balance were to be maintained. Indeed, although simulations show that changing the indexation scheme from a mix of wages and inflation to CPI only could reduce the deficit substantially, this would imply a substantial widening of the gap between the pension of those just retiring and those who had been retired for some time. Indeed, in this scenario the average replacement rate falls to 29 per cent principally because of relative declines in older retirees' incomes. Additional gains could be achieved by letting the retirement age rise further. Nevertheless the deficit would remain large as long as replacement rates remain unchanged.

Figure 27. **Sustainability of the public pension system**



Source: Ministry of Labour and Social Affairs.

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The government has responded to this looming challenge with three initiatives. The first involved a substantial reduction in the generous early-retirement programmes (see above). The second, the creation of the Social Insurance Agency (SP), as yet another extra-budgetary fund was discussed in Chapter III. In the third initiative, the authorities have proposed two alternative solutions for the future insolvency of the PAYG system. The first would see a continuation of the current defined-benefit (DB) PAYG system, while the second would involve a transition to a notionally defined-contributions (NDC) PAYG system.

The authorities feel that they will be in a technical position to make the move to an NDC pension scheme by 2005, when they will have a computer system in place capable of tracking individual contributions over time. These would then be recorded and augmented by an SP-determined rate of return to determine a person's notional life-time contribution. Much as the case with a fully-funded system, a pension would then be paid in an amount based on the largest actuarially determined annuity such a sum could support. The principal difference with a fully-funded system being that the annuity would not be financed by the individuals savings but would be paid for on a PAYG basis using the contributions of those still working. Moreover, the rate of return would not be based on market results, but the arbitrary decision of the pension administrator. During the transition between the two systems, an individual's pension will be determined as a weighted average of his DB and NDC pensions, with the weights determined by the number of years under the two systems.

The move to an NDC regime has the advantage of creating a direct link between the size of an individual's contributions and the benefit received. Moreover, the reform should be more politically acceptable in so far as during the transition, the pensions of older workers who are likely to be more risk-averse will be mainly determined by the current DB system. Younger workers, who are more likely to be optimistic about their future earnings potential, can be expected to accept more easily the increased dispersion in benefits likely to be observed under an NDC system. On the other hand, there is likely to be resistance to the proposal that eligibility threshold for benefits be raised from the current 25 to 30 years.

If implemented properly the system should reduce disincentives to work for older workers by increasing their benefits actuarially if they work beyond the minimum retirement age. However, for lower-income workers these incentives risk being neutralised by relatively generous social-assistance benefits. Moreover, because it remains a PAYG system, it cannot deal with the fundamental challenge posed by the decline in the ratio of workers to retirees, which is projected to fall from 2:1 to 1:1 by 2050. In addition, an NDC system, is inherently more expensive to operate (because of the individual accounts) and its overhead costs would rise from the current 1.6 per cent of contributions to 3 per cent. For all of these reasons, the transformed system is almost certain, like the existing system, to run significant deficits.

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In order to combat negative demographic trends, the authorities are also considering adopting a points-based immigration policy, similar to that operated by Canada among other countries. While this could temporarily alleviate the financial burden posed by an ageing (and shrinking) population, eventually the immigrants will retire and start drawing pension benefits. Moreover, research indicates that immigrants tend to adopt – relatively rapidly – the fertility patterns of their host country so the inflow would need to be permanent if a stable population structure is to be maintained.

Private pensions

The voluntary pillar of the Czech pension system consists of individual registered retirement savings plans (RSPs) that are subsidised by partially-matching state contributions (see OECD, 1998 for more details). Since its introduction in 1994, participation in the system has been growing rapidly and now the various funds have some 2.5 million (about half the labour force) adherents and accumulated contributions exceed CZK 45 billion (about 2.2 per cent of GDP). The sector is relatively concentrated (the top 10 firms control 93 per cent of assets) and consolidation has continued. Since the last *Survey* seven funds have closed – including two that lost their licenses in 2000 (see below) – and there are now 18 of them, down from 44 initially. In addition to the RSPs, life insurers also offer retirement annuities. Since 2001 premia on these are, like RSP contributions, deductible from taxable income.

As an adjunct to existing complementary private pensions, the government plans to create tax incentives to encourage occupational pension plans. Under these schemes, employers and employees would voluntarily agree to defer a fraction of wages by investing the corresponding amounts in specialised non-profit funds. The deferred wages would not be taxed at source and it has yet to be decided how the income stream from the pension would be taxed (neither contributions nor benefits in the compulsory PAYG system are taxed). Participation in these schemes would be voluntary and introduced only by the agreement of social partners at the enterprise level. Such a scheme represents a welcome additional mechanism with which workers can save for their retirement. To ensure that it does not impede labour mobility, the authorities should include in the legislation provisions that assure pension portability. Experience in other countries with such systems suggest that in its absence, such systems reduce labour mobility by making employees "hostage" to their employers (pensions).

The previous *Survey* raised concerns about the financial viability and supervision of private pensions. Indeed, in early 2000 the Ministry of Finance which regulates the sector withdrew the operating licenses of two smaller pension funds and these were liquidated by appointed administrators early in 2001 with their clients recovering only 10-40 per cent of claims. Unlike members of the collapsed credit unions, members of the liquidated pension funds are not likely

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to be compensated for their lost deposits. The remaining operators appear to be safe and risks reasonable. The government has yet to decide (as recommended by the OECD) to transfer supervisory responsibility for the sector from the Finance Ministry to the Securities Commission (KCP) in the second half of 2001. While there are clear potential synergies in such a move, it is essential that the KCP also receives adequate resources to deal with this sector and – as indicated earlier – the authority and power to intervene swiftly when needed. In the absence of such capacities, risky situations could go undetected or uncorrected – to the detriment of individuals' savings and their confidence in the sector.

The tax system

The previous *Economic Survey* contained a special chapter dealing with the Czech tax system and its main recommendations are summarised in Table 24. Since then, the government proposed to parliament some changes to indirect taxes, raising excise tax rates and the VAT rate on a select group of goods from the reduced to the standard rate, in line with EU requirements.[111] Partial harmonisation of excise taxes with the EU rules, except for cigarettes, has been implemented.[112] The authorities are also contemplating raising the low VAT rate to 10 per cent and partially compensating for this by reducing the high rate from 22 to 20 per cent in 2003. This last measure is not designed to be revenue neutral and will raise the overall tax burden in an effort to reduce the deficit.

While increasing the number of goods subject to the standard rate and raising the reduced one will reduce the distortions associated with the current VAT regime, these steps fall well short of OECD recommendations. In particular, far too many goods and services will continue to be taxed at the reduced rate – substantially reducing the efficiency of the VAT and perpetuating price distortions. The last *Survey's* recommendation to reduce sharply the 50 per cent of consumer goods and services expenditure that is exempt from VAT or subject to the lower rate remains valid. Moreover, the Czech Republic's overall tax burden is too heavy and empirical evidence shows that, especially for a less developed country, such high taxes can slow growth.[113] Indeed, the government recognises the economic costs that a higher tax burden will impose and, despite steps to raise taxes in the medium term, has indicated that it intends to reduce the burden over the longer term.

Turning to the taxation of factors, the previous *Survey* argued that taxes on labour and particularly social-security contribution rates were too high. At the same time, it noted that the incidence of taxes on capital income was very uneven and that this system significantly favoured the financing of investments through bank debt. It recommended, therefore, that the double taxation of dividends and profits be eliminated and that interest income be subject to a withholding tax at the same rate as that of corporate income tax (CIT). In the event, the authorities reduced the withholding tax on dividends and capital gains from 25 to 15 per cent

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in 2000 but left interest income untaxed. Moreover, the CIT rate was reduced from 35 to 31 per cent – further decreasing the taxation of capital. While the lower withholding tax tends to reduce the extent to which these distribution methods are penalised by the tax system, both this and the CIT cut increase the degree to which the burden of taxation falls on labour. This tendency was offset somewhat (for higher income earners) by a decision to lower the highest personal income tax (PIT) bracket from 40 to 32 per cent, the widening of PIT brackets, increases in tax allowances and the decision to make life-insurance premia deductible. The authorities are contemplating partially reversing the first of these moves by raising the upper PIT bracket to 35 per cent in order to reduce the size of fiscal deficit. However, given the terms of the agreement between the minority government and the main opposition party, it is not clear that such a move could be made before the middle of 2002.

The government acknowledges that social-security charges are too high and have adverse consequences on the employment of labour but for the moment has left these unchanged and has not implemented any reforms to reduce the system's bias in favour of self-employed. Overall, as indicated above changes have increased the relative tax burden on labour, and although capital taxation is now more even, bank financing remains significantly favoured. Further, while the introduction of deductibility on life-insurance premia brings the tax treatment of this old-age savings mechanism closer into line of that of private pensions, the latter remains favoured because its annuities are also tax free. A more equitable and efficient treatment would see annuities from both sources treated in the same way, preferably subjecting both to PIT when distributed.[114] Finally, in the area of local government taxation, as part of the overall regional reform, the authorities intend to propose legislation that would enable municipalities to tax property at higher rates and according to their own assessment of market values.

Problems in the area of tax compliance have been addressed by substantially increasing the resources of the tax office, possibly to the point of diminishing returns. By the end of 2000, the staff in Czech tax and customs offices totalled 24 000 persons, exceeding the OECD per capita average 2½ times. Moreover, compliance costs remain high at 2.6 per cent of revenues. Tax arrears did decline in 2000 but it is unclear to what extent this is due to these measures as opposed to a more aggressive writing off of unpaid arrears. Tax evasion is also a problem – although by its nature reliable data are hard to come by. Nevertheless, newspaper reports suggest that many firms evade taxes by registering offshore affiliates and using transfer-price techniques to avoid paying tax on their profits. Although this behaviour is explicitly illegal, the probability of detection is low as are the costs of setting up such an operation. Indeed, insiders estimate that such a scheme is financially attractive for firms with as little as CZK 1 million (some $25 000) in profits.[115] Given the important deterrent effects associated with increased probabilities of capture and stiff penalties, the authorities would be well advised to make a concerted effort to prosecute such cases.

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Notes

1. On a labour force survey basis.
2. The net inflation index is based on 663 consumer items accounting for 88 per cent of the Consumer Price Index (CPI). It excludes regulated prices but includes food and energy.
3. The change in the primary objective of the Bank was in direct conflict with the Constitution which charges the Bank with guaranteeing the value of the currency. Section 35, which stipulates that the Bank must agree its inflation targets with the government may have violated ECBS rules, while provisions restricting the Bank's budgetary independence were also problematic.
4. The strong and sustained disinflation of 1998-2000 is viewed as positive and permanent by trade unions as well as the population.
5. Although the National Property Fund, acting for the government, made two deposits of some €250 million each in 2000, it withdrew the money relatively quickly in order to finance the shortfall in the government accounts.
6. The key repo rate was reduced by 25 basis points while cuts to the discount and Lombard rates amounted to 100 and 150 basis points respectively.
7. Briefly, the Balassa-Samuleson theorem states that faster productivity growth in the tradable sector will, through wage equalisation, cause the relative price of non-tradables to rise over time – implying higher inflation in the non-tradable sector. For a country like the Czech Republic that is catching up technologically, productivity in the tradable sector will grow faster than in more developed countries and as a result non-tradable inflation will be higher. The law of one price on tradables implies that either the currency appreciates – keeping tradable prices equal across countries – or domestic inflation in the country with higher productivity growth is higher.
8. Czech tariffs on imports of industrial products from the EU have been eliminated as of January 2001, while those of the EU on Czech goods were set at zero in 1997. With regard to non-tariff barriers, the Czech Republic has already achieved a high level of harmonisation with the EU system of certification and standardisation and progress on remaining areas is well advanced. When complete, goods certified in the Czech Republic will have immediate access to EU markets (without passing additional certification) and *vice versa*.
9. Average tariff levels for Czech imports are low – about 0.9 per cent for goods coming from the EU and 1.1 per cent for goods from all destinations.
10. This argument also relies on the Balassa-Samuleson theorem (see the earlier note).
11. Box 1, p. 47 of the previous OECD S*urvey* (2000) provides a more comprehensive comparison of the available measures.

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12. In particular, following Eurostat recommendations, the CSO intends including in the government sector all financial and non-financial organisations more than 50 per cent owned by the state or whose revenues depend upon the state by more than 50 per cent. In addition, they will report as capital transfers – and thus as part of current net lending – all government private-sector transactions at below market prices. As a result, voucher privatisations will be recorded as large deficits and the losses of *Konsolidacni banka* will be included in the general government deficit.

13. In the OECD accounts payments to cover the losses of *Konsolidacni banka* are excluded from subsidies and added to total expenditures prior to the calculation of the deficit. These losses were CZK 5.1 billion in 1996, CZK 10.4 billion in 1997, CZK 14.4 billion in 1998, CZK 36.1 billion in 1999 and CZK 12.7 billion in 2000. In the unadjusted GFS accounts these losses were booked in the following years, respectively 1997, 1998, 2000 and, according to budget plans, 2001.

14. Indeed, the CSO indicates that, in the future, such above-market-rate payments will be recorded within the SNA as capital transfers and included in the general government balance.

15. The government raised pension benefits earlier and by more than mandated by law, in order to maintain the average replacement ratio within the 43 to 45 per cent range specified in its 1998 programme. The permanent marginal budgetary impact of the supplementary boost to pensions is estimated to be 0.1 per cent of GDP.

16. The lack of reliable time series and the substantial changes that the economy is undergoing make estimation of the structural component of the budget deficit, using the standard OECD methodology, problematic. In particular, a lack of data on the stock of capital and of an estimate of the non-accelerating wage rate of unemployment prevents a standard estimate of potential output from being made. The estimated structural deficits in Table II.4 get around this problem by using two less sophisticated measures of potential output, one based on a simple Hodrick-Prescott filter and the other on a simple model of productivity convergence. These are then applied to revenue and expenditure data consistent with the "fiscal stance" measure of the general government deficit reported in Table II.2.

17. Of the two, the convergence model provides the more reasonable estimate of potential growth of 2.8 per cent per annum as compared with 1.3 per cent.

18. In SNA93 accounts public-sector employment includes employees of entities where the state has more than a 50 per cent ownership share or supplies more than half of its revenues.

19. These include theatres, museums and such non-profit quasi-public institutions which have own resources but also depend on government subsidies to make ends meet.

20. The final decision on administrative boundaries of these micro-districts has not be reached yet by the authorities. The English term "county" is used loosely here and not in the narrow sense in which it is used in the United Kingdom. County administrations are to be fully operational as of 1 January 2003.

21. Indeed, the CSO indicates that a 1 700 persons increase in public-sector employment (0.3 per cent) in the first quarter of 2001 was mainly due to the regional reform.

22. In contrast to the government baseline, the OECD scenarios include an accounting transition from the current GFS system to the OECD indicator of fiscal stance. Thus, losses of *Konsolidacni banka* are assumed to gradually converge towards the interest payments on its gross liabilities, reaching this level as of 2004.

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23. The government's medium-term scenario for the period 2001-03 was finalised by the Ministry of Finance in December 2000. It projects general government deficits of 6.8-7.3 per cent of GDP.
24. Obligatory healthcare contributions are collected by the state and distributed to healthcare insurance companies, the majority of which are privately owned but the largest of which is state owned. These pay for services according to fee schedules dictated by the state (hospital services) or negotiated by insurers and providers.
25. Privatisation revenues in GFS are booked as a negative expenditure under net lending, while in 1998 the sale of options to purchase the share of various gas and electricity distribution companies was booked as a capital revenue.
26. Gross debt in the Czech Republic was only 19 per cent of GDP in 1993 as compared with 88 per cent in Hungary and 68 per cent in Poland (in 1994).
27. Total expenditure less interest payments.
28. These are discussed in more detail below.
29. Wages in the public sector are undergoing a moderate catch-up process with respect to those of the private sector. CSO data on average wages indicate that public sector wages rose faster than in the private sector until levels equalised in 1997. Since then public-sector wage growth has been extremely volatile due to a wage freeze in 1998 and a large rise in 1999.
30. The functional category of social transfers largely overlaps with the economic category of income transfers. However there exist minor differences; for example, the latter includes income transfers to other countries (*e.g.* contributions to international institutions), whereas the former does not include non-cash social services (they are rather classified as merit goods).
31. It could be argued that a policy which exempted contributions but taxed benefits does not constitute a tax allowance because the income is taxed once. Similarly one that taxed contributions and the interest component of benefits could be construed as neutral. Therefore, the total expenditure associated with pensions is probably best estimated as 1.8 per cent.
32. They are the Culture Fund, the Fund for Support and Development of Czech Cinematography, the Environmental Fund, the Soil Fertilisation Fund, the Infrastructure Fund, the Housing Fund, the National Property Fund, the Czech Land Fund and the Agriculture Intervention Fund (formerly known as the State Fund for Market Regulation).
33. The figure includes transfers from the central government.
34. Efforts to generate a bottom-up fiscal outlook have been unsuccessful so far.
35. This consists of data on the state budget cash payments, on banking accounts of the state financial assets operations and on the central government debt and debt service.
36. In 1993, pensions were indexed to inflation alone and had to be adjusted whenever the cumulative increase in the CPI reached 10 per cent. In 1995, but entering into effect in 1996 the indexation rule was changed to include, in addition to CPI inflation, one-third of real wage increases and the trigger was reduced to a 5 per cent rise in CPI. A 1997 reform reduced the generosity of the system by changing the formula to 70 per cent of the change in CPI plus 30 per cent of the increase in wages and reasserting temporarily the 10 per cent threshold. The threshold returned to 5 per cent in 1999.
37. Tax expenditure reporting began in Germany and the United States in the late 1960s, with Austria, Canada, Spain and the United Kingdom introducing it in the late 1970s.

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Australia, Belgium, Finland, France, Ireland, Italy, the Netherlands and Portugal followed in the 1980s. In Austria, Belgium, France, Germany, Portugal, Spain and the United States, the authorities are legally obliged to produce a tax expenditure report and in five of these countries (Belgium, Finland, France, Portugal and Spain) it is explicitly linked to the budget process. Austria and Germany produce subsidy reports, including tax expenditure. In other countries, tax expenditure reports are separate documents and in the United States, it is reported as part of the government's budget but is not integrated into the process.

38. Thus between 1993 and 2000, the state budget balance, as a per cent of GDP, deteriorated by 3.2 percentage points, while that of the extra-budgetary funds worsened by 7.1 percentage points.
39. As of 1 January 2001, there were 6 251 independent municipalities.
40. KoB's official liabilities stood at CZK 199 billion in the first quarter of 2000.
41. Some large state-controlled enterprises participating in the government sponsored revitalisation programme already owed CZK 9.5 billion of health insurance contribution to another state-owned entity, health insurer (VZP). Similarly, the state railways owe substantial sums to state-owned power companies.
42. Rather than include in its budgetary accounts the full costs of requiring CD to provide subsidised transport to some sectors of the population, the state provides it with guarantees on loans that have no expectation of being paid. The annual increment to the railroad's debt was 0.25 per cent of GDP in 2000 and the cumulated total reached 2 per cent of GDP in 2000.
43. During the privatisation process, the FNM decided with the agreement of the government to cover costs of any clean-up associated with pre-sale environmental damage.
44. Income transfers increased 0.6 per cent of GDP and KoB related transfers added 1 per cent of GDP to the deficit including these expenditures.
45. A number of OECD countries restrict the budgetary autonomy of sub-national governments in this way, including the Netherlands, Spain and even Germany where *Länder* explicitly negotiate spending under some cost-shared programmes with the federal government (Wurzel 1999).
46. Currently calls to compensate environmental damages are paid from the reserves (or revenues) of the National Property Fund and not the State Budget. However, as is recommended below, were the Fund to be included in the general government an explicit reserve would be required.
47. Such a guideline would take the form of guarantee contracts that would specify criteria for determining whether government should make payments, actions for recovering amounts paid and the application of risk sharing schemes. These should impose deductibles on debtors and preserve the right of the government to abrogate contracts in case of morally hazardous behaviour.
48. Australia, the Netherlands, New Zealand, Sweden, the United Kingdom, and the United States are among countries where projections based on the previous year's budget form a starting point for subsequent years' budget negotiations. A further 12 OECD countries use multi-annual expenditure targets.
49. Some government oversight is assured because the Funds' supervisory boards contain government appointees.
50. The calculation presupposes that beginning with households in the fifth decile parental and child benefits are taxed at a 10 per cent rate rising to 60 per cent at the tenth

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decile. On this basis, for a household in the fifth decile, comprised of two adults and two children, the annual cost in terms of benefit withdrawal would range between CZK 5 385 if one parent worked and CZK 2 556 if both worked. At the tenth decile, these costs would rise to CZK 21 088 and CZK 3 931 respectively.

51. OECD (2000) examined the Czech tax system in detail.
52. See for example Benes *et al.* (1998).
53. The World Bank (2001) indicates a central subsidy of 0.8 per cent of GDP, 0.8 per cent of GDP in tax expenditure and between 1 to 1.2 per cent in the form of municipal housing subsidies.
54. Ministry for Regional Development, reported in World Bank (2001).
55. The subsidiarity principle argues that certain public goods and services are most efficiently delivered at the local level, particularly when their consumption is geographically limited. By matching the supply of such goods and services with the particular preferences and circumstances of a given constituency, local provision is thought to raise economic welfare above the level that would result from a more uniform delivery system.
56. Data are available indicating the number of spells of benefit receipt during a year, but because of the possibility of multiple spells no data indicate how many people are actually receiving them at any given time or how much each recipient is getting on a monthly basis.
57. While the budget process dictates total wage bills, line Ministries have considerable discretion as to how they manage their human resources. They are free to change the mix of employees (using more or less professionals for example) as long as they respect the overall spending limit.
58. The total budget for hospitals is set by the government and the value of various procedures in terms of "points" are negotiated with providers. Actual payments are determined by the total number of points accumulated and the overall budget.
59. Insurance companies include the state-owned "General Health Insurer" (VZP), some ministerial and branch companies, and a handful of private operators.
60. H*utní stavby* O*strava*.
61. The case of ZPS Z*lín* highlights the importance of the court-appointed administrator in a bankruptcy case. In this case, understanding the importance of rapid and transparent action, the administrator was able, with the assistance of the Revitalisation Agency, to develop a feasible method of breaking up the conglomerate into two dozen businesses with clearly defined assets and liabilities.
62. Debt-equity swaps and the replacement of management allowed the RA to proceed with a financial restructuring of the S*koda* P*lzen* engineering group and T*atra* K*opnivnice*, a truck manufacturer – but so far these firms remain in state hands. One firm (TIBA) dropped out of the revitalisation programme at its own request.
63. The terms of the Z*etor* restructuring have been investigated and approved by the Czech Competition Authority. It concluded that in this instance, the assistance provided through KoB (CZK 800 million in guarantees related to creditor claims and capitalisation of bad loans amounting to CZK 4.7 billion) neither violated the Act on State Aid nor damaged competition.
64. KoB had purchased some of these loans at a discount so in terms of its book value (the amount it paid for the loans) the discount was somewhat smaller (89 per cent).

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65. Previously trustees, who must be physical persons, were appointed by the court and paid for each sale of a bankrupt firm's assets. Thus, it was in the interest of the trustee to maximise the number of sales, rather than their value (which would – of course be in the interest of creditors).

66. The amendment requires the pledge of the asset to have been notarised – something which was not systematically done in the past. Thus for many existing loans an agreement of the debtor will have to be secured. In other cases, where it has been secured, creditors may be able to receive prompt court judgements.

67. Such bailiffs existed under the law before the war but were abolished under communism.

68. Over the last two years, the average length of court cases declined as the number of judges increased and the number of disputes related to privatisation and restitution dropped significantly. However, there were remarkable variations across the regions, *e.g.* the civil code cases were processed almost five times faster in Ceske Budejovice than in Prague. *Hospodarske noviny*, 17 April 2001, p. 4.

69. Management and owner agreement to a composition and large debts held by *Konsolidacni banka* were pre-conditions for participation in the programme.

70. However, if the management board makes an explicit request, the judge must now record the GSM decision in the commercial registry within 15 days while stipulating the liability for a wrongful decision (*i.e.* one successfully appealed in future). To date there are no available statistics on the actual implementation of this option and its effect on the success and speed of compositions.

71. The 1993 Bankruptcy Act has been amended 16 times.

72. The FNM owned 36 so-called strategic firms in 2000, only 8 fewer than in 1997 and retained golden shares in some 64 additional companies.

73. Generally, the state keeps one golden share conferring special voting rights in 19 strategic companies. In addition, the state has golden shares in another 61 firms including book publishers, spas, film studios, research institutes, a salt producer, a pharmaceutical company and even a horse-breeding farm.

74. There will remain separate corporate entities for generation and distribution, but there will be common controlling ownership of the group of firms. The ability of the purchaser to exercise group control will be subject only to the power of some minority shareholders to block major decisions at the board level. This compares with the present situation where electricity distribution companies were seeking to behave independently from CEZ, notwithstanding common majority state ownership through the National Property Fund in six (out of eight) of them.

75. The head of the agency is appointed by the Prime Minister for a five-year period and the Office's statutes indicate that he or she cannot be removed except for just cause.

76. It operated under the name Energy Regulatory Administration, while the Minister of Finance retained price-setting authority.

77. In 2000 when the energy prices regulation was still controlled by the Ministry of Finance, gas prices (and thus inflation) were kept artificially low, resulting in losses to Transgas.

78. Competition in fixed-line long distance and international services started in January 2001. Benefits to consumers will be further enhanced following the introduction of number portability by the dominant operator by the end of 2002.

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79. Except for a small segment (79km or less than 1 per cent of the total) belonging to a private operator, the rail infrastructure is owned by the state.

80. The Railway Authority (D*razni urad*), which is responsible for monitoring technical compliance and issuing licenses, regulates the sector.

81. The limit on their accountability for corporate misconduct would amount to four monthly salaries.

82. According to its representatives, the SAO does not conduct full audits of the FNM due to the special legal status of the Fund that differentiates it from "ordinary" extra-budgetary funds. However, the FNM balance sheet is accessible to the public after scrutiny by the government and Parliament.

83. The ratio of physical energy consumption per GDP measured in purchasing-power-parity terms. Even on a per capita basis, the Czech physical energy ratio is at 3.99 almost as high as Germany's 4.20 and significantly higher than that of Italy (2.95) or Hungary (2.50). See IEA (2000), pp. 50-52.

84. See H*ospodarske noviny*, 12 December 2000.

85. For instance, according to unofficial estimates of Czech experts, one-third of residents in homes for the elderly (some 16 000 seniors) decided to enter this type of institutionalised care in order to free their apartments for families of their own children (Bannock Consulting, 2000). As a result, rent liberalisation could be expected to reduce substantially the long waiting lists for this type of care.

86. According to estimates of the Ministry for Regional Development, there are almost 10 000 empty apartments (about 2 per cent of the housing stock) in privately-owned residential buildings in Prague.

87. See OECD (1998 and 2000) for more details concerning these sales.

88. The Czech legislation permits local governments to be active in the financial market but Prague is the only Czech municipality owning a bank. As with other government-owned banks, PMB generated substantial losses while providing questionable commercial loans during the 1990s. By 2001, the cumulative cost to the city from this venture into banking exceeded CZK 1.2 billion.

89. In the last quarter of 2000, two rogue dealers in the CSOB trading division wiped out about one-third of the bank's annual profit, losing CZK 1.5 billion in the US bond market. The subsequent investigation revealed that the control system in the trading room was obsolete and unable to detect violations of trading limits for weeks. For details, see M*lada fronta dnes*, 19 January 2001.

90. See Tuma (2000), pp. 5-6.

91. The impact on profitability, of this requirement to substantially increase reserves, was offset to some degree by a simultaneous lowering of reserve requirements (initially from 9.5 to the EU standard of 2 per cent in October 1998).

92. By the end of 2000 19 registered K*ampelickas*, with 105 000 members, representing 92 per cent of all deposits and 82 per cent of depositors, had collapsed (CTK, 20 December 2000). By May 2001 there were 71 credit unions performing commercial activities, seven under conservatorship, 45 in liquidiation and 11 in bankruptcy proceedings.

93. It authorised the government to provide CZK 6 billion in bonds to cover members' deposits in December 2000.

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94. The Institute was transformed into a fully-fledged regulatory authority by the new legislation governing the credit union sector that became effective in May 2000. In the same year, the credit union supervision performed 23 comprehensive inspections, imposed conservatorship in 22 cases and issued 71 verdicts to restrict activities of poorly-performing credit unions.
95. Market for Shares and Bonds Support System – an electronic trading system. Trading under SPAD is a price-driven process making use of market makers for continuous quotations of offer and bid prices.
96. The Czech Securities Act now requires a minimum market capitalisation of €1 million for all publicly traded companies.
97. See KCP (2000). The draft is based on general OECD recommendations and its details are modelled on the unified code of the London Stock Exchange.
98. Assuming a purchaser is willing to pay a certain amount for a controlling or majority stake, forcing it to purchase additional shares would only reduce the amount it is willing to offer per share.
99. See *Hospodarske noviny*, 22 December 2000, p. 1.
100. Czech law determines maximum working hours inclusive of 2.5 hours of mandatory breaks. The numbers in the text exclude these hours.
101. The wages owed by a bankrupt firm are guaranteed for at most three months or the maximum amount of CZK 18 987 (about 1.5 average wages), whichever is lower. The authorities emphasise that the legal provisions fulfil the EU directive 80/987 pertaining to protection of employee rights in cases of insolvency of the employer.
102. A May 2000 amendment now allows workers to initiate bankruptcy proceedings, through which they can collect uninsured unpaid earnings.
103. The division of participant inflows by the number of unemployed yields the upper limit (1/5) rather than the average proportion of job seekers entering ALMPs because some individuals may begin retraining courses more than once a year.
104. See for example, Benes *et al.* (1998) or Huitfeldt (2001).
105. The actual number of people receiving such benefits is lower principally because some individuals are in receipt of more than one benefit.
106. Preliminary results of a comparative project on disability benefits in 20 OECD countries suggest that the share of Czech population receiving benefits is slightly higher than the average.
107. Experts from the Ministry of Labour and Social Affairs estimate that the unemployment rate of the Romani minority is around 70 per cent partly because their typically low educational achievement and relatively high fertility make them more likely to fall into the "poverty trap" created by the high minimum-living standard for large families. The authorities estimate that only 10 to 15 per cent of Roma are interested in long-term employment.
108. Only one in five upper secondary students are in a general education pathway; this is a very low proportion by OECD standards.
109. Concrete steps include employment of Romani social workers to encourage higher participation of Romani children in pre-schools and of Romani assistants to teachers at primary schools with a high proportion of Roma.
110. See for example EC (2000) and OECD (2001*b*), which stress the need to improve the quality of legislation and regulation being produced within the Czech Republic.

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111. In addition to harmonising the VAT system, the Czech Republic is prepared to harmonise income taxes, excises, tax administration and customs authority rules fully by the date of EU accession.

112. The excise tax on cigarettes will reach the minimum level recommended by the EU a few years later; the authorities argue that otherwise the price of cigarettes would double, inducing massive smuggling.

113. Box 10 in OECD (2000) describes this literature and gives a number of references, the most recent of which is Liebfritz *et al.* (1997).

114. Most tax systems implicitly subsidise pensions by deferring the taxation of these savings to a point in time when taxable income is lower. The Czech system is unusual in exempting these savings from all taxes.

115. A local tax consultancy can set up corporate identity in a tax haven for $3 000. The annual cost of maintaining the status amounts to $2 500, assuming the exchange rate of CZK 40 per $. See *Hospodarske noviny*, 11 January 2001, p. 1. A business with an annual profit of $25 000 can either pay the 31 per cent corporate income tax in the Czech Republic ($7 750) or evade, paying $5 500 in the first year and $2 500 subsequently.

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Glossary

ALMP	Active labour market programme
CD	Czech railways
CKA	Czech Consolidation Agency
CEZ	Czech electricity company
CIT	Corporate income tax
CNB	Czech National Bank
CPI	Consumer Price Index
CS	Ceska sporitelna
CSO	Czech Statistical Office
CSOB	Ceskoslovenska obchodni banka
CTU	Czech Telecommunications Office
CzechInvest	An investment promotion agency
EBRD	European Bank for Reconstruction and Development
EC	European Commission
ERU	Energy Regulatory Office
EU	European Union
FDI	Foreign Direct Investment
FNM	National Property Fund
GDP	Gross domestic product
GFS	Government Financial Statistics
IPB	Investicni a postovni banka
IMF	International Monetary Fund
KoB	Konsolidacni banka
KB	Komercni banka
KCP	Czech Securities Commission
MLS	Minimum living standard
MLSA	Ministry of Labour and Social Affairs
MoF	Ministry of Finance
OTC	Over the counter
PAYG	Pays-as-you-go pension system
PES	Public Employment Service
PSE	Prague Stock Exchange
PIT	Personal income tax
RA	Revitalisation Agency
RM-S	RM-System
RSP	Retirement savings plan
SAO	Supreme Audit Office
VAT	Value Added tax

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Annex I
Government accounts

The OECD-adjusted government accounts used in this S*urvey* take as a point of departure the Ministry of Finance's consolidated general government accounts, including the state budget, extra-budgetary funds and local governments while excluding privatisation revenues which are treated as financial transactions without any direct effect on net lending. Panel A of Table A1 reports the State Budget deficit and the various additions made to it in order to arrive at the official unadjusted GFS deficit. Panel B shows the derivation of the OECD adjusted deficit and the OECD fiscal stance measure.

The OECD adjusted accounts reclassify subsidies to specialised state-owned financial institutions, K*onsolidacni banka* (KoB), C*eska financni* (CF) and C*eska inkasni* (CI) as part of net lending for policy purposes. This change does not affect the deficit but reduces subsidies and current expenditure.

In addition, several other adjustments are made that do affect the overall balance in individual years. First the transfers made to the various state-owned financial institutions to cover their losses over and above the subsidies mentioned above are recorded in the year after they appear on KoB's books. Generally, they are recorded on this basis within the GFS accounts but in several years their inclusion was delayed, with the effect of understating the deficit in some years and overstating it in others. In addition, the OECD adjusted accounts exclude from revenues (on the grounds that these should be classified as privatisation revenues) the CZK 31.2 billion in option sales earned by local government when they sold the rights to their shares in local power distribution systems.

In attempting to determine the fiscal stance of the government net of payments to transformation institutions, two strategies are employed. The first simply excludes all such expenditures while the second charges as an expenditure the implicit interest payments that would be paid on the liabilities of K*onsolidacni banka* if it were included within the general government. This treatment is consistent with the approach that is to be adopted by the CSO when it revises its ESA95-based accounts.

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Table A1. **Components of the general government deficit and various deficit definitions**

	State budget and state financial assets	Central extra-budgetary accounts[1]	Health funds	Central government	Local government	KoB and related subsidies[2]	Privatisation revenues	Consolidated[3] general government (excluding privatisation)
	1	2	3	4=1+2+3	5	6	7	8=4+5−7
A. The official general government deficit								
1993	0.5	1.4	0.5	2.3	0.2	0.0	2.5	0.0
1994	1.2	−0.3	−0.2	0.8	0.0	0.0	2.7	−1.9
1995	−0.2	0.9	−0.3	0.3	−0.2	0.2	2.0	−1.6
1996	−0.3	0.6	−0.2	0.	−0.5	0.7	1.6	−1.9
1997	−1.0	0.0	−0.1	−1.1	−0.3	0.7	0.8	−2.0
1998	−1.4	−0.2	−0.1	−1.7	0.1	1.0	0.9	−2.4
1999	−1.9	0.1	0.1	−1.6	1.0	0.4	1.4	−2.0
2000	−2.7	−0.5	0.1	−3.1	−0.1	1.1	1.1	−4.4
2001	−4.8	4.0	0.1	−0.7	−0.4	5.1	8.4	−9.4

	Consolidated general government (excluding privatisation)	KoB related subsidies as reported in GFS	KoB related subsidies, adjusted[4]	Option sales	Imputed interest on KoB liabilities	OECD deficit (excluding KoB)	OECD deficit (including adjusted KoB losses)	OECD deficit excluding KoB, including imputed interest and CI)
	1	2	3	4	5	6=1+2−4	7=6−3=1+2−3−4	8=6−5=1+2−4−5
B. The OECD general government deficit								
1993	0.0	0.0	0.0	0.0	0.8	0.0	0.0	−0.8
1994	−1.9	0.0	0.0	0.0	0.6	−1.9	−1.9	−2.5
1995	−1.6	0.2	0.2	0.0	0.5	−1.4	−1.6	−2.2
1996	−1.9	0.7	0.7	0.0	0.5	−1.3	−1.9	−2.4
1997	−2.0	0.7	0.7	0.0	0.5	−1.4	−2.0	−2.2
1998	−2.4	1.0	1.0	0.0	0.6	−1.4	−2.4	−2.3
1999	−2.0	0.4	1.2	1.3	0.4	−2.8	−4.0	−3.6
2000	−4.4	1.1	2.2	0.3	0.5	−3.6	−5.8	−4.3
2001	−9.4	5.1	3.3	0.2	0.9	−4.5	−7.8	−5.7

1. Includes State Funds, National Property Fund (FNM) and Czech Land Fund.
2. The column includes losses of *Konsolidacni banka*(KoB) paid from State Budget and State Financial Assets, transfers from FNM to *Ceska financni* (via KoB), *Ceska inkasni* CI) and KoB (losses ensuing from takeover of bad assets of privatised banks).
3. Columns may not sum to the total because of consolidation.
4. The column reports KoB losses paid from State Budget and State Financial Assets in the year following the year when losses were accrued.

Source: OECD.

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Annex II

Chronology of main economic events

2000

January

Minimum wage increased from CZK 3 600 to CZK 4 000 per month.

April

Minimum living standard which forms a basis for a number of social transfer payments is adjusted.

Czech National Bank (CNB) preannounces its inflation target for the end of 2001; the government endorses the target voluntarily.

June

CNB imposes forced administration on *Investicni a postovni banka* (IPB), the third largest bank in the Czech Republic. IPB is sold within 72 hours to a foreign-controlled rival *Ceskoslovenska obchodni banka* at a deferred price.

July

The independent regulator of the telecommunications industry starts its operations.

Erste Bank of Austria completes its take-over of *Ceska sporitelna*, the largest Czech commercial bank.

Minimum wage increased from CZK 4 000 to CZK 4 500 per month.

October

President of the Republic appoints Mr Tuma Governor of the CNB despite the government's objections (his appointment is in force as from 1 December 2000).

Bankruptcy Act No. 328/1991 Coll. is amended for the 16th time since 1993.

The state sells its residual stake in the car manufacturer *Skoda* to Volkswagen of Germany.

December

Parliament approves the 2001 budget.

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2001

January

New Commercial Code becomes effective, providing for improved protection of minority shareholder rights.

New Central Bank Act becomes effective, curtailing the goal-setting and operational independence of the CNB.

Government terminates contract with the private-sector consortium that administers the Revitalisation Agency; the state-owned *Konsolidacni banka* (KoB) becomes the new administrator.

The new independent regulator of the energy industry begins to operate; the agency's chairperson resigns after the first three weeks in office.

Following the collapse of talks between the dominant fixed-line operator (*Cesky Telecom*) and its competitors, the telecoms regulator sets interconnection rates charged for network access, paving the way for increased competition in fixed-line telephony.

Minimum wage increased from CZK 4 500 to CZK 5 000 per month.

February

Mr Gregr, Minister of Industry and Trade, announces a two-year (big bang) economic strategy that entails significant new spending initiative to be financed by privatisation revenues.

Czech National Bank reduces its benchmark policy rate by 25 basis point to 5 per cent.

KoB completes its first sale of bad loans with a nominal value of CZK 500 million to a private-sector operator (Goldman Sachs) – at a 93 per cent discount.

Parliament approves new legislation making early-retirement programmes more actuarially neutral.

March

Parliament approves an act which exempts privatisation transactions from the mandatory buyout offers to minority shareholders.

April

CNB publishes a revised medium-term monetary strategy for the period 2002-05 expressing its targets in terms of headline inflation; these are agreed to by the government.

Mr Mertlik, Minister of Finance and Deputy Prime Minister, resigns. Mr Rusnok, former Deputy Minister of Labour and Social Affairs, becomes the new Minister of Finance.

The new Finance Minister states that the government no longer intends to implement public spending cuts in 2001 while financing the unauthorised part of the last year's deficit by new revenues from dividends and collection of debts from taxpayers and the Russian Federation.

May

New law enabling creditors to choose private bailiffs for enforcement of court decisions against debtors becomes effective.

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June

The Constitutional Court rules that the November 2000 appointments of the Governor and one Vice-Governor of the CNB are valid. Furthermore, it rules that amendments to the CNB Act restricting the Central Bank's independence by changing its target, giving the government the right to nominate board members, requiring the CNB to agree its inflation targets with the government and giving the Parliament the right to control a part of its budget, are unconstitutional. The government accepts the decision without reservations

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Statistical annex and structural indicators

Table A. **Selected background statistics**

	Average[4] 1995-2000	1995	1996	1997	1998	1999	2000
A. Percentage change							
Private consumption[1, 2]	1.6	5.9	6.9	1.9	–2.6	0.5	1.4
Gross fixed capital formation[1]	0.3	19.8	8.2	–2.9	–3.9	–4.4	5.2
GDP[1]	0.8	5.9	4.3	–0.8	–1.2	–0.4	2.9
GDP price deflator	8.3	10.2	8.8	8.0	10.7	3.1	0.9
Industrial production[1, 3]	2.5	..	2.0	4.5	1.6	–3.1	5.1
Total employment	–1.0	0.9	0.1	–0.6	–1.4	–2.3	–0.7
Compensation per employee (business sector)	8.4	17.1	17.5	8.2	4.8	4.9	7.0
Productivity per worker	2.8	4.1	3.1	0.0	0.7	2.4	3.7
Unit labour costs	10.0	10.1	12.9	11.7	7.5	5.5	2.1
B. Percentage ratios							
Gross fixed capital formation as per cent of GDP	29.5	32.0	31.8	30.8	28.3	26.8	27.2
Stockbuilding as per cent of GDP	2.2	2.0	3.1	2.0	1.4	1.7	3.2
Foreign balance as per cent of GDP	–4.0	–4.8	–6.4	–6.0	–1.4	–1.5	–3.8
Compensation of employees as per cent of GDP	57.0	47.2	53.3	57.4	59.3	61.7	63.2
Direct taxes on households as per cent of GDP	6.2	5.0	5.6	6.1	6.7	6.8	6.8
Household saving ratio as per cent of disposable income	16.4	15.8	17.5	16.4	14.9	16.5	17.5
Unemployment as per cent of labour force	6.2	4.1	3.9	4.8	6.5	8.8	8.8
C. Other indicator							
Current balance ($ million)	–2 357.4	–1 369.1	–4 292.2	–3 211.0	–1 335.7	–1 567.1	–2 369.2

1. In 1995 prices.
2. Including collective consumption expenditure.
3. Series break 1994/95.
4. For section A, average annual change; for sections B and C, arithmetic average of data in rows.

Source: Czech National Bank; Czech Statistical Office; OECD.

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Table B. **Supply and use of resources**

CZK billion, 1995 prices

	1995	1996	1997	1998	1999	2000
Private consumption[1]	701.7	757.2	775.5	760.3	774.6	789.6
Public consumption	275.0	284.9	272.4	265.8	265.6	262.1
Gross fixed capital formation	442.5	478.5	464.7	465.2	462.3	481.8
Final domestic demand	1 419.2	1 520.7	1 512.6	1 491.4	1 502.6	1 533.5
Stockbuilding	27.6	32.0	29.5	17.9	–1.5	26.5
Total domestic demand	1 446.8	1 552.7	1 542.1	1 509.3	1 501.0	1 560.0
Exports of goods and services	740.8	801.8	875.3	955.1	1 015.0	1 205.2
Imports of goods and services	806.5	914.2	988.0	1 052.2	1 109.4	1 317.2
Foreign balance	–65.7	–112.4	–112.8	–97.1	–94.3	–111.9
Gross domestic product	1 381.0	1 440.4	1 429.3	1 412.2	1 406.7	1 448.1

1. Including collective consumption expenditure.

Source: Central Statistical Office.

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Table C. **Labour market indicators**[1]

	1995	1996	1997	1998	1999	2000
	Thousands					
Main indicators						
Unemployment	208	201	248	336	454	455
Employment	4 908	4 915	4 884	4 818	4 709	4 676
Dependent	4 319	4 312	4 277	4 155	4 024	3 966
Self-employed	562	580	587	640	660	682
Labour force	5 116	5 116	5 133	5 153	5 163	5 130
Working-age population (15-64 years)	7 042	7 067	7 091	7 114	7 139	7 166
	Per cent					
Derived indicators						
Unemployment rate						
Total	4.1	3.9	4.8	6.5	8.8	8.9
Male	3.5	3.4	4.0	5.1	7.4	7.5
Female	4.8	4.7	5.4	8.2	10.5	10.6
Youth[2]	8.2	7.6	9.0	13.0	17.9	18.0
Participation rate						
Total	72.6	72.4	72.4	72.4	72.3	71.6
Male	80.4	80.5	80.3	80.2	79.8	78.9
Female	64.9	64.3	64.4	64.7	64.8	64.2
Employment/population ratio	69.7	69.5	68.9	67.7	66.0	65.2
	Thousands					
Sectoral employment						
Employment	5 012	5 044	4 947	4 869	4 693	4 587
Agriculture	314	303	283	270	244	220
Mining	92	86	80	74	65	58
Manufacturing	1 445	1 441	1 445	1 449	1 408	1 375
Electricity, gas and water	91	88	85	80	78	73
Construction	450	452	435	404	360	334
Wholesale and retail trade	749	775	731	705	670	657
Hotels and restaurants	142	155	154	162	162	164
Transport and communications	355	363	353	344	342	331
Financial intermediation	85	89	89	89	88	87
Real estate	389	382	392	399	398	409
Public administration and defence	162	168	175	177	178	180
Education	322	322	309	304	298	295
Health and social work	262	268	267	263	260	262
Other community and personal services	154	152	149	149	142	143
	Annual percentage change					
Employment	2.6	0.7	−1.9	−1.6	−3.6	−2.3
Agriculture	−7.8	−3.4	−6.7	−4.7	−9.5	−9.9
Mining	−8.9	−5.6	−7.8	−7.6	−12.2	−9.6
Manufacturing	1.2	−0.3	0.3	0.3	−2.8	−2.4
Electricity, gas and water	1.1	−4.1	−3.5	−4.9	−2.8	−6.1
Construction	1.3	0.3	−3.6	−7.1	−10.9	−7.2
Wholesale and retail trade	6.7	3.6	−5.7	−3.6	−4.9	−2.0
Hotels and restaurants	3.5	9.6	−1.2	5.8	−0.5	1.2
Transport and communications	0.7	2.2	−2.8	−2.6	−0.6	−3.1
Financial intermediation	11.5	4.9	0.5	−0.3	−0.9	−1.5
Real estate	14.2	−1.8	2.7	1.8	−0.4	2.8
Public administration and defence	10.5	3.9	4.5	0.8	0.5	1.1
Education	0.0	0.1	−4.1	−1.5	−1.9	−1.2
Health and social work	1.6	2.2	−0.4	−1.7	−1.0	0.8
Other community and personal services	5.2	−1.5	−2.1	0.0	−4.7	0.5
Memorandum items:						
Incidence of long term unemployment[3]	31.2	31.3	30.5	31.2	37.1	48.8
Productivity index, 1995 = 100	100.0	103.1	103.1	103.8	106.3	110.2

1. Labour force survey civilian definitions except for sectoral employment (which is from business and administrative records).
2. Individuals 15-24 years old.
3. Unemployed for 12 or more months, as a per cent of total unemployment.

Source: Czech Statistical Office; OECD.

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Table D. **Costs and prices**

Annual percentage changes

	1995	1996	1997	1998	1999	2000
Rates of pay						
Compensation per employee (business sector)	17.1	17.5	8.2	4.8	4.9	7.0
Average monthly earnings (manufacturing)	17.0	17.4	13.2	10.4	7.5	6.2
Productivity per employee (business sector)	6.8	4.4	0.1	1.8	2.6	4.4
Unit labour cost (whole economy)						
Nominal	10.1	12.9	11.7	7.5	5.5	2.1
Real[1]	–0.1	3.8	3.4	–2.9	2.3	1.2
Prices						
GDP deflator	10.2	8.8	8.0	10.7	3.1	0.9
Private consumption deflator	9.1	8.1	7.4	9.2	3.8	2.8
Consumer price index	9.1	8.8	8.4	10.8	2.1	3.9
Consumer price index, food	10.5	7.8	4.8	4.5	–3.6	1.5
Producer price index (industrial goods)	7.6	4.8	4.9	4.9	1.0	4.9

1. Deflated by the GDP deflator.

Source: Czech National Bank; Czech Statistical Office; OECD.

Table E. **Monetary indicators**

	1995	1996	1997	1998	1999	2000
	End-of-period growth rates					
Monetary aggregates						
M1	7.6	5.2	–6.0	–2.2	11.2	13.5
M2	19.6	8.0	8.9	5.3	8.2	6.9
	GDP/money unit					
Velocity of circulation[1]						
M1	3.4	3.6	3.9	4.4	4.4	4.0
M2	1.4	1.5	1.4	1.5	1.4	1.4
	Per cent					
Interest rates						
Official discount rate[2]	9.5	10.5	13.0	7.5	5.0	5.0
3-month PRIBOR	11.0	12.0	16.0	14.3	6.8	5.4

1. Computed as follows:
   Velocity = $GDP_t/[(M_{t-1} + M_t)/2]$
   Where M_{t-1} = M1 (or M2) at the end of year "t–1"
   M_t = M1 (or M2) at the end of year "t"
2. End of period.

Source: Czech National Bank; OECD.

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Table F. **Balance of payments**

$ million

	1995	1996	1997	1998	1999	2000
Current account	–1 369	–4 292	–3 211	–1 336	–1 567	–2 369
Exports of goods	21 463	21 691	22 777	26 351	26 265	29 034
Imports of goods	25 140	27 568	27 317	28 905	28 167	32 320
Trade balance[1]	–3 678	–5 877	–4 540	–2 554	–1 903	–3 285
Non-factor services, credits	6 718	8 179	7 162	7 494	6 928	7 245
Non-factor services, debits	4 876	6 256	5 399	5 701	5 826	5 849
Balance of non-factor services	1 842	1 923	1 763	1 793	1 102	1 396
Factor income, credits	1 195	1 170	1 409	1 424	1 644	1 831
Factor income, debits	1 300	1 893	2 200	2 407	2 921	2 595
Balance of factor income	–106	–723	–791	–983	–1 277	–764
Transfers, net	572	385	357	408	511	285
Capital account	7	1	10	2	–2	–5
Financial account	8 226	4 184	1 082	2 923	3 080	3 359
Direct investment, net	2 526	1 276	1 275	3 591	6 234	4 477
Portfolio investment, net	1 362	726	1 086	1 069	–1 395	–1 767
Other investment, net	4 338	2 183	–1 279	–1 737	–1 759	696
Errors and omissions	595	–721	352	351	141	–166
Change in reserves[2]	–7 458	828	1 767	–1 941	–1 651	–819

1. 1993-1998 according to methodology for customs statistics in effect from 1.1.1996.
   1999-2000 according to revised methodology for customs statistics in effect from 1.7.2000.
2. A negative sign indicates an increase.

Source: Czech National Bank.

Table G. **General government revenue and expenditure**

CZK billion

	1995	1996	1997	1998	1999	2000
Current receipts	590.5	646.3	674.8	718.2	754.1	784.7
Direct taxes	135.1	142.4	143.4	162.5	165.4	169.5
Indirect taxes	183.7	204.3	217.5	222.7	246.0	253.9
Social security contributions	210.0	242.3	268.6	286.3	295.0	311.9
Other current receipts	61.7	57.3	45.3	46.7	47.7	49.4
Current disbursements	513.5	580.0	621.7	666.0	712.0	754.4
Government consumption	280.1	319.6	323.8	344.9	370.6	385.5
Property income paid	16.6	16.3	20.7	21.3	19.3	21.2
Social security benefits	158.5	182.2	210.0	227.7	246.4	266.3
Subsidies	49.0	51.6	51.7	54.5	55.6	56.9
Other current transfers paid	9.3	10.4	15.4	17.5	20.1	24.5
Current balance[1]	77.0	66.2	53.1	52.2	42.1	30.3
General government balance[1]	–22.3	–30.0	–33.6	–42.7	–73.9	–110.3
General government balance as per cent of GDP[1]	–1.6	–1.9	–2.0	–2.3	–3.9	–5.6

1. Excluding privatisation revenues.

Source: Ministry of Finance; Central Statistical Office; OECD.

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Table H. **Financial markets**

	1995	1996	1997	1998	1999	2000
	Per cent					
Sector size						
Sectoral employment/total employment	1.7	1.8	1.8	1.8	1.9	1.9
Financial assets[1]/GDP[2]	134.3	129.5	134.2	130.0	132.3	137.6
Stock exchange capitalisation/GDP[3]	71.4	53.2	29.5	22.9	34.1	30.6
Structure of financial flows						
Credits to non-financial sector (per cent of total banking assets)[4]						
Short-term	18.2	17.4	19.8	18.9	16.5	14.1
Long-term	12.5	13.9	16.9	17.0	16.9	17.0
Internationalisation of markets						
Credits granted by foreign banks incl. branches[5]/ total credits[1]	14.3	16.8	20.6	23.2	36.3	77.8
Forex credits/total credits[1]	15.5	17.3	22.3	23.4	23.8	21.8
	5th April 1994 = 1 000					
Prague Stock Exchange Index[1]						
PX-50	450	530	521	440	455	552

1. End of period data.
2. Ratio of total banking assets to GDP.
3. Stocks only.
4. Credits in CZK only, from 1999 all credits are included.
5. Banks with more than 50 per cent of foreign capital.

Source: Czech National Bank; Czech Statistical Office.

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OECD PUBLICATIONS, 2, rue André-Pascal, 75775 PARIS CEDEX 16
PRINTED IN FRANCE
(10 2001 04 1P) ISBN 92-64-19138-0 – No. 51989 2001
ISSN 0376-6438